

# Jindal Steel & Power Ltd. (JINDALSTEL)

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## Call: Jul 2022

Jindal Steel & Power Limited

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Symbol: JINDALSTEL

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Dear Sir/Madam,

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SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JULY 15 , 2022,

AT 05:30 P.M. (IST)

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This is in furtherance to our letter dated July 14 , 2022 w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts.

In

terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings call is enclosed herewith

and has also been uploaded on the website of the Company at

[www.jindalsteelpower.com](http://www.jindalsteelpower.com) .

Y

You are requested to take the above information on record.

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Thanking you.

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Yours faithfully,

For Jindal Steel & Power Limited

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Anoop Singh Juneja

Company Secretary & Compliance Officer

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cl.: as above

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"Jindal Steel & Power

Q1 FY2023 Earnings Conference Call"

July 15, 2022

ANALYST : MR. VISHAL CHANDAK – MOTILAL OSWAL FINANCIAL SERVICES

MANAGEMENT : MR. V. R. SHARMA - MANAGING DIRECTOR – JINDAL STEEL & POWER

MR. RAMKUMAR RAMASWAMY – CHIEF FINANCIAL OFFICER - JINDAL STEEL & POWER

MR. NISHANT BARANWAL – HEAD IR - JINDAL STEEL & POWER

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Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY20 23 Earnings Conference Call of Jindal Steel & Power Limited hosted by Motilal Oswal Financial Services Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Chandak from Motilal Oswal Financial Services . Thank you, and over to you Sir !

Vishal Chandak: Thank you very much Rutuja . Good evening ladies and gentlemen and welcome to the first quarter FY202 3 Earnings Call of Jindal Steel & Power . I would like to thank the management of JSPL for giving us the opportunity to host the call for this quarter. We have with us the senior management from JSPL comprising Mr. V R Sharma, the Managing Director; Mr. Ramkumar Ramaswamy , the CFO; and Mr. Nishant Baranwal – Heading the IR. I would hand over the floor to Mr. Nishant for his remarks. Over to you Sir !

Nishant Baranwal : Thank s Vishal, thanks Rutuja . Good day everyone. We are pleased to welcome you all to this conference call to discuss our first quarter FY2023 Financial Results. First of all I would like to apologize for the delay. Since there was a delay in publishing our results we thought it is better that we give a few minutes before starting the call so that everybody can go through it. This time to be able to take more question and answers and give ample time for it , we decided to dive straight into the financial commentary which will be given by our CFO, Mr. Ramkumar Ramaswamy and thereafter we will take the Q&A and the entire management including our MD, Mr. V . R. Sharma, and our CFO, Mr. Ramk

umar

Ramaswamy are there for that. Over to you our CFO !

Ramkumar Ramaswamy : Thank you Nishant. Good day and good evening everyone. I would like to take you through the details of the financial performance of JSPL for the quarter ended June 30, 2022 . Let us start with the production volumes. Our production during the quarter was 1.99 million tons; this is lower over the previous quarter by around 6%. The primary drivers for this was one at our Raigarh plant there was a maintenance shutdown in our plate mill and number two at our Angul plant we had a lower DRI production due to thermal coal unavailability.

I will talk about sales. Our sales volume during the quarter was 1.74 million tons of steel sales this was lower by around 16% over the previous quarter. As you know this quarter we had challenging market conditions, we started off with a soft April and then during May we had the imposition of the export duty. Both our domestic and export volumes have been impacted during the quarter. Our domestic volumes were lower by around 12% and our export volumes were lower by around 28% during the quarter.

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Page 3 of 18 In terms of realization, our realizations were higher by around 12% over the previous quarter primarily driven by healthy realizations in April and May. After the imposition of the export duty we have seen a significant softening of both our domestic and export realizations in June and we see that continuing in July as well . We see a softening to the extent of 15%, 16% in terms of realizations in June and July.

In terms of our cost our costs have gone up by around 10% primarily driven by coking coal cost increase of around 33% and the thermal coal cost increase of around 27%. As many of you would know we are seeing a softening of prices currently for all of these and we expect the benefit of this to flow through in the subsequent quarters.

I will now quickly move on to our gross total income. Our gross total income during the quarter was 14561 Crores was declined by around 7% over the previous quarter for the reasons that I just detailed in terms of volume decline offset by higher realization. The GST that we collected during the quarter was around 1692 Crores and the net income was 12869 Crores.

Let me quickly move on to adjusted EBITDA. Our adjusted EBITDA during the quarter

was 2865 Crores this is a n 8% increase over the last quarter, again the primary drivers for this as I mentioned was driven by healthy realizations and offset by lower volumes and increased costs so our adjusted EBITDA was 2865 Crores.

In terms of profit after tax, again our adjusted profit after tax is 1626 Crores this is a 28% growth over the last quarter again for recent detail 1626 Crores is our adjusted PAT. In terms of just a quick overview of our consolidated numbers and our performance with subsidiaries I think we had a very, very good performance during this quarter of the subsidiaries, our Mozambique, South African and Australian businesses had positive EBITDA. The Mozambique subsidiary had a EBITDA of around 334 Crores, our South African subsidiary had EBITDA of 84 Crores and our Australian subsidiary turned positive at 24 Crores EBITDA.

Let me also quickly give an overview in terms of our debt position. Our standalone net debt is 7413 Crores which is at 0.54 times EBITDA again very, very healthy trend this is close to 1000 Crores reduction over last quarter primarily driven by long-term loan repayments and lower short-term debt as well.

A quick update on our credit rating, our credit rating stands unchanged at AA- and with strong financial performances we expect that there would be improvements in credit rating.

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Page 4 of 18 This is a quick summary of our financial and operational performance. With this I hand it over to Nishant !

Nishant

Baranwal : Thank you Sir! Now we will dive straight into the Q&A. As always we request all of you kindly ask more strategic questions, we and IR team including myself, Rajesh and Gourav are always there to give you the data points. With that I probably hand over to the operator.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Dixit from Edelweiss. Please go ahead.

Amit Dixit : Good evening everyone and thanks for the opportunity. Congratulations for good performance. I have two questions the first one is essentially on your maintenance plans for this quarter, so what kind of maintenance plans you have for this quarter both at Angul and Raigarh and particularly thermal coal availability and prices both are high so can we see some kind of intermittent shutdown at your DRI plant so that is the first question I have ?

V R Sharma : Thank you very much. I am V. R. Sharma, Managing Director. So first of all we are not taking any long maintenance shutdowns, so rather we are going for the intermittent shutdowns whenever it is required, so of course there is a shortage of thermal coal but we are now importing thermal coal and hopefully in next one week or 10 days time the situation will be normalized, so our intention is not to reduce the production. We have a target of 8.2-8.4 million ton in this particular financial year and our aim is same we will be producing more than 8.2 million ton in the current financial year. No longer shutdowns but in case there is some breakdown which is unavoidable like it has happened about two months back so that is the issue sometimes it happens, but otherwise there is no planned shutdown till next year March 31, 2023. Hope I answered you.

Amit Dixit : Yes, that was a very elaborate answer. The second one is essentially on the coking coal price and thermal coal price movement over next quarter Q-o-Q if you can give in dollar terms that would be great ?

V R Sharma : It is very difficult to predict today's market because the world is melting down we do not know where the world will settle. So the first and foremost issue is the Russian and Ukrainian war. At the moment the Russian and Ukrainian war that comes to an end or it recedes then only the world will stabilize otherwise not because you must be seeing nowadays most of the European countries they already started rationing the usage of gas and they want to store the gas for the winter reason because Russia has total gas from 100% supplies to 40% supplies so 60% is reduction in the overall supplies of the gas and this is the reason there is overall gas and shortage of energy worldwide. Let us see Mr. Joe Biden

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Page 5 of 18 is visiting Saudi Arabia I think there is discussion about more oil or more gas this may give a respite to the world, but today the whole world entire world is uncertain. As well as the coking coal prices and the steam coal prices are today surprisingly the coking coal prices are lower than the steam coal so in international market landed in Europe the reason being because European power plants the thermal power plants they are reignited, restarted, refired. So people are losing more coal than losing gas, the gas-based power plants are almost shut and wherever there is no thermal power plant there only the people are using the gas-based power plant. So the demand from the thermal coal will continue as it is there would not be any respite till Russia and Ukraine they settle their scores and if they settle

their business and in terms of ending the war then only situation will be comfortable, but we feel in the quarter which is now going on Q2 the thing should remain somewhere about approximately and I cannot vouch for it but approximately I feel \$230 to \$240 level of coking coal and is similar about \$200 to \$210 on C&F

basis the steam coal into India, but

yes of course the steam coal prices in Europe will be more than \$300 and also in many other parts of the country. So hope it is clear.

Amit Dixit : Yes, Sir the price level is of course clear but I was looking for the movement from base case perspective on your cost what kind of cost movement you are expecting ?

V R Sharma : We are reducing now because earlier the cost of the coking coal was at a level of about \$500, \$550 that has come down to \$240 so definitely the input cost has reduced and similarly the input cost for the iron ore has also reduced therefore yesterday the NMDC has reduced another Rs .1000 , international also the iron ore prices have come down to \$99, \$98 per ton day before yesterday and I think there is a good sign in terms of input cost reduction , but yes of course there are always some time lag in between the new material comes in the pipeline, so now at the moment I guess the old material in the pipeline that will last about 5 to 6 weeks , but finally the results of the low input cost will definitely come within this quarter maybe second half of this quarter after say August 15, 2022 we can see that the new prices of the input cost in the new material that will be applicable.

Amit Dixit : Okay Sir thanks and all the best.

Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead .

Sumangal Nevatia : Good evening and thank you for the opportunity. My first question is on the net debt movement. So this quarter our debt has reduced by around 1100 odd Crores against our cash profit of around 2000 odd Crores and also the JPL equity infusion of around 3000 odd Crores so is it possible to walk us through the net debt movement during this quarter ?

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Page 6 of 18 Ramkumar Ramaswamy :Thank you for the question. As I said the net debt for the quarter was 7413 Crores, we had

a structured long -term repayment of around 400 Crores and the rest of it was more reduction in our short -term debt, we continue to hold cash in our balance sheet of roughly around 3000 plus Crores and we will be on an ongoing basis evaluating options to repay, options to prepay and options to hold cash.

Sumangal Nevatia : Sir I am looking for some specific details as to what was the working capital build up during the quarter and capex and also what was the tax outgo with respect to the duty and divestment ?

Ramkumar Ramaswamy :On the working capital buildup I think we did have a working capital buildup during the quarter primarily because of the export duty being imposed and therefore there was a softening in terms of customer demand so we did not have a working capital buildup maybe I do not have the exact number but it will be safe to say that it will be upwards of around 2500 to 3000 Crores I think that was a kind of working capital buildup that we had. What was your second question?

Sumangal Nevatia : The capex and the tax outgo on the JPL divestment.

Nishant Baranwal : As far as the tax out go on the JPL divestment is concerned that is mostly a yearly item because this is a divestment we have received 30 15 Crores of cash pursuant to the divestment the entire tax would be on the yearly basis , so let us see how it pans out because as you all know yes there would be certain capital gain to it which can be upset by some capital losses or any other business losses so that is something that we will get to know by the end of the year. Hope that answers your question.

Sumangal Nevatia : Alright. I have a second question, so with respect to price movement we have seen a very sharp correction in prices and also exports are now getting attracted to 3% duty is it possible to guide how are we seeing that for 2Q and the coming months ?

V R Sharma : I think as you said that the market is quite volatile and challenging much as we would

like

to provide some guidance I think we would like to avoid providing any forward looking guidance on this whatever is the market prices that are going to be there we will try and make sure that we are able to sell our products at those prices or at slightly higher prices to reflect the premium that we have but currently we do not want to provide any forward looking guidance on our realization.

Sumangal Nevatia : Understood, got it, thanks and all the best.

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Page 7 of 18 Moderator : Thank you. The next question is from the line of Rahul Jain from Systematix. Please go ahead.

Rahul Jain : Thanks for taking my question. On the raw material side how well are we integrated right now on our coking coal requirements and how is it likely in the next say one or two years ?

V R Sharma : So raw material side we are very much comfortable and we are not foreseeing any problem . We have adequate quantity in pipeline as far as the coking coal is concerned or the PCI coal is concerned and the other point is iron ore is not in short supply as you know that government of India has banned outside export they have imposed very heavy export duty on iron ore and pellets so there is a flexibility now and the iron ore and pellets are available in abundance so there is no shortage of minerals in the country as of today. So we are thankful to government of India for imposing such kind of duties so that the raw materials are made available. Day before yesterday Mr. Amit Shah he also gave the interview to Economic Times and other financial magazines that our aim is that raw material should be preserved, conserved, reserved for the local industries I think that is a very good statement and we are not finding any difficulty . Coking coal is also in abundance available and our own mines that is in South Africa, Australia, and Mozambique they are working very well . At the moment the coking coal dependence on outside I would say is about 40 % or 42%, the 58% we are on coal then, there is no shortage of material.

Rahul Jain : On iron ore what is the number right now is the mine that you acquired has it ramped up things like that ?

V R Sharma : The mine what we have now what we won in the bid last time that is Kasia mine it is working and we are producing about 500000 tons per month and we are also buying under long-term agreement, long -term lifting agreement LT L that is Odisha Mining Corporation OMC, and also from some of the private merchant manner so it is a good time the raw material cost has come down it is a good situation.

Rahul Jain : On the export duty you have any comments how long it will last and what is the motivation there in adding this kind of duty ?

V R Sharma : You see we are with the government we do not have any problem in this particular issue reason being because each government takes decision looking to very macro and microeconomic s so I think the government must have thought thrice to before imposing this particular duty and today we are seeing that the selling price has come down but we also found in due course of time the input costs are also receding and that has given a sigh of relief. As far as the demand is concerned yes, during monsoon season the construction

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Page 8 of 18 activities they go down and the demand comes down and so is the demand in the world market so I think internationally the world has to stabilize first . In India we are self reliant in steel making and whatever quantity our country needs that we can supply them . Initially we were thinking that the prices are coming down but finally when we observe that the selling prices vis -à-vis input cost that the ratio is maintained accordingly and the input cost has also come down so we are also thankful to NMDC for declaring Rs.1000 price reduction day before yesterday so it is all good sign

, things are good and whenever

government feels that the exports to be opened we will welcome that move .

Rahul Jain : Your export share of total sales remains high in the high 20s or are you going to bring it down depending on market ?

V R Sharma : No, we will maintain this year, we will maintain our share more than 20% of exports out of the total production.

Rahul Jain : Thank you so much and very helpful.

Moderator : Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal : Good afternoon. Sir, I had a question on the recent reports of price hikes being taken in rebar so could you just confirm whether these are true and what is the actual quantum of price hikes that were taken ?

V R Sharma : You see I think the primary steel mills not increased the prices primary steel mills are playing in a band of Rs.1000, Rs.1500 here and there, but yes price hikes we were seeing in the secondary steel market the reason being this is what I observed there are two reasons one is the scrap prices all of a sudden in 15 - 20 days ' time moved from \$380 C&F to \$ 470 C&F in India so I think that was an impact at that time . The other is many of the sponge iron plants they were closed or they are not functioning properly because of shortage of coal so that was the major reason, but I think major primary names in the country their price band has been in the range of Rs.1500 to Rs.2000 maximum here and there but yes you are right . Secondary steel the induction furnace is people their price if you see that has gone up by Rs.7000 to Rs.8000 per ton as per the media reports . We do not know the actual fact, but this also we heard in from the newspapers that Rs.8000 price hike was taken by them

maybe because the delta was too big and now they have recovered it.

Pallav Agarwal : Just another question we do export some higher grade plates , etc., so I am assuming some of this goes to Europe as well so when are these quotas going to open again ?

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Page 9 of 18 V R Sharma : The quota is already opened there is no quota existing now Europe is starving for materials, they want any quantities, any numbers whosoever supply them but the international prices are also under pressure with 15% export duty there are certain customers for the value added grids but still prefer to buy from India and those materials also not impacting the Indian economy or the Indian customer base because these are the specialty materials and as far as the common men's requirement in the country is I think rebars, wire rods for the MSMEs and also the galvanized, corrugated and sheets particular quotations for warehousing . I think these three items are not being exported by anybody as far as my knowledge is concerned, but the specialty products people are exporting and some of the customers are paying for that so that is an impact.

Pallav Agarwal : Okay thank you.

Moderator : Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : Thanks for taking my call Sir. I had a question on the rebar prices as well. Chinese rebar prices have come to a new low one-and-a-half year low this week and our domestic rebar prices are still at a significant premium of the Chinese prices , so given the fact that coking coal prices are falling now and the demand is going to be seasonally weak did you expect the rebar prices to come up from these levels?

V R Sharma : You see India was never importing rebars in the country but yes we are not insulated from the international scenario whenever the rebar prices go down that means immediately the iron ore and coking coal prices also go down, that is a sort of indirect index . The other is whenever the rebar prices or the commodity prices go down that means the scrap prices will also go down

n. So there is a community factor of scrap, iron ore, coal, coking coal , all these commodities put together they decide the prices but the reduction in the rebar prices in China is not because of anything else but because with poor demand there , so you might have seen financially they are also struggling today and many of the rural area banks they are in trouble so the overall construction activities in China are little down or I would say the sentiments are down this is what as per my knowledge, but in India the things have changed because here the people and the customers are quite bullish and we are seeing in last 10-15 days ' time there is a good demand coming from the market because earlier the people they were not buying and they exhausted their stocks , now the traders have come back in the market they want to buy more material but one thing is for sure if the input cost they go down then definitely the prices will be corrected accordingly.

Rajesh Majumdar : So basically the spread will be maintained ?

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Page 10 of 18 V R Sharma : Yes, of course first of all the entire world is one, our first aim is if somebody gives an authority today or somebody says that what is the one thing you want to do so the first one thing what I will do it is in my hands I will ask Russia and Ukraine to stop this war, anybody in the world if we can do something in concluding the deals in between these two countries I think whether it is stock market, bond market, rate of inflation in the next two to three months ' time everything will be settled , it is more a geopolitical issue today in the world, the entire Europe or the western world including America they are supporting Ukraine , they are giving them all sorts of help in terms of arms and ammunition s and Russia has went up on and asking them to surrender so this is a big tussle and who is going to win but I believe in Mr. Modi he say that in war nobody wins so I think in this war in between the se two countries neither they will win and nor the entire world will win, the whole world has lost trillions of dollars, so let us pray to God that if good sense prevails in between these two people Mr. Putin and Zelensky y and they stop this war. The moment the war is stopped the entire world will come up like a flower once again in next three to four months.

Rajesh Majumdar : My last question is that how long do you think it will take for the inventory in the systems will get cleared assuming that the export tax has remained at the current demand rate because you see the halving of the exports in June so if we assume that the export taxes are there for some more time how many months it will take to the inventory in the system to normalize ?

V R Sharma : You see the inventory we do not manufacture anything to keep the inventory stock and sale is not our business and we do not produce anything other than the rebars in anticipation so

all of our products are tailor made and whenever we get the order we produce otherwise we do not get, we do not produce, we are not in the commodity business neither we produce hot rolled coils, galvanized coils, colour coated coils, we are not in that business our business is if we get order we produce we do not get order then we will not produce, but fortunately our order book is good we have booked for the next four to five days without any problem and every day we are getting orders and we are getting good orders, thanks to domestic plate consuming industry and in fact there is a shortage of plates within the country so we do not need to export plates today because there is a shortage. Some of the major steel mills they have gone for shutdown or breakdown so I would say JSP stands good chance to cater that market so there are no issues. We will maintain our volume around 2.1 million ton per quarter and reaching to a level of 8.2 million

on maybe 8.4 million

ton by the end of the year we will maintain it and we will sell also there is no problem. The 14500 Crores of sales turnover in the first quarter we will maintain the numbers so that last year we did about 56000 Crores of sales turnover and this year also we will be touching more than 55000 Crores so there are no issues. So we made our plan accordingly, we have Jindal Steel & Power  
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Page 11 of 18 entered and moved into more and more value added based steel where we get higher margins and where the competition is very low, so our research and development team, our production team they are already on that job so I am not foreseeing any problem.

Rajesh Majumdar : Thank you Sir.

Moderator : Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : Hi good evening thank you for the opportunity. Two questions first given that we are in volatile time so is there any change in our capex in terms of your project timelines or we stick to our capex plan and with that what has been the capex in first quarter and what could we envisage for the year as a whole?

V R Sharma : Very good question, first of all I will tell you there is no volatile time, volatile time is when you produce something which cannot be sold. The volatility in terms of prices going down one-sidedly it is not volatile because prices are not going up like for example the coking coal prices if you see it has gone up to \$670 came down to \$550 came down to \$380 and then again went up to \$520 that was volatility but today what we are seeing if you see the graph and the index also for the last three weeks continuously the coking coal prices are falling and continuously the iron ore prices are falling so I would say it is not volatile situation it is a down sliding and that is good for reduction in the input costs and that is good for the industry as a whole and good for the customers also but industry is maintaining the margins so we are, so we are also maintaining our margins I think there should not be any pressure on the margins and there should not be any quantity reductions so this is one. We will be maintaining a good cash flow in times to come also and as you have seen the results we have done a wonderful job during these days also and with the kind of PAT of 1626 Crores that we have generated itself speaks that company is doing extremely well and the gross margins are somewhere about 19% so that is EBITDA margin so that is also a good number as far as the company is concerned. I think I am very much hopeful that we will be in a position to maintain these numbers throughout the year. The next question was capex, no, there is no shortage of funds first of all and there is no U-turn in completing the projects, so we will complete the projects capex will be as it is as we decided in the beginning of the year that will continue, so all the provisions, statutory requirements, approvals, consent to operate, consent to construction, everything is in place and our people our team is working day and night and we are going to spend about Rs.18000 plus Crores in next two years, two-and-a-half years' time and the aim is that we will not be spending more than 6000 or 7000 Crores per year whatever we earn we will invest so Mr. Navneen Jindal, our Chairman and our entire Board has taken a decision that of course we need the banking Jindal Steel & Power  
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Page 12 of 18 support always for the opening of lot of (inaudible) 35:55 and getting the limits but we will be spending only that amount which we can afford to accrue from our existing business and that is the accruals are going to be somewhere about that PAT it will be about 7000 Crores plus and last year also it was close to 8000 and last to last year was Rs.7000 Crores so if you see continuously for last three years we are

giving the projects 7000 to 8000 Crores

of PAT which itself shows a very, very solid performance of the company and we would not be under debt burden once again and we do not want to be so there is no U-turn in the



capex we will continue the capex as it is there is no problem and today's situation what we are seeing that will be utilized in the best of the best manner in the interest of our company. Thank you.

Indrajit Agarwal : Thank you for the detailed answer. My second question actually is a followup to the same question. So there has been news that you are looking to raise about 15000 Crores by way of debt from several banks so given the cash flows we are generating what could be the use of these funds are we looking at any large inorganic opportunities that may arise ?

V R Sharma : The point here is the 15000 Crores that will be approval given by the lenders so that as I told you that we will be working only on ongoing investment policy but of course we need the banking system, banking channel, banking store because we have to open the letter of credit for the imported goods and equipments and also to the domestic ones and that is very much clear so we are not facing any difficulty there in terms of getting the money whenever it is needed but today we do not need it whenever we will need it disbursements will differ .

Nishant Baranwal : Maybe just to add I think the 15000 Crores that you are referring to this maybe the term sheet that we would have signed for our expansion project and that is what we are referring to, but as MD Sir mentioned our objective would be to maintain a very prudent leverage of between 1 to 1.5 x through the cycle which is of course an approval that we have got for our expansion of project.

Indrajit Agarwal : Sure thank you very much.

Moderator : Thank you. The next question is from the line of Ashish Kejriwal from Centrum . Please go ahead.

Ashish Kejriwal : Good evening everyone, thanks for the opportunity. My question was in terms of capex which we are doing for operational of our coal blocks so when can we expect the production from coal blocks coming in and is it possible if you can guide that in FY2023 how much captive thermal coal we can generate from our coal blocks which we won ?

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Page 13 of 18 V R Sharma : I will tell you we are planning that before March 31, 2023 we will be in a position to open at least one mine so we have four mines so all of the four mines will be open.

Ashish Kejriwal : Any volume numbers which you can give for FY2023 ?

V R Sharma : The clearances are in place , most of the rehabilitation work is already done and I think maybe some Rs.50 to Rs.100 Crores this time for first opening of the mine and some of the equipment, machinery and all these things, so I think by March we should open one mine and another big amount maybe Rs.100 Crores not more than that.

Ashish Kejriwal : Which mine we can open by March ?

V R Sharma : This will be in Odisha Utkal .

Ashish Kejriwal : Secondly the forex gain which we have reported in this quarter 446 Crores this is on account of what and in which line item it was mentioned ?

Ramkumar Ramaswamy : This would be on account of the overseas loan that we have provided to our subsidiary I think the loan value is close to \$1.6 billion and this FX gain this is of course unrealized you have to understand that is on account of that.

Ashish Kejriwal : In P&L in which line items the same are included ?

Ramkumar Ramaswamy : This will be under the other expenses line item but we would have called off for this separately so that we have recognized this unrealized gain separately so we have called it off separately but you will find it under the other expenses.

Ashish Kejriwal : I got it. Thank you so much.

Moderator : Thank you. The next question is from the line of Vikash Singh from Phillip Capital. Please go ahead.

Vikash Singh : Good evening Sir. I just wanted to understand have we taken any inventory write downs in this quarter because after May the export duty intimation would have bring down the overall value of the inventory significantly ?

V R Sharma : No we have not kept anything at hold, we had paid about 113 Crores of duty that is export duty and we clear all the inventory outlays and what are the other products and after that we are working on a very, very structured business that is making goods only those goods

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Page 14 of 18 where exactly value addition where we can recover major part of the export duty this is one . Secondly our first purpose is to meet out the domestic demand and whatever is not saleable in India that much of quantity to export, but there are no inventories now.

Vikash Singh : This question I had from the stock adjustment which was roughly about 1700 Crores and if I just look at the difference between production and sales it was just quarter million ton so effectively that is coming somewhere around 69000 so I was wondering that why this figure is so high on per ton basis ?

V R Sharma : Yes, this maybe because of the non -dispatch or non -availability of rak es but not be cause of any commercial reasons, maybe some of the details you can take it offline with our investor relations team and we are n ot sure on the question maybe you can just take it offline.

Vikash Singh : Secondly in terms of our export strategy can you just tell us that now how we see the mix of export going forward and at present our export versus domestic realization gap is how much?

V R Sharma : We are now aiming only for the much more value added products for exports and these products are especially tailor made products where the customers does not mind paying \$100, \$150 extra and we recover most of our duty part s and that is what going on now. A s I told earlier we will be maintaining our exports 20% plus because whatever we can sell in India at a price available in India that is okay and whatever we cannot sell in India where we feel that there are no customers for those products. We will export it we will not reduce our production.

Vikash Singh : The price difference right now ?

V R Sharma : There are no difference because it is not apple -to-apple like we are now entering into every specialized field in Europe especially for the spec ially blooms, specialty plates, specialty beams, those markets or those products are not sold in India , so these are Europe specific products like we are in (inaudible) 45:03 therefore Hong Kong and South East Asia and also for Mexi co these products are no t using, so what we have done it is very difficult to explain technically each and ev erything but yes offline we can, so we are now entering in to niche markets where the products are sold in terms of thousands of tons not in lakhs of tons and right from A ustralia to South East Asia, Hong Kong, Vietnam, Taiwan, Philippines and on the west side it will be Mexico, Costa Rica, Guatemala, Suriname, Colombia , these are the markets where we have the niche markets and also to United States and Canada. So Canada fo r example we are going to be largest supplier of the specialty beams for th e high - rise buildings, s o those items are not s alable in India so we develop on those side is where Jindal Steel & Power

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Page 15 of 18 the country -specific requirements are met out and we have found a great market as a vacuum because all of these products are being supplied by either Ukraine or by Russia so since they are under war so we have the opportunity and we are exporting and we are not compromising on the domestic demand so whatever customers they want to buy so that is our first choice and wherever we feel that we have capacities available and which we assume contemplates abo ut 20% total production will go to

exports and that will be

practically value added products we cannot compare those pro ducts with the In dian product because in India these products are not s alable.

Vikash Singh : Understood Sir, thank you for elaborated answer and all the best for future.

Moderator : Thank you. The next question is from the line of Kamlesh Bagmar from Prabhudas Lilladher Limited. Please go ahead.

Kamlesh Bagmar : Thanks for the opportunity Sir. One on the part of like for the gap between consol idated EBITDA and standalone EBITDA it is around 300 odd Crores and the question is specifically for the CFO and why such a big gap lik e 300 odd Crores because it has not been there for the last 8, 12 quarters so why such a big gap why consol idated EBITDA is lesser by 300 odd Crores compared to the standalone EBITDA ?

Ramkumar Ramaswamy :This is clearly in your intercompany transaction eli minations in compliance with the accounting standards.

Kamlesh Bagmar : Just harping on that number so like we would have done roughly around 2000 odd Crores of cash profit in this quarter and on top of that we had roughly around 3000 odd Crores from the sa le of JPL so cumulative both around 5000 odd Crores and even if we do a capex of 1000 Crores which we have not yet quantif ied so the debt is down hardly around 1100 odd Crores so where is the gap on that part and like on the side of working capital and eve n in the last quarter we had working capital ?

Ramkumar Ramaswamy :I think this question came up earlier as well and I said that our working capital during the quarter has gone up by around 2500 to 3000 Crores and our current objective is to make sure that we are able to realize that working capital during this quarter.

Kamlesh Bagmar : How much was the capex in this quarter ?

Ramkumar Ramaswamy :Capex was nothing significant around 700 odd Crores.

Kamlesh Bagmar : Thanks a lot.

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Page 16 of 18 Moderator : Thank you. The next q uestion is from the line of Kirtan Mehta from BOB Capital Markets . Please go ahead.

Kirtan Mehta : Thank you Sir for giving me this opportunity. I have a couple of followup questions. First

followup question is on the project finance term sheet for 15000 Crores that you have signed on the balance sheet of I think the Odisha subsidiary I do understand that you do not have a plan to leverage it but I wanted to understand the covenants of it what kind of capital expenditure is allowed to be financed under that loan and also what kind of capital expenditure cannot be financed under that loan because it is a project finance loan and related to that the another question was why it has been taken on the books of the subsidiary where the cost of loans would be higher than you would have taken it on the parent, so if you can clarify on these two aspects it would help?

Ramkumar Ramaswamy : Let me try and answer so first is I think 15000 Crores is that the term sheet is for the project that we are doing the expansion project that we are doing in Jindal Steel Odisha, even that this expansion project is happening in Jindal Steel Odisha the term loan and the term sheets have been taken for that entity I think that could be a simple straightforward answer to your question.

Kirtan Mehta : Apart from this current capex which has been for around 18000 Crores only that can be financed and if you are planning to add any of the secondary expansions to that project can that also be financed under the same loan because we do not really plan to draw down either this year or the next the way I understand it you plan to actually do it from your own pocket or whatever the cash flow is afforded by the company, so in that scenario are you aiming to sort of use this project loan for the further capital expenditure that you would be doing after completion of these projects and all?

Ramkumar Ramaswamy : No, this is for a specific

project, the details have been submitted to the bankers and it has been given for the specific project we cannot use it for any other projects. As mentioned our objective is to fund as much as the project through internal accruals and maintain very healthy gearings so we cannot use it for any other purposes.

Kirtan Mehta : Can you also clarify on the reasons for taking it on a subsidiary balance sheet rather than a parent balance sheet because the cost of loan would be higher on the subsidiary balance sheet?

Ramkumar Ramaswamy : No, the project is happening in the subsidiary isn't it, so the loan has been taken in the subsidiary for that purpose.

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Page 17 of 18 Kirtan Mehta : Second question was about going back to the export mix that our MD clarified I wanted to understand what was the export mix in FY2022 we believe we had exported around 2 million ton of product could you give us a breakdown of the category of products that was exported in FY2022 and how would this category change in FY2023 as per your current plan?

V R Sharma : I think I have already answered this. We will be doing about more than 20% of the total produce through exports, but I cannot give the breakup that what will be, how much quantity will be beams, channels, angles, or specialty rounds or the alloy steel rounds or the plates so that is very difficult to tell today.

Kirtan Mehta : What is the historical breakup at least for FY2022 where you have already completed that deal?

V R Sharma : Offhand I do not remember but Nishant will share with you.

Kirtan Mehta : One more question if I can slip in about the coal project that you are developing could you also clarify on the model of development are you involving the MDO or are you doing it on your own balance sheet and does it also involve the complete capex on setting up the mines and all the related equipments or it is only sort of the payment would go primarily to the MDO operators?

V R Sharma : Doing coal mining by ourselves we have the entire team available, we have been maintaining our coal mines for so many years in Raigarh and now also the coal mining by our sister company JPL is done by themselves, so we have the expertise available and we will do it ourselves.

Kirtan Mehta : Will that be pure capex of 18000 Crores will go up by another 1800 to 2000 Crores for additional capex on the coal mine because the initial 18000 Crores plan did not include the capex in coal mine?

V R Sharma : That I think you have to take it differently. First of all 18000 Crores is for the expansion the next expansion what we are taking that includes blast furnace includes rolling mill, hot strip mill, coal rolling mill and many more areas. So the coal requirement today we are buying coal, if you see buying coal versus your own coal it will be selling at least 60% to 70% of the input cost or the expenses so when we say those expenses 60% to 70% that is the money which is going to be plowed back to the mining so that is from the existing operations. The next expansion what we are seeing there will be hardly any use of coal in the next expansion but the company which is now running whether it is Raigarh or it is Angul there

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Page 18 of 18 we are buying coal from the market and the difference will be when you own mines the difference would be about 60% to 70% because of the coal sales so there will be no capex impact or no financial impact because whatever we are saving and today we are passing it onto at a coal India to the importers or to the foreign companies so that money will go to development of mine in stages so hope I answered it.

Kirtan Mehta : Right Sir thanks for this elaborate answer . Thank you.

Moderator : Thank you. Ladies and gentlemen this was the last question for today . I would now like to hand the conference over to Mr. Vishal

Chandak for closing comments.

Vishal Chandak : Thanks Rutuja. Thank you everyone for joining for this conference call and I will once again thank the management for this opportunity . I would hand over this floor to Nishant for closing remarks. Over to you !

Nishant Baranwal : We would like to thank both Motilal Oswal, Vishal as well as the operator and all of you for joining the call. Thanks a lot for your support as always. Have a great day.

Ramkumar R : Thank you very much. Wish you all the best and let us pray to God that all this international geopolitical issue should be resolved as much as possible to avoid the meltdown of economy worldwide so let us hope for a good future tomorrow. Thank you.

V R Sharma : Thank you everyone.

Moderator : Thank you. On behalf of Motilal Oswal Financial Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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## Call: Nov 2022

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Symbol : JINDA LSTEL

Dear Sir/ Mad am,

SUBJECT : TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON NOVEMBER 10, 2022, AT 05:30 P.M. (IST)

This is in furtherance to our letter dated November 8 , 2022 w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts. In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com) .

You are requested to take the above information on record.

Thanking You .

Sincerely,

For Jindal Steel & Power Limited

Anoop Singh Juneja

Company Secretary

Encl: as above

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“Jindal Steel & Power Q2 FY2023 Earnings  
Conference Call ”

November 10, 2022

ANALYST : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MANAGEMENT : MR. BIMLENDRA JHA – MANAGING DIRECTOR - JINDAL  
STEEL & POWER  
MR. RAMKUMAR RAMASWAMY – CHIEF FINANCIAL  
OFFICER - JINDAL STEEL & POWER  
MR. GOURAV SANCHETI - INVESTOR RELATIONS -  
JINDAL STEEL & POWER  
Jindal Steel & Power  
November 10, 2022

Page 2 of 19 Moderator: Ladies and gentlemen, good day, and welcome to the Jindal Steel & Power Limited Q2 FY2023 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit from ICICI Securities Limited. Thank you and over to you Sir!

Amit Dixit : Thank you, Faizan and good evening, everyone. On behalf of ICICI Securities, it is my pleasure to welcome all the participants for JSPL's Q2 FY 2023 Conference Call. At the outset, I thank the JSPL management for giving us an opportunity to host this call. From the management, we have with us Mr. Bimlendra Jha, MD and Mr. Ramkumar Ramaswamy, CFO. Without much ado, I would like to hand over the call to Mr. Gourav Sancheti from Investor Relations, JSPL, to take this forward. Over to you, Gourav.

Gourav Sancheti : Thank you, Amit. Good day, everyone. On behalf of Jindal Steel & Power, we welcome you all to this call to discuss our results for the second quarter of FY 2023. We have with us our MD, Mr. Bimlendra Jha; and our CFO, Mr. Ramkumar Ramaswamy. I would request our CFO Mr. Ramkumar Ramaswamy, for his opening remarks.

Ramkumar Ramaswamy : Thank you and good day and good evening everyone. Let me give a brief overview in terms of our operational and financial performance and then we can

open up for Q&A. Let me

start with the sales volumes. For the quarter, our sales volume was 2.01 million tonnes. This was higher than the last quarter by around 16%, primarily driven by the higher domestic sales of around 36%. This was offset by lower exports of 48%. Because of the export duty, we have seen the share of exports declined to roughly around 11% of our overall volumes as against 25% last quarter. The production was 1.82 million tonnes. This was lower versus last quarter by around 9%. This was primarily driven by shutdown in our Raigarh plant during August. There were also scheduled shutdowns in Angul during the quarter.

Let me now talk about the realizations. Our NSR was lower by around 13% versus last quarter. Our domestic realizations declined by 9% and our exports declined by around 21%. If I were to give you a current view, currently, we are seeing realizations stabilizing and our October realizations is broadly around Q2 level. Costs ; our SMS costs declined by around 8% versus last quarter. This was primarily driven by lower coking coal prices of around 6% and lower iron ore prices of around 24%. If I were to translate this into rupees per metric tonne, this would be around Rs.3000 per metric tonne of iron ore and around Rs.800 per metric tonne of coking coal.

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Page 3 of 19 In terms of EB ITDA, our adjusted EBITDA for the quarter was around Rs.1426 Crores. This was lower than the last quarter by 50% primarily driven by the factors that I just explained earlier, that is higher volumes, lower costs, offset by lower realizations. We also had a n opening inventory that was sold during the quarter, which realized lower margins. The estimated differential due to the opening inventory is around Rs.600 Crores , which is approximately around Rs.3000 per metric tonne.

PAT ; let me talk about some of the adjustments that we made during the quarter. We have made some provisions in the quarter that I would like to highlight. We have been providing loans to our overseas subsidiary JSPML of around \$1.6 billion. We have been reviewing and assessing the performance of these investments. As you are aware, some of our subsidiaries like AU, Australia, have not been delivering the desired returns . As a matter of prudence, we have decided to make a provision for the accrued interest on this loan as well as the FX gain on revaluation of this loan. This accrued interest is around Rs.765 Crores and the accrued FX gain is Rs.898 Crores . The total value of these provisions that we made during the quarter is Rs.1664 Crores . After adjusting these exceptional items, the PAT is a negative of Rs.473 Crores , which is a loss of around Rs.473 Crores . Before these adjustments, the PAT is Rs.935 Crores .

Let me now quickly talk about gross net and cash flows as well. We have been pursuing

opportunities to refinance our loans at terms that are reflective of our stronger balance sheet. Accordingly, we have taken refinancing of around of Rs.2779 Crores in the end of September, which is used for prepayment of some of our other loans in October. Accordingly, our gross net end of September would have gone up to Rs.13717 Crores . This is currently at Rs.10611 Crores . It is important for you to note that the Q1 gross rate was Rs.10764 Crores . Therefore, our journey to deleverage will continue. Our net debt was Rs.7334 Crores and the net debt to EBITDA is 0.66.

I would also like to highlight that our overseas subsidiary loans have been fully repaid. I will now quickly talk about the cash flows for the quarter. As an organization, we are fully focused on the cash flows on generating cash. We started with a net opening balance of Rs.3356 Crores . We generated EBITDA of Rs.1426 Crores . Because of our focus on cash, we released working capital of around Rs.1938 Crores . As I mentioned earlier, we had

the

refinancing money coming in of Rs.2779 Crores . These are the broad inflows. In terms of our outflows, we had an investment in our subsidiary, JSOL of Rs.850 Crores . We paid advanced tax of Rs.673 Crores . We made capital advances for the coal blocks that we have received of around Rs.320 Crores . Our scheduled loan repayment was Rs.405 Crores . Our overseas loan repayment was Rs.320 Crores . Our sustenance capex was Rs.298 Crores . Bank interest that we paid was Rs.188 Crores and based on all of this, we ended up with a

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Page 4 of 19 closing cash of Rs.683 Crores for the quarter. If I adjust this for the BOB loan that came in, the closing cash would be Rs.3604 Crores .

I would also like to very, very briefly talk about our overseas subsidiary performance and then open up for Q&A. Overseas subsidiaries ; they generated overall EBITDA of around Rs.93 Crores . Some of our subsidiaries like Mozambique and South Africa continue to make operational EBITDA. Australia, we have a negative EBITDA of around Rs.69 Crores and therefore, the overall overseas EBITDA was Rs.93 Crores . With this, I would like to close my opening remarks and then we can move to Q&A.

Gourav Sancheti : Thank you CFO Sir. As always , we request all of you kindly ask more strategic questions. IR team is always there to give you the data points. With that, I will probably hand over the call to Faizan. Over to you, Faizan.

Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar : One question on the part of this cash flow . In the cash flow, we have made one footnote that cash neutral to the extent of Rs.4386 Crores with respect to the sale of strip in JPL ; what does that mean and how much tax we have provided for that particular transaction?

Ram kumar Ramaswamy : This is really loans that have been transferred to JPL. That is what has been reflected over here. In terms of tax, we will be making the final provisions by end of the year.

Kamlesh Bagmar : This Rs.4386 Crores is the net which we have realized or I believe Rs.3000 Crores was the equity component and roughly if we say Rs.4400 Crores , so does that mean that Rs.1400 has been in the debt reduction?

Ramkumar Ramaswamy : The equity consideration was Rs.3015 Crores and the loan that was transferred is Rs.4386 Crores .

Kamlesh Bagmar : Okay , but what does that mean that transaction to the extent of Rs.4386 Crores ?

Ramkumar Ramaswamy : Sorry, can you repeat your question, please?

Kamlesh Bagmar : What does that footnote mean that it is cash flow to the extent of Rs.4386 Crores ?

Gourav Sancheti : Kamlesh , I think, we will give you the details separately.

Kamlesh Bagmar : Okay, great.

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Page 5 of 19 Moderator : Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar : I have just two questions. First is on the coal mines. When can we expect all the coal mines to be operational? If I am not wrong, we had one coal mine in the past six to nine months , so when can we expect all the mines to be operational and contributing at 80%, 85% utilization? This is my first question. Second, in terms of iron ore also we had to ramp up the second mine , so when can we expect 100% utilization in that mine?

Bimlendra Jha : Okay. Thanks, Siddharth, for this question. First of all, with all fingers crossed, all caveats, I do hope in this country when I say that this is the date where I can do something. I do hope everything falls in place. By that, Q4 of the current fiscal is what we are expecting our coal mines to be operational and start giving us results. If you do it earlier, there will be great

lu

ck. If it is later, then it is bad luck. But otherwise, that is what is visible as of now to us from our plans. As far as iron ore is concerned, we are actually in a very sweet spot in India. When we get iron ore cheaper from OMC, we source it from there. If that starts becoming more expensive, then we will activate more mining from our end. There is absolutely no problem, both mines are operational.

Siddharth Gadekar : Okay, you mentioned fourth quarter of FY 2023, the coal mines will be operational ?

Bimlendra Jha : That is what with fingers crossed with crossing my heart, I am just telling you. What I do not know is what I do not know.

Siddharth Gadekar : Okay and when can you expect 80%, 85% by FY 2024 end or early FY 2025?

Bimlendra Jha : FY2025 certainly, again if everything falls in place better, who knows?

Siddharth Gadekar : All right, Thank you.

Moderator : Thank you. The next question is from the line of Prashanth Kumar Kota from Emkay Global Financial Services. Please go ahead.

Prashanth Kumar Kota : Good evening and thanks for the opportunity. I know the sector is under challenging circumstances. Within that, we are doing our best. My question is not related to this quarter per se, but generally on the capex program that we are executing over the next two to three about Rs.18000 Crores plan. These assets that you are building across various sites, are these all under the standalone entity or are we building some assets under a subsidiary or a different company, etc.,? Why I ask this because this sometimes raises questions that in the Jindal Steel & Power

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Page 6 of 19 past, will there be a spinoff, will there be a sale afraid, or something like that after spending, after getting them operate, etc., so this was just a clarification I wanted from you.

Bimlendra Jha : Thank you for your question. We have a fully owned subsidiary called Jindal Steel Odisha and most of the investment that we are talking about under this number that you said, which is without considering GST, under that most of the investments are coming up in under Jindal Steel Odisha, because it is a 100% owned subsidiary, that does not mean we have to sell any assets or anything else other than the transfer of land that has to be there, which has to be under Jindal Steel Odisha. Does that answer your question?

Prashanth Kumar Kota : No. Where I am coming from is in the past, for example, the Oman state asset sale or the power asset sale. This is not anything to do with that, right?

Bimlendra Jha : I can categorically say no, because this is an integrated facility with the rest of the plant site and doing anything like that would not be advantageous to us. It is much better to have this integrated site as a part of JSP, with a fully owned subsidiary, giving some benefits and that is what we can explain.

Prashanth Kumar Kota : Understood and allays of concerns of the investors. Thank you so much and wish you all the best.

Moderator : Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Good evening. Could you actually give some more color on what exactly is this forex one-off; we had this item actually even in the first quarter, so what exactly is this nature? Is it an exceptional item or it recurs every quarter?

Ramkumar Ramaswamy : Thank you for your question. As I mentioned, we have close to \$1.5 billion of loans that have been given to our overseas subsidiary, JSP Mauritius and we have been accruing interest on this loan and we have also been revaluing this loan based on the current forex, so the gain that you see is based on the revaluation.

Pallav Agarwal : But in the consolidated accounts, would not that not be knocked off or you still see a gain in the consolidated accounts?

Ramkumar Ramaswamy : We will still see a gain on the consolidated

level because the overseas entities are dollar repatriate.

Pallav Agarwal : Okay, so is it more of a translation effect?

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Page 7 of 19 Ramkumar Ramaswamy : That is right.

Pallav Agarwal : The other question was on coking coal, what can be the reduction in cost in Q3 compared to Q2 in terms of coking coal?

Bimlendra Jha : Third quarter is, your guess is as good as mine, so rather than making any forward-looking statement, what I would say is keep our finger crossed that it does not go through the roof again. But if it does, we keep low inventories and keep ourselves very agile to the market. That is all that I can say, but I do hope that it does not go back to the kind of numbers that it has gone in the past, only recent past, but the notion that is only technically possible when steel prices also start rising, so what happens to that margin, we do not know. But keeping low inventories is one of the best ways to deal with the situation because then you can be in line with the market either whichever way the wind blows.



Pallav Agarwal : Fair enough, because some of the other major steel players that hinted at probably \$80 to \$100 reduction in coking coal cost sequentially , so was just...

Bimlendra Jha : You might have a better crystal ball than I have.

Pallav Agarwal : Thank you. That is it from my side.

Moderator : Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal : Good evening everyone. Thanks for the opportunity. Two questions. One is, in this quarter, how our thermal coal prices have moved and impacted our profitability and what is the status right now and second question is on ...

Bimlendra Jha : You are saying thermal coal prices, how they have moved in the last quarter with respect to the previous quarter. Is that the question?

Ashish Kejriwal : Yes. My first question is that because you have mentioned about iron ore prices falling by Rs.3000 and coking coal down by Rs.3800, but you have not mentioned about thermal coal prices, which hit profitability.

Bimlendra Jha : 800 or 3800?

Ramkumar Ramaswamy : 800 not 3800 .

Bimlendra Jha : Thermal coal has moved negative by Rs.600 to Rs.700 per tonne.

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Page 8 of 19 Ashish Kejriwal : Per tonne of steel?

Bimlendra Jha : For the quarter.

Ashish Kejriwal : Rs.600 per tonne of steel, you are talking about, thermal coal?

Bimlendra Jha: Yes, per tonne of steel.

Ashish Kejriwal : What is the status now?

Bimlendra Jha : What is the status now means?

Ashish Kejriwal : Status now means, have you started receiving some linkage coal from Coal India or the auction prices are coming down, so how is it going to impact our profitability?

Bimlendra Jha : No, they have come down slightly , but then these prices move with a matter of weeks in either direction. So on one auction, if we bought it for 1.22, another auction, we bought it for 1.4 and we gave up on another auction because it went up beyond 1.5 , so it can happen any which way, and that is why we refrain from making any forward -looking statements on these because God only knows how these things pan out.

Ashish Kejriwal : Understood. The second question is on Australia. In your press release, you have mentioned that Australia reported EBITDA of \$13 million , but in your statement, you were saying that Australia reported a negative Rs.69 Crores , so how to reconcile that?

Bimlendra Jha : Operational EBITDA is \$8 million, operational EBITDA.

Ramkumar Ramaswamy : The rest of it is attributable to the FX impact that was recorded during the quarter. The loans that they had, the loans to JSPML which had to be translated that was the FX impact because of that. Net-net, the Australian subsidiary had a negative EBITDA of Rs.69 Crores .

Ashish Kejriwal : So, \$1

3 million is your operational EBITDA?

Ramkumar Ramaswamy : \$8 million.

Ashish Kejriwal: In your press release, \$8 million is your operational EBITDA, but, can you elaborate more into it what kind of forex loss is there because that is very confusing?

Bimlendra Jha : No, it is not forex loss. It is the forex gain that was recorded which has been written off.

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Page 9 of 19 Ramkumar Ramaswamy : On Australia , Australia had loans that were provided by their holding company, JSPL Mauritius. You are aware that the U.S. dollar has strengthened across all currencies.

Because of it, this resulted in an FX translation impact , it is overall resulted loss of Rs.69 Crores . If were to give you the total value of that , sorry, I do not have that right away, but it is largely related to the FX translation in Australia.

Ashish Kejriwal : I will take it offline . Thank you.

Bimlendra Jha : That is the case with some of the other geographies as well. That is just to clarify. So you had operational EBITDA and there were FX translation losses that resulted in a negative EBITDA for some of them at an overall level.

Ashish Kejriwal : Thank you.

Moderator : Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal : I had a couple of questions. First, in the press release, the one -off in the EBITDA that you mentioned, is it also related to the loans given to JSPML because that should ideally appear on other income or below EBITDA , just trying to understand if that understanding is correct or is this to any other item?

Ramkumar Ramaswamy : No, as I mentioned, this is entirely related to the loans that were given to JSP M.

Indrajit Agarwal : My second question is on the export mix . It has reduced in this quarter. I think earlier, you had said that ideally, we will have 20 % odd of your volumes as exports in this year of your volumes of 8.1 million to 8.2 million tonnes, does that guidance still hold or do you think that because of the export duty, your export proportion could be much lower than earlier anticipated?

Bimlendra Jha : If the international prices improve, we may be able to find it better to sell abroad. We are not finding it difficult to sell the material that we are producing. We have, in fact, liquidated most of our inventories. We constantly evaluate where to sell our material and it is not as if we are consciously only wanting to export or a percentage that we want to export. It is a question of what gives us the maximum value. If domestic gives us the maximum value and we have enough demand, we fulfill that demand. If export gives us more value then we will do more of exports. Let us not go by any guidance on percentage. We are not giving you any guidance on percentage. We are only giving you guidance to the extent that we will take the best possible action for creating more value.

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Page 10 of 19 Indrajit Agarwal : Assuming export prices remain where they are, would there be a risk to the 8.1 million to 8.2 million tonne number as well or that number remains as is ?

Bimlendra Jha : No, we are actually seeing a very robust demand within the country for the range of products that we have and therefore, we have no reason to believe that we cannot sell that quantity. Price is another matter which the roll-off dice that the God rolls we unfortunately do not have control over.

Indrajit Agarwal : Lastly, can you comment on thermal coal availability right now? Are you seeing any concerns, rate availability or actual shipment availability or that is not a concern? Pricing could be volatile, but actual material availability, is that a concern?

Bimlendra Jha : Absolutely no concern other than if something else happens that we do not know into the future. As of now, zero concern.

Indrajit Agarwal

: That is all from my side. Thank you very much.

Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Good evening and thank you for the chance . My first question is on the coal mines. Now I believe , in the previous question, you did mention some time in fourth quarter, fingers crossed, so in a base case budgeting, what sort of volumes are we factoring for FY2024 and 2025? If you can just versus linkage coal, what sort of cost savings could come in from the captive coal mine?

Bimlendra Jha : You are again asking me forward-looking questions. I will only give you a little bit of a hint that it is going to be substantially lower cost than our purchased coal cost. Now beyond that, giving any specific numbers is not something that I would like to engage in because it is a forward-looking statement.

Sumangal Nevatia : Okay. In terms of volume ramp up, I understand there are a lot of externalities , which can impact, but in your base case, what is the volume which you are expecting in 2024 and 2025?

Bimlendra Jha : Base case volume impact on this is that we would like to use at least 50% of the thermal coal that from our own mines, if not more.

Sumangal Nevatia : Okay , but we should have a ramp-up period, right? 50% could be year one or gradually eventually 50%?

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Page 11 of 19 Bimlendra Jha : That is why said 50% because that would be the kind of an average that we would be hoping for. Once again, when we hope for it, it all depends upon all the clearances, everything that happens and which we are seeing no reason for concern, but who knows when what happens.

Sumangal Nevatia : Got it. Secondly, on the volume, I missed the opening remarks , are we continuing to guide for around 8 million tonnes for this year and also, I just want to know, based on our rated capacity, given that next year for the large part, blast furnace would not be coming in, what sort of volume ramp up can we have from 8 million tonnes this year?

Bimlendra Jha : It will be only incremental, if at all and only plugging the operational losses wherever we have a little bit of performance improvement and those are the kind of continuous improvement that all steel companies engage in. Most of the time, these are just about adequate to deal with the surprises that come our way , so do not look forward to a great increase as such on this number.

Sumangal Nevatia : Okay , but our rated capacity would be 9.6, right? from 8 to 9.6, at least 90%, 95% utilization can be aspired ?

Bimlendra Jha : Yes, aspiration is always there and value addition aspiration is more than the quantity aspiration. We do aspire to keep on continuously improve. We have very strong programs internally to have this continuous improvement work that we are doing. We have experience with that , so we have all the hope to be able to continually improve our performance and bridge this gap between rated capacity and actual performance. I am not saying that, that would not happen , but what I am also saying is that what we do not want to factor in is that often many of these improvements are simply just about enough to deal with the surprises that the market throws on us.

Sumangal Nevatia : Got it. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Thanks for the opportunity. My first question is for Mr. Jha. I just wanted to understand what are your key priorities, when we look at next three years or five years? That is the first question.

Bimlendra Jha : Thanks, Mr. Shah, for this question. Priorities, number one is stable operations ; number two is to continually reduce our energy costs because it is great for the environment and great for costs. It is also from an ESG per

spective that we want to continually be in the right

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Page 12 of 19 direction as far as our ultimate aim of net zero is concerned , so we would continue to work on our projects that allow us to move in that direction. There is, of course, readiness that we would also have in our DRI for accepting green hydrogen as and when that becomes commercially more viable. We would be conducting experiments to make sure that we are ready for it from a technical perspective. However, that switch would not be made unless and until green hydrogen is available in a commercially viable way. Given operational performance, consistency, performance improvement in terms of bridging the gap that I answered in the previous question and becoming greener and more responsible steel producer and that has two ways in it. One is reducing energy costs, which also incidentally improves the EBITDA performance. But far more than that, it is environmentally more friendly and apart from all this, there is a continued focus on our CSR activities. This year, we already had a couple of success stories where president level awards were given for our CSR activities and it is the upliftment of the society, which continues to be our focus.

Ritesh Shah : Thank you for the answers. Few follow ups, this just taking a leap out of the prior question which was asked that you indicated stable operations. Is it possible to couple this thing up with some numbers on scale and incremental ROC as we look at given we have new expansion plants , which are under progress right now that is the first follow up.

Bimlendra Jha : I think you are very smart to ask the same question in a different manner. But you are expecting a forward -looking answer from me and unfortunately, I am not going to oblige you with these answers because I cannot give you any forward -looking statement.

Ritesh Shah : Sure. Just another follow up. How do you see the rationale for having overseas assets? Do you still buy into the argument that the company needs to have overseas assets and really, would it help the company going forward? That is one and secondly, are we looking at any investments under government PLI scheme? What is our thought process?

Bimlendra Jha : First of all, if India had enough coking coal, we would not have had to look abroad , but you know that as far as India is concerned, we are net importers of coking coal from abroad. In India, there are not enough mines available in the coking coal area to be able to give us the raw material security for the future and the volatility is extremely high in this area, hence, it is prudent to keep looking for raw material assets abroad that can provide in the times of high volatility, this kind of a protection and therefore, our overseas assets continue to provide us that kind of an option and it is a protection that is necessary in the steel industry from an integrated perspective. So yes, they will continue to be an integral part of our thinking and raw material security. As far as iron ore is concerned, it is plenty available in India and we would obviously be wanting to do everything in -house in India. But coking coal, unfortunately, we do not have much of options available in India. Thermal coal, we

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Page 13 of 19 have got all this Utkal B1, B2 and Utkal C, which we have now under our control. We have got Gare Palma IV/6, which is under control and therefore, on thermal coal front, we are likely to be completely self-sufficient . This is not something for which we would depend on our subsidiaries abroad and that gives us additional optionality of selling it in the external market. It is actually a very good sweet spot that we are getting into. As far as PLI schemes are concerned, of course, we would be utilizing that and let my CFO answer that question.

Ramkumar

Ramaswamy : On the PLI scheme, let me just give you a bit of an overview in terms of just the scheme itself. The total outlay for the industry is around Rs.6300 Crores and the investment period is July 29, 20 21 to March 31, 20 28 and the incentive period is five years commencing from 2023, 2024. The due date for filing of this application was September 15, and we have filed an application, some of our upcoming projects, particularly the HSM and the CRM. They qualify for PLI incentives , so we have made an application and now we would be waiting for the next steps on this.

Bimlendra Jha : That is very helpful. I will join back the queue for more questions. Thank you.

Moderator : Thank you. The next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar : Good evening and thanks for the time. You briefly touched about the demand, but could you be a little elaborate on the domestic and also on the international market demand trends that you are seeing?

Bimlendra Jha : On the domestic market, you may be already aware, that India is the only country in the world, which is growing in terms of steel demand and consumption. In India this year, we are expecting 2023 to be around 121 million tonnes in calendar year 2023 as against 113 million tonnes in calendar year 2022. Compare this to the Chinese demand of 914 million tonnes that was last calendar year, which remains stagnant and EU plus U.K., 159 is coming down to 157. At the world level, therefore, if you look at the numbers, 1796 last year is likely to be at 1814 this year, which is around 18 million tonnes only addition at the world level, whereas 113 is becoming 121, which is 8 million tonnes out of that is coming from India alone , so that is the kind of a demand situation that is there. Of course, there are many, many factors including the Ukrainian war that is affecting energy crisis in Europe and that is leading to many industries being affected, demand being affected, that demand contraction being there. As a result, many players have even started shutting down big furnaces . There is going to be also an opportunity as a result of that and as far as India itself is concerned, whether it is the monetary policy or government supporting the localization or strong demand from infrastructure, construction and auto sector, all this is placing ourselves  
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Page 14 of 19 very well in the right direction. As far as the preference of West to look beyond China for production is concerned, that is also something that poses an interesting opportunity for India and we are becoming more and more capable to meet that shifting of global demand. I hope that answers your question.

Vishnu Kumar : My question was more specifically the near -term trends, which segments you are seeing a good growth pickup or anything like government projects , real estate. Any specific segments you are seeing a strong pickup on demand? That was more my question.

Bimlendra Jha : You are aware that Rs.7.5 trillion capex was announced in FY 2023 budget and government also has all these initiatives like Gati Shakti , PLI scheme, et c., which are all supportive of steel demand. We can already see healthy collection of taxes, GST, etc ., and all this is specifically translating into a very healthy order book for construction, infrastructure , and renewable energy , which all are dependent on steel. Fortunately, for JSP, our product mix is widely going into these areas, which are strong -demand areas for the country as of now. So we are bullish on demand other than the roll of dice that I keep referring to.

Vishnu Kumar : Got it, and today let us say, if you were to sell within India and export markets, would you say that the gross margin where would that number be at least , I am just asking a relative scale, you will make more in India or exports

does help you or which is higher, lower and

let us say, it is three months down the line, do you see exports duty going away? That is another separate question and if so, you see that there is a chance of export picking up?

Bimlendra Jha : On an average, at the moment, India offers us better margins than export and it is a combination of two factors, international prices and export duty. Of course, there are many products that we have in our rates that are not affected by export duty and there, we constantly watch the market and whichever market gives us a higher realization opportunity, we go to those markets. We will continue to watch this and should there be an opportunity that opens up either due to removal of export duty or due to improvement in prices abroad, which can happen suddenly, then we are all the time prepared for it and our near-term order book is healthy. We have no reasons to be worried as of now , so that is where we are headed in terms of the margins. It is always a decision every month in our S&OP process we take that decision based on how we see the market and that is how we book it , but every week also we analyze if we need to make any mid-course correction to that plan , but at this moment, India is a strong story with respect to margins.

Vishnu Kumar : Got it, Sir. One final question. The comments in the audited comments that has been given, just wanted to understand the JSPML and Wollongong Coal Limited . Now we do understand from both of them are actually having a negative net worth. Now at some point,  
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Page 15 of 19 if you were to consider that these you will have to completely write off. There are two questions. One, would you have to take an impairment on your consolidated books and any sense on that, if there is an investment amount that you need to take a consolidated and also, is there any external debt or any subsequent hit that we should see from these two entities to figure the write-off?

Ramkumar Ramaswamy : Maybe I can take that. Firstly, there is no external debt as I have clarified. We have repaid all external borrowers, so there is no external debt. The second is, as I mentioned, we are assessing the performance of the subsidiaries. We are assessing their ability to generate the desired level of returns and we would, of course, have to evaluate that in the context of impairments that you mentioned. So I think the exercise is on and once it is completed, we will definitely keep you suitably updated.

Vishnu Kumar : Any rough number that we can possibly see because if Wollongong we read that the net liabilities itself is about Rs.2700 Crores of the auditor comments, so just trying to get a broad sense. Would that be a very big number or most of it is actually already part of the standalone into consolidated, so the numbers may not be very big just some materiality is what I am trying to understand.

Ramkumar Ramaswamy : As I said the process of review is currently in progress. We will have to do a valuation. A lot of things have to get completed, so it will be very premature to give you an indication of the value at this point of time.

Vishnu Kumar : Got it. Thank you.

Moderator : Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta : Thank you for giving this opportunity. Just going back to the coal mine projects where you stop giving...

Bimlendra Jha : We have stopped hearing your voice. Whatever we stop giving, the coal mines, please unmute yourself.

Kirtan Mehta : It was sort of referring to the coal mine projects that you were saying you are targeting around average 50% utilization level. In terms of sort of what I understand is the total project potential would be around 15 million tonnes, so would that mean that 6 million to 7 million tonne of the production across

five mines we are targeting in FY 2024 and could you also give us a start-up date for each of the five mines that you are targeting and typical ramp-up period to achieve 100% capacity outputs?

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Page 16 of 19 Bimlendra Jha : What I answered to you was from a utilization perspective that we are hoping to reach an average of 50% of our thermal coal requirement on an average during the year would be from the mines. That is the answer that I gave you, not how much output we would have from the mines.

Kirtan Mehta : Would you be able to just clarify the output that you will be targeting from the mine at least the start-up date for each of the mines that you are targeting and what would be the typical ramp-up period?

Bimlendra Jha : No, at this moment, I do not have the numbers and I would not like to again make a forward-looking statement on the subject.

Kirtan Mehta : Another question was related to your capacity specification where you have suggested that you may not expect a much improvement into the output because some of the surprises might eat away those improvements coming through. So in relation to the sort of 9.6 million tonne capacity utilization level, what is the sustainable average utilization that we should look at? Is it 85%? Is it 90% or is it 95%? Where should we be sort of assuming in a normal year or average through the cycle, whichever way you want to answer that question.

Bimlendra Jha : Yes, average through the cycle of course, has all these big shutdowns that happened in our blast furnace, etc., I would not be able to put my pen to paper without actually going through those numbers, saying that when was the last we re-line, when would be the next re-line, etc. Those are the kind of things that we would have to go through in order to be able to answer this question, but I would say that on an average above 90% capacity utilization is considered to be a good capacity utilization in the steel industry.

Kirtan Mehta : Does JSPL have a potential to sort of achieve 8.5 million, 8.6 million, which would correspond to 90% utilization over the next one or two years or are there any constraints which stop JSPL from achieving the same?

Bimlendra Jha : The only constraint is our own brain power. We are hoping to constantly upgrade our skills, train our people, make sure that we are making right and intelligent choices, taking the maintenance at the right time, not making any wrong decisions. These are the only constraint. It is all about people, about their skills, about that will do win and more recently,

first of all, do not believe in these capacity numbers at all. Recently, we have had a day when we produced what we never thought we can produce from a single BOF vessel, we were able to produce 54 heats in one day. It never has happened before and I am not aware of any other steel company that has been able to do it, so what do I call that as a capacity .  
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Page 17 of 19 Sometimes, these are the kind of things that when people are enthused, motivated, rightly skilled, they are able to surprise you with numbers where capacity has no meaning.

Kirtan Mehta : Right . One more question, if I may. You also made a comment that during some period, you find buying from OMC cheaper than producing at your own mines. Typically, the buying from OMC will not cost you less than Rs.2500 to Rs.3000 per tonne of iron ore , so does that imply that at some point of time, your production costs are even higher than that number?

Bimlendra Jha : No, that is not how it is. There are many, many constraints that we sometimes face. For example, the kind of ore that you are mining, you may not get the right quality for the DRI purpose. At that moment, rather than beneficiating your own ore and spending a little more money over there, you may be better off just buying it off OMC , so that cost is always a

cost that is in comparison to the choice that you have in front of you at a given point in time and that is where we are in a very sweet spot is what said, that we have these choices that we can execute without overburdening ourselves either on production front or on our ability to source these materials.

Kirtan Mehta : Thanks for this insight, quite helpful.

Moderator : Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : Thank you. Good evening everyone. A couple of questions on the coking coal, just wanted to understand. I think from the press release also, it seems like there is a slightly slower ramp -up in the Australian coking coal mine. Initially , the expectation was for a certain volume target and FOB delivered after washing cost of, if I am not mistaken, \$150 to \$200 per tonne. It looks like it has not been able to achieve that number yet. But what is surprising you at that mine compared to other expectations and can we expect some improvement in future? That is the first question.

Bimlendra Jha : Yes. For the Australian mines, we have faced certain issues there and it was related to some equipment , it was related to washeries, it was related to the way we were planning for our mines and we have taken some actions to tighten those kind of things and make sure that we have the washery that comes up . These things are going on as we speak and the performance improvement we can see on a day -to-day basis. However, there are also in an underground mine, there are lots of uncertainties that are there. These uncertainties we are dealing with, but we are seeing a constant improvement trend and we do hope to be able to remain on that track.

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Page 18 of 19 Satyadeep Jain : Okay , thank you . Second question is on the capital allocation. The debt has reduced significantly to Rs.7000 Crores. There is a capex plan that you have for the next few years it looks like about Rs.5000 Crores annual capex , but if market conditions are okay, that should be met from internal cash flow , so the target of being net debt free remains intact and there will be no organic or inorganic growth until you achieve that net debt , apart from the ongoing capex , no additional organic or inorganic growth did you achieve that net debt target? Is would that be a safe assumption?

Ram kumar Rama swamy : As we have stated before also, we would like to operate on a fairly conservative net debt to EBITDA of less than 1.5% through the cycles, so I think that is what we have been repeating. In terms of organic or inorganic growth, we will be constantly evaluating options. You have a slate of projects that we have, there could be inorganic opportunities that might come up , so we will have to evaluate them and if they are going to be value accretive, we will make selective choices at this point of time.

Satyadeep Jain : But product mix is going to be fairly balanced between flat and long the ongoing expansion. If you look at the inorganic opportunities, would there be a presence to a SKU to get may be have inclination towards more long-term plans, if you look at any opportunity?

Bimlendra Jha : Our bias is towards value, not towards long or flat and we will maintain that bias.

Satyadeep Jain : Just if I can squeeze one quick question. You mentioned green hydrogen ready. Hypothetically, let us say, the cost of hydrogen is competitive in the next decade or so. The current DRI operations and given your own experience in Europe also, can the existing DRI operations take hydrogen as is or do you have to maybe make some operational changes or maybe have some higher capex to be able to make it hydrogen ready?

Bimlendra Jha : First of all, let me tell you the syngas that we use is already having 52%

to 56% hydrogen in

it. Now that means we are already using hydrogen as a reduction in our DRI. So it is not a new technology that we are going to use. Now the question is that can we try and increase this percentage from 52 to 56, so let us say 70%, 75%, 80%, using even gray hydrogen and then wait for the time when green hydrogen is available and economically available in order to be able to then simply switch, so we are a), already experienced with using hydrogen as reductant in our DRI; b), we are experimenting with what it takes to increase the percentage of hydrogen in the current situation and if there are any modifications, etc., required, we are looking into that one and therefore, as on date, the most hydrogen-ready company, certainly India, if not in the world, to be able to leverage the opportunity as and when it comes.

Satyadeep Jain : Thank you so much.

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Page 19 of 19 Moderator : Thank you. Ladies and gentlemen that was the last question. I would now like to hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit : I would like to thank everyone for attending the call and thoughtful discussion we had this evening. I would now like to hand over the call to Mr. Jha for any closing comments. Over to you.

Bimlendra Jha : Thank you very much. I think these were very good questions and a nice conversation that we had, at least I enjoyed it. I hope you did. It is good to ask these questions and keep us thinking. With your questions, we also start thinking of new things. So please keep coming back to us with your intelligent questions like these so that we can keep thinking of new things that we can do. I hope that you have been able to see that as far as operational performance is concerned, hopefully, you are able to see very clearly that JSPL has returned on operational basis much better results than any of the results declared so far and we are on a positive trajectory with the right kind of product mix at the moment for where India is growing. We hope to be able to continue on our journey towards zero debt at JSP level and we also hope to be able to continue to work on our organic growth program on time, in budget and in full, so this is where we are headed. Thank you for your support and have a good day.

Moderator : Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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## Call: Feb 2023

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Symbol : JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JANUARY 31, 2023 ,

AT 05:30 P.M. (IST)

This is in furtherance to our letter dated January 27, 2023 w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts.

In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com) .

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop Singh Juneja

Company Secretary

Encl : as above

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"Jindal Steel & Power

3Q FY 23 Earnings Conference Call"

January 31, 2023

MANAGEMENT : MR. BIMLENDRA JHA – MANAGING DIRECTOR

MR. RAMKUMAR RAMASWAMY – CHIEF FINANCIAL

OFFICER



MR. VISHAL CHANDAK – HEAD INVESTOR RELATIONS

MODERATOR : MR. PALLAV AGARWAL – ANTIQUE STOCK BROKING

Jindal Steel & Power  
January 31, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Jindal Steel and Power 3Q FY '23 Earnings Conference Call, hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pallav Agarwal, from Antique Stock Broking. Thank you, and over to you.

Pallav Agarwal: Yes. Thank you, Yashasvi, and good evening, everyone. A warm welcome to the third quarter results call of Jindal Steel and Power. We are joined today by the senior management team from JSP. Mr. Bimlendra Jha, the MD, Mr. Ramkumar Ramaswamy, the CFO, and Mr. Vishal Chandak, the Head of Investor Relations.

So, I would like to now hand over the call to Vishal for his opening comments. Yes, Vishal, over to you.

Vishal Chandak: Thank you, Pallav. Ladies and gentlemen, good evening, and thank you very much for joining us for the Q3 briefing of the earnings highlights for JSP. So we will start with a quick overview on the financials, by our CFO sir, Mr. Ramaswamy, and then we'll jump into the Q&A.

So without much ado, sir, I'll hand over to you, sir.

R. Ramaswamy: Thank you. Good evening, and good day, everyone. Let me give a quick overview of the financial and operational performance for this quarter.

Let me start with the sales volume first. Our volumes for the quarter was 1.9 million tons. This is a 6% decline Q-o-Q, primarily driven by a 48% decline in exports. The domestic volume also marginally declined by 1%, primarily driven by issues around rake availability and dispatches. The share of exports in the total volumes declined to 5% as against 11% of the previous quarter. The production for the quarter was 2.06 million tons, which is a 13% increase quarter-on-quarter. As you would know in the last quarter we had some shutdown and this quarter all the plants produced at optimum capacity. The Angul plant created a world record in production during the quarter by producing 54 heats in a day during October.

Let me talk about realization. Our NSR declined by 1% quarter-on-quarter as the pricing remained soft during the quarter. And to give you a quick sense of where we are, currently, we are seeing prices firming up and the current realizations are marginally inching up by 1% to 2%. Our SMS costs declined by 9% during the quarter. This was primarily driven by lower coking coal price of around 18%, lower thermal coal prices of around 17%, iron ore prices remain flat during the quarter. As per our practice, we do not provide any forward guidance on numbers for the subsequent quarters. So I'm not giving those guidances.

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Let me move on to EBITDA. Our standalone adjusted EBITDA is INR 2,163 crores. This is 52% higher quarter-on-quarter, primarily driven by the factors that I detailed earlier, that is lower volumes, lower realization, offset by lower costs. The EBITDA per metric ton for the quarter improved and is INR 11,183 per metric ton. The consolidated EBITDA for the quarter is INR 2,296 crores, which is also 51% higher Q-o-Q. The main operating entities Mozambique, South Africa and Australia, they had an operating EBITDA of around \$20 million and after adjusting for FX, this translates to a \$4 million during the quarter. Profit after tax, on a consolidated basis, our profit after tax was INR 518 crores, which is 137% higher quarter-on-quarter. Before exceptional items, our profit after tax is INR 897 crores for the consolidated entity.

I would also like to give an update on the overseas subsidiaries,

the investments that we had

highlighted last quarter. As highlighted earlier, we have concluded an independent valuation exercise and based on that we have provided for INR 7,253 crores in the standalone entity against the overseas investments. At a consolidated level, this provision gets offset. We have, however,

charged off goodwill and other assets appearing in the consolidated books to the tune of INR 378 crores, which you will see in the financials as one-off exceptional items. Based on the above provision, our net loss at a standalone entity level is INR 4,512 crores. Exceeding the one-offs, our profit after tax is INR 836 crores during the quarter for the standalone entity.

I'll give a quick overview on our debt, our journey of deleveraging continues. Our gross debt at the end of the quarter was INR 10,983 crores and net debt was INR 7,478 crores. At a consolidated level, our net debt was INR 7,090 crores, which is 0.66x our EBITDA. I'll also give a quick overview of our cash flow, and then we can open up for Q&A. We had an opening balance of INR 6,383 crores of cash. Our adjusted EBITDA was INR 2,163 crores. We had a net reduction in working capital of INR 713 crores. This was again, our focus on cash and inventory reduction. We had also taken short term loans of around INR 410 crores for the power assets that were acquired. These were the main inflows.

In terms of outflows, we concluded the refinancing of loan to the extent of INR 1,728 crores. We repaid short term buyer's credit and working capital loans of INR 968 crores. We invested in our subsidiary Jindal Steel, Odisha, INR 939 crores. Our advance tax payment was INR 710 crores. Our own capex, both sustaining and growth capex in JSP was INR 642 crores. Scheduled loan repayments was INR 448 crores. And the financing cost was INR 343 crores. With this, we ended with a net balance of INR 3,505 crores. Again to summarize, cash flow from operations was INR 2,164 crores. Cash flow from financing was negative INR 3,077 crores, because of the various repayments that we did. And cash flow from investing was INR 1,965 crores, resulting in a closing cash of INR 3,505 crores.

With this, I would like to conclude the overview and hand over for any Q&A.

Moderator: We have a first question from the line of Amit Dixit from ICICI Securities.

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Amit Dixit: Congratulations for a good set of numbers. I have two questions. The first one is essentially on sales volume, which was a tad lower in this quarter due to rake unavailability and issues around dispatches. So my question is, is there some volume lying at the port or at the plant that we can expect will come in Q4? And if you can also guide for the sales volume for the full year or for Q4 at the deemed set?

Bimlendra Jha: Yes. This is Bimlendra Jha. Thanks for your question. There was not much of FG inventory built up. It was only about 35,000 tons that was built up. So as you know, one of the reasons why we had much higher sales number at the end of quarter 2 was because there was lot of inventory lying with us and we wiped this almost clean at the end of September. So, thereafter it has mostly been whatever we have been able to produce, is what has been sold, except for some break and availability issues due to focus on coal movement in India. So that focus from the government has not changed.

And therefore, we continue to face some difficulties on the movement of our raw materials as well as finished goods. So barring that, we don't see any issues, and whatever we produce, we should be able to sell. On that rake movement also, we have tried to compensate it as much as pass it through the road, and we are also buying our own wagons. So, but that is also, as you may be aware, is taking time in India to get your wagons very quickly, because there is shortage of wheels in India. So, these

are some of the challenges that the Indian industry is facing. And other than that, whatever we produce, we will sell. So that is the only guidance we can give you.

Amit Dixit: Sir, coming to overseas mining subsidiaries, I mean, we have seen that so far in terms of volumes, they have been pretty state. So going ahead, what kind of volume growth we can see over there, particularly from your Australian mining subsidiary?

Bimlendra Jha: So, in Australian mining subsidiary, we have been trying to debottleneck that and make some solid adjustments to the way they mine and process the coal. And that should be still after June, we are expecting that they will be in a position to have a proper mining and coal beneficiation and also get better gains from that. Because, at the end of the day, it is all coking coal and because of the high ash content, it gets sold as a thermal coal. So all that will change after they have invested in that washery, etc., that they're doing.

Amit Dixit: And what would be the quantum of that investment that washery investment?

Bimlendra Jha: It's minor, I think. How much...

R. Ramaswamy: I think we are evaluating the capex investments in Australia, and maybe by next quarter we will be able to provide a clearer view. At this time, it is a bit early. But it is not substantial. It's not substantial. It's small amount.

Moderator: We have our next question from the line of Sumangal Nevalia from Kotak Securities.

Sumangal Nevatia: My first question is, if you could just share the updates on all the growth and cost saving projects which are lined up, as far as their commissioning timelines, specifically for coal blocks, the slurry pipeline, the pellet plant and the hot strip mill?

Bimlendra Jha: Okay. So some of the clearances, etc., are still in the process and therefore some of these will be only done as those clearances keep coming. But the pellet plant is very close to commissioning, based on earlier clearances that we have had. It is under trial testing phases. So we will soon get the consent to operate and we will be able to start operating that plant. Coal mine will be the next big one and there are, again, clearances in the process, we have kept everything ready in terms of the equipment, contractors, etc. So the moment we get all the clearances, we will start moving into the land. And so, that's just a matter of time. It can happen in weeks, in months, whatever, whenever it happens, it is all part of the government process. We start moving in and within four weeks, we start taking it out from the date of clearance. So, that's the next one.

As far as our slurry pipeline is concerned, that's a slightly longer project. We have completed nearly half of it. And half of it is the more tougher areas where things are moving a bit slower compared to our expectation. But that is where all the conversations are happening to facilitate that. As far as hot strip mill and the rest of the investment around that is concerned, there is proceeding on a sound basis and quarter 2 of next year, we should be able to see these investments coming up.

Sumangal Nevatia: Since, with respect to the coal mines, all the four coal blocks, I mean, they are seeing delays because of regulatory issues or we are seeing some progress in one or two of them? Any details mine wise, if you could share.

Bimlendra Jha: No, we are seeing progress. It is just that the progress is not to our taste. But we would want things to happen in a week, which meant we were taking four weeks. So, that's the difference of expectation.

Sumangal Nevatia: And sir, with respect to the blast furnace and the hot strip mill, that is expected to, I mean, commission in the second half of next year and start contributing volumes?

Bimlendra Jha: Not blast furnace. We need clearances, etc. It is the hot strip mill,

which has got off everything.

So, that will definitely be commissioned in the second quarter of next financial year. And apart from that, we have got our -- just one second, I'll give you the timelines from -- so second quarter of FY '24, hot strip mill, pellet plant, of course, the first one, I have already told you, in the current quarter it should happen. Then slurry pipeline will be definitely by the second to third quarter of next financial year. And then blast furnace should also come up by the end of the third quarter, BOF around the similar time. So this is the kind of timeline that we are working there.

Sumangal Nevatia: Sir, my second question is with respect to the coal cost. I mean, domestic coal availability appears to have improved and even thermal coal international prices are down. So I mean, what

is the sense on coal cost reduction going forward, both on thermal coal and coking coal versus the 3Q level?

Bimlendra Jha: Coking coal, the international prices are not down, they are up compared to last quarter. Although, they are down compared to last year. So if you're making a comparison with respect to last year, of course, they're down. But then those were exceptional numbers. If you compare it to the previous quarter, then they are up, and that kind of a movement in coking coal prices is anybody's guess and it is dependent a lot on what happens in China. And China, when it returns after the Chinese New Year break, that is when we will know in which direction the coking coal prices are moving. So that's very clearly also an indicator of demand. But the world level and the expectation is that the next -- the current calendar year is likely to be stable in China.

Overall, the world is expected to increase it by about 17 million tons, out of which 7 million tons growth is coming from India alone, is what is the expectation for the current calendar year, so that means the current quarter and the three quarters of next financial year. So in this one, India, we see walking toward different drumbeat compared to rest of the world, which might open up a similar kind of a possibility that happened in the past where the raw material prices, if they don't pickup as much as what happens on the steel demand side, then you can look at robust

performance by steel players in India.

Sumangal Nevatia: And any outlook on the thermal coal?

Bimlendra Jha: On thermal coal, see, we will be -- the moment our mines open up, we are completely independent of what happens in the market. And that is why we are very keen that all our clearances happen quickly and we start mining.

Moderator: We have our next question from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: So first question is on the pellet plant. So given that our one pellet plant is coming online by this year end. So next year, what kind of pellet volumes can we expect from that plant?

Bimlendra Jha: So this is a 6 million ton per annum pellet plant. And therefore, and it's not a very steep learning curve or anything for us. It is just a question of commissioning and thereafter quick ramp-up. So that's the kind of a capacity it has. The only trials and testing that we will have to do is that, whether the quality of DRI pellets we are able to produce, whether we are able to use flux pellets and all, so to that extent, we will be moderating the volumes, but otherwise, its capacity is 6 million ton per annum.

Siddharth Gadekar: So, sir we can expect 4 million ton on that plant in FY '24 and that will be entirely external sales, right?

Bimlendra Jha: FY '24. Yes. No, it will not be external sales. because it is coming up at our Angul, it will be entirely consumed in-house.

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Siddharth Gadekar: So, given we already have 9 million ton of pellet capaci

ty, so from there, we will be doing some external sales next year?

Bimlendra Jha: So net-net, you will see a sales from Barbil where we are getting our current pellets from. So, whatever is the quantity of pellets that we produce and consume in Angul, will be the quantity of pellets that will be released from Barbil for sales.

Siddharth Gadekar: Sir, and secondly, in terms of volume outlook, how should we look at it in from fourth quarter and FY '24 perspective?

Bimlendra Jha: See, volume is stable, and it is something that we are expecting that the demand in this quarter should be good. Export inquiries have also increased. So, as long as we can manage the logistics, I said earlier, we will be able to sell everything that we can produce.

Siddharth Gadekar: And sir, for FY '24, any volume guidance?

Bimlendra Jha: We don't give forward-looking statements, as you are aware. So the guidance is what you can see.

Siddharth Gadekar: So is it fair to assume that if the industry is growing at 6%, 7%, we will be growing at 7%, 8%?

Bimlendra Jha: As soon as I say, yes or no to that question, then I'm giving you a forward-looking guidance.

R. Ramaswamy: My request is, as we mentioned, we do not give forward-looking guidance either in terms of cost or volumes. So, please, if you could take note of that.

Moderator: We have our next question from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: My first question is on the INR 7,000 crores write-off that we have taken in the standalone. So we understand, it's to JSPML, but which are the end use entities, where we have actually lent these monies and do we plan to invest further in the subsidiaries?

R. Ramaswamy: So, the end use subsidiaries are quite, quite many. I mean the main ones are of course here, Australia and Mozambique, South Africa. But then, we also had -- Mauritius had also invested in various other subsidiaries like Bolivia and Botswana and others. So we considered all of these investments when we did evaluation of how much we have invested. And the outcome of that is the impairment provision that we have made. I think you also asked a question on investments. So, there is no current plan to invest anything further in any of the subsidiaries. Yes. As and when there are any plans that are made, we will definitely disclose that to all of you. At this point, there is no further investment in any of these subsidiaries.

Indrajit Agarwal: My second question is on the captive coal blocks. So once these blocks are commissioned, as you mentioned, you will be fully independent on thermal coal. And how does the cost look

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versus your current landed cost? Is the mining cost and the landed cost of those, materially lower or largely in line, including the royalty?

Bimlendra Jha: No, it will be materially lower. Our own coal will be materially lower.

Moderator: We have our next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, couple of questions. First is, sir, how should one read into the tax implication of the write-off INR 7,700 crores. If my memory serves me right, we had some prior gain corresponding to JPL. How should we connect both the dots, sir? That's the first question.

R. Ramaswamy: So, we have created deferred tax assets to the extent of INR 1,900 crores in this quarter. As and when we decide to write off, the appropriate tax adjustments would be made. So I think that is how you would like -- you should be viewing the tax benefits because of this.

Ritesh Shah: If I could just stretch it, should we assume that whatever gain we had, we have a complete offset in place, so there won't be any tax incidents?

R. Ramaswamy: No, I wouldn't suggest you should make that assumption for two reasons. The gain that was there, I'm assuming you're referring to the JPL divestment. Those are capital ga

in, and the tax

impact on account of this write-off, would be a revenue related item. And there is also a question of when we will actually do the write-off. This is currently only a provision that we have made.

We will have maybe one or two more quarters where we will again evaluate and firm up our position. And then, we will keep you suitably advised.

Ritesh Shah: My second question is more on capital allocation. So one is, just wanted some color on Monnet Power status, financial impact and timelines. The second is basically, are we looking at any inorganic moves? What we understand is, NMDC's steel plant is also that it could be of interest, that's the second bucket over there.

And the third bucket, there was news flow pertaining to JPL or I think promoter entity setting up a power plant in Mozambique. The third point, is it any which was related to the company?

So I asked basically three buckets on capital allocation. One is Monnet, second is NMDC steel plant, and third is [inaudible] Yes, sir, all related to capital allocation.

Bimlendra Jha: So I lose track of all the three questions. But nevertheless, it is, the first one is easy, because it is in our interest to quickly decarbonize. So, our investment in Monnet is about reducing the carbon footprint and getting a lower cost of power. In fact, it will be the lowest cost of power probably, that we will get, being a pit head plant. So this is something where we want to expedite it and we are giving ourselves a couple of years for the entire investment to be made around INR 1,500 crores or so, is our current estimate of making it good. And it will be done in phases. So this is what is on your first question.

The second question, and third question, if you want to -- the second one was -- inorganic mode, yes. So we have already been very clear that these are good assets NMDC or RNL, etc. But there are -- all the time, anyway, our company is on the lookout for such good assets and we will

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continue to explore this and we'll continue to remain interested in these. And the third one was around Botswana and JPL, etcetera. So yes, JPL is doing something over there where we do not have much to say.

Moderator: We have our next question from the line of Amit Murarka from Axis Capital.

Amit Murarka: So, my first question was around thermal coal cost. So like, would you shed some light on how has the DRI cost change in the quarter and are you seeing some benefit of the thermal cost reduction?

Bimlendra Jha: It has not changed yet, because these coal mines have not opened yet. So thermal coal, whatever has been the market prices, etc, that is -- everything has been sort of in-line. But if you see, overall our cost has reduced by about 9% in steel production. And that was, thanks to the variety of raw material mix, which included, of course, thermal coal and coking coal and iron ore. So, given that trend, we were able to almost keep our NSR, the prices stable, whereas the costs give us good advantage and that is where you are seeing the result of quarter-on-quarter more than 50%, I think, 51% on consolidated basis, 52% on standalone basis, EBITDA improvement. So that is a direct result of cost reduction, primarily on account of raw materials.

Amit Murarka: Also given that the regional demand outlook is now better, like, could you kind of help understand how has the exports outlook for you changing in this situation?

Bimlendra Jha: So, see, market outlook, we are seeing a good robust improvement in the order book, which as you know, that this export duty was withdrawn only in the month of November 2022 and that quarter was already booked out. So inquiries started coming in after that. But that is mostly for the current quarter. And therefore, from a miniscule level to decent order book and that is always a question of where we get better

realization. So, we keep evaluating that and we keep taking the orders or not taking orders on that basis. But we are seeing a very healthy pipeline of order book.

Amit Murarka: I mean basically last two quarters exports have been weak. So like, can we expect it to go back towards like usual 20% of your total volumes that we have seen in the past?

Bimlendra Jha: See, as I said, that the decision on every order is based on the alternatives. And we are not fixated on any export as a percentage. What we are fixated on, is highest value for the products that we make. And that is a decision which is based on every inquiry, and in the same timeframe, the alternatives that we have domestically. So, we would not want to hazard any forward-looking statement on how much would be the percentage of export.

Moderator: We have our next question from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta: One question on the coal mining project. You mentioned that some of the clearances are coming in but late. Could you explain us what are the clearances involved and what are the steps involved in achieving these clearances?

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Bimlendra Jha: I'll have to write a book and give it to you on the number of steps involved unfortunately. It's just too many. It's just too many, but every step has to be patiently answered, replied for and we keep going on and on with every step. And then I can't give you the whole list of, at least 20 or 30 steps, which we are monitoring on a daily basis.

Kirtan Mehta: So broadly, if we have to revise our plan, accounting for the actual system that is involved into it, how do you see the ramp-up sequence changing and the timing changing from your earlier guidances?

Bimlendra Jha: See, we have only given the guidance. I was there on the call last quarter, and I said that we would like it to happen as soon as possible, but it is not in our hands. So, technically speaking, everything can finish in four weeks timeframe. But it doesn't. So what guidance do I give you on something that I don't control.

Kirtan Mehta: So outer limit, can we assume that all this mine would be fully ramped-up over the next two years or so, or could it take even longer than that in terms of achieving the peak potential?

Bimlendra Jha: Two years is a good guidance for full ramp-up. That much I should be confident.

Kirtan Mehta: And in terms of the second question was about sort of 9.6 million ton capacity that we have. Last time I think when we discussed, there were some gaps. So are we planning to close any gap during FY '24 to improve the production level?

Bimlendra Jha: Surely. When we say 9.6 million ton, it starts with the metallics. So it is not all finished goods or semis or anything. It is all metallics, including sponge iron, pig iron, etc. Many of them get consumed within the system. Some of them, when we have surplus, then we are able to sell outside. Our guidance is that our company is focused on value creation and therefore, the more we are able to value-add, the better our investments pay off. So this is something that you can constantly see that when we are saying that we will make 54 heats out of a single BOF and created a world record, that is only shifting it from intermediate product to semis level. But I don't have the finishing capacity for that semi.

So today I may be selling that semi. Tomorrow when I have hot strip mill, then it immediately starts coming into production over there. And I may not have enough of semis. So this is where the sequence of investments counts a lot. And the guidance I gave last time as well was, that we start from where the highest value gets created and I did give that guidance that pellet plant is our first priority. Coal mines is our second priority. And then, actually the end of the chain becomes the next highest priority, which

happens to be hot strip mill. Because you don't create that much of value at the semis stage. So these are the kinds of ways in which we are making sure that our investments are paying for themselves. I hope that I have enough guidance for you?

Moderator: We have our next question from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda Overall good set of numbers, Sir. Couple of questions. One on the Australian coal subsidiary, despite over 100% growth in dispatches, we have reported an operational EBITDA loss of \$6

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million. So were there any exceptional or -- because I believe, in the past we have said that we -- overall cost is roughly around \$80 to \$100 to produce coking coal there, the prices are much

higher. So why are we not able to report profitability at the Australian mine?

R. Ramaswamy: There are couple of reasons. One is of course the productions, the production itself, the volume was still much below the capacity that it is intended to for. But more importantly, specifically for this quarter, one is, there is a realization, which has come down significantly. The NSR for the coal produced from Australia was \$197 last quarter. And in this current quarter, it is only \$69. Yes. That is number one.

Number two, there were quality issues because of high ash content, which again resulted in the lower NSR. And that is the reason why you see a lower EBITDA as far as the Australian subsidiary is concerned. This is what the team over there is focusing on in terms of improving both the production, the quality and therefore, realizing higher value.

Bimlendra Jha: Essentially this coal got sold as thermal coal rather than coking coal. That's the crux of it.

Bhavin Chheda: And any plans to ramp-up volume and cost reduction efforts here because it's quite long when we are yet to see any cash flows or EBITDA at the Australian mine.

Bimlendra Jha: So, if you see the quarter-on-quarter, there is a reduction in losses that has happened. And that is because, if we were mining three phases, we started mining two phases more efficiently and got a bit of improvement as a result of that, both in terms of cost, by reducing the manpower, but more importantly also focusing on the right quality, so, with lower etc. So that is the kind of an effort which is an ongoing effort right now. But yes, Australia, there have been challenges and we are overcoming those challenges as we speak.

Bhavin Chheda: The second one on the capital expenditure spent in the quarter and first nine months?

Bimlendra Jha: So, first nine months, the total capital expenditure...

R. Ramaswamy: I will take. For the quarter, we just shared the numbers during my overview. During the quarter, the investments that we've made into our wholly-owned subsidiary, Jindal Steel, Odisha, was INR 939 crores and the capex that we had in Jindal Steel and Power itself for growth and sustenance projects was INR 642 crores. Totally, INR 1,500 crores.

Bhavin Chheda: This is nine months.

Bimlendra Jha: The INR 410 crores in Monnet.

R. Ramaswamy: Yes. And INR 410 crores in Monnet. Therefore total of INR 1,965 crores during the quarter.

Bhavin Chheda: This is during the quarter?

R. Ramaswamy: Yes. This is during the quarter. Yes.

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Bhavin Chheda: And nine months figure, if you have?

Bimlendra Jha: I'll give you the broad picture that whatever was the cash flow from operations, nearly all of it was spent on these three major buckets, which is, for the power, that INR 410 crores capex in JSP, investment in JSO.

R. Ramaswamy: On the nine months, maybe I can share. The total investments into Jindal Steel, Odisha was INR 2,708 crores. In Jindal Steel and Power, JSP, it is INR 1,566 crores, plus INR 410 crores for Monnet.

Moderator: We have our next

question from the line of Prashant Kumar Kota from Emkay Global.

Prashant Kota: Sir. I have only one question. This is regarding our debt. Sir, now we have a gross debt of INR 10,000 crores and net debt of about, I think, INR 6,000 crores, INR 7,000 crores something. Our EBITDA stream is now even at this current level of, not so great, EBITDA per ton. We are probably going to clock INR 10,000 crores per year rate, nearly to INR 10,000 crores and the new capacities coming up, coal mines coming up on stream over the next one, 1.5, to 2.5 years. You are sitting on substantially cash generating asset base and asset figure. We are worried that you know, sir, our debt is too low compared to what our balance sheet can support. The context is that, at one point, we had INR 40,000 crores, INR 50,000 crores of debt, that is one we created these assets. Now those fruits are coming. So now, if we are under leveraged. maybe two, three years we have pushed, there is an opportunity to use our balance sheet further. I'm just thinking out loud of it. Your thoughts would be helpful over there.

Bimlendra Jha: First of all, you are a very good analyst. You have made our task easy. You are absolutely right. And why do we generate money in business, if not for capital asset creation? So obviously, a capital assets have to be created. But as you know that we have been now changing the structure of the company in such a manner that we said that our existing investments, we will try to make sure that we move towards the zero net debt and convert this company into like HoldCo and have all these entities such as JSO, do the borrowing and investment on a 100% owned subsidiary model.

So you are seeing that our investments are coming up. And we have also stated our position very clearly that the maximum amount of debt that we would take is 1.5x our EBITDA. So as our

EBITDA grows, our capacity to take debt will grow. But that doesn't mean that, just because you have the capacity, you use it. But you have then headroom to make ambitious plans. And those ambitious plans are always being drawn and you keep your powder dry for any acquisition opportunity, et cetera. So it is important to keep the powder dry. Having an ability to invest is more important thing than actually investing all the time. I hope that answers your question. Prashant Kota: Sure, sir. That answers. would have been more happier if that 1.5 you said, three, but sure, sir, it answers the question. And thanks for the kind words. Moderator: We have a next question from the line of Satyadeep Jain from Ambit.

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Satyadeep Jain: Just a couple of clarification questions. On the Monnet Power deal, if I understood correctly, the 800 megawatt of captive power plant at the site was already sufficient for the expansion plan also. So is the power plant that is coming up Monnet Power for Angul 3, and that's given in light of the MOU you've already signed with Greenko, how does this Monnet Power plant fit into the entire picture? Is it basically replacing the existing captive power plant you have on-site? That's the first question.

Bimlendra Jha: First of all, we don't have 800 megawatt of power generation capacity. It is 135 x 6, how much is that? Okay, around 800 megawatt. Sorry Yes. So, but these are much less efficient compared to Monnet Power. And our stated ambition is to decarbonize, eventually becoming a net zero emission company. But Rome was not built in a day, and you can't just jump into that future state and it is better to have a journey where this opportunity is utilized in a very intelligent manner. And I'll give you some color to this statement, so that you realize what is being done here. So first of all, 25% reduction on our power-related carbon footprint immediately comes from where these assets are operated compared to the other assets. But that is no

t the only thing  
that it does.

Now couple of other changes that have happened as a result of this is that, we need process steam and we would have spent money on investing in new boilers. Instead, we will decommission or just isolate the turbine part of it and use the boiler part of those 135 x 2, and use it for process steam. That means our capital investment will reduce significantly from there.

And what also happens is that, because this is a huge land in a contiguous territory, we can shorten the distance of travel for the non-coking coal, the thermal coal that comes from our coal mines, which are next door. In fact, the length will be two-thirds to half of its current plant, because we will also relocate our washery over there. And they already have another washery.

Now all this makes it tremendous sense from a capital allocation perspective, from carbon footprint perspective, and efficiency perspective, and we will be producing cheapest thermal power. Now that is not contradictory to a future state where we are constantly wanting to invest in renewables and tie up renewable power capacity. We have a stated ambition to have 1 gigawatt of renewable power tied up completely. We, JSP, for example, is already trying to make investments into hydropower and all that, so that we are able to get green power. Our CGP-based DRI is already using hydrogen as a reductant in its process because of syngas and we are already capable of making a hydrogen-based DRI as and when green hydrogen is available. Now all these dots have to be connected together to be able to see the relevance of Monnet Power into our larger scheme of things. I hope that satisfies you.

Satyadeep Jain: Just a follow-up on that. When you say efficient, is the Monnet Power plant has — does it have much better station heat rate compared to the existing power plant?

Bimlendra Jha: Yes, 2,400 as against 3,000.

Satyadeep Jain: Just another question on the Australian coal mine. You said it is being sold and the NSR is very low. I was able to — if I'm understanding it correctly, historically, the idea was that the coking

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coal from that mine will be exported and used in the JSP steel plant. Is that coking — is that mine sending coal somewhere else as thermal coal?

Bimlendra Jha: See, first of all, I think, you are on third question rather than second. But it's okay. Australia, I think we have to get our act better and we are working in that direction. Currently, this coal has so much of ash content without having a washery that we are having to sell it more like a thermal



coal. We are not getting the coking coal prices for this. Of course, we are in negotiation and discussions with parties that have got washing capacity and are hungry for coal of this nature, so that they can get the right coking coal. And we would like to sell coking coal from a coking coal asset rather than thermal coal. So all this is an improvement on which we are working. But obviously, we are not where we should have been.

R. Ramaswamy: And maybe if I can add. I think the choice of whether it is going to be consumed captively or sold externally, I think that will be made on a dynamic basis. So for example, in the second quarter, 100% of it was consumed captively, whereas in the third quarter, because of the quality-related issues, we have to make those choices. So I think that's how it will be on a dynamic basis.

Moderator: We have our next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Can you just update us on the capex plans? You have indicated around INR 18,000 crores, I assume that it does not take into account the mining capex. So if you can just help us with some numbers, what we should bake in portfolio for FY '23, '24 and '25, one quarter for this year and '24, '25, please?

Bimlendra Jha: So first of all, that number was

not INR 18,000 crores. I think it is INR 22,000 crores, including

Monnet, it is INR 24,000 crores. So if that is the number that you would like to keep in mind, it is that number and I think you might have numbers without GST or something like that. So just kindly make that correction with yourself.

Ritesh Shah: Sure sir.

Bimlendra Jha: And as far as mining assets are concerned, obviously, we will have to get back to you with a full assessment of our mining plans.

R. Ramaswamy: We are finalizing the entire slate of capex over the next few years. And then, maybe over the next quarter or so, we would be in a position to share more clearer numbers, Ritesh.

Ritesh Shah: And, sir, I just have a follow-up on the prior question which I asked. The one more specifically on Botswana, you indicated JPL is doing something, we don't have much to say. I just wanted to check, we have a coal mine, I think under JSP which is in Botswana, will it have anything to do with, if at all, a power plant comes under JPL over there? I'm just trying to just have some sense from a related party transactions going forward.

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Bimlendra Jha: Yes, we will be the beneficiary. They don't have any other source of coal.

Ritesh Shah: But, sir, then the current write-off that we took, I think you indicated that it also included the regions of Bolivia and Botswana. So I'm just trying to connect the dots again over here, just trying to understand the rationale, if the impairment had to be done, then why are we doing it now, if there is some hope at JPL to put up a power plant and do something with a coal mine over there?

R. Ramaswamy: So maybe, you will have to look at it in two ways. First is, this JPL, when the power plants will come, etc, is a bit unknown to us. Yes. I don't think it is an immediate short-term to medium term, it is going to be operational. I mean we don't have all the details, but that is number one. Number two, in terms of the provision that we have taken, that is an assessment, best case assessment based on what we see now.

Yes. Now, if conditions change, if things improve, if we see better value available at a later point of time, then we'll have to relook at it at that point in time. Again in this provisions, we have considered two things. One is the net present value of the inflows and also we would have considered a terminal value of the reserves that are there. So, I think that is how the value of the assets would be made. So the terminal value of some of these assets have been considered appropriately.

Ritesh Shah: Sir, can I squeeze in one question, I think it's important for investors as well. Like, looking at the history of the company we have seen, first, it was Oman then it was JPL. We divested it for the right reasons. It ended up in the polls of the promoters at the right costing, right valuation, that's perfectly fine. Sir, would you be able to give some assurance that something of that sort, probably, see, if I look at the Botswana coal mine, if I look at the Australian assets, we have taken a write-back, and if I go back in history, I think, same things actually played out for the other assets in past as well. So, will we look at a hive of over there divested? It's a hypothetical question, but I think if you can give some color over here, some assurance, I think that would be good.

Bimlendra Jha: First of all, you have yourselves said that at the right value, something has been done. And if today JSP is having a strong balance sheet, it is, thanks to some of these divestments, otherwise, from a INR 46,800 crores, the level of gross debt, we wouldn't have been at INR 10,000 odd

crores of gross debt if some of these divestments won't have been made. So, why would somebody be looking for assurances, etc, if there is such a positive story to talk about. And in any case the second poi

nt is forward-looking statements, we refrain from. And you are asking for an assurance on something that we don't even know that it is an assurance or what is your fear, because as far as the history is concerned, the company has done well by making divestments.

Ritesh Shah: Sir, the fear is basically, JPL was divested, citing ESG an example. And we are looking at Monnet as such right now, citing the rationale of, say, station heat rate and logistics. So I'm just

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trying to, again, just connect the dots, that's why I use the word assurance. So, at the right price, it's fine, but then the rationale that we had cited earlier and what we are citing right now, I think, if you look at in the history of the company, I'm just not able to connect the dots.

Bimlendra Jha: No, but we have given very -very clear rationale and logic for Monnet acquisition. I don't know if I can say something today, why will I not do it, and should I allow somebody else to take a large piece of land right next door, which is actually literally going for a song. You know, how much is the money, time, energy, that is to be spent in acquiring additional land. Even if, there was no power plant over there, that land could have been acquired at that price and it would have been still worth it. That is the kind of valuation that we did.

It is a completely different matter that it has got a half-finished power plant, which happens to be extremely efficient and therefore, that asset -- acquiring that asset made so much of a no-brainer since that the first time I visited it, after I became the MD of this Company, it was not even on the horizon, but I started saying that this asset must be acquired without any consideration to what we have done to JPL, etc or what the market would think, because, this is the most logical thing to do with such a huge area under clear title ownership, with the boundary wall contiguous to our own plant. It made so much sense that even if we had any history of power plant or not, we could have acquired it, even if we had to dismantle that power plant.

Moderator: We have our next question from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta: Thanks for giving me one more opportunity. Just in terms of the asset write-off for the JSPML, we have done at INR 7,000 crores. Could you give us the asset value, as well as the capital structure under that subsidiary? And how much loans are existing and whether they are -- the capital structure is sufficient to take care of it?

R. Ramaswamy: Some of this is already externally available information. You can access it in our previous annual reports. Or if you have further questions, our IR team can share you the details. This is all publicly available information.

Vishal Chandak: In the interest of time, this was the last question. So, would you like to conclude?

Moderator: Yes, sir. I would now like to hand the call over to Mr. Pallav Agarwal.

Pallav Agarwal: Yes. Thank you. Yes, I would like to thank the management of JSP for giving us the opportunity to host the call and also Mr. Jha, any closing remarks from your end?

Bimlendra Jha: Yes. I think, it'll be helpful probably to look at the results from a discretionary perspective. Some of the analysts have already taken the right view on these results. I have always maintained that profit is an opinion and cash is the reality. And if you look at cash position, the company has done well.

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If you look at the investments, it has made the right kind of investments. It has made the right calls. I think, much has been unnecessarily been and — some of the investors about this acquisition of Monnet Power. Particularly, thanks to the JPL divestment, it didn't make sense. But I guess, we have been able to give cogent consist

ent reply around the subject, both from a decarbonization perspective as well as from the strategic perspective of this land, which lies right next to us.

What we realized in the course of due diligence was, that there was so many more pluses that it was completely a no-brainer to make this acquisition for many, many other reasons, leave alone

the power plant. So I think everybody would be hopefully convinced. If anybody wants to come and pay a visit to that area, we would welcome you very much, because then, what I see, you will be able to see. And I would only say that keep trusting your company for the kind of decisions that we're making. At the moment, we are the strongest balance sheet company in India compared to any other steel company. We are also completely focused on infrastructure and construction, which is the thrust area for the government.

So even at 6.6% GDP growth rate, normally you would expect the steel intensity of that growth rate to take you to 8.5% increase in steel demand, but we have seen the first nine months of the year, had 12% increase in steel demand and most of it is from infrastructure and construction.

The fact that JSP portfolio is completely focused on infrastructure and construction, you should feel more -and-more confident about the company and its policies.

Thank you very much. Hope to see you next quarter with similar kind of results. Thank you.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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on variety of factors including but not limited to market conditions, demographics, political situations, pandemic etc.

## Call: May 2023

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Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON MAY 16, 2023

This is in furtherance to our letter dated May 13, 2023 w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts.

In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(

Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com).

[www.jindalsteelpower.com](http://www.jindalsteelpower.com).

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop

Singh Juneja

Company Secretary

encl:as above

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"Jindal Steel & Power Q4 FY-23 Results Conference Call"

May 16, 2023

MANAGEMENT : MR. BIMLENDRA JHA – MANAGING DIRECTOR , JINDAL STEEL & POWER

MR. RAMKUMAR RAMASWAMY – WHOLE TIME DIRECTOR & CFO , JINDAL STEEL & POWER

MR. VISHAL CHANDAK – HEAD (INVESTOR RELATIONS ), JINDAL STEEL & POWER

MODERATORS : MR. AMIT MURARKA – AXIS CAPITAL

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Moderator : Ladies and gentlemen good day and welcome to the Jindal Steel & Power Q4 FY23 Results Conference Call hosted by Axis Capital Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Amit Murarka from Axis Capital. Thank you and over to you sir.

Amit Murarka: Thank you Vikram. Good evening, everyone and welcome to the Q4 FY23 Con-Call of JSPL. We have with us the Senior Management Team from JSPL, Mr. Bimendra Jha – the Managing Director, Mr. Ram Kumar Ramaswamy – the Whole Time Director and CFO and Mr. Vishal Chandak – the Head of Investor Relations.

I will now hand over the call to Vishal for his opening comments. Over to you Vishal.

Vishal Chandak: Thank you very much Amit. Good evening, everyone and welcome to the Q4 and FY23 Earnings Call for Jindal Steel & Power.

So, before we start the presentation in Q &A, I just want to remind you that the discussions today will be covered under the safe harbor statement which is in the second slide of our presentation. Hope you've had the time to read through the same.

We would start this presentation with opening remarks with our CFO – Mr. Ramaswamy followed by the Q &A. Over to you sir.

Ram Kumar Ramaswamy: Thank you Vishal. Good day, good evening, everyone. Let me give a quick overview of the financial and operational performance.

Let me start with the sales volume:

Our volume for the quarter was 2.03 million tons which is a 7% growth QoQ, primarily driven by a strong pickup in our exports and a 1% growth in our domestic volumes too. The share of exports in the quarter improved to 11% versus 5% last quarter. The production for the quarter was 2.02 million tons which is 2% lower QoQ, primarily driven by an unplanned shutdown in our DRI plant in Angul during Jan. In terms of realization; our realization improved by 3% quarter-on-quarter, with improvements both in the domestic and export realization.

To give you a sense of what's happening currently:

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Currently we are seeing a bit of softening in our realizations between 1% to 2% and we will have to see how this plays out during the current quarter. Our SMS cost increased by 2% QoQ, primarily driven by higher iron ore and pellet prices which was partially offset by a marginal reduction in coking coal prices. As per our practice we do not provide any forward guidance on numbers for the subsequent quarters, so I'm not sharing any outlook in terms of coking coal and iron ore prices.

Our adjusted EBITDA for the quarter on a consolidated basis is Rs. 2,240 crores which is 2% lower QoQ, primarily driven by the factors I mentioned earlier i.e., improved volumes, improved NSR, offset by higher SMS costs driven by higher iron ore prices. I would also like to highlight that we have taken inventory write downs, write offs of around 250 crores during the quarter based on our assessment of the realizability which is captured in the above EBITDA. Our adjusted EBITDA of overseas subsidiaries, primarily Australia, Mozambique and South Africa during the quarter was Rs 63 crores and our standalone India EBITDA is Rs. 2,178 crores.

On a consolidated basis our PAT for the quarter was Rs. 466 crores which is 10% lower QoQ. I would also like to highlight exceptional items of Rs. 153 crores during the quarter which pertains to expenses incurred on old projects which we've decided to write off. This is captured separately as an exceptional item in our results.

I'll give

you a very quick snapshot of our full year numbers for your reference:

Full year volume is 7.68 million tons, which is a 1% growth over last year. Our production is 7.89 million tons which is a 2% decline over last year. Our NSR improved by 5% on a full year basis and our cost were higher by 4%. Our full year consolidated adjusted EBITDA is Rs. 9,700 crores and PAT is Rs. 3,193 crores after exceptional identified items of Rs. 1,369 crores. Out of this Rs. 8,562 crores pertained to India and Rs. 1,138 crores is from our overseas subsidiaries.

I'll also give a quick overview in terms of our cash flow and debt. As I said the cash focus is our

primary aim. We generated operating cash flow of 6,351 crores and this is for the standalone entity based on an EBITDA of Rs. 8,562 crores. Out of this we have invested close to 5,800 crores in CAPEX, both in JSP and JSO and we've also used it for our interest and repayment of our loans.

Our standalone gross debt was Rs. 11,874 crores and net debt was Rs. 7,090 crores as of 31st March. I would like to highlight that we have prepaid a further Rs. 1,895 crores in April and our gross debt in April is Rs. 8,984 crores. Our continued focus on cash and deleveraging continues as has been highlighted before.

The Board has recommended a dividend of Rs. 2 per share for the financial year.

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With this I would like to conclude and hand over for Q & A. Over to you Vishal.

Vishal Chandak: So, operator can we please open the session for the Q & A.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin the question-and-answer session. We take a first question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have two questions. The first one is if you could highlight the progress on operationalization of the coal blocks that we have won during bidding as well as the Slurry Pipeline project. How much of it remains when it is expected to be commissioned that would be very helpful? That is the first question. The second one is on depreciation which appears to have gone up in this quarter. Is it due to commissioning of some plants of the expansion project or how is it and what run rate can we expect going ahead? These are the two questions.

Bimlendra Jha: Thank you Amit. This is Bimlendra Jha. Our coal block, in fact before coal block there is already pellet plant which is under commissioning. Commissioning trials are already very successful and we are well on our way to have a full-fledged commissioning of the pellet plant. Coal block, most of the clearances are there in the mining license stage. We are still awaiting one of the last clearances and as soon as that is available, we should be in a position to open the coal block. Slurry Pipeline is towards the end of the current year is what we are seeing because of all the elections and other issues that are there. That is what I have to say on that. Ram will answer the question on depreciation.

Ramkumar Ramaswamy: The depreciation is on account of an impairment that was done by our Australia subsidiary to the extent of Rs. 250 crores. The Australia subsidiary had done an independent assessment of the realizable value and based on their assessment they have taken an internal provision of 250 crores. That is the reason why you see a higher depreciation.

Amit Dixit: Can you put a timeline to the pellet plant? When can we expect it to be commissioned? I understand that you mentioned that trials are on but the timeline would be great. Also, how much coal can we expect if any in this financial year at FY24?

Bimlendra Jha: The mining plan that has been submitted is for around 3.5 million tons for the year. We are exploring possibilities if we can go up. But that is what is the current mining plan that has been submitted for the year. Nobody knows when the final

clearance comes but since it is absolutely

the last couple of stages of that clearance it can happen anytime. So that is on the coal block.

You said pellet plant as well. The pellet plant as I said that it is under commissioning trials and it is just a question of weeks where we should be having a full-fledged commercialization.

Moderator: We take a next question from the line of Siddharth Gadekar from Equi rus.

Siddharth Gadekar: Just one thing on the standalone operations; now if I look at your realization, they have increased by Rs. 3,000 almost sequentially. But when I look at the cost, what explains this kind

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of a cost jump because we are looking at our EBITDA per ton has declined almost Rs. 1,000 on a sequential basis. Is there anything which I'm missing in this?

Ramkumar Ramaswamy: Yes, so as I mentioned our realization has gone up by 3% and our SMS cost increased by 2%, primarily driven by higher iron ore and pellet prices. I also referred to in my overview that we've taken write downs, write offs of around 250 crores of inventory and that should probably increase the rest of the difference.

Siddharth Gadekar: The inventory write down is taken under the cost of goods sold or under other expenses?

Ramkumar Ramaswamy: Under cost of goods sold.

Siddharth Gadekar: Even adjusting for that our sequential increase is very sharp because normally if I look at the prices, coking coal prices would have been up by \$10 or \$15 per ton and iron ore also would be in a similar range. But that doesn't explain that kind of a cost increase.

Bimlendra Jha: No, I think on iron ore, OMC prices if we look at it from November onwards, there has been a very sharp increase in the iron ore prices. In fact, if you look at that it is around from Rs. 3,550 per ton to around Rs. 5,700 per ton is the kind of a rise in prices that has taken place. If we

budget for that alone 3,550 has become 5,700 which is even if you look at it on NMDC iron ore fines which is 64%. These 62%, 0 to 10 mm Odisha Mining Corporation is Rs. 1,700 higher than even 64% iron ore fines. This is actually if you look at it, ideally this should have been at a discount to Rs. 4,000 that NMDC gives it at. But unfortunately, this gap is a bit too much that has opened up which was not the case until November '22. November '22 the prices of iron ore fines from NMDC were 2,760 and Odisha was 3,550. So, this gap has really opened up. Siddharth Gadekar: Now are we carrying any high-cost inventory again into the first quarter or how should we look at it in terms of thermal coal and in terms of coking coal and iron prices going ahead now on a consumption basis?

Bimlendra Jha: In the first quarter we are fortunately not carrying high-cost inventory. In fact, if at all there has been some respite from there. But overall, you will see that we are in a bit of choppy waters right now with respect to prices. I'm sure that Odisha Mining Corporation we will see the light and they will try to adjust the prices downwards now. But nobody knows what they would do.

Ramkumar Ramaswamy: And as we mentioned we don't give forward guidance on these prices because things have been changing quite a bit. We would not give any forward guidance on how it is looking for this quarter.

Siddharth Gadekar: In terms of our pellet capacities, we were expecting to commission I think so almost 12 million pellet capacity this year. In terms of our utilization is it fair to assume that we could be at 100% capacity utilization by next year end or it will take even more time?

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Bimlendra Jha: Our first pellet plant is under commissioning which is 6 million tons, another 6 million tons would be commissioned almost concurrently with our blast furnaces when they come up, the second blast

furnace is concerned. That is why it is towards the end of the year that we are expecting all that. But this one would be sufficient for our requirements right now at 6 million because that is what is our current capacity.

Moderator: We take a next question from the line of Rajesh Majumdar from B & K Securities.

Rajesh Majumdar: I just had two questions. You said you have taken inventory write off. Is that the correct word used, of 200 odd crores in Q4? What exactly is an inventory write-off? I mean I can understand mark-to-market inventory losses which can be again come, what is the inventory write off exactly we're talking about?

Ramkumar Ramaswamy: These are both write offs and write downs. We've been having old inventory for various products. It could be your gran-shots, it could be your slag or it could be your fines etc. It's a combination of HG and RM. Based on our assessment of the realizable value we have decided to write down some of them and write off some of them.

Rajesh Majumdar: The total impact of the write down is 200 crores, is that correct?

Bimlendra Jha: Write down and write off put together is 250 crores approximately?

Ramkumar Ramaswamy: Yes, that is right.

Rajesh Majumdar: The asset impairment of 250 crores is pertaining to which of the Australian subsidiaries?

Ramkumar Ramaswamy: That is Australia.

Rajesh Majumdar: Which one?

Bimlendra Jha: Wollongong.

Rajesh Majumdar: On Wollongong, as per the auditor's remarks is there more payment likely to be taken there?

Ramkumar Ramaswamy: See this is an ongoing assessment that we will have to do. We do an ongoing assessment of the realizable value and the carrying cost. And of course, as you are aware the Australia business has not been delivering the value that it is supposed to deliver. We will reflect these on an ongoing basis is what I would like to say.

Moderator: We take a next question from the line of Sumangal Nevatia from Kotak Securities.

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Sumangal Nevatia: The first question just the clarification on what Amit was asking on the coal blocks; we said that the last clearance is pending. I mean is it across the four mines which we have or are we talking about a particular mine? If you could just share the level of approvals across the four mines.

Bimlendra Jha: Now we are talking about Utkal-C which is our first objective and Utkal-C is the main one that gives us almost entirely our requirement of thermal coal for Angul which is for DRI coal gasification as well as for thermal coal requirements. We are talking about that.

Sumangal Nevatia: If you could just share where are we in terms of the commissioning or the approval process for the other mine?

Bimlendra Jha: The moment we get the clearance our shovels will be in. Every thing is lined up.

Sumangal Nevatia: So broadly do we expect these approvals to come in this year for all the four mines or only Utkal-C is in advanced stage?

Bimlendra Jha: The Utkal -C, we are expecting within this quarter anytime. Anytime means it can be anytime from today onwards but when it will be is only powers that be they know. The other one that we are talking about is Gar e Palma which is also in a very advanced stage. Again , we are very close but it is not closed till it is not close d.

Sumangal Nevatia: My second question is with respect to our hot s trip mill and blast furnace. So , I mean what sort of volume can we expect when we are looking at commissioning towards the second h alf in this year?

Bimlendra Jha: You're talking about blas t furnace?

Sumangal Nevatia: Yes. Angul blast furnace and also the hot strip mill.

Bimlendra Jha: Before blast furnace, we will be first starting with our hot strip mill and the slab caster. Our capacity , as I had explained it maybe in the last analyst's presentation was that we are doing it

in a sequence where we make maximum money. The very first in the sequence was the pellet plant. The second in the sequence was coming to be coal mine. The third in the sequence was coming to be the slab caster and HSM which is a combined thing and then c omes the blast furnace and the steel making related to that as well as coke ovens. In the meantime , almost in parallel the downstream of the hot strip mill will come up. This is a sequence . Now this sequence 1 or 2 months here or there. But w e are on track with respect to the entire sequence.

Sumangal Nevatia: We continue to expect this blast furnace commissioning in third quarter of this financial year.

Bimlendra Jha: That will be towards the end of the financial year as far as blast furnace commissioning is concerned. As far as hot strip mill is concerned thi s should be ... you can expect it into the third quarter in the current financial year.

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Sumangal Nevatia: Just one last question on the volume , we are at 9.6 million tons of capacity on crude steel basis. But t his year we've done 7.8. So, s hould we expect , I mean what sort of growth should we expect in FY24?

Bimlendra Jha: This is forward looking statement that you are asking as we never give the forward -looking statement s.

Moderator: We take a next question from the line of Indrajit Agarwal from CLSA .

Indrajit Agarwal: Two questions. First can you help us understand how much is the remaining project CAPEX on all the expansion projects and how we should see it split between '24-25?

Bimlendra Jha: On Project C APEX can you please repeat the question?

Indrajit Agarwal: How much is the remaining Project CAPEX now?

Bimlendra Jha: The remaining project CAPEX.

Ramkumar Ramaswamy: We are evaluating the entire slate of projects that we have on our drawing board. We are loo king at trying to make some changes to the configuration as well as we see and we expect these to get finalized over the next few weeks or so . We would also have to take into account some of the CAPEX like mine CAPEX etc. that we have not shared before. Ma ybe over the next few weeks we will be in a position to share a more definitive view of our total C APEX slate and what we expect to see during this year. I would only request you to wait for the next few weeks after which we can give you more definitive nu mbers.

Indrajit Agarwal: My second question is we talked about revisiting the capital allocation policy during fourth quarter earnings. Any update on that?

Ramkumar Ramaswamy: Yes, as I mentioned the next few weeks the capital allocation policy including the C APEX program for the next 3 years , all of that is under finalization and review and we expect to share that with all of you over the next few weeks.

Indrajit Agarwal: Lastly if I can squeeze one more ; when do we decide on the Australian asset becaus e this has been a drag for several quarters now and we have been taking write offs on that and now there is a growing concern on Wollongong asset as well. What are we thinking on that and what kind of decisions can we expect on that?

Bimlendra Jha: As far as Wollongong resources are concerned , we do see it as a valuable asset. It is not as if it is disappearing a nywhere. It has had its own challenges but there are actions being taken on the ground to make sure that the asset starts becoming breakeven and then has a possibility of giving better quality of coal. As we are focusing our efforts in that direction , we are quite confident that within a couple of quarters we should be seeing positive reports from that side. That is where

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we are as of now. We are not able to say with certainty to you that this is the amount of money that we'll make or anything like that but it has probably seen its bottom.

Ramkumar Ramaswamy: I wou



Id only like to add that the asset has not been delivering the right return. The same question that you asked we are also evaluating all of the options to see what do we need to do. But our first effort is always to see how we can make money and I think that is where our current focus is from the Australian asset.

Indrajit Agarwal: What was the cash burn on that asset in FY23?

Ramkumar Ramaswamy: I will ask Vishal and team to share exact details maybe after the call.

Moderator: We take a next question from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta: Just a clarification on the coal block again, in terms of you had indicated 3.5 million in mining plan. Is it for Utkal -C and Gar e Palma both together for this year or is it related to one particular mine?

Bimlendra Jha: This is for Utkal -C only.

Kirtan Mehta: Would you be able to indicate similar mining plan for Gar e Palma and the other assets which could also probably come sometime during either this year or the next?

Bimlendra Jha: I'll intervene in between. I am just trying to get that number. I don't have it on the top of my head. I'll get that number and during the call I'll tell you.

Kirtan Mehta: One more question was about you have been reviewing some of the internal practices and we have taken some of the write off in the overseas mining subsidiaries earlier. We are again taking some more additional area this time as well. We are also reviewing the C APEX plan again for the comprehensiveness as well. I just wanted to understand from the management side that which are the areas which you have reviewed so far and feel comfortable about and which are the areas where there is a still review ongoing apart from the overall C APEX plan?

Ramkumar Ramaswamy: Maybe I'll give a few comments and I'll ask MD sir to comment. I think the review is an ongoing. I think in any business you will have to be constantly reviewing all of this. Some of these write-offs, write-downs, etc., my belief is that we have done most of it as we speak because if we had anything further to do it we would have reflected in this quarter's results itself. It's not that we have a much larger slate and we are trying to drip feed these on an ongoing. That is not what we are doing. Whenever we recognize that there is a potential issue in realizability, we take the impact in that quarter. As far as the impairment of our overseas loan was concerned, we have taken a full and final position last quarter itself where we had done the impairment provision. There is no further addition to that or no further change to that. The 245 crores of impairment that we saw this quarter is a provision that has been taken by our Australian subsidiary. These

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are not moving pieces in our view. We have taken a final provision as far as impairment is concerned for the loans that we have given to our Australian subsidiary and these inventory value, write downs, write offs of some of the old capital projects, I think as we speak whatever was having issues in terms of realizability, I believe we have taken the impact in this quarter.

Bimlendra Jha: I think I must compliment the analyst community that you get your numbers almost entirely right. If these adjustments were not there you would have got your consensus estimate would be the EBITDA estimate probably. We are also not very happy with continuing to require all these things. We have taken this big provision after due diligence which was through the external agency's recommendation. We have made a very transparent call on this in the last quarter when we announced the results. We don't have any of the foreseeable ones but still the market is cyclical. Nobody ever makes definitive statement around that. Mr. Mehta I'll take this opportunity to also answer about Gar e Palma, there also we have taken this mini

ng lease

permission in the range of 3.5 -4 million tons per annum.

Moderator: We take a next question from the line of Amit Dixit from ICICI Securities.

Amit Dixit: A couple of questions again from my side. One is that you mentioned in your opening remarks that DRI plant had an unplanned shutdown. So, is it working all right now? I mean what is the capacity utilization currently at DRI plant?

Bimlendra Jha: Yes, the DRI plant had taken an unplanned shutdown. It had certain issues with certain heat exchange r etc. which is there has been currently some more work that has been done over there.

I think we should be in a good position now. Now the DRI plant has again started well and this is working well now.

Amit Dixit: One question on your rail mill, last time you indicated that there is another, this plant was setting up another rail mill. Now what we are facing in the country is an acute shortage of wagon wheels also and only SAIL produces them so far. Any chance of you entering this particular business?

Bimlendra Jha: We don't have right now the plans but we would look forward to very keenly if there was any opportunity. There is already capacity that is there sitting with R INL and we believe that they can do a good job of it, their Lucknow, Raebareli facility that is there. It is adequate for India. It is just that they have not been able to so far commission it. We wish them all the luck because if that plant gets going, I don't think that there'll be a shortage.

Amit Dixit: A final one sir on demand. I mean we have been hearing about the demand being soft in certain parts of the country particularly for long. How do you see this demand panning out in next couple

of quarters? Due to pre-election do you see some kind of softening of projects? How do we read into it?

Bimlendra Jha: I would say that if you look at the PMI, there are two countries amongst the major economies in the world that have got a positive trajectory on PMI month after month from February '23 to

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April '23. And one is US another is India. In India that PMI has gone up from 55 to 57. In US it has gone up from 47 to 50. Every other major economy it is going down. As far as purchasing managers index is concerned that is already a positive story that is visible. We have also seen that the wholesale price index has come down to a negative territory now. There are anti-inflationary pressure in the economy which means that there should be hopefully some more — thanks to the elections etc. — we do expect the expenditures to go up on the macroeconomic basis. What has happened is though that the China story has not unfolded the way the world expected and as a result there has been some uncertainty around the world as far as steel prices are concerned particularly the HRC benchmark. Now as a result of that people may be holding back but fortunately customers are not sitting on huge inventories, so they can't hold back for long. But it is a good practice anyway to not hold because that creates an artificial demand. We are happy with the demand that is genuine and creates a pull into the economy. We are not seeing any reasons to worry as far as India is concerned. As far as exports is concerned there are opportunities that continue to be there across the globe but more particularly in Europe. We don't see it as a matter of concern but in the steel industry nobody has a great crystal ball and we need to always be mindful of the fact that it is a cyclical industry and small cues can result in big changes. Given that caveat I would say that we have a more positive outlook from an India perspective.

Moderator: We take our next question from the line of Vikash Singh from PhillipCapital.

Vikash Singh: Just pertaining to again your inventory write downs. Given that this quarter we have seen the net realization going up as in

your comments that the iron ore cost was also higher. This is essentially entirely on the coal write downs or there's something else to it?

Ramkumar Ramaswamy: No, I think as I mentioned this is a combination of several finished goods and raw materials. So, they were old gran-shots, there were some iron ore fines. I think it's a combination of several items which we thought would not have the full realizability and we have decided to give a write downs for write off to some of these items.

Bimlendra Jha: Also, slag.

Ramkumar Ramaswamy: Slag also.

Vikash Singh: Just adjacent to this basically given the coal has been continuously on a downward trajectory, do you think that the more write downs with respect to coal or something related to that could come in 1Q or we are done with most of the iron write downs?

Ramkumar Ramaswamy: Again, as I mentioned see you have to appreciate this is going to be an ongoing process. Every quarter we will have to assess the realizability of all our items in the balance sheet whether it is inventory or fixed assets. As I said we have full reason to believe that as of today, wherever we had our view that there is going to be an impact to the realizability we have reflected that in our

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financials. So that essentially means whatever is there will be fully realizable. That's our assessment at this point of time.

Bimlendra Jha: As a practice one shouldn't be having a book value higher than the realizable value and that is the ongoing good business prudence and fiscal discipline that companies need to have. That is all that our CFO is saying.

Ramkumar Ramaswamy: Yes.

Vikash Singh: I was just a little bit confused because since if steel prices are going up or even iron ore prices are up, how can be a certain portion of fines has to be a write down. That is something which was baffling us?

Ramkumar Ramaswamy: These were not in a usable condition maybe that is how I would put it.

Bimlendra Jha: I will explain that to you. I hope if you have seen a steel plant particularly the raw material yard sometimes what happens is that even though you keep on storing the quantity at the bottom it becomes almost unextractable, it becomes part of the ground. When we do the inventory valuation, we see the usability of these assets and we take a call. It has become almost like the surface on which the material is stored. These are small calls that have been taken. In the large scheme of things these are small numbers. I would say that it is just a prudent assessment. All the audit of stocks that is regularly undertaken and this is taken on that basis.

Ramkumar Ramaswamy: Indeed, and it's a combination of several items. As I mentioned it's not just iron ore it is slag

inventory, it is iron or fines, it is Panther Shorls. Several items is what I would say.

Vikash Singh: My second question regarding our debt. Given we have an aggressive CAPEX plan do you think that our debt would increase from current levels going forward and what kind of the peak debt levels is acceptable to company?

Ramkumar Ramaswamy: As we have been maintaining, our policy is to be lesser than net debt to EBITDA of 1.5 X through the cycle. I think that is our policy that we've been constantly maintaining. We are currently at around 0.7 or so and clearly as we have mentioned earlier for JSO we have signed up for around 15,700 crores of debt. We have not drawn down anything so far. All of this has been funded through our internal approvals. As the EC gets approved, and once we are in a position to draw down, we will definitely start drawing down on the sanctioned debt. I would again like to repeat that we would definitely want to operate in the 1.5X net-debt-to-EBITDA through the cycle.

Bimlendra Jha: Just to clarify it again it is best that we understand our objective as well as a

previously stated

position on zero net debt. As far as JSP is concerned we are well on our way to move in that direction. As far as JSO is concerned it is a new entity that has been created as a fully owned subsidiary and most of the debt will potentially reside over there. Balance of things, up and down, keep on happening working capital will keep on happening but this is the direction of Jindal Steel & Power

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travel. Now we have also stated our growth ambition that we will try to be the largest steel producer at a single location in Odisha etc. We will constantly evaluate those investment opportunities, any acquisition opportunities and therefore we want to keep our gunpowder dry and we want to remain disciplined about the amount of debt that we would like to tolerate and that tolerance level has been defined as 1.5 x. Now obviously with the cyclical industry that X can change but even through the down cycle we don't want to violate this 1.5X. So now you can do your math on the subject and see where we will go.

Moderator: We take our next question from the line of Ashish Kejriwal from Nuvama Institutional Equities.

Ashish Kejriwal: Two quick questions. One is in volume because we already are 9.6 million tons for long but still unable to achieve that capacity. So is it because of demand and because last year we have seen lots of issues regarding transportation and other things. Is it demand led or supply led and if its supply led when do we expect to reach optimal capacity of these 9.6 million tons?

Bimlendra Jha: Yes, so first of all the 9.6 million tons capacity that is there is an upstream capacity. It is not full capacity as of now in terms of the finished goods. This is at a metallics level that we have this capacity. Secondly there have been challenges in the past about the availability of coal etc. for operating our CGP -GRI completely which is now as you are aware that with Utkal -C opening up that won't be a constraint at least. So, we would be increasingly utilizing this capacity but the ability to utilize this capacity also comes in temporarily from the slab casters coming on stream before the blast furnaces come on stream. So, there is an opportunity where the metallics will no longer be a constraint. Metallics will eventually become a constraint all over again simply because there will be so much of pull from the downstream units. One of the reasons why sometimes we choose not to produce something is because it may not make sense from a commercial angle. Sometimes of course there are blips in the supply chain particularly transportation etc. So usually, these combinations of factors work but as far as our capability to utilize the metallics is concerned, I think very soon we will have a metallics constraint which means we may end up buying metallics.

Ashish Kejriwal: My question remains the same. When can we expect the optimum capacity utilization of these 9.6 million tons?

Bimlendra Jha: The optimum capacity utilization should be when we open the hot strip mill and slab caster that will be the most optimal time for capacity utilization at metallics level.

Ashish Kejriwal: Second question is you mentioned in your opening remarks that the CAPEX we have done around 5,800 crores CAPEX this year whereas in presentation or in our cash flows it shows around 6,448. I was just wondering are we referring the different CAPEX numbers or something which I'm missing?

Ramkumar Ramaswamy: Again, I will maybe request Vishal and the IR team to give you the if there is a different set of numbers, they'll clarify with you.

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Bimlendra Jha: But I think the reason why you are looking at two different numbers is because of consolidated versus standalone. So, we'll give you that clarity.

Ashish Kejriwal: I doubt because in standalone it's 2,400-2,

500 crore s only. Can't be because in standalone we are not doing much of CAPEX. All CAPEX is done in the new 100% subsidiary. So, I will check from Vishal.

Ramkumar Ramaswamy: Yes please, the team will clarify to you .

Ashish Kejriwal: Lastly an Australian s subsidiary yes, we have been saying a lot about it for last 1.5 or 2 years and giving different guidance every time but I don't know whether we are investing a lot in that to ramp up that capacity or is there any operational issues which we are unable to solve because 1.5 years we have not reached to even 50 %-60% of what we promised. What's the actual issue which we are trying to address and that will help us to achieve a million ton s run rate?

Ramkumar Ramaswamy: Maybe first I'll clarify a couple of points and then I'll ask MD sir to maybe respond to your other question. Firstly, we have not been giving different guidances on Australia. We've been consistently maintaining that it is not realizing the desired returns and that is precisely the reason we have taken an impairment provision in the last quarter. So, I'm not sure why you're referring to different guidances. That is number one. Number two as we mentioned just now our first priority is also to see how we can turn it around and how we can make it profitable. So, towards this we have also said that we might be making small CAPEX s to the extent of \$10-15- 20 million but nothing substantially. If with this we are still not seeing the desired results then we will review and look at what are the options available here but I just wanted to clarify a couple of these points but I'll request MD sir to maybe add on to what are the kind of actions that we are looking at.

Bimlendra Jha: Yes, so first of all your question is pertinent that what is it that is happening in Australia? What is happening in Australia is a combination of factors. There was , one was that there is an operational aspect where there has been some streamlining done. Even the shift level changes have been made , some mining faces that were not giving returns have been stopped versus some other faces , we are working on that. There was an issue with the Multibolters that is being resolved. There is a FGX that is being installed. But these are not big CAPEX items. These are small CAPEX items and in the scheme of things and we will be very soon hopefully within a quarter or so we should start seeing the result of all the actions combined together to start giving better results.

Ashish Kejriwal: Lastly if I heard correctly, you said that we don't wish to violate 1.5X net -debt-to-EBITDA even in the down cycle or any of the mid -cycle, mid -year also, that's right?

Ramkumar Ramaswamy: Yes, 1.5X net -debt-to-EBITDA through the cycles is what we mentioned. This is what we've been consistently maintaining.

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Ashish Kejriwal: There was a down cycle also.

Bimlendra Jha: Even in the down cycle I would n't like to violate 1.5 x, I did say that and I'm sticking my neck out of it saying that yes, we'll do it.

Moderator : We take our next question from the line of Ritesh Shah from Investec .

Ritesh Shah: Pardon me for a bit of my ignorance. I just wanted to understand the timeline. So, in this quarter we have taken this depreciation thing of around 269 crores at the Australian sub. In the prior quarter we had an impairment provisioning of nearly 7,700 crores of the 60% of total investments in further loans and advances. I just wanted to understand the sequence of timing. How is it that we did the impairment provisioning before it was done by the Australian sub? So, one is why the timing mismatch and secondly if I had to read across, we had provided for this quantum does it necessarily mean that incrementally we'll go and write off this particular amount? That's the first question.

Ramkumar Ramaswamy: I think you will have

ve to differentiate both of this. The provision that we had made in the previous quarter that you're referring to was for the investments that JSP had made in its subsidiary JSP Mauritius. The provision was for that. The impairment that we are talking about this year is an impairment provision that has been done by the Australian entity based on their standalone assessment of the realizability of the value. They are two different things. I think we are talking of two different entities over here and they are two different things. I think it is important for you to understand and appreciate that.

Ritesh Shah: These are two separate entities that we are looking at. I understand the structure JSPML and the n basically we have the Australian entity but to my understanding we are talking about the same underlying asset which could be Wollongong or something else in Australia. Please correct me if I'm going wrong.

Ramkumar Ramaswamy: No, you're absolutely right . It is the same underlying asset. The first impairment was in the books of JSP India related to the investment that made in Mauritius and what we are talking about now is in the books of the Australian business for reflecting the correct carrying value.

Ritesh Shah: I have more questions for there. I'll speak with you. My second question was I understand JSPL, the company had a tolling arrangement with Jindal Stainless. They had some spare capacity on hot strip mill. I just wanted to understand how much was the tolling volumes and how much we

used to pay Jindal Stainless on a per ton basis? The reason to ask is basically once we have HSMs probably in Q3 what you indicated that would be something which will also incrementally accrue to us?

Bimlendra Jha: Currently we are doing nil. It is opportunistic market, opportunistic time. When hot roll coil prices were going through the roof there was a big opportunity; we would do the toll rolling at Jindal Stainless. When my slabs can fetch better realization than that then I sell my slabs because Jindal Steel & Power  
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I have got the surplus capacity today. It has got nothing to do with when I have my hot strip mill. When my hot ship mill is there, it operates full out to the extent that metallics are available.

Ritesh Shah: But on FY23 basis any numbers on volume stood and how much we paid on a per ton basis to them?

Bimlendra Jha: That would become a forward -looking statement and I would avoid it.

Ritesh Shah: I'm saying on a backward -looking, actual number FY23, actuals?

Bimlendra Jha: FY23 actuals I'm sorry my reading was that going forward. The question was FY23, what is the question?

Ritesh Shah: How much did we toll by Jindal stainless HSM that is a tolling volume and how much did we pay to them on a per ton basis? I'm just trying to understand that this would be an incremental saving which would come to us when we commission our own HSM?

Vishal Chandak : We will take this offline, post the call.

Moderator : We take our next question from the line of Arijit Dutta from Kotak Mutual Fund .

Arijit Dutta: Two questions starting with the new capacities that is coming. Last time in Angul Phase 1 what I remember that we struggled to ramp up the capacity. It took quite a bit of time and pain to ramp up. If you can throw some light at what are the learnings from that one and how we are expecting this slow ramp up will not happen this time?

Bimlendra Jha: Hopefully we have improved as management. That is all I can say. No, the learning on any ramp up is that whether the readiness is there for the full ramp up or not, as far as hot strip mill is concerned, we are working on a full ramp up and the plan is in such a manner that when we start, we start with a full capacity to the extent that metallics are available. So, to the extent of the mismatch between the metallics availability and the capacity of the mill obviously t

he mill

capacity is much higher compared to the spare metallics that we have and therefore we would be ramping it up in proportion to the metallics that we have available.

Arijit Dutta: Well, my question was more so like last time that made was from a different supplier say Chinese kind of thing which we have avoided this time and that's why we think that this time things are a bit different?

Bimlendra Jha: What supplier? I couldn't understand your question. Last time what happened?

Arijit Dutta: Last time some supplier issue, some product quality issue which we have not purchased, procured from a better supplier kind of thing. Anything from that part which you would like to emphasize this time to have a better surety on the ramp up? Is it both of bit.

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Bimlendra Jha: You give me your assessment on SMS as a supplier, as far as hot strip mill is concerned. We have gone to the best. You give me an assessment of Danieli as a supplier as far as caster is concerned, you give me your assessment on Metso as a supplier as far as a s pellet plant is concerned. We have not gone to the people who do not know their jobs.

Arijit Dutta: The second question is more like feedback that you are getting from your sales team particularly on how the market is shaping up now. Not a forward -lookin g statement but what is happening currently especially as the coal prices are moving down, Indonesian coal strips are available at a cheaper price. The secondary DRI based capacity is ramping up at the same point of time there are liquidity issues. What yo ur marketing guys are saying is there a pressure on the prices and the inventory level is moving up in the system. Any color on that side?

Bimlendra Jha: Arijit have you met a marketing guy who ever says that prices I can get much more? They always tell yo u that competition is not pricing...

Arijit Dutta: On the competition?

Bimlendra Jha: There is definitely a bit of inventory in the system. If you look at all the major steel players inventories, there is inventory in the system and that is something that we all need to recognize. But a more elaborate answer I gave you earlier on the basis of the PMI which is positive so the outlook is positive. There may be a short -term issue of March inventory is still not getting washed out of the system or some players si tting on high inventories and therefore taking a different kind of a pricing action. Those are things that keep happening in the market and it is almost an annual phenomenon. You can take a call based on what collectively the players are

thinking and deciding and this is a bit of a game theory so let's leave it at that but as far as marketing team is concerned it is far more important to look at procurement managers indexes as a sign of confidence.

Arijit Dutta: My worry was bit more on the liquidity side and we are heading towards monsoon at the same point of time inventory is there, DRI players are ramping up. So how things are shaping up some confirmation from you ?

Bimlendra Jha: No, I understand your question and I think we have given you that answer.

So, it is already 7 O' clock. We would like to take one last question if at all otherwise we would like to close the call.

Moderator : We take our last question from the line of Alok Deora from Motilal Oswal .

Alok Deora: One is on my export we have seen a pretty decent jump from 5%, it's now nearly 11% of the volume. But off late we have seen a pretty sharp correction in prices specially in global market. I'm not really asking a very specific number but do you think the export could kind of be subdued ahead in FY24 specially in the first half?

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Bimlendra Jha: For me I have always maintained that export is done for two reasons. One is that we have existing customer relationships that have to be maintained.

Now unfortunately the Government of India decided otherwise at some point in time and those relationships were broken and people's supply chains got shifted a bit. There is an effort at re-establishing some of the good customers relationships as a matter of continuity. The second reason for export when volumes really move in either direction, it is because of a demand supply gap. Now last year, the last financial year, the consumption in India went up by 12% whereas the production went up by 5% or 6%. Now that tells you that even if people had opportunities for export they would have probably supplied in domestic market, any serious player would have done that. We do not see exports as the mainstay of our business. We want to maintain continuous but flexible presence in exports and we want to maintain the continuity with those with whom we are having a fruitful long-term relationship. That's our view on exports. Opportunistic exports can always be done and sometimes just to relieve pressure on the domestic system we use exports as a pressure release valve.

Alok Deora: Also, just coming back to one point on the depreciation side which is much higher on a QoQ basis. You mentioned about that one impairment which you have taken. So, going forward it is roughly 600 crores, a quarterly run rate would kind of continue or any color on that, on the depreciation side how much that could be going ahead?

Ramkumar Ramaswamy: The 600 crores that you are referring to is our current ongoing run rate based on what we have in our balance sheet. You would recognize that we are also embarking upon a capital expansion program. Some of these as the program comes online, some of the assets start getting capitalized. The run rate will of course change but otherwise still such time it is fair to assume that the current run rate that you mentioned would you will see for the next few quarters.

Moderator : Thank you. Ladies and gentlemen that was the last question. I would now like to hand the conference back over to Mr. Amit Murarka from Axis Capital for closing comments. Over to you sir.

Bimlendra Jha: Just to give you the closing comments on the subject. I think it is the world is not in a very stable state but India is on a growth trajectory. So, these are the two opposite forces that we need to be mindful of as we look at the steel industry but we are quite bullish about the steel industry in India. We do believe that there is, apart from small blips here or there, steel industry has a strong future and it is good to back this industry. Also, we believe that this is the right quarter for improvement from the perspective of demand. However, that demand may have been little subdued due to the pressure of March that we have seen so far or the inventories that may be with some of the players. So other than that, we do not have reasons to worry. India's growth trajectory also indicates that this year there is likelihood of, in this calendar year there is a likelihood of 8 million tons of demand addition which is also supposed to carry on in the next calendar year. So, 16 million tons of demand coming within a period of less than 18 months or so is what is expected. We can all take our call based on some of these projections. These are all

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World Steel Association consensus projections. So, we can rely on these and based on all these numbers I think companies that are engaged in construction activity and also, we are seeing a better uptick in auto, in yellow goods, in white goods. I think there are a lot of positives to draw on the fundamentals and let's stay positive as far as the steel industry is concerned. Thank you very much for your time.

Moderator : Thank you very much sir. Ladies and gentlemen on behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Jindal Steel & Power  
Q1 FY2024 Earnings Conference Call "

August 11 , 2023

ANALYST : MR. AMIT DIXIT – ICICI SECURITIES LIMITED

MANAGEMENT : MR. BIMLENDRA JHA – MANAGING DIRECTOR – JINDAL  
STEEL & POWER  
MR. RAMKUMAR RAMASWAMY – CHIEF FINANCIAL  
OFFICER – JINDAL STEEL & POWER  
MR. VISHAL CHANDAK – HEAD INVESTOR RELATIONS –  
JINDAL STEEL & POWER

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2024 Earnings Conference Call of Jindal Steel & Power . As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal for an operator by p ressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Dixit . Thank you and over to you Sir!

Amit Dixit : Thank you. Good evening everyone and thanks for joining the call today. At the outset I would like to thank the management for giving u s an opportunity to host the call. From the management we have today Mr. Bimlendr a Jha, Managing Director , Mr. Ramkumar Ramaswamy , CFO, and Mr. Vishal Chandak , Head IR. Without much ado I would invite Vishal to take this ahead. Over to you Vishal !

Vishal Chandak : Thank you Amit. Good evening everyone and thank you very much for joining us on the Q1 FY2024 earnings call briefing for Jindal Steel & Power. So we will not take much of a time and I will request our CFO, Mr. Ramaswamy to start the presentation with a quick overview and then we will follow with the Q&A. Over to you Sir !

Ramkumar R: Thank you Vishal. Prior to getting getting into the operational and financial performance, I would like to start with a few re cent highlights that we have just announced. We have announced the commissi oning of the pellet plant in Angul . We have announced a receipt of mining leases for Gare Palma IV/6 and Utkal C and we have also received the G reat Places to W ork certification, s o all of these would be part of our current quarter's announcements and we are very, very happy to share these with all of the investors . We can share further details about this during the Q&A.

Let me now give you an overview of the operational and financi al performance. Our sales volume during the quarter was 1.84 million tonnes, which is 9% lower Q-o-Q primarily driven by weaker demand o wing to seasonality factors. The sh are of exports during the quarter was 10% broadly in line with the last quarter. The production for the quarter was 2.04 million tonnes which is a 1% growth Q-o-Q. Both the plan ts Angul and Raigarh produce in line with the last quarter.

Let me now talk about the realizations. Our domestic sales realizations remained soft during the quarter . However, with an improved export realization and mix our overall realizations increased by 2% quarter -on-quarter . We are continu ing to experience softness in realizations in th e range of around 5% and we have to see how it plays out during the quarter. Our SM S cost increased by 2%



primarily driven by higher cooking coal prices ; however, this was offset by higher captive iron ore volumes from our mines and the overall costs were lower by around 2%. As per practice we do not provide any forward looking guidance on numbers for the subsequent quarters. Our adjusted consolidated EBITDA for the quarter is Rs.2704 Crores . This is primarily driven by lower costs offset by lower volumes. Our overseas EBITDA for the quarter was Rs.39 Crores . On a consolidated basis our PAT has improved Q-o-Q from Rs.466 Crores to Rs.1692 Crores primarily Jindal Steel & Power Limited  
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driven by EBITDA improvement in our India operations. You would of course note that there were one-off items in the last quarter.

I would like to give an overview on the cash flows and debt. We had opening cash balance of around Rs.4700 Crores . During the quarter we had operational cash flows of approximately around Rs.2250 Crores . This is after a working capital build up of around R

s.400 Crores during the quarter .

During the quarter we had a total capex of around Rs.1900 Crores primarily in Angul . From a financing perspective we repaid Rs.2300 Crores of our loans and we also took fresh loans as part of a refinancing programme to the extent of around Rs.1074 Crores . Our closing cash balances at a very healthy level of around Rs.3800 Crores . Our consolidated gross debt is Rs.11484 Crores and our consolidated net debt is Rs.6812 Crores with a net debt to EBITDA of 0.75. You would also have noted that the pledge NDU on promoter holding which was part of the debt covenants they have now been released as part of our overall refinancing programme . With this I would like to hand over to Vishal for Q&A .

Moderator: Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question comes from Indrajit from CLSA . Please go ahead.

Indrajit: Thank you for the opportunity and congrats on a good set of numbers. My question is on the capacity expansion schedule that we have given in figure 14 so there is again a couple of quarters actually more than that delays in most of the capacities two to three quarters delay further and moreover we are seeing a change in configuration I do not see the electric arc furnace anymore and a new BOF has come up BOF3, so the question is twofold one what is driving the delay and what is the confidence that the new timelines will be adhered to and second if there is any change in configuration versus what we had earlier expected?

Bimlendra Jha : Sorry , just one moment. So instead of EAF you are seeing BOF3 over there that is what you are looking at right ?

Indrajit: That is one question and the delays these are the two questions?

Bimlendra Jha : There were some delays in the environmental clearance and other things so there is a bit of a delay that took place as a result of that . We are trying to pull back as far as possible but given the rains and all that we are not able to make that much of progress as we would have anticipated so these are anyway very aggressive timelines and I think we have given a slightly more relaxed timelines over there, although we are still working to a tighter timeline to meet early .

Indrajit: Sure this is helpful and on the BOF3?

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Bimlendra Jha: Yes, so this BOF we are anyway planning along with the blast furnace 2 that expansion and we are still looking at this DRI 2 that is there so it is one of the BOFs will come faster and the other one is on a slower timeframe so if there is any change on that one we will let you know.

Indrajit: EAF also we are pursuing?

Bimlendra Jha: It is an option. It is an option between the BOF3 and EAF because of DRI 2 that option exists.

Indrajit: Alright but that does not change any of our capex guidance right?

Bimlendra Jha: No. The capex guidance does not change. It is just a question of some thought process that is still there on BOF versus AOF .

Indrajit: Sure thank you. That is all from my side.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital . Please go ahead.

Amit Murarka: Good evening. Just wanted to understand the realization performance better so clearly the realization has been a bit out of line with how market prices are behaved so could you just quantify how much of benefit was there from these higher priced exports as you mentioned in your opening comments ?

Ramkumar R: As I said overall the India realizations continue to remain soft. So I think that is something that we are also seeing but given the overall mix and the improved exports, so in exports we are roughly seeing around 8 % to 10% delta over our domestic

c prices. Had that been taken in totality we saw a slightly improved realization but the domestic India realization is weak .

Bimlendra Jha: Let me give you the numbers to put it in context. If we consider Q1 of last year to Q4 of last year just the India realizations had declined by 11% from 68390 to 60600 from that level it has been relatively stable but marginally down by about 1% and it is now at 59961 so that was the kind of number which was there .

Amit Murarka: Even in this current quarter we have seen further decline in rebar prices so like is it fair to assume that the drop in realization would be sharper than the realization the drop in your realization would be sharper than the fall in rebar because that higher priced export contract benefit will not be available in the second quarter ?

Ramkumar R: As I ha d indicated we are seeing softness in our reali zations approximately around 5% on a quarter - on-quarter basis, b ut again this is too early to kind of comment on how it will play out. We are constantly looking at how the mix can be improved and let us see how it plays out during the quarter .

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Amit Murarka: Also the co al blocks could you just help us understand how will the ramp up be on that 7.4 M T volume ?

Bimlendra Jha: So there are still many a slip between the cup and the lip s because we have got the mining which is registered, b ut that is not the only legal hurdle there are several other permissions and every day is a struggle to get those permissions , but we do hope that within this quarter we will be able to start our mines .

Amit Murarka: Any planned ramp up schedule?

Bimlendra Jha: You know as soon as we hit the c oal we will be ramping it up based on our ability to get into the mine first.

Amit Murarka: Sure. Thanks. I will come back in the queue.

Moderator : Thank you . The next question is from the line of Bhavin Chheda from Enam Holdings . Please go ahead.

Bhavin Chheda : Congratulations on great set of numbers. Sir the raw material costs have declined on quarter -on-quarter basis so can you give some highlight of how much iron ore and coking c oal and thermal coal was down ?

Ramkumar R: I do not think we will be able to share the exact details at this point of time, but as I said our SMS costs increased by approximately 2% prim arily driven by higher cooking coal prices ; however, during this quarter we had a higher active iron ore from our Tensa mine and therefore the overall costs were lower by around 2%. Last quarter we had kind of stopped the mining because we accelerated the mining from our capital min es in the last financial year and therefore last quarter it was a much lower volume so this t ime we had a much higher volume, but in overall level o ur cost s were lower by around 2 %.

Bhavin Chheda : Thermal coal would have also declined, right ?

Ramkumar R: That is right, b ut thermal co al prices of course the option prices are all reflecting a decline and we will start seeing the benefits in the Q2.

Bhavin Chheda : As you give guidance of N SR which will be down to 4, 5% for next quarter how will the cost is trending in this quarter?

Ramkumar R: Let me clarify that was not guidance . I have given you approximate view of how things stand as of now . We do not give a forw ard-looking guidance on either N SR or costs.

Bhavin Chheda : If you can guide on how the costs are trending?

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Ramkumar R: As I said we do not provide forward -looking guidance.

Bhavin Chheda : Thank you.

Moderator : Thank you . The next question is from the line of Kirtan Mehta from BOB Capital Markets . Please go ahead.

Kirtan Mehta : Thank y ou Sir for giving this opportu

nity. The question is basically we were planning to undertake the capex view and inform the market about the so rt of the revision in the capex plan, has that been completed and is this change is a part of the same or we are still expecting the capex plan to also evolve at a later date and also apart from the changes that you mentioned we are also not seeing the things like TSCR component present so is that also exist as an option further?

Bimlendra Jha: I think that is a typo. So let us say th at rest of our configuration remains the same.

Kirtan Mehta : Fine. On the review of the capex has it been over or it is still ongoing?

Bimlendra Jha: There is no revision in capex as such to announce, but there is obviously constant evaluation of the opportunities around us that keeps happening. So till the time that we have got any bankable feasibility report or anything else we can not make any announcements.

Kirtan Mehta : Last time what I understand was we had made an announcement about the review being undertaken and plan was basically either to come to the market as soon as it completes so the exercise is still on that is what you are confirming at this point ?

Ramkumar R: We have said that we will share the capital allocation framework but given several ideas that are being considered we have still not concluded that and we will share that the moment it is available for sharing.

Kirtan Mehta : Fine Sir. Anything that you can share on the ideas under consideration at this stage ?

Bimlendra Jha: I will tell you the reason for rethink and everything else is that the world is moving towards more and more green steel and we are looking at options.

Kirtan Mehta : Fine Sir. Thank you.

Moderator : Thank you . The next question is from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.

Sumangal Nevatia : Good evening Sir and thank you for the opportunity. My first question is just continuing on the previous question on this capital allocation framework our annual report also mentions about our plans for cold rolling mill, etc., along with hot strip mill so if you could just detail what sort of Jindal Steel & Power Limited

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downstream opportunities are we evaluating and what could be the mix of finished steel and potential capacity over the next 2 -3 years?

Bimlendra Jha: So we are evaluating these downstream options which include cold rolling, galvanizing, colour coating, etc., so once you put up a 5.5 million tonnes of hot strip mill which is currently our focus to get it off ground then the next obvious thing the downstream facilities , so that is what we are working on.

Moderator : Thank you. The next question is from the line of Vikash Singh from Phillip Capital . Please go ahead .

Vikash Singh : Good evening Sir. Thank you for the opportunity . Sir I just wanted to understand while we have pushed back our capex by a quarter or two are total spending on a yearly basis remained constant so have we added something additional or this is just some typo?

Bimlendra Jha: No, we should be marginally less if at all, but our numbers are more or less similar.

Vikash Singh : Despite the capex being some of the larger capex being pushed back by half a year ?

Bimlendra Jha: See the only thing is that it is the commissioning time. So we have taken a bit of a cushion over there to give an indication as I said that there have been delays that were there in obtaining environmental clearance and all the statutory clearances so to that extent there has been a quarter push in most cases.

Moderator : Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking . Please go ahead.

Pallav Agarwal : Good evening Sir. Sir with the commissioning of the pellet plant will we see more external sales or you will stop procuring from

outside and then what could be the potential cost benefit over it?

Bimlendra Jha: We have not been procuring any pellets from outside anyway, but yes we want to ramp up this capacity and thereafter as a new blast furnace comes in then we will start consuming all the pellets ourselves .

Pallav Agarwal : These are available for external sales ?

Bimlendra Jha: Yes, there will be some amount that may be available depending upon the economics because as you are aware that even though we had the capacity between iron ore prices and pellet prices if there is a positive margin only then you sell.

Pallav Agarwal : Sure Sir and also on the slurry pipeline would it not have made sense to commission that along with the pellet plant?

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Bimlendra Jha: Nobody wants it more desperately than us, but you have to deal with the ground reality of the country.

Pallav Agarwal : Sure. Thank you.

Moderator : Thank you. The next question is from the line of Rajesh Majumdar from B & K Securities. Please go ahead.

Rajesh Majumdar : Yes, thanks for taking my question. Sir sorry to harp on the raw material thing again, but the numbers are not adding up to what you are saying. If you add the raw material position on a Q-o-Q basis it is down nearly 10% not 2% and this is excluding the change in stock just the raw material plus the purchase or stock in trade on a Q-o-Q basis but there is a very, very sharp reduction which does not match in exactly with the numbers that you are saying , now if this is sustainable number or how should we look at this number, if you look at the Q-o-Q position it is down more than 10% actually ?

Ramkumar R : Maybe if very specific details or numbers I would request Vishal to clarify to you separately but as I indicated to you, I think these are the costs that we are seeing our SMS costs have increased by 2% and because of higher captive iron ore prices the overall costs are lower by 2% , but anymore specification details Vishal will be able to share that with you subsequently.

Rajesh Majumdar : Right and for this quarter the cost is going to go up a little bit is it?

Ramkumar R : No, as I said we do not provide forward -looking guidances but given that the same question is being asked several times I can only say that coking coal prices have come down so we expect to see some of the benefit during the current quarter . Coking coal and iron ore prices have also come down.

Moderator : Thank you. The next question is from the line of Pavas Pethia from Aditya Birla MF . Please go ahead .

Pavas Pethia : Sir comparing with your last quarter presentation have we changed the plans for finished steel capacity, there are no things like Caster in this presentation ?

Bimlendra Jha: I already mentioned about the typo there is no change in the plan.

Pavas Pethia : But timeline wise it will be still in FY2025 itself?

Ramkumar R : We will get back to you. As we said there are several of these currently on the drawing board and we are looking at what would be the best configuration for us. If there are any changes to this we will keep you updated.

Pavas Pethia : Sure. Thanks.

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Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities . Please go ahead.

Sumangal Nevatia : Sir the EBITDA of different international business, mining businesses, which is in South Africa, Australia, Mozambique the press release does not mention it , in the past we have always shared those details in the press release ?

Ramkumar R : Given the low materiality to the overall numbers we thought it did not make sense , but if it is helpful Vishal will be able to share that with you separately Sumangal.

Sumangal Nevatia : Got that Sir and just one last thing on this cost is it possible to share what would be our coking coal and thermal coal cost and how is it as on say today not asking forward guidance, but how is 1Q

versus what is the current trend in the market?

Bimlendra Jha: So you already must be watching Platts it is around sorry 247 to 250 level so that is the current level right now.

Sumangal Nevatia : But Sir what would be our cost in Q 1 in our numbers?

Ramkumar R : We do not disclose the specific numbers Sumangal, so you will have to bear with us on this. We do not disclose specific numbers and we do not give forward guidance. So my request to the analysts please not to ask for that because we just want to make sure that this is consistently being followed.

Sumangal Nevatia : Got that. I understand, but just one last thing on thermal coal is it possible to share what is our mix in terms of how much are we using linkage versus reauction or even imports?

Bimlendra Jha: We hardly use any imports, but we are typically more domestic.

Sumangal Nevatia : Linkage and reauction breakup ?

Ramkumar R : I do not think those details are available at this point of time right now and I do not think we have also shared this in the past, so we would be unable to share that one.

Sumangal Nevatia : Got it. Thank you and all the best Sir.

Moderator : Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : Thank you. Just a clarification question on TSCR if there is a typo the finished steel capacity after the expansion still stay the same?

Bimlendra Jha: Yes, the finished steel capacity we are still expecting around the similar level.

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Satyadeep Jain : The Russell Vale mine initially there was expectation on certain costs in over time there were some negative surprise on the ash content and the quality which is some other reason I am getting there is write down also when you are looking at the new mining blocks they are going to commission soon , the quality so far based on what you are saying are you confident that the quality G 10, G12 and the ash content would remain meet your expectations?

Bimlendra Jha: You are talking about our Australian resources or Indian resources?

Satyadeep Jain : Linking the Australia one had negative surprise; in terms of quality the Indian coal blocks that you are seeing obviously management has a time to evaluate these blocks in the last one year is they are confident that there would be no negative surprise on these blocks.

Ramkumar R : Firstly it is not correct to compare the Australia experience with the India experience . Australia had several other issues including our ability to invest and get the right returns so they are not comparable. Of course we are confident about the quality of these mines that is the reason why we have bid and we have got these mines on auction . So we are compatible, we are quite confident that these mines will serve the purpose for which they have been acquired. It is not correct to compare the Australia experience with the local experience.

Bimlendra Jha: I will also tell that is why I was not able to understand what is your question and what are you getting it. As far as Australia is concerned Australia has had different kind of legal environments and issues around the restrictions on mining, etc. It is a completely different ball game compared to India . India is our home territory , familiar territory, the mine is next door, it is a fully explored mine there are no surprises. We know exactly where the coal is lying, we know exactly where we will enter, our shovels are ready, and just we need the permission where there is nothing that we have to

worry about in India.

Satyadeep Jain : Yes, thank you. How much is mining capex?

Ramkumar R : We will share that with you separately.

Satyadeep Jain : Thank you so much.

Moderator : Thank you. As there are no further questions from the participants I now hand the conference over to Mr. Amit Dixit for closing comments.

Amit Dixit : I thank everyone for attending the call and again thank you to the management for giving us the opportunity to host the call. I will pass it over to Vishal if you would like to have an y closing comments.

Vishal Chandak : I would request our MD Sir to have closing remarks to our quarter .

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Bimlendra Jha : First of all I am once again happy to say that we have not only been able to commission the pellet plant and also have obtained almost the heavy lifting has been done in case of coal mines , rest of the plans are on track. We have taken a bit of a cushion there, that is why we have given a bit of a guidance where the commissioning date given our past experience, we have taken a bit of a liberty over there to say that there is maybe a quarter delay in most cases , but by and large we are on track as we had planned. There is of course some amount of rethinking and our ability to do something new within the constraints of what we had put as our plans so that our carbon footprint goes down, we are able to give a better product mix to the external markets apart from internal market you are aware that CBAM etc., are coming and therefore we are being more cautious about some of the things that we are doing , some of the revaluation is taking place only from that point of view. So on TSCR we will come back to you because we have sent you all these numbers and there may be some errors somewhere which we will rectify and send it to you. So that is all that we have from our side. We have also been certified as Great Place to Work and we are actually quite confident on our team to deliver on all the results as the opportunities are there all around us.

Moderator : Thank you. On behalf of Jindal Steel & Power Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"Jindal Steel & Power  
Q2FY24 Earnings Conference Call"  
October 31, 2023

MANAGEMENT : MR. BIMLENDRA JHA – MANAGING DIRECTOR –  
JINDAL STEEL & POWER  
MR. RAMKUMAR RAMASWAMY – CHIEF FINANCIAL  
OFFICER – JINDAL STEEL & POWER  
MR. VISHAL CHANDAK – HEAD OF INVESTOR  
RELATIONS AND SUSTAINABILITY FINANCE – JINDAL  
STEEL & POWER

MODERATOR : MR. ANUPAM GUPTA –IIFL SECURITIES

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October 31, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Jindal Steel & Power Limited Q2FY 24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note, that this conference is being recorded.

I now hand the conference over to Mr. Anupam Gupta from IIFL Securities. Thank you, and over to you, Mr. Gupta.

Anupam Gupta: Thanks, Peter, and welcome, everyone, to the second quarter FY 24 call for Jindal Steel & Power. From the management, we have Mr. Bimlendra Jha, Managing Director; Mr. Ramkumar Ramaswamy, Whole-Time Director and Chief Financial Officer; and Mr. Vishal Chandak, who is Head of Investor Relations and Strategic Finance.

To start off, I'll hand it over to the management for opening remarks, post which we'll have the Q&A. Over to you, sir.

Vishal Chandak: Good afternoon, good evening, everyone. On behalf of Jindal Steel & Power, I welcome you all to the Earnings Call for second quarter of FY 24. So we have Mr. Bimlendra Jha, Managing Director; and Mr. Ramaswamy, our Whole-Time Director and Chief Financial Officer. So we will start with an opening remark from our CFO, and then we will open up for Q&A. Over to you, sir.

Ramkumar Ramaswamy: Thank you, Vishal, and good evening, everyone. Let me give an overview of the operational and financial performance of Q2 FY 24. Our sales volume during the quarter was 2.01 million tons, which is 9% higher Q-o-Q, primarily driven by stronger demand recovery during the quarter and opportunistic export sales that we were able to complete. The share of exports during the quarter was 13% of our total sales.

The production for the quarter was 1.9 million tons, which is 7% lower quarter-on-quarter on account of planned shutdowns during the quarter in both Angul and Raigarh. The steel realizations declined by 7% during the quarter, primarily driven by weaker steel prices in July and August.

However, as we exit the quarter, steel prices have firmed up and the current realizations have improved by 2% to 3%. We have to see how this plays out during the quarter, given the various variables at play, including improved domestic demand, higher coking coal prices and an increasing trend of imports. Our SMS costs declined by 9%, primarily driven by lower coking coal and IBRM prices.

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Just to give you an indication, the coking coal cost declined by approximately \$70 per ton

during the quarter. However, the recent hardening in prices, we see the coking coal prices going up by around \$50 to \$60 for the quarter 3.

Our adjusted consolidated EBITDA for the quarter is INR 2,213 crores, which is an 18% Q-o-Q decline. This was primarily driven by the lower realizations and partially offset by improved volumes and lower costs. Given the lower coal realizations, our overseas subsidiaries performance was also impacted during the quarter and we had a negative EBITDA of around INR 31 crores for our overseas subsidiaries during the quarter.

Our PAT for the quarter was INR1,390 crores, which is 18% lower Q-o-Q, primarily driven by the lower EBITDA that I just detailed about.

I'll give you a sense for the first half -- for the first half of the year, sales volume and production volume both increased 3% over the previous year. NSR declined by 9%. Our SMS costs declined by 14%. Our adjusted EBITDA is INR4,917 crores, which is 4% lower versus H1 FY '23.

Our India steel EBITDA increased from INR 4,221 crores to INR 4,908 crores, whereas our overseas subsidiary EBITDA declined

from INR 881 crores to INR 9 crores during the first half of the year.

I would like to give a very quick overview of the cash flow and debt position for the first half of FY '24. We had an opening cash balance of INR 5,482 crores. We had operational cash flows of INR 4,304 crores during the first half. Our investing cash flows were INR 3,654 crores, primarily driven by the growth capex in India. Our financing cash flows were INR 576 crores with prepayments and scheduled repayments of INR 2,657 crores.

Fresh loans for refinancing of INR 2,423 crores. Short-term loans, buyers credit of INR 668 crores. A dividend payout of INR 200 crores. And a closing cash balance of INR 5,556 crores. Our gross consolidated debt is INR12,869 crores and our consolidated net debt is INR 7,313 crores, with a net debt-to-EBITDA of 0.77.

I'm sure you would have noted that our credit ratings have been upgraded during the quarter to AA, reflecting the strong underlying business fundamentals. We've also released the capital allocation framework as what we had promised earlier. We would be very happy to engage with you on any questions that you might have either during the call or subsequently later. With that, I would like to hand it over to Vishal.

Vishal Chandak: Thank you very much, sir. Can we open up for the Q&A, please?

Moderator: Thank you very much. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

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Amit Dixit: I have two questions essentially on your capital expansion slide that is in -- that is Slide number 14 in the presentation. So here, we have shown that the total growth capex is INR 31,000 crores compared to INR 24,000 crores earlier in the last quarter's presentation. Now I just wanted to understand whether you are looking at the same timelines for this expenditure of INR 31,000 crores? Or is it a different timeline that I'm looking at?

Bimlendra Jha: We are looking at a timeline, which is going right up to FY '26 third quarter. So in terms of timelines, for example, plate mill expansion or there is this Q&T line that we are putting up, so this is going into FY '26. This is a new one. So there is a bit of a scope change that we have had, and that is reflecting in the enhanced capex.

Amit Dixit: Sir, can you just quantify that what has caused this change from 24,000 to 31,000, Sorry, I didn't get it.

Ramkumar Ramaswamy: Sure, Amit. Maybe I can respond to this and MD sir can add to it. So first, I think I would request that you don't anchor the numbers to INR24,000 crores. I think that was released a few years back. Now subsequent to that, there have been scope changes. Some of the capacities have changed. Some of the lines have also changed. For example, you note that from T SCR, now we're now looking at implementing a CRM.

And they have also been cost changes, right? Because of this configuration and scope, FX has changed. We are also having new projects that have come in like your power plant and coal mines, which are not there. So I think there's a whole lot of changes that are there. And therefore, I would request you to only look at it in this context. So please anchor your numbers to INR 31,000 crores.

Amit Dixit: Okay. Understood. The second question is essentially again on growth capex. So earlier, I mean, our Slide 13 in the last quarter presentation indicated somewhere around INR 5,600 crores, INR 6,500 crores, something like that. And now we are saying that our annual growth capex would be INR 7,500 crore to INR10,000 crores.

Now if I look at your capital allocation policy that shows clearly that we will be cognizant of organic as well as inorganic growth and -- etcetera. So -- and of course, balance sheet headroom is always there. So is it fair to assume that we would be looking at growth opportunities throughout

the annual growth capex even beyond Angul Phase 2 would remain at INR 7,500 crore to INR 10,000 crores on an average per year?

Ramkumar Ramaswamy: So I think what we have released now is what we are able to see up to FY '26. We have a fairly ambitious and much larger capital expansion program, which is there on the drawing book. It is being very, very actively discussed. It includes capacity expansion at Raigarh. It includes capacity expansion at Angul as well. And as some of these details become clearer and as some of these projects become more firmer, we will be sharing this as part of our capital allocation update on an annual basis, Amit.

Moderator: Next question is from the line of Sumangal Nevatia: from Kotak Securities.

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Sumangal Nevatia: First question, just continuing on Amit's point on the overall capex of INR 31,000 crores versus our commentary of annual growth capex of INR 7,500 cores to INR10,000 -odd crores I mean is it possible to share some sort of a schedule which we used to share earlier, FY '24, '25, '26 for whatever is announced, how should the capex schedule be?

Ramkumar Ramaswamy: Yes, we will be able to share this, Sumangal. But I think it will be fair to say that it will be in the range of the indicated INR 7,500 crores to INR10,000 crores. As I said, we have a much larger capital expansion program that is on the drawing board. And so I think we would be keeping it in this range, INR 7,500 crore to INR10,000 crores.

Sumangal Nevatia: Okay. But this INR 31,000 does not include anything which is on the drawing board. This only includes whatever we have spelt out.

Ramkumar Ramaswamy: That is right. That is right. That is right.

Sumangal Nevatia: And till 1H, how much of this INR31,000 crores would have been spent, 1H FY '24?

Ramkumar Ramaswamy: For the first half, as I said, our investing cash flow was INR 3,654 crores approximately. This includes growth capex and a bit of sustenance capex as well. But our overall investing cash flow was INR 3,654 crores, as I mentioned earlier.

Sumangal Nevatia: Okay. Would you have a number what is the total spend out of this INR 31,000 crores in growth capex till date -- till September end?

Ramkumar Ramaswamy: You can -- it is safe to assume that the entire INR 3,654 crores would be part of the growth capex.

Sumangal Nevatia: Sir, I'm trying to understand FY '22 and '23, what would have been spent including...

Bimlendra Jha: I'll tell you that there are lots of LCs which have not fallen due, but which is also if you consider out of INR 31,000 crores, how much has been already committed. Then, it is around INR 10,500 crores.

Sumangal Nevatia: Got it. Got it. Sir, my second question is with respect to the coal mine. So Gare Palma, it is good to see that we've commissioned. Just want to understand what is the status of Utkal -C. I believe there is some bit of payment kind of a discussion with the old...

Bimlendra Jha: No payment discussions. That was mischievous on part of somebody. There is no payment discussion over there. We have already entered the mine and started removing the overburden.

But that is yet to be -- when we reach coal, we will make the announcement, okay. But as far as Gare Palma is concerned, we have already started shipping the coal.

Sumangal Nevatia: In Utkal -C what's the expected timeline for shipping coal or production?

Bimlendra Jha: Early next month, should be the -- not next month, next month is November. So end of November, early December, we should be able to start shipping the coal.

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Sumangal Nevatia: Got that. And just one last clarification on the timeline. I think last call, we had mentioned that the B OF2 and BF2 2Q FY '25 has a lot of comfortable margin of safety. This quarter, we've pushed it by a

another 2 quarters to 4Q FY '25. So I just want to understand what's really the issue and the delay -- the reason for the delay?



Bimlendra Jha: So of course, it is always a challenge putting up such large projects when there are multiple number of projects, getting resources, etcetera to prioritize. So what we have been prioritizing is our Hot Strip Mill, so that it comes the earliest. And we will be -- hopefully, within this quarter, we should be able to take out coils. And similarly, then feeding of the Hot Strip Mill by the slab caster would begin.

But the BOF is contingent upon the blast furnace starting, and the blast furnace is contingent upon coke oven starting. So there are a lot of inter-linkages over there. So we have sort of pushed the timelines to the latest out of all the connections. Some of it may come in earlier but maybe based on the some purchased coal -- coke, etcetera. So therefore, when you look at the overall integrated timeline, then it is pushed out early.

Ramkumar Ramaswamy: And we will keep reviewing this on an ongoing basis. We see, of course, these large projects, there are complex dependency. So if there are further changes, we will keep you updated. This is the best estimate that we see at this point of time.

Moderator: Next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So just my question was on volumes. So like we have generally seen volume stagnated in this range of 1.9 million to 2 million tons quarterly and the utilization has not been crossing broadly like 80%, 85%. So once you ramp up your capacity in the next like 2 to 3 years, what's your plan to kind of get volumes now with these bigger capacities sort of given that the current one is not going beyond the point?

Bimlendra Jha: See, one of the major dependencies that has really held us back has been the coal availability.

As you are aware that now that we are coming closer and closer to our self-sustainability in thermal coal, particularly for our CGP plant. That means the DRI starts producing at capacity. So that has been -- if you really look at it in terms of the gaps, those gaps are emerging primarily from DRI, which we hope to eliminate the moment we have sufficient coal available. The same thing applies to power also. So in a way, some of these changes are impacting us both in terms of volume as well as in terms of cost because of the coal mines delay. So now that the coal mines are now very, very visible, I think you should start seeing also ramp up in our overall volumes.

Amit Murarka: Got it. And in flat steel, HRC, CRC like, I believe there is a customer approval cycle when you go to auto customers or any other long-term contract customers. So in the meanwhile, like is it fair to think that most of this flat steel volume will have to be exported out?

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Bimlendra Jha: No, -- our first focus will be on construction where we have existing relationships. In fact, we are India's largest construction player, if you see. And therefore, what it does is that -- our ramp-up capacity is coming in a manner that we can cater to the construction market to begin with, where there is 0 cycle time for any approvals.

The second area of attack happens to be white goods where the cycle time is very short. And then comes the auto where the -- that also gives us time to learn, ramp up, etcetera. And therefore, these are all very consistent with each other. So we are also putting up facilities in a sequence that allows us to do this. That means we can hit the ground running with our existing customer base and with our existing dealer network, etcetera.

And we simply keep on ramping it up into those areas, where approval cycles are longer and longer, but that gives us an ability to produce the right quality, etcetera, and get familiar also with the flat product nuances of

that technology.

Amit Murarka: Sure. Sure. Got it. And any guidance on the coal volume ramp-up, the captive mines?

Bimlendra Jha: See, at this moment, we have already produced this month, 1.5 lakh tons from Gare Palma. And we will be -- our Gare Palma total this EC is for 4 million tons. So we have to ramp up towards that. And obviously, we will continuously ramp up towards that. And as and when Utkal-C opens, then we can give you the guidance based on our experience there. Just like what I told you for first month, we have produced 1.5 lakh tons from Gare Palma. We will let you know the moment we are able to get the things going in Utkal-C.

Amit Murarka: Sure. In Gare Palma, we can go to 3.5 lakh let's say, in like 9 to 12 months, right?

Bimlendra Jha: Yes. We should end the year with that kind of a run rate. Let's see if we can...

Amit Murarka: As in March, March '24 exit, you mean, okay?

Bimlendra Jha: The run rate, we would like to achieve that.

Moderator: Next question is from the line of Ashish Kejriwal : from Nuvama Equities.

Ashish Kejriwal: Sir, just to take one question on Utkal -C. As you mentioned that by the end of November, we can start. But is there any issue which can happen if we -- if the payment issue with the earlier mine owners get somewhat held on? Or are we going for any tribunal or something like that?

Bimlendra Jha: There is a very established procedure. There is a very established procedure, nominated authority is there. There are -- I think these are very streamlined processes. It was -- I think mischievous on somebody's part to put it in something that is not so clear as something that they even filed with the exchange. It is...

Ashish Kejriwal: My early question was that will it be any hurdle...

Bimlendra Jha: No, no.

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Ashish Kejriwal: No hurdle according to you, despite if we are not paying it within this month.

Ramkumar Ramaswamy: Yes, we don't estimate any hurdle for this.

Ashish Kejriwal: Okay. And sir, secondly, we have already commissioned our Pellet Plant a quarter back, in fact, it has been ready for some time. But what is stopping us or what is creating problem in starting the commercial production? Is there any issue on the demand side or the stabilization side?

Bimlendra Jha: Commercial production -- we started reporting from last month, the commercial production -- sorry, last -- not last month. I'm forgetting all the time that I'm not in November, I'm still in October. So not last but we have started reporting this month, that's not a problem. It is that we wanted to have stability of certain parts before we could start declaring it as commercial production. So now we will start reporting it on a regular basis.

Ashish Kejriwal: Sure. And sir, lastly, when we are talking about, obviously, we have extended a timeline by 2 quarters. And now we hope that this should be the final one, not a further delay in that. But this BOF 3 have we ordered that because in presentation, your BOF 3, BOF 2 all are for quarter -- Q4 FY '25, despite the fact that we have not decided until last quarter of 3 million tons and the same timeline is given for BOF 2 and BOF 3. So my question is how confident we are not for further delay in this? And secondly, have we ordered for BOF 3 or not -- machineries?

Ramkumar Ramaswamy: Maybe I can start first, and then MD sir can give the details. So this is our current estimate of the timeline, Ashish. And as mentioned, you -- yourself noted that we have revised it from last quarter to this quarter because during the various project reviews, etcetera, it was identified that there could be likely time overruns and that is why we have reflected this.

We will be reviewing this on an ongoing basis, and if there are going to be any significant changes to this, we will keep you updated. I mean the same timelines

will keep getting updated

on an ongoing basis. That is the overall context, I just wanted to kind of share. But then MD sir can specifically...

Bimlendra Jha: So as far as -- if you go by the list, Pellet Plant 1 is already up and running. HSM is imminent this quarter. Slurry pipeline is the one where there are always -- a small patch can hold you back for years if you don't get it right to the politics, okay. So these are always best estimates based on elections coming, this, that. So we have tried to take as realistic view as we can see as of now. But who has seen the future, what happens.

Ashish Kejriwal: I understand. So it's a slurry pipeline, it makes sense. But BOF and other things, we have seen large delays, which was not expected.

Bimlendra Jha: BOF is under construction. BOF, there were changes that was made as the project progressed, we realized that we were better off with some changes over there, both in terms of capacity, in terms of layout, etcetera, etcetera. So there is -- there was a bit of a delay because we tried to

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improve upon our original plans continually. So that's the only reason, not for any other reason.

Ashish Kejriwal: So is it safe to say that now we have done with the whatever changes we have to do at least for BOF 2. BOF 3 may -- make further changes as we have not ordered machinery.

Ramkumar Ramaswamy: No. I think as what we said, Ashish, this is the best estimate of timelines as we see now. And we are reasonably confident of these timelines.

Bimlendra Jha: Not only the timeline, the scope also we have now finalized. This is our best estimate of scope as on date.

Ramkumar Ramaswamy: If there are changes to this, we will definitely keep you updated.

Ashish Kejriwal: Yes, yes. No, no issue. Because the main thing is because of this, our growth capex also start

increasing by -- we started with INR 18,000, then 22, then 24, now INR 31,000 and more or less volume is more or less same, thus minor changes here and there. So that's why I'm asking in a deflationary environment when our overall volume does not change. No, scope changes leads to around 30%, 40% increase in the capex, that is somewhat which is pinching us. Bimlendra Jha: From an outside in perspective, you are absolutely right. But you also look at some of the changes that we have made are so fundamental and so strong for the company for the future. For example, this ACPP 2 where 1,050 megawatt power plant came up right next to the mines, which also reduces our cost of transport of coal simply because we would be terminating our run of mine coal into ACPP 2 which means that we have to transport much less inside our plant, the washed coal.

All these small little changes that have far-reaching implications, we would be not doing our duty if we were not leveraging these opportunities, reviewing them continually and making changes that are beneficial for us. So that is what is causing some of these changes. Obviously, we did decide that something will fall in our lap for only INR 2,000 crores, 1,050 megawatt plant that we are trying to put up. So these are not the kind of things that you anticipate in advance sometimes.

Ramkumar Ramaswamy: And if you look at what we have said, we have said that all of these investments, we are targeting a return of 18% to 20%. I mean that is the return that we are looking at. So all of these are very, very value-accretive projects. There is a very, very clear runway to reinvest our earnings for growth over the foreseeable future at 18% to 20%. So I think -- the plan that we have at this point of time seems very, very credible both from a timeline perspective and a cost perspective as we see it Ashish.

Moderator: Next question is from the line of Vikash Singh: from PhillipCapital.

Vikash Singh: Sir, just one question. I just wanted to understand our

propensity in terms of capex, given that

the current market is a little bit weak in terms of margins. Whether we would prioritize

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completing this project and piling up debt or whether we would try to match the -- this capex with the cash inflows and there could be a further delay in the timelines. So your assessment on the same?

Bimlendra Jha: See, our headroom is very high. As you know that as per our capex policy, we have already stated that we will -- we can go up to 1.5x in terms of our EBITDA multiple. Now given that, we are only at 0.77 today on our net debt. So we have enough headroom and we don't foresee a cash-related problem with respect to our own self-imposed covenants to hold back any capex. So we are going full steam on the capex. As far as markets are concerned, whatever be the market, you have seen that even though on a consolidated basis, there may be a decline in H1 to H1. The India EBITDA went up by INR 700 crores H1 to H1. So we are not seeing the market to be any reason to worry about.

Ramkumar Ramaswamy: And maybe just to add, I think, the demand in India is going to be very, very strong. So I think clearly, there is a very, very strong opportunity for us to get all of these capexs completed as quickly as possible. So that is number one.

Number two, as we mentioned in our capital allocation framework, we have kind of synchronized the capital allocation to our operational cash flows -- projected operational cash flow. I mean, we'll try to keep it in that order of magnitude. I mean that is the logic for the INR 7,500 crore to INR 10,000 crores here.

We will be ensuring that the capex is in the order of magnitude of operational cash flows.

However, if there is a trade-off situation and we have to expedite the capex because the opportunity to speed them up is there. Then like what MD sir mentioned, we have headroom as well in terms of our borrowing. So we will have to take all of these decisions on a conscious basis as we move forward. But these are the various options that we see ahead of us.

Vikash Singh: Understood, sir. So sir, in terms of consolidated net debt by EBITDA, which was at 0.8x. What is -- any peak levels which you are expecting that we won't reach that, let's say, 1.5 or 2x? Can you give us some number?

Ramkumar Ramaswamy: We have already given a guidance that we would like to operate at a net debt to EBITDA of 1.5 through the cycle. So I think we would like to just retain that and not give any additional numbers beyond that.

Moderator: Next question is from the line of Ritesh Shah: from Investec.

Ritesh Shah: Couple of questions. First is, sir, can you detail our iron ore sourcing strategy. I think we have one captive mine, we have Kasia, what's the update over that? And specifically, post the Pellet Plant, what's the current iron ore requirement? And what's the sourcing like? That's the first

question.

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Bimlendra Jha: So first of all, we already have Tensa and Kasia as our mines, but there is plenty of iron ore available through OMC and NMDC and all that. And we already have -- as you are aware, that Odisha also has this, Odisha first policy in iron ore supplies. So we don't foresee with abundance of iron ore available around us that we have to look beyond too much. So we have our existing sources and all that. If at all anything can pull us back, it can be the Railways. That's the only thing that can derail anything. So we should only hammer the government to continuously invest in Railways, double lining and all that. So that there is...

Moderator: Sorry to interrupt you, we are losing your audio.

Bimlendra Jha: Sorry, I don't know why, but I'm closer to the mic than Ram is, and maybe I should turn this around. Yes. Is it better now?

Moderator: Yes, sir

Bimlendra Jha: Okay. So maybe that mic is not working out of the tripod. So what I'm saying is that there is no reason to worry about on the availability of iron ore. There may be from time to time issues around Railways. And that's the only thing that makes us worried. But because we are investing in a slurry pipeline, even that worry goes away, the moment our slurry pipeline comes in.

Ritesh Shah: Sure. And sir, what's the status on Kasia?

Bimlendra Jha: What is the status -- same -- business as usual.

Ramkumar Ramaswamy: Business as usual. It is operating, we are mining as per the mining plan.

Ritesh Shah: Okay. This is helpful. Sir, my second question was on outbound logistics. Given we doubled the capacity. So one is, any update on basically the rail tracks what you're -- what you just indicated? And secondly, we are into Far East, and we are expanding incrementally sizably on the flat side. So what is the market that we are looking to cater because if we come to South, you'll have players like JSW Steel. Further East you have likes of Tata Steel. So what's the end market that we are looking to cater?

Bimlendra Jha: Yes, good question. So first of all, one of the elements of the capex that you saw has increased -- has also increased due to Railways, INR 600 crores is what we are putting in more because we are buying more wagons or rakes. We are investing in a loop lining within the plant which is making sure that we don't have only one entry and exit, we have double entry and exit. There is double lining that we are investing in. So there are quite a few things that we are doing there. Secondly, you are aware that there is also this Paradip port, where we are into a joint venture.

And where there is not only an inward terminal for coal, etcetera, but there is also an outward terminal for our steel supplies, which means that we will be doing a combo mode of rail, followed by ship, followed by road kind of logistics, which is a very good model in terms of

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the overall cost economics of reaching coastal markets, in particular, and which are also very good consumers of steel, whether it is Chennai, whether it is Cochin and all those places, they become readily accessible to us at a much lower cost with this kind of a terminal that we are building in.

So this is something that we are very, very conscious of. And as the government of India keeps on pushing on the inland waterways, that is also something that we would look at very keenly, particularly the ones where there is an attempt to go via Bangladesh into the Northeast. So there are quite a few of these things which are on the horizon. So if you look at a 5-10 year horizon, where our new markets will open up, some of these will also open up new routes, which are not the traditional routes.

Moderator: Next question is from Kirtan Mehta: from BOB Capital Markets.

Kirtan Mehta: In terms of your remarks, you had referred that by doing the changes to the project scope, we are enhancing value quite significantly. From an external perspective, what we can see is the project cost, which has increased from 220 billion to 310 billion. Could you also share some of this value increases that you have done in terms of giving us some continuing numbers so that

we can appreciate the value change coming through this capex changes?

Ramkumar Ramaswamy: Let me start and -- so I think while I'll not be able to share very specific numbers over here, maybe I'll just give you a sense of what -- how value is going to improve in this thing.

Number one, I think this includes all the coal mines. Coal mines has a significant value for us in terms of our cost of power, our cost of DRI, cost of fuel that is going. So -- and also the opportunity to sell coal commercial. So the entire value is built in and you will see that starting to flow through

some from once the mines become operational.

The second is a slurry pipeline. Slurry pipeline, the cost of transportation of iron ore from our mines to our plant can come down by around INR 700 per ton approximately. These are approximate numbers. And at the steel level, this can translate into close INR 1,500 per ton. That is built in over here. We were not there in the original capex.

Our power plant will be the ACPP 2, will result in lower cost of power because of a more efficient plant that we are putting in. And combined with the coal that we have, I think our cost of power will go down.

The profile of our finished products with the HSM, the CRM, etcetera, we will be able to deliver much improved margins from where we are now given that we do even now have a fair share of semi's etcetera. I think our overall margins will improve significantly. All of these have been built in.

And to facilitate this, things like your railway line, things with residential townships, all of these are enabling capexes that are built in. So that's how we look at it on an integrated

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manner. I hope that answers that. I'm not able to provide any specific numbers at this point of time.

Kirtan Mehta: And the second question was about the BOF 3. What I understood from the call is that at this point of time, we have not yet ordered the BOF 3, we are looking at Q4 FY '25 as the commissioning timeline. I just wanted to understand the project sequence in terms of sort of ordering, arriving of long-lead time, construction, commissioning, what are the typical sequence and how much time actually goes into a BOF construction. Would you be able to explain that sequence to us?

Bimlendra Jha: See, we have started placing orders already for BOF 3 as well. So we -- and we are well within the timeline that has been indicated over here from our current understanding, okay. So there are some items which are long lead items. Otherwise, the longest time that it takes is usually in the building. Now because we are already building the BOF 2, so the building is already getting completed much before. So the only thing that remains are the equipment, which is then faster to erect once they start getting manufactured. So it's a slightly skewed in -- against the first one, but not against the next one.

Moderator: Next question is from the line of Amit Dixit from ICI CI Securities.

Amit Dixit: Again, a couple of questions. If we noticed that the steelmaking / iron making has been pushed to Q4 FY '25. However, in the meantime, we will have Pellet plant and HSM coming in. So is it reasonable to expect that all 6 million tons of Pellet would be sold on a merchant basis in FY '25? And with this HSM coming in not only we will achieve more balance of capacity in terms of crude versus finished. But also, we will have a chance for custom rolling? Is it something that is in your radar at this point in time?

Bimlendra Jha: As far as pellet is concerned, as soon as our Angul plant is self-sufficient, that much of pellet gets released anyway from Barbil. And that will be sold. So it is part of the -- our plan and thinking that there will be opportunity at Barbil to sell the pellets based on the proportion or start making those grades of pellets which fetch you better prices even if the production can be lowered because there are different grades of pellets that you can make and they fetch you different prices. So depending upon what gets us the best returns, we can choose a quantum of pellets that we want to sell.

And the planning for steel -- crude steel, there are multiple ways in which you can source and enhance the metallics. So for example, anyway, there is scrap-based melting, which is easy for BOF to increase. Let's say, you can go right up to 20% -25% scrap loading into a BOF. So you can enhance and add metallics.

So there are multiple ways in which we -- depending upon the pull that we create for our products, we can always enhance the metallics availability. That's how we see it.

Amit Dixit: But is it possible at this point in time to give because we have -- our capacity will remain fairly

content until maybe Q4 FY '25. So what kind of volume increase should we assume in FY '25?

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Bimlendra Jha: Q4 FY '25, you are talking about -- okay. So because of BOF 2 -- no, that is -- what your concern is actually, there will be, hopefully, an earlier availability of this, but not in an integrated manner. So that's why we have given you the last dates over here. But BOF 2 will come much earlier and maybe coke or something like that, maybe a little bit delayed, which is within the timelines that we have indicated here.

Ramkumar Ramaswamy: We are looking at various options on how best we can make our hot-rolled coils. I think that better -- those options are still being discussed and evaluated. A lot of them are closer to finalization stage. So as things become clearer in terms of how we are going to source our metallics, we will -- maybe update you in the subsequent quarters or what is the likely volume for next year.

Amit Dixit: Sir, I will try again. I mean, the -- is it possible that our volume -- sales volume, which would be 8 million tons or so, can we achieve a higher sales volume than this in FY '25?

Bimlendra Jha: Yes, of course we will have higher sales volume in FY '25. Now that is without doubt. First of all, I already mentioned to you that we are not producing at capacity in our CGP-DRI. That itself with the availability of coal starts producing, giving us more metallics. That's the first protocol.

So secondly, there may be a reduction in semis that we will do since we today do not have that much of finished goods capacity. We have more semis capacity. So we have metallics and we will have even more metallics to produce more of raw materials that means slabs for the Hot Strip Mill. So those opportunities are there, and therefore, there will be enhanced volumes.

Amit Dixit: Okay. Got it. The one question is about simple bookkeeping question. Sir, if you could let us know the EBITDA for the 3 coal mining ventures separately?

Ramkumar Ramaswamy: Yes, I think that you can reach out to our Investor Relations team, and they will be able to share that.

Moderator: Next question is from the line of Bhavin Chheda: from Enam Holdings.

Bhavin Chheda: Yes, sir, you have some good set of numbers. I think I missed your answer, the Hot Strip Mill starting much before your blast furnace starts. So, do you plan to procure slabs from outside or what is the plan?

Bimlendra Jha: Yes. So I already said that Hot Strip Mill gets feed paid from 3 different sources. One is by reduction of semis. We will not sell semis. That's the simplest of the ones, okay. And it will all be rerouted to slab. Second, with more coal, we have more DRI, that means more volume of metallics. So that's additional volume that comes into the play.

And third is the availability of scrap. So scrap is available, which can be melted, and therefore, we can have more metallics. So these are the sources. Now what happens post blast furnace coming in, is that the costs start reducing, apart from even more volumes being available.

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Moderator: Next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: On realization, like, I believe in Q1, there was some benefit of higher price exports executed in Q1. Q2 doesn't have any such benefit, right? I just wanted to know?

Ramkumar Ramaswamy: No, no. No, I'm not -- again, I'm not sure on what was the benefit of Q1 that you're referring to, Amit. But Q2 clearly doesn't have any exceptional items or

any benefits from higher exports.

Amit, are you there?

Amit Murarka: Yes, yes sorry. Yes, what I meant was in Q4 FY '23, the steel prices are high and export orders booked that time were like executed in Q1, which benefited Q1 numbers. So I just wanted to confirm that in Q2, there was no such kind of lag benefit of export orders or anything like that.

Bimlendra Jha: No, no, no. No, there was none. In fact, you're right that there were some lag orders from Q4 that benefited us in Q1. On the export front, the realizations were better. Yes.

Ramkumar Ramaswamy: But nothing in Q2.

Amit Murarka: Got it. Got it. And also, like as we gradually move towards more finishing capacities and all, so is it right to think that the exports will -- then you would look to continue to kind of focus more on the domestic market, like earlier, the mix of export used to be 25% and 30%. So going

ahead, probably we should expect it to be more like in the current range of 15 -odd percent or maybe max, 20%?

Bimlendra Jha: See, the export may happen for pellets, for example, but not for the semis. So yes, but overall numbers, I can't guess right now in terms of percentage only because, as I said, that depending upon how much we can free up our capacity of the Pellet plant in Barbil that we should be able to either find a domestic buyer or export.

We obviously prefer domestic sales over exports most of the time. But there are always opportunities sometimes that open up, particularly on the upper end of the value chain where it is more of these metallics, semis, etcetera. Certainly, there are opportunities and large bulk shipments can take place. So I'm not pre-guessing what can happen potentially there.

Ramkumar Ramaswamy: And we will go by where the value is. I mean, wherever we are able to maximize value and returns. So I think that is what we will look at. Now, we don't specifically operate saying we would like to export this much or we would like to sell this much in domestic. If we are guided by the value, the market is quite dynamic. We keep watching where the value is, what the right mix, whether it should be sold in domestic or whether it should be exported. Currently, we are seeing a lot of value in the domestic market. So we will be evaluating this on an ongoing basis.

Amit Murarka: Just a last question for me. Like we are seeing an increasing focus on carbon reduction, CBAM is coming up and even India is talking about a carbon trading framework. Any specific measures that you would like to highlight? And because you are at this point in time, at least at the higher end amongst the largest steel mills in India.

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Bimlendra Jha: See, we have got EPD for all our products, okay. And when needed, we can produce because of the configuration of our plants, lower CO2 products as well, properly certified by international agencies. And this is something which gives us a very unique opportunity compared to players who have only BF, BOF. We -- because of extensive presence of EAF in our system, we have certain possibilities. And with all the qualifications that exist with us, this becomes a route to success in some -- under some specific circumstances.

Moderator: Next question is from the line of Ritesh Shah: from Investec India.

Ritesh Shah: Sir, can you please touch upon the total coal requirement, both thermal coal as well as coking coal at this point in time, including CGP? I have some numbers that I'd like to have it vetted through you. And how are we sourcing coal? The reason to ask this question is, you have emphasized that once the mine starts, things will fall in place for both steel with respect to CGP as well as the power plants.

Bimlendra Jha: So CGP -DRI and power plant have suffered because of the government policy on giving priority to Railways for thermal coal to be supplied to thermal power

plants. As a result,

despite coal being available in plenty, Railways have not been able to cater to the demand.

This is the reason why we say that when thermal coal availability is in-house and next door, we are not dependent on Railways. We are not dependent on anybody else.

We have coal when we want it in the size and shape we want it. So this is the reason to say that our CGP -DRI has constantly suffered over last 10 years because of lack of availability of coal, which gets removed the moment our own self-sufficiency is there in thermal coal.

As far as coking coal is concerned, we are, of course, dependent on imports. It's a different matter that there are also mines abroad that we have got and our sister concern has got. So that in case of any crisis, we still have some internal capability to handle coking coal. It is at arm's length pricing, etcetera. But at least the security of coking coal is not a big problem for us. We are also hopeful that our mines in Australia, for example, who are putting up FGX and multi-bolters and all that, they will start giving us much better ash coals that we can utilize in our capacity.

Ritesh Shah: Sure, sir. Sir, a lot of emphasis on rail and logistics, sir. Is it possible to give some timelines or specifically on the railway logistics in around the plant and you did emphasize on the Paradip port JV. Sir, what exactly are the timelines over here? Because that looks like the key call over here.

Bimlendra Jha: So we will tell you, there are some of the things -- as that is part of another company where we are a partner. So we can give you these numbers from their perspective.

Ritesh Shah: Sure, sir. Okay. And sir, I just wanted to confirm how much of the cement capacity right now, what are the expansion plans over there? And does it fall all under JSPL, the listed entity?

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Bimlendra Jha: No. The cement plant other than the grinding mill that we have, all other expansion in cement is coming under Jindal Panther Cement, JPC. That is not within our listed entity.

Moderator: As there are no further questions, I will now hand the conference over to the management for closing comments.

Bimlendra Jha: I think we continue to see India walking to a different drumbeat. We see that there is a sustained continued demand in construction. Construction happens to be the single largest consumer of steel and we happen to be as JSP, the single largest player in the construction space with the widest range of products.

Whatever was the gap in our product portfolio for construction is getting bridged in the coming quarters and years, so that we are in a position to cater to the entire basket from a construction and infrastructure possibility. There is, of course, an expansion of railways and all that is happening. We are very hopeful on that front as well. We our rail forging plant is coming up very soon. So that will also be something that we will be able to leverage the opportunities in India.

And we are able to also expand our capacity in fabrication. So currently, a lot of that capacity is getting utilized for in-house purpose. But there is huge demand opening up for these kind of value-added services. So as and when our capacities are built, we are also ready simultaneously with value-added construction-based fabricated structure capacity for the country. So we continue to be bullish on steel industry in India.

And thank you very much for supporting us. Those investors who invest in steel, they know that they are in cyclical industry, but they are more courageous than anybody else because they also know that it is black gold. So we continue to thank you for your continued confidence and interest in steel industry. Thank you very much.

Moderator: Thank you very much. On behalf of IIFL Securities Limited, that concludes this conference.

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Thank you for joining us. You may now disconnect your lines. Thank you.



## Call: May 2024

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Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON MAY 13, 2024

This is in furtherance to our letter dated May 8, 2024, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts. In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com).

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop Singh Juneja

Company Secretary

Encl.: as above

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“Jindal Steel & Power

Q4 FY '24 Earnings Conference Call”

May 13, 2024

MANAGEMENT : MR. SABYASACHI BANDYOPADHYAY – EXECUTIVE

DIRECTOR – JINDAL STEEL & POWER

MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER –

JINDAL STEEL & POWER

MR. VISHAL CHANDAK – HEAD OF INVESTOR

RELATIONS AND STRATEGIC FINANCE – JINDAL STEEL  
& POWER

MODERATOR : MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Jindal Steel & Power Q4 FY '24 Earnings

Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashutosh Somani. Thank you, and over to you, Sir.

Ashutosh Somani: Yes. Thanks, operator, and welcome, everyone, to the call. I will first thank JSP for giving JM Financial Institutional Securities Limited the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Vishal Chandak, Head Investor Relations and Strategic Finance, to introduce the management. Over to you, Sir.

Vishal Chandak: Thank you, operator. Good evening, ladies and gentlemen, and thank you very much, Ashutosh, for hosting the call on our behalf. We welcome you to Q4 FY '24 Earnings Call for Jindal Steel & Power. So we have with us Executive Director, Mr. Sabyasachi Bandyopadhyay; and our CFO, Mr. Sunil Agrawal with us.

So without much ado, I'll hand over to Sunil Sir, for his opening remarks, and then we'll open up for the Q&A. Over to you, Sir.

Sunil Agrawal: Yes. Thanks, Vishal. Good evening to all. So let me first start with the overview of operational performance of the company for the fourth quarter of financial year '24. Our sales volume had gone up by 11% on a quarter-on-quarter basis, which has grown to 2.01 million tonnes. The growth has come mainly from the higher export. Overall share of export in Q4 was 11% versus 3% in the previous quarter. Our steel realization was down by 5% quarter-on-quarter basis. The NSR was lower in both export and domestic markets.

As we exit, we see slight uptick in realization by 1% in Q1 of 2025. Our SMS costs were almost flat on a quarter-on-quarter basis, although coking coal price was up by \$21 for the quarter, which is offset by higher efficiency in our operations, which reduced our costs remain flat.

Further, we are expecting lower price of coking coal in Q1 of '25 by \$30 to \$40. Our adjusted EBITDA for the fourth quarter was INR 2,512 crores which is 10% lower on a quarter-on-quarter basis, mainly on account of lower sales realization and this is offset by a higher volume. Our PAT for the quarter was INR 933 crores, which is down by 52% on a quarter-on-quarter basis due to lower EBITDA and some impairment provision that we took on our Australian mine, which amounts to INR 360 crores.

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Now I will update you on the financials for the complete year. Our production and sales volume remained flat, almost flat for the year. Average NSR was down by 7%, but SMS cost is again down by 9% for the year. Our adjusted EBITDA was up by 5% to INR 10,231 crores for the year, mainly due to lower cost and higher product mix. PAT for the year was up by 86% to INR 5,943 crores from the previous year.

Now I'll take you through the debt. Our consolidated net debt is INR 11,203 crores as against INR 9,115 crores in the last quarter, which is mainly to support our capex expenditure. Now I will update you on the dividend side. The Board has recommended a dividend of INR 2 per share for the financial year.

With this, I will conclude and hand over for question-and-answer session. Thanks.

Moderator: Thank you very much. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Congratulations for a good set of numbers. I have 2 questions. The first one is on the inventory. If I see the inventory has gone up Y-o-Y,

while we find that commodity prices in general have gone down. So is it a finished product inventory or raw material inventory? How much would be the finished steel inventory at this stage?

Sunil Agrawal: I think Vishal will provide you with details. I mean inventory is up in finished goods as well as in raw material to support our production. So we have increased the inventory of our coking coal, which is in the raw material, and we have upped the finished goods inventory as well also. The details will be provided by Vishal to you.

Amit Dixit: Okay. Sure. The second question is, in the absence of presentation at this stage, if you could just elaborate on the progress of various packages with respect to the ongoing group project?

Sunil Agrawal: So we are on track. Basically, whatever projection that we have given earlier, so we are on track on all the projects.

Vishal Chandak: Amit, the presentation has been uploaded. So I would request you to kindly refer to Slide 30 of

the presentation as well. As far as the projects are concerned, we are on track to deliver whatever we have guided so far.

Amit Dixit: Okay. What would be the capex guidance for FY '25?

Vishal Chandak: So if you remember 2 quarters ago, we had published our capital allocation policy where we had mentioned that our capex would be in the range of INR 7,500 crores to INR 10,000 crores depending upon the kind of EBITDA that we earn through the year. So the philosophy is basically to spend whatever we have earned keeping the debt in check.

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So, so far, the plan is to maintain the capex spend in the range of INR 7,500 crores to INR 10,000 crores only. However, if the EBITDA generation through the year is higher, we would want to accelerate the cash flow as well on the capex front. But again, the whole thing would be subject to a disciplined balance sheet approach.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: My first question is on the volumes, given we are seeing good progress on all the expansion projects, and they remain largely on track. What sort of volume can we expect overall for FY '25?

Sunil Agrawal: So we are expecting good volume in the FY '25. So exact numbers, we will not be able to tell you. But certainly, we'll do much better than the financial year '24.

Vishal Chandak: So Sumangal, as you all know, we do not give any forward-looking guidance, but as you have pointed out that the capacity is getting commissioned, backward integration progressing smoothly, we should be able to clock a better volume run rate compared to what we have done in FY '24.

Sumangal Nevatia: Okay. Got it. And from the blast furnace BF and BOF2, do we expect commercial production to start from the third quarter onwards?

Vishal Chandak: So basically, that would depend on the ramp-up of the blast furnace when we declare commercial production. Commercial production is subject to a lot of testing parameters being achieved. So I would request Saby, Sir, also to elaborate on that.

Sabyasachi B.: Thank you, Vishal. I think we are on track pretty much in terms of the project execution. And as Vishal said, there are commissioning parameters, which need to be vetted out once we put it in place. But so far, we do not see any major hinderances in terms of our targets.

Sumangal Nevatia: Understood. Just continuing on this one is, if you could just share what's the status of the 2 coal blocks where mining lease is yet to be obtained. When do we expect that to kind of start?

And secondly, slurry pipeline, we are still maintaining 1Q '25. So if you could just update I mean, given that it's maybe a month away from actually commissioning, what sort of savings do we expect from the slurry pipeline?

Sabyasachi B.: So as far as the 2 coal blocks are concerned, we are

, again, pretty much on track and as per the published document, we will hit those roads. Your second part was regarding the slurry pipeline. I think, again, there is a small patch that we are working on in terms of getting the permissions in place. That's what we are waiting on right now. Rest of the work is very much on track.

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Vishal Chandak: Sumangal, just to add on to what Saby Sir mentioned, in terms of the 2 thermal coal mines, Utkal B1 and B2, we have not given any specific guideline as to which quarter or which month we hope to open these mines. But definitely, within the year, we would be opening it. Since these are matters which are outside our control, so we'll not be able to give you any specific update on that. But yes, we are in a very advanced position to open these mines.

Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets.

Kirtan Mehta: Just wanted to understand in terms of we have a capital allocation plan that we have specified the capex at INR 7,500 crores to INR 10,000 crores. What could be the impact on the project delivery either if we are at the lower end or at the higher end? Would this target be achieved even if we are at the lower end?

Vishal Chandak: Saby, Sir, can you please take this?

Sabyasachi B.: Yes. So first of all, the capital expenditure that is envisaged in this, so the lower end capex that

is envisaged that will certainly help us to hit the numbers that we are there. There are on the higher side, capex expenditure, that's slated for future growth plans. So I don't see any major obstacles in our way in terms of the capex. And as Vishal has very clearly stated earlier, our capex plan is based on our debt management. So overall, I think we are on track with our production plans and our investment plans.

Kirtan Mehta: So the way I understand is even if we spend INR 7,500 crores for the next 2 years, our target, we will still be able to deliver on all the projects without any delay for the purpose of capital expenditure. And even if we do INR 10,000 crores, there will not be any acceleration in this projects. Am I understanding you correctly?

Vishal Chandak: No. Kirtan, just let me put it this way. What we have mentioned on our capital allocation policy is that our capex spend would be in the range of INR 7,500 crores to INR 10,000 crores per annum, okay, depending upon the kind of EBITDA that we generate. For the projects of this size and magnitude, you cannot expect that we will spend exactly INR 7,500 crores every year only. There could be a time when we spend a lot more than that and there could be a time when we spend a little less than that, okay? But overall, the ballpark range would be in this and it will be managed in a fashion that we don't spill over on the project timelines. So rest assured, neither there is a cost overrun nor there is a time overrun on these parameters.

Kirtan Mehta: But for the immediate 2 years, are you expecting anything above this range or to be spent below this range to deliver on the timeline target?

Vishal Chandak: As of now, there is nothing envisaged. If we have something on this, then we will definitely come back to you on this.

Kirtan Mehta: Sure. The second question was about our arrangement with RINL where we were looking to sort of secure higher metallics, which could allow us to operate crude steel operation at a

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higher run rate, is there any further progress on that, that you can share and whether we will receive any benefit of higher metallics in FY '25?

Sabyasachi B.: We are under discussions with RINL for potential of higher availability. So that discussion is going on. So far, we are continuing with the current process that we have already established.

Vishal or Sunil Ji you want

to reflect on that, any additional comments?

Sunil Agrawal: Yes. So we are getting supply from RINL for the billets as per our MoU, which is continuing, and we are expecting that the required quantity will get from the RINL.

Kirtan Mehta: Just to follow up what is the quantity that we are currently getting? And what is the quantity that we are envisaging for FY '25?

Vishal Chandak: Kirtan, that is not in the public domain. So you might refer to any media reports, but we have not specified the agreement in the public domain.

Kirtan Mehta: From a perspective the analyst, it would help us model the FY '25 production level. So if you can share from your side, we can work with a more informed way of estimating the FY '25 productions.

Vishal Chandak: Maybe we'll take it offline and maybe I can help you a little bit on that later.

Kirtan Mehta: Sure. Just last question was on the write-off that we have taken in the Australia coal block. Could you give us more color, what does it pertain to and what is our plan for the Australian asset from here on?

Sunil Agrawal: Yes. Just I will update. So this is the annual exercise there. So as per local, they have to get the impairment testing every year. So this year also, they have got the impairment done. So this is for the intangible assets, they are carrying in their books. So right now, the Australian mines, we have taken under care and maintenance due to certain issues there. So we are not operating that mines. So we have taken impairment of around INR 360 crores.

Kirtan Mehta: And is this likely to become operational again in FY '25 or it could take longer?

Sunil Agrawal: No, we are planning to operate a bit single-shaft basis sooner. We will get the permission and we'll start production with single shaft.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: The first question is on consumption basis, what was the cost for coking coal and iron ore for this quarter?

Sunil Agrawal: Yes. So these numbers, we don't share generally. So anything you require you can contact to our, Vishal for the detail if you require them.

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Vishal Chandak: Just to add, Ritesh, we have mentioned that there was an uptick in our coal cost, which is in a range of \$15 to \$20 and that is what has played out through the quarter on a consumption basis.

Sunil Agrawal: And I have already indicated that for the Q1, there will be a reduction of around \$30 to \$40 that I have already mentioned in my previous statement.

Ritesh Shah: Okay. Possible to give some details around iron ore sourcing strategy for the company right now and going forward?

Sunil Agrawal: We are sourcing our iron ore from NMDC, OMC. We have the MoU with all of them, and we are participating in the auctions as well. So we are sourcing from different sources.

Vishal Chandak: So basically, Ritesh, if you look at it, we operate 2 captive mines. One is Tensa and the other one is Kasia. The EC limit for Tensa is about 3.11 million tonnes, which would be mined to the fullest. Kasia, EC level is about 7.5 million tonnes, which we typically do in the range of 6 million to 7 million tonnes depending upon the market conditions. Balance is sourced on a long-term agreement basis and on the spot market, depending upon the value in use. So it's a mix of both.

Ritesh Shah: This is helpful. And can you please help me with the throughput for the 2 coal mines, which I believe have started, tonnage as well as potential cost savings?

Sabyasachi B.: So Sunil Ji, do you want me to take this? Vishal, can I take this?

Vishal Chandak: Yes, Sir, please go ahead, Sir.

Sabyasachi B.: Yes. So again, we do not generally provide the forward-looking guidance, but I can tell you that we have hit capacity, and we are augmenting the capacity. So the EC capacity we have,

in

fact, upgrading for both Gare Palma IV/6 and Utkal C. And both will go up to 5 million tonnes per annum. And we are in the process of doing that application and get ourselves to that.

Ritesh Shah: Sir, would it be possible to quantify the throughput that we had in the quarter, just trying to get a sense on the cost savings that we would have benefited during the quarter?

Sunil Agrawal: Yes. So basically, we have done from the Gare Palma around 1 million tonne and around 0.9 million tonnes from the Utkal C for the Q4, that we can explain. Regarding the cost saving, generally, we don't provide. You can contact Vishal for this.

Ritesh Shah: Sure. Sir, how much did you say for Utkal C, I missed it?

Sunil Agrawal: Utkal C is 0.9 million tonnes.

Ritesh Shah: 0.9 million tonnes, okay. Sir, last question, I'll just squeeze in. Are we on schedule for HSM? Because I think BF, BOF, HSM was interlinked that is what was explained in the last call, I do

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understand that you do not want to share details pertaining to RINL sourcing. But are we confident on rolling out stuff from HSM, say, by Q3? Is there something on track?

Sabyasachi B.: Yes. HSM is fully on track. We have already hit the run rate for 3 million tonnes. And we will end the year probably, a gain, it's a forward-looking statement, not saying in particular, but this year, 3 to 3.5 million tonnes and next year, 6 million tonnes, that's the target.

Ritesh Shah: Sure, Sir. This is very helpful. And then last one, the pellet plant, if you could help on the utilization levels and how should we look at the profitability, if at all over here?

Sabyasachi B.: So I can give you what we have been hitting. And in Q4, we clocked at around 4,500 tonnes plus a day. And in April, we went back, we took that up to almost 8,300 plus tonnes per day.

And in May right now, we are clocking somewhere in between 9,000 tonnes to 10,000 tonnes depending on the days. And that's what we intend to continue and ramp up further.

Moderator: Our next question is from the line of Pavas Pethia from Aditya Birla Mutual Funds.

Pavas Pethia: Just in terms of overall capex, what is left to be spent in the next few years for this INR 31,000 crores?

Sunil Agrawal: This is close to INR 15,000 crores. So we have spent around 50% we have already spent and 50% we are targeting that over the next 2 years we'll spend.

Pavas Pethia: And maintenance capex will be over and above this? Just for quantum?

Sunil Agrawal: Yes, that is over and above.

Pavas Pethia: What quantum annualized basis?

Sunil Agrawal: So basically, we are expecting around INR 2,500 crores for the maintenance.

Pavas Pethia: Okay. And just lastly on this Australian mine operation. If the mine remains shut, what is the cost we incur annually if there's no production?

Sunil Agrawal: Not much. We have already reduced a lot of manpower there. So our cost is minimum there. I

can explain that we have some minimum expense t here as of now.

Vishal Chandak: So basically, Pavas, the mine is now under maintenance and care like there is a very, very minimal sustenance cost over there, which is not a very big number over there. So basically, your overseas businesses earn and spend on their own, and there is no material cash flow which moved out from the parent comp any into the overseas. So if the intent is to understand whether are we funding the overseas projects? No, we are not. So basically, among the overseas, they are earning and investing on their own and sustaining their own expenditures largely.

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Pavas Pethia: Okay. But you said that INR 360 crores was kind of losses from last year for Australian mines. So how is it supported?

Vishal Chandak: These are not the losses. This is an impairment taken.

Sunil Agrawal: This is a nonca

sh item.

Pavas Pethia: Okay. So incrementally, no cash flow from Indian entity.

Sunil Agrawal: No, no, no. We have not sent any single pie from India for this during the last year.

Vishal Chandak: I think we have mentioned in our previous calls also, Pavas, that the overseas operations have to earn their own EBITDA to meet their expenditure. We have long -stopped funding from the India business.

Pavas Pethia: Okay. But any corporate guarantees which are kind of being supported from Indian balance sheet?

Sunil Agrawal: Not much. We have cleared all the corporate guarantees. Since we have one, 4.6 million AUD bank guarantee is there, corporate guarantee is there. Otherwise, there is no as such, any corporate guarantee from India side.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: First, I want to understand about the NSR. So just to understand, you said NSR, how was the NSR this quarter versus last quarter?

Sunil Agrawal: Yes. So we have just given you what the growth reduction in percentage basis. Exact number we don't provide in the call. So if you require anything specific, Vishal will provide you.

Indrajit Agarwal: So the percentage will also do. So quarter -over-quarter, how much was the move in NSR?

Sunil Agrawal: Basically, as I have already explained, there was a reduction in 5% on quarter-on-quarter basis for steel NSR.

Indrajit Agarwal: Okay. And was there any pellet sales? How much, if any, in this quarter?

Sunil Agrawal: So no, break -up we don't provide.

Vishal Chandak: There is no pellet sale in this quarter. So Indrajit, the pellet plant has not ramped up to its fullest capacity. And once the pellet plant also ramps up, the new blast furnace will come in.

So we may not have any real surplus pellet to actually sell in the market.

Indrajit Agarwal: The reason I'm asking is our calculated realization is actually showing an uptick quarter -over-quarter. So I just wanted to understand why is the disconnect?

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Sunil Agrawal: So that is mainly on account of how other like cement, power, everything other , and sales that we have arrangement with RINL, we are providing them the materials. So that includes, that's why our overall turnover is higher.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So similar question as the previous participant had. Like could you just help better understand this movement in revenue then because NSR is down, like what are the other factors which have offset that? And if you can give some color as to the number also?

Sunil Agrawal: So I think the details Vishal will provide you.

Vishal Chandak: See Amit, pursuant to our MoU with RINL, we have provided a lot of material to them, and that is getting reflected as part of our sales in the accounting , okay. So the uptick that you see is basically the differential is on account of that particular material movement to RINL to support the rest art of blast furnace, okay. But if you do your math, you'll see if you've taken a 5% reduction on Q -on-Q, the balance is largely, the material supply to RINL.

Amit Murarka: Okay. Got it. So that's the larger part of the explanation is it?

Vishal Chandak: Yes. So you can take this as a one-off and then adjust it because this is not going to be incrementally recurring every year.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Yes. Sir, my first question was from April 1st till date, what is the quantum of price hike you've seen in terms of an average price increase on a quarter-on-quarter basis and how much of that will reflect in 1Q?

Sunil Agrawal: So this is around INR 1,000 on ballpark number, I'm saying. So it is already up by INR 1,000 per tonne. And further, we are seeing up

side in the market in the month of May and June.

Vishal Chandak: So Rajesh, if you see, NMDC has raised iron ore prices about INR 300 per tonne, and that would be a similar range for other private miners. So you can quickly do the math, about INR 1,000 increase in steel prices, roughly about INR 300 odd numbers increase in the iron ore prices. And there is what we have already mentioned about \$35 to \$40 reduction in the coking coal on a consumption basis for the quarter.

Rajesh Majumdar: Right, right. That's helpful. And my other question was on the tax rate, I guess you've seen the tax rate has gone up this quarter. So is that going to be from next year, do we assume that the company will pay the 25% plus kind of tax rate from next year or will it be certainly decrease on that?

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Sunil Agrawal: Actually, in the JSP stand-alone, we will be having same tax rate of 25%. And for JSO we'll be having the lower tax that we are achieving in that particular company.

Rajesh Majumdar: Okay. Okay. And my last question is that while ramping up the hot strip volumes, do you expect any kind of cost increases in terms of marketing because of the new products we are trying to sell in the market, which will actually have a kind of impact on the EBITDA per tonne? Any kind of significant increase in marketing or other expenses which you envisage from this?

Sunil Agrawal: So no, we don't see any increase in marketing expenses because we are doing marketing. Our marketing team is doing the marketing of HSM.

Vishal Chandak: So Rajesh, on the contrary, the semis that we have will now be converted into hot coil and would be sold. So conversely to what you are assuming that there's been increase in expenditure. Actually, we expect an increase in the EBITDA because of conversion of semis into flat steel.

Rajesh Majumdar: Correct. That's fine. No, I know that. I was just wondering if there's going to be any kind of increase in the other expenses that we should kind of look at.

Vishal Chandak: No, on an overall scale basis, whenever you are increasing your volumes, you will experience some increase in the variable cost as well. But the point is when it comes down to a per tonne basis, you would see economies of scale playing out.

Moderator: The next question is from the line of Ashish Jain from Macquarie.

Ashish Jain: Sir, my question again goes back to realization. I know you partly explained it, but I'm sure this will be a query with everybody. So is it possible to explain it on the call itself?

Vishal Chandak: So Ashish, let me put it this way. What you have seen is basically an increase on a Q-on-Q basis on the NSR that the way we calculate it, right. But Sunil, Sir, has mentioned that there's a 5% reduction in the steel realizations. So if you calculate the differential between these two, the large chunk of the differential basically goes on account of material supplied to RINL through sales, which is part of the MoU that we have done with them. Balance is a very, very small quantity of other operating income that we always have for any steel mill that you would see flowing through, so that's basic math behind us.

Ashish Jain: Yes. So just to clarify, so we should use the last quarter number 63,000, that's a key number and take a 5% decline on that ballpark? Or that has had some element of the supplies, that's the reason I'm asking.

Vishal Chandak: No, that does not have any element. That is a normal number.

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Ashish Jain: Okay. And then the similar amount we should take out from the cost also? Because clearly, your cost also per tonne has gone up sequentially, I guess, for the same reason, it's getting booked on both side.

Sunil Agrawal: Yes, yes. Absolutely, right.

Ashish Jain: So INR 12,500 EBITDA per tonne we are getting i

s that's a clean number, right? It's all

business related, within that, right?

Vishal Chandak: It's all business. Yes, it's a normal operating income only.

Ashish Jain: Okay. Okay. Got it. And secondly, my second question was on the coal mine ramp-up because

I know you kind of earlier indicated that it's difficult to put a timeline. But can you give some

indication because this was the first year where we have seen the coal mine ramping up? And

also, can you give some indication of how the cost savings have come through at least

backward-looking, you can give some clarity on that?

Sunil Agrawal: No. No, that we can't.

Vishal Chandak: No. Ashish, we have time and again mentioned that we would want to refrain from giving any

color on the actual cost saving numbers because that keeps on varying depending upon the e-

auction prices and other things. So I would leave that for your calculation at this point in time.

Moderator: The next question is from the line of Kamlesh Jain from Lotus Asset Managers.

Kamlesh Jain: Sir, I had 1 question on the part of the presentation, on Slide number. There was loss of

around INR 69 crores in the subsidiary in the EBITDA breach, which was let's say, INR 91

crores in the previous quarter. So was that loss more than this particular quarter?

Vishal Chandak: Can you please repeat the question?

Kamlesh Jain: So there was a loss quarter-on-quarter of INR 69 crores, which we have shown in Slide 24 of the presentation.

Sunil Agrawal: That is mainly Australia operations. That other subsidiary is basically related to Australia operation.

Kamlesh Jain: But in last quarter, it was INR 90-odd crores. INR 91 crores of profit or I would say, in a presentation quarter on quarter in the previous quarter.

And this quarter, it was INR 69 crores loss. So like is it primarily on the operational side

because as we have mentioned that in Australian operations, we don't have much of fixed

overheads and all those things. But despite that, you had such a significant loss and quarter-on-

quarter, if I see roughly around INR 180 crores, INR 170 crores of loss have come up in this

particular quarter.

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Sunil Agrawal: Kamlesh, basically, that is swing from the previous quarter to this quarter.

Kamlesh Jain: Yes, yes.

Sunil Agrawal: It is not the exact numbers that you are looking at. This is swing from the previous Q2 to Q3 and Q3 to Q4.

Kamlesh Jain: Yes. But if I see from Q2, then it is roughly an INR 170 crores.

Sunil Agrawal: So you can get the details from Vishal. Vishal will explain you separately, Kamlesh.

Kamlesh Jain: Yes. And lastly, on the project commissioning. I do believe I don't give the forward-looking

statements for any guidance but even if I see all the project metrics like say on the

electrification or civil work, there has not been significant movement quarter over quarter.

And still, we are so confident on our guidance part that all the projects are on schedule.

But honestly, like Q1 FY '25 for slurry pipeline or Q2 FY '25 for BOF looks very stressed. So

how much incremental production or all that you are expecting? Because FY '25 like we are

going to see the growth and not much of capacity coming on in stream in India. So like even if

we see last projects, like 8 million tonnes, that particular guidance also which we have

achieved after 3 years of the earlier guidance, which we used to give around 5 years back, so

what confidence do we have on these project timeline?

Vishal Chandak: Saby, Sir, would you like to take the projects part.

Sabyasachi B.: Vishal, somehow, there was a disruption in my line. So I kind of lost the question midway.

Can Kamlesh repeat the question, please, for me.

Kamlesh Jain: Yes, sure, Sir. So if I go through your presentation, like say, the presentation Q4 FY '25, there has not been much of the, let's

say, move ahead on various distribute of your project. So how

confident are we on these projects, given the fact that we are so much near to the product

deadlines, or the timelines which we have guided. And there has been no needle movement or

a significant change in the project scope.

So how confident are we on these timelines of the project because Q1 FY '25 for this slurry

pipeline and given the fact that the elections are there, and this rainy period is going to start

and our ground or the channel set suggest on that, that around 40% to 45% of the work on this



slurry pipeline is still pending. And even on the blast furnace side, there are also not much significant changes there on plant work part or level of work which has happened over there? Sabyasachi B.: So Kamlesh, other than anything which is beyond our control, meaning with administration or authorities anything that is pending, other than whatever is within our control, we are extremely confident of delivering it on time. In fact, the team has been doing a fantastic job, and we are fairly confident about our deliverables. As far as projects are concerned, as far as

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the timeline that we have indicated, that indicated timeline, we are extremely confident of. That's all I can say at this point of time. Vishal or Sunil Ji, if you want to add any color to it, please go ahead.

Vishal Chandak: I think, Kamlesh just one more thing. Electrical is always the last which comes up. So you will always find electrical as the last thing that is part of the commissioning process. You cannot have electrical done before the civil. So that's how we have also arranged the entire presentation. So I think we are on track to deliver what we have guided so far. Slurry pipeline we just mentioned at the beginning in the opening remarks also as to a small patch where we are negotiating how we can get over things. But bearing that, we are primarily on track.

Moderator: The next question is from the line of Parthiv Jhonsa from Anand Rathi.

Parthiv Jhonsa: So just have a very basic question, considering recently all the steel prices, especially for the longs have been going up, how do you perceive the next 2 quarters to pan out?

Sunil Agrawal: So next 2 quarters, nobody can explain as how the market will move. But we are right now, we are seeing the upward in the prices. So that's all we can say that we are expecting good price from here.

Parthiv Jhonsa: Sir, is it possible to quantify any kind of movement, what you're seeing currently?

Vishal Chandak: So Parthiv, we have mentioned that we have taken about INR 1,000 price hike, further price hikes would be subject to how the market behaves going forward. So as you know, it's very, very difficult to take a call on the price hike sitting over here at this point in time over the next 2 quarters. But yes, as we move in further, the most important point is that we are replacing a large part of our semi with HS M. So anyway, you see that getting reflected in our improved NSR and EBITDA as well. So price hikes, yes that would be guided by how the market behaves and how Chinese prices are moving up and down.

Sabyasachi B.: Vishal, if I may just quickly add a point, is that, Parthiv, one of the aspects that we are focusing on and need to be cognizant about is how we are moving with our product line. What we are doing with our value engineering and what segments we are moving into. So as Vishal rightly put it, that we are converting a lot of our semis into much more value-added finished goods. And so there will be an uptick in overall realization versus what we were getting. And hence, that bottom line improvement will happen. It's not only through volume, but also through value engineering and value-added grade addition into our basket.

Moderator: The next follow-up question is from the line

of Ritesh Shah from Investec.

Ritesh Shah: Sir, my question is pertaining to power assets. I think we have 135 x 10 and another 250 to 270 megawatts of total power capacity. Just trying to understand what was the utilization levels in Q4 and if at all there was any external power sales? And if you could also help on the state of Monnet facility.

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Sabyasachi B.: So Vishal, yes, go ahead, Sunil Ji.

Sunil Agrawal: No doubt, we are selling merchant power from our DCP, basically Raigarh plant and quantity, we can't explain, but we are selling in the market.

Vishal Chandak: So these are very, very small merchant power sales that we have, Ritesh. There is no big quantum of merchant power that we have sold. Like any other steel company as you operate your SMS and blast furnace in tandem, occasionally, you kind of have surplus power and then you're drawing on the SMS, you have a deficit power.

So between these 2 swings, you tend to have some surplus as any steel plant would have, and that has been sold as a part of regular business. Going forward, once we have our ACPP up and running, ACPP-2, then we will see how do we deal with it because at that point, we might

have some surplus. We will come to that point once the ACPP -2 is operational.

Ritesh Shah: What are the timelines we are looking at over here? And what are the variables that we look at whether to sell surplus or basically take down the older utilities?

Vishal Chandak: The timelines, we have already put in our presentation, and that's where we want to stick on to. So there's no change over there.

Ritesh Shah: And what are the variables because earlier we had indicated from an ESG angle of the station heat rate and lower fuel consumption. That was the reason why we were going ahead with ACPP -2. Do we still stand by the same? Or is there any change in thought process?

Vishal Chandak: So Ritesh, the thought process remains the same. See, what is the idea of getting ACPP -2? The whole idea is basically that this will be a lot more cost efficient for us, okay. In the case if we have a surplus power in the intervening period, then we will look at how to address the situation. So in the past, if you go through it, we have explained various options, so we would want to evaluate as we go closer to the commissioning period of our ACPP -2. Yes, ACPP -2, the heat rate is significantly lower than the existing boilers. And being a pithead coal plant, it helps reduce our costs further.

Ritesh Shah: Sorry, just to continue, so what will be the extent of surplus that we are looking at? Is it like 3 units, 4 units of 135 megawatt. How should we understand that?

Sunil Agrawal: So basically, that will depend on when we will commission the first unit of the Monnet power. Thereafter, we will strategize and update you on that.

Ritesh Shah: Sir, but from a mass balance standpoint, there should be a broad indication, right, once we go to 13 million tonnes, 1.4 million tonnes, there would be some quantum of surplus power, which would be there and probably you might look to dismantle the plant or you might look to sell out that particular asset? I'm trying to understand that as well.

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Sunil Agrawal: No, no, we are not planning to dismantle the assets. So any capacity that will have, depending on the market conditions, certainly, we'll update you on that and we'll sell the power or self-consume, we will update on that. Right now, we don't have any plans to dismantle the units.

Ritesh Shah: Okay. And just a continuation of my prior question. I think in one of the remarks, the management did indicate that they are looking at higher supplies from RINL. There was some emphasis on the word higher. I'm just trying to understand this and specifically in the context

that I think RINL is only running one of the furnaces right now. And that also is in a bit of a problematic stage given some port-related strikes. How are we looking at approaching this particular scenario?

Sunil Agrawal: So this is a temporary phenomenon. So they have some strike and they have shut down. So that's why we are expecting to resolve that issue. And once they commission the plant, certainly they will supply to our commitment.

Ritesh Shah: Right. Sir, can you possibly give some numbers?

Moderator: Mr. Shah, may we request you return to the question queue for any follow-ups. The next question is from the line of Ashish Jain from Macquarie.

Ashish Jain: Yes, Sir, I just had 1 book-keeping question. What is the total volume of semis we have sold in '24?

Sabyasachi B.: Sunil Ji, you have that number handy?

Sunil Agrawal: Yes, it is there. This is 1.4 million tonnes around we have sold semis.

Ashish Jain: Okay. So this will go to 0 in FY'25, given we are hoping to operate HSM at more than 50%.

Sunil Agrawal: We'll be converting to HSM, yes.

Sabyasachi B.: So Sunil Ji, so if rounds is not considered semis, then it's good. So we should clarify that portion because rounds is a special product that we sell by design.

Sunil Agrawal: Actually, round is considered in semis. So certainly, that will depend on the market conditions, whether we'll produce round or HSM, but round is a part of semis.

Ashish Jain: Yes. So that's a part of this 1.4 million tonnes, right?

Sunil Agrawal: Yes, yes.

Ashish Jain: Yes. Got it.

Vishal Chandak: We continue to sell rounds in the market because that fetches us a decent amount of EBITDA.

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Sabyasachi B.: That's a premium product. That's a premium product for a reference, a very niche product for us, and we selectively sell that based on the returns.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vishal Chandak: Saby Sir, over to you for the closing remarks.

Sabyasachi B.: Good evening, once again, ladies and gentlemen, and thanks to Vishal and Sunilji and as well as the operators and the coordinators from JM Financial. It has been a pleasure to have you on the call. I think we have, as an organization, have delivered our performance, and we will continue to be living up to the expectations of the market and our stakeholders. We are very focused and the team is geared up to deliver the expansion plans as well as the production targets alongside. So once again, we look forward to having you very soon, and thank you very much. Have an excellent evening. Bye.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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## Call: Jul 2024

July 31, 2024

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Svmbol: TINDALSTEL

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JULY 24, 2024

This is in furtherance to our letter dated July 18, 2024, w.r.t the Earnings Conference Call

intimation for the financial results with the Institutional investors/ analysts.

In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the

earning conference call is enclosed herewith and has also been uploaded on the website of the

Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com) .

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Pow ~p1;::.

Company Secretary

Encl.: as above

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"Jindal Steel & Power Q1 FY '2 5 Results Conference Call"

July 24, 202 4

MANAGEMENT : MR. SABYASACHI BANDYOPADHYAY –WHOLE -TIME

DIRECTOR – JINDAL STEEL & POWER

MR. PANKAJ MALHAN – CHIEF EXECUTIVE OFFICER

STEEL BUSINESS , ANGUL – JINDAL STEEL & POWER

MR. SUNIL KUMAR – CHIEF FINANCIAL OFFICER –

JINDAL STEEL & POWER

MR. VISHAL CHANDAK – HEAD OF INVESTOR

RELATIONS , STRATEGIC FINANCE – JINDAL STEEL &

POWER

MODERATOR : MR. ANUPAM GUPTA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Jindal Steel & Power Q1 FY '25 Results

Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be

in the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an

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operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anupam Gupta from IIFL Securities Limited. Thank you, and over to you, sir.

Anupam Gupta: Yes. Thanks, Deepika, and it's my pleasure to host the senior leadership team of Jindal Steel & Power for the 1Q FY '25 Results Conference Call. To start off with, I'll hand it over to Vishal Chandak, Head Investor Relations and Strategic Finance for introductions and taking it forward.

Over to you, sir.

Vishal Chandak: Thank you very much, Anupam. Good evening, ladies and gentlemen. Thank you for attending this Q1 FY '25 Investor briefing for Jindal Steel's Q1 call. We have with the senior management from the company, Mr. Sabyasachi Bandyopadhyay, `Whole -Time Director; Mr. Pankaj Malhan, CEO of Steel Business, Angul; and Mr. Sunil Kumar, CFO.

Without much ado, I would like to hand over the call to Sunil sir for his opening remarks. Over to you, sir.

Sunil Agrawal: Yes. Thanks, Vishal. So good evening to everyone. Let us begin with the operational performance of the company for the first quarter of financial year '25. Sales volume for the quarter witnessed increased by 4% on a quarter -on-quarter basis and 14% on a Y -on-Y basis and that to 2.09 million tons. The growth has mainly come from higher sale of HSM products. Our steel sales re

alization also saw slight upstick of around 1% on a quarter -on-quarter basis.

As we progress into second quarter of the financial year '25 we feel slight level of softening of NSR by 1%. Our SMS costs in the quarter witnessed a considerable drop owing to lowering of both coking coal price and thermal coal price along with superior productivity in our operations.

Further, we are expecting savings in coking coal price in Q2, '25 by around \$30 to \$35 per ton.

Our adjusted EBITDA for the first quarter, was INR2,831 crores, which is 13% higher on a quarter -on-quarter basis, mainly on account of higher sales volume, higher sales realization and cost efficiency achieved at our plants. Our PAT surged by 43% on a quarter -on-quarter basis to INR1,338 crores. This is mainly due to higher EBITDA and lower losses at our subsidies.

Now, let us walk through our debt profile. Our consolidated net debt is INR10,462 crores at the end of quarter 1, which has dropped from INR11,203 crores reported during the last quarter.

This is mainly due to repayment made during the quarter. This has further helped to ease already strong net debt -to-EBITDA ratio of 1x, which is by far the best as per the industry standards.

Our capex in the quarter stood at INR2,796 crores. With regard to project for 6 million MTPA expansion project, the progress of project is going well at ground level, and we are targeting to a completion in record time. As you are aware, we have commissioned HSM in record time, and we aim to continue the thrust to achieve the project completion in record time. Initially, we have projected an aggressive timeline to complete the project where as now we see some time over them. We are targeting to complete the major facility that is blast furnace, BOF, CRM, well, JIND/IR/STEEL & POWER

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within timeline by Q4 of financial year '25. The remaining ancillary facility will be completed in another 9 to 12 months.

With this, I will conclude and hand over for Q&A session. Thanks.

Anupam Gupta: Vishal, over to Q&A.

Vishal Chandak: Operator, can you please open the line for the Q&A.

Moderator: Sure. Thank you very much. We will now begin the question -and-answer session. The first question is from the line Amit Dixit, ICICI Securities.

Amit Dixit : Congratulations for a good performance. I have two questions. The first one is actually on the project completion status. Now we don't have the presentation as yet with us. But going from the last presentation that you uploaded in the last earnings call, there were several capacities that were going to come in Q2 FY '25 B OF-II, be the BOF -II, etcetera. Now in your prepared remarks, you had mentioned that these have been delayed by a couple of quarters. And so my first question here is that when do we expect BOF -III, etcetera, which were to come in Q4 FY '25, when they will come up now?

And Part B of question is on the coal mine. So what is the status of this coal mine, coal materialization, what kind of captive coal did we get in this quarter? So this is the first question essentially. And what caused this delay? If you could highlight broadly, that would be very helpful.

Sunil Agrawal: Pankaj. You just..

Pankaj Malhan: Sure. Thanks, Sunil. Thanks for this wonderful question. I think I must put it on record that JSP commissioned the HSM in a record time, which is 29 months. Going forward and looking into the kind of projects that we're executing, which are mega projects in nature, we are talking about completing BOF as well as BF -II well on time, which would be close to March '25. And we don't see a big challenge as of now where we are positioned. If I really compare with the industry standards, we would be still the fastest to execute this project in the timelines that we are committing.

Second question, which you asked was on coal m

ines. Coal mines, as you all are aware that

we've already started our Utkal C mines. We have got approvals for Utkal B1, and we're in the process of starting that mine also now.

Third question which you asked was what were the causes for the delay in terms of the larger projects that we have come across. If I was to say this year, be the happening year for the country in terms of general elections. And then also we experienced a very unprecedented heat wave in Odisha. So while they were good times that we could have pulled up our project that we lost because of these 2 larger reasons. There was some kind of demobilization of the workforce. That the workforce is back home right now. And we are gearing up to make sure we deliver the project well on time. Thank you. JIND/lr/

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Amit Dixit : Okay. Sir, the second question is essentially on the sales volume. So if we look at it after a very long time, we have crossed 2 million tons in a quarter. Now if you could just highlight what would be the incremental volume that you would have got from Hot Strip Mill, particularly if - I mean, from the arrangement we have with RIN L? That would be very helpful.

Pankaj Malhan: If I was to speak about quarter four, when we started our Hot Strip Mill to quarter one of FY '25. The jump is close to double, in terms of HSM volumes. So that's what we've got to the market. That's an excellent ability, if I was to now put on records. This is one of the fastest ramp-up somebody would have seen for a Hot Strip Mill of this size. So we are very hopeful as and when steel comes in from the newer facilities. Our HSM is fully geared up to pick up that capacity.

Amit Dixit : But how much did HSM do in this quarter, Q1 FY '25?

Pankaj Malhan: We are sitting on a plan of close to 3 million tons. As of now, we did in quarter 1 versus roughly around 450 kt.

Amit Dixit : Sorry, sir, I didn't hear you. Can you please repeat the last part?

Pankaj Malhan: 450 kt.

Amit Dixit : 450 kt. Okay, fine.

Moderator: Ladies and gentlemen, the next question is from the line of Sumangal Nevatia, Kotak Securities.

Sumangal Nevatia: Congratulations on good set of numbers. Before the questions, I'll just request in future, if we can have some more time between the call and the results to better understand the results in the quarter call.

My first question is again on completing what Amit was asking about the timeline. Now last 5 to 6 quarters, we've been constantly pushing the timelines, delaying. So delays, and at the same time, communicating that we are building enough margin of safety, and we will commission within the updated timeline. So I just want to understand, I mean, how do we get confidence? And in case we are very sure about fourth quarter blast furnace to commissioning, is it possible to share some sort of volume guidance for FY '25 that can come from this plant? That's my first question.

Sabyasachi B. : Pankaj, can you take the question, please?

Pankaj Malhan: Sure. I'll take this one. Thanks for the question, first of all. Going into this project side, you all would agree this is a mega project, first of all. And any mega project of this size would have a lot of hurdles and challenges. Fortunately, for this project, we are all geared up in terms of, first of all, right engineering, rights set of ordering, well in time, getting deliveries, well on time. There have been challenges which are beyond the control of the organization, which I just spelled a while back.

And going into that, we have come up with some kind of differential policies in our units to make sure the learnings, which came out of this time, we overcome those kind of learnings. Like JIND/lr/

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we've come up with the workman incentivization t

hat is working very well for us. We have seen a work man, which dropped by around 30%. Now it's over the 10%, the peak that we have seen. That's the confidence that we are bringing in . Second, the resource mobilization, which slightly got disturbed during the last quarter, then that's all back in home. Third, we are making sure that we take care of our contractors, and we are working to a level that we take care of our own employees. So we are very confident the way we have actually seen in the last 2 months after the elections, the pace is very great. And we are very hopeful that we would get BF -II home by March '25.

Vishal Chandak : Just to add on to this, even if we are able to do this by March '25, which we are very confident. This would be in flat 4 years from the time of announcement. This could be a record in India for all sorts, especially for large mega projects like that you'r e pursuing which is 6 million tons. If you take look at any of the brownfield projects Sumangal, none of them have come up before 5 years. That's the best achievement so far. And with all the challenges before us, we are still trying to complete this by 4 years' time frame.

Sumangal Nevatia: Understood. Is it possible to have some sort of a volume guidance for this year and next year, given the confidence of commissioning these projects now?

Vishal Chandak : I think Sumangal, we'd be in a better position to talk more about the volumes as we draw closer to the commissioning timelines . I mean, that would be a fair timeline for us to give a volume guidance for next year.

Sumangal Nevatia: Understood. Just last set of question. One is, I mean, any update on Utkal B1, B2 where is the approval process as of today. And in the opening remarks, there was some commentary on the cost and price movement that you're expecting for the second quarter? If you could just repeat that.

Pankaj Malhan : So let me take this one. In terms of the approvals, which I just spoke about, we have already secured the approvals right now with us. The last approval is expected any time from now. And we are in the process of starting the coal mine B, Utkal B rather, B1, I would say. I'm hoping that in the next 2 months' time, we should be in a position to start that.

Sumangal Nevatia: Okay. And the guidance on the cost and prices for the next quarter?

Sabyasachi B.: Sunil, would you like to do this?

Sunil Agrawal: Yes, yes. Sure, certainly. So we are expecting around \$30 to \$35 in coking coal price savings in the Q2.

Sumangal Nevatia: Understand. And iron ore and steel price?

Sunil Agrawal: So the steel price, we have seen the recent auctions, and we are seeing around INR500 to INR1,000 per ton reduction in iron ore price as well. So in both front s, we are seeing the cost reduction. JIND/IR/  
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Moderator: The next question is from the line of Kirtan Mehta, BOB Capital.

Kirtan Mehta: Just in terms of the project targets, would you also highlight the timelines for the other components like pellet plant to DRI to CRM complex and plate mill, which were also targeted in the second half of the year ? would there be a shift in those as well?

Vishal Chandak : Kirtan, we have already uploaded the presentation and is now available. So you can actually refer to those numbers quickly from there.

Kirtan Mehta: Sure, we'll do that. In terms of the pellet plant, would you be able to sort of highlight the current run rate, pellet plant to that we had started earlier? What is the current run rate for the same?

Sunil Agrawal: So Pankaj, can you just take up this one?

Pankaj Malhan: Yes. I think, if I was to give you the current level, we are close to a run rate of 4 million tons for the year.

Kirtan Mehta: Right, sir. And in terms of when we are targeting the BOF and BF-II by March, to deliver on that, what should we have

been achieved by December so that we understand that will remain on track. Just to sort of give us an intermediate milestone to improve the confidence with the investors on delivery.

Pankaj Malhan: So when I say 4 million tons, which means we are almost going to hit the capacity 6 million tons as and when it is going to come up. So I think we would be able to feed BF-II straight from our pellet plant.

Kirtan Mehta: I understood about the pellet plant. I was asking with reference to the BF -II and BOF -II, which we are targeting by March '25, the commissioning. What would be target and achieved by December to remain on track for March '25 commissioning? Would you be able to share some intermediate milestones?

Vishal Chandak : Kirtan, I think we would want to plan a visit for all the analysts and for you to see the kind of work which is currently going on the ground. Because if Pankaj sir, starts telling you the list of all the activities, probably will spend next 2 hours only detailing all these activities. So I would be happy to take the entire block to the plant post the earnings season. And for you to see on the ground how the construction work is currently going on.

Kirtan Mehta: Sure. Any update on the RINL and MoUs, how the progress has been?

Pankaj Malhan : Yes. RINL, MoU progress is quite well. But unfortunately, some uncontrollable factors at RINL level because of some strike at Gangavaram port that derailed the entire stuff because they have to put off their blast furnaces, two of them. So they are in the process of reviving , and we are in touch with the highest -level right now and see how we can revive our relationship with RINL.

Moderator: The next question is from the line of Ritesh Shah, Investec. JIND/lr/  
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Ritesh Shah: A couple of questions. Sir, first, is it possible to quantify the average consumption cost for both iron ore as well as coking coal in the quarter?

Vishal Chandak So Ritesh, we don't give numbers for iron ore and coking coal in absolute terms. So we have did mention that there is a possibility of a saving about \$30 to \$35 for the next quarter.

Ritesh Shah: I just wanted to understand the economics of Kasia and Tensa mines...

Sabyasachi B.: That I would leave it for you to judge. We don't typically give guidances on iron ore cost and coking coal costs, absolutely.

Ritesh Shah : So let me put it the other way around, the blended iron ore costing for us, is it lower than what you would have secured from procuring via NMDC?

Vishal Chandak : Again, Ritesh, you are coming back to the same question as to benchmark our costs. I think these are highly competitive questions. Our cost is ... look at the EBITDA per ton that we have versus our peers, and you will see that we are integrated from a cost perspective by only about 30% from iron ore and nothing from coking coal side. Despite this, we have been able to deliver industry -beating EBITDA margins for the quarter, it still tells us about our superiority, not in terms of iron ore and cost, iron ore and coking coal procurement, but also in terms of our volume and value -added sales.

Ritesh Shah: Just trying to appreciate what you're doing, that's why asking this question. That's fine. My second question is on RINL. Would it be possible for you to source the volume and value?

Moderator: Sorry to interrupt, Mr. Shah. May we request you that you return to the question queue for follow -up questions as there are several analysts waiting for their turn. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities.

Ashish Kejriwal: Sir, two quick questions. One, is it possible to share how much capex we have already done out of this INR31,000 crores? And secondly, in Utkal B1, I think we were trying to increase our approval from 3.4 million to 5 million tons, where we

are? And in coking coal, you mentioned

that in first quarter, how much cost we have already witnessed down. Second quarter, I know, \$30, \$35, but in first quarter, how much coking coal price was down quarter -on-quarter?

Sunil Agrawal: So from the capex side, we have already incurred around INR17,500 crores on these projects.

Ashish Kejriwal: Okay. And so regarding Utkal B1 and coking coal price?

Vishal Chandak : I think you are referring to Utkal C.

Ashish Kejriwal: Sorry, yes, Utkal C, sorry. Yes.

Sunil Agrawal: Utkal C, we have already mentioned. Pankaj, you just take up this one?

Pankaj Malhan: Yes, Sure. Ashish, we have given a guidance that we would be increasing our EC from 3.37 to potentially 4.78. That would be happening and that's happening on track. We are at the last leg JIND/lr/  
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of approvals right now. And I'm hoping in the next 2 - 2.5 months' time, we should be able to increase our capacities in Utkal C.

Ashish Kejriwal: Sure. So in the next 2, 3 months, we are expecting Utkal B1 to start and capacity increase in Utkal C?

Pankaj Malhan: Correct.

Ashish Kejriwal: And sir, lastly, what coking coal Q1, how much down it was?

Pankaj Malhan: Sunil, can you take this?

Sunil Agrawal: This is \$23.

Ashish Kejriwal: It's \$23, you said, no?

Sunil Agrawal: Yes. Yes, \$23 per ton.

Moderator: The next question is from the line of Vikash Singh, PhillipCapital.

Vikash Singh: My first question pertains to our volumes, given we didn't get much of the RINL and that is due I know that we don't give the volume guidance, but at least, are we confident to maintain at least that 2 million tons plus run rate going forward? Or there is a ambiguity there as well?

Sabyasachi B. : No, we are confident on maintaining that volume level.

Vikash Singh: So at least 2 million tons plus per quarter, we would be able to maintain and RINL would be over and above that?

Sabyasachi B. : Yes.

Vikash Singh: Understood, sir. Sir, secondly, I know the other critical percent got delayed because of the lame terms of project. But I just wanted to understand this slurry pipeline, which was relatively easier task than the blast furnace and have a very good impact on our total per tonne cost savings? That was supposed to come in 1Q, which hasn't come. So any time it's a specific reason on timeline by when we can have that?

Sabyasachi B. : Pankaj, can you take that, please?

Pankaj Malhan: I think slurry pipeline kind of a project we all know they are very, very sensitive projects. While work have been going very good over that kind of a project. But again, because of elections, there have been some kind of delays in terms of securing approvals, things are back on track, and we are actually getting on the ground in the right way. And we are hopeful by the end of this financial year, we should see this project also coming up.

Vikash Singh: Understood, sir. That's all from my end. And just a request that just to have some more time before the results and call. JIND/IR/

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Moderator: The next question is from the line of Kamlesh Jain, Lotus Asset Managers.

Kamlesh Jain : Sir, just one question on the part of the realizations. You have mentioned about the cost reduction. So how and what change we are expecting in the realization quarter -on-quarter?

Sunil Agrawal: So as I mentioned, so we are expecting , we have done better in this quarter, but there is a softening of price by 1%. We are just seeing as of now, softening in the realization around 1%.

Kamlesh Jain: Okay. And sir, on the part of our BOF -III and DRI -II? So let's say, is entire ordering being done ? because no doubt, it has been delayed, but it is getting delayed like say quarter after quarter. And like say, last, in the November 2

023, we had that revision than we, let's say, got back to the earlier schedule. So on this particular DRI -II and BOF -III, so like on that part, how much ordering has been done? Or what is the pending part there?

Sabyasachi B. : Pankaj, can you take that, please?

Pankaj Malhan: I must say the company being very good in terms of , prudent in terms of spending of the capex , first of all. And we've been very cautious about each and every movement happening on the ground and how we are progressing in the project. As of now, we don't see any big hiccups in terms of ordering, things are well in well-oiled in terms of orders and deliveries. So I think we should be able to get home the timelines that we are committing .

Kamlesh Jain: Okay. And Q1 FY '26 is the timeline for your coke oven and other auxiliary facilities. So then the production or the utilization of the BOF -I and BF. So that can take roughly around 6 months of time from the production rate like that is Q4 FY '25. So the production or the utilization in the first year of the production, can be at around 50 -odd percent? Can we assume that?

Pankaj Malhan: See facilities to this size need some time for ramp up. And if you look into the industry ramp -ups, we've been almost in from, say, 6 to 12 months' time. The way we are confident, the way we have delivered our HSM ramp -up, we are hopeful of delivering the ramp -ups also faster. And in terms of coke ovens, what we mentioned, yes, we are mindful of that stuff. But because of some internal cokes, which is there, plus something that we can source from various imported markets or maybe from the domestic market, we are hopeful of starting our BF.

Vishal Chandak : Just to add on to what Pankaj sir, mentioned. As the blast furnace ramps up, the requirement for

coking coal anyways will not be as high as once that's fully done. So we will not have major challenges in securing the coking coal or coke at that point in time. So it should not impact our profitability in a significant manner in any ways.

Moderator: The next question is from the line of Rajesh Majumdar, B&K Securities.

Rajesh Majumdar: Sir, I had a question on the project cost also. You mentioned that there is going to be a little bit of a delay in terms of the execution. But how about the cost? Is there going to be an escalation with cost as well? That was my first question.

Sabyasachi B.: Yes, Sunil. JIND/IR/

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Sunil Agrawal: Yes. So we are not expecting any cost escalation on the overall project cost, which we have designed. So whatever we have mentioned we will be completing all projects within that cost.

We are not seeing any major deviation from that.

Rajesh Majumdar: Okay. So it's only a time overrun due to some labour delays, etcetera, or any cost over. Is that correct?

Sunil Agrawal: Yes. We have the contingency built within that. So we will manage that cost increase in the contingency that we have kept.

Rajesh Majumdar: Sorry, I've not been able to see the PPT yet, but what is the debt now and what is the debt that we envisaged after the project completion?

Sunil Agrawal: So we have maintained that we will maintain 1.5x of net debt to EBITDA that we will be maintained. That is our target, and we will be within that range.

Sabyasachi B.: And right now, we are under 1%.

Sunil Agrawal: Right now, we are at 1%.

Rajesh Majumdar: What is the aggregate amount of debt right the absolute amount?

Vishal Chandak: Rajesh, we have mentioned that we will not breach 1.5x net debt to EBITDA at all times. So right now, we are at 1x, our net debt for the quarter is about INR10,462 crores.

Rajesh Majumdar: Right, that's helpful. And my second question was, sir, you mentioned just a 1% drop in the NSR so far, you've seen but the market trends are showing a much more significant drop. So how

confident are we that the drop is going to be just 1% and not more than that for the quarter?

Because it's also a lean season for the construction activity. So could it be that the drop in the NSR is sharper than 1% in what you envisage?

Sunil Agrawal: So we are not giving any guidance on that part. So as of now, we are seeing this that much of -- since we have different product mix in our basket for our finished goods. So as of now, we are saying 1% down. So for future, we can't give you the guidance.

Pankaj Malhan: Just to clarify the point what Sunil is trying to make is the guidance. It's not the guidance, it's the actual deliveries that we have seen in quarter 1. That's the blended NSR drop of almost a percent.

Rajesh Majumdar: Okay. Okay. Okay. That's useful. And sir, one last question, if I can squeeze in. Is that, what was the exports for the quarter? And where do you see the trend for that going forward?

Sunil Agrawal: So exports for the quarter, last quarter was 0.15 million tons and that was there. So future we will -- normally, we will not give the future guidance on that.

Rajesh Majumdar: So because the quotas, etcetera, have already been announced for the year. So you will have a fair idea of how much can the exports be for this year, right? That's why. JIND/IR/

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Sunil Agrawal: So all that depends on the international market and the demand supply. So if we get to that quantity, certainly, we'll love to export, but that depends on our market conditions.

Rajesh Majumdar: And the export NSR, sir, last question, sorry, yes.

Sunil Agrawal: We don't have right now the export NSR specifically.

Vishal Chandak: We don't discuss export and domestic guidance, Rajesh, you know our policy. Let's not push here.

Moderator: The next question is from the line of Raashi Chopra, Citi.

Raashi Chopra: Just my first question back on realization, to be clear. You mentioned there was a 1% decline that you witnessed in this quarter 1 or there's a 1% decline that we will witness in quarter 2 versus quarter 1?

Sunil Agrawal: So no, I will just repeat. So our 1%, there was increase in 1% realization in Q1. And as of now, we are sitting in July meet. So as of now, we are seeing drop of 1% as compared to last quarter.

Raashi Chopra: Okay, that's clear. Secondly, on the volume side. So is it safe to assume that the RINL issues are not yet resolved?

Vishal Chandak : Raashi, the RINL issues are still not resolved. The company is still getting supplies in the Gangavaram port, and they are in the process of restarting the blast furnace. Once that restarts, then only we can have a stable supply of billets from there, which can augment and fill up the volumes that we have been looking forward to.

Raashi Chopra: So the increase that you've seen in the HSM in this quarter, have you had to cut compromise on the long side or there was adequate material?

Vishal Chandak : So we always mentioned that we have about 1 million tons of semis that is waiting to be converted into finished products because of the imbalances in our finishing lines, this was being sold as semis . So now that imbalance is taken care of. So we are now converting our existing semi into finished steel.

And also one of the reasons where you see improvement in our NSRs compared to the industry standards. As our product mix is improving quarter -on-quarter.

Raashi Chopra: Okay. Just on coking coal, just to understand -- sorry, on thermal coal just to be clear. The EC for Gare Palma is 4 million tons and Utkal C, you're taking up from 3.4 million to 5 million tons?

Sunil Agrawal: Yes. Yes. Yes.

Raashi Chopra: And so that EC will increase in the next couple of months and Utkal B1 will also start in the next couple of months? JIND/lr/  
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Sunil Agrawal: Yes.

Raashi Chopra: And sir, B1, B2 combine with 8 million tons. So is B1 is permanent or is there a...

Vishal Chandak : B1 is 5.5 million tons, B2 is 2.5 million tons. We are planning to increase the EC limits for Gare Palma IV/6 and as well as Utkal C to 5 million ton each. So as Pankaj sir mentioned, we are targeting to do it as soon as possible.

Raashi Chopra: Okay. Even Gare Palma will increase?

Vishal Chandak : Right.

Raashi Chopra: Okay. And 5.5 million of Utkal B1 should start sometime, right?

Vishal Chandak : We are hopeful. We should.

Raashi Chopra: Okay. And just one last question for me...

Moderator: Ms. Raashi, sorry to interrupt you, may I please request you to return to the question queue for follow -up question as we have other analysts who are waiting for their questions. The next question is from the line of Amit Murarka, Axis Capital.

Amit Murarka: My question is on product mix. So you mentioned that you did 0.45million tons of HRC in this quarter. So did all of that come from a shift from semis to HRC? Or was there some reduction in some other products also?

Sabyasachi B. : So I will give you an overarching composition of the long and the flat. So as compared to the last year of 68% to long and 32% flat. In the first quarter, this financial year, we have been 57% long and 43% flat, if that answers your question.

Vishal Chandak : I think Amit, to put a plain simple TMT market has been very good, so there was no need to cut down on the long product side. What we have reduced from our portfolio in the quarter is primarily on the semis and the semis that we -- that do not fetch us mar gins as high as HRC. Our endeavour has always been to maximize the EBITDA. So we have been following the same philosophy.

Amit Murarka: Sure. Also, I mean, I frankly couldn't understand it fully in the -- I think one of the earlier questions, you explained why there's only a 1% drop in realization versus what we are seeing at least and the market pricing that you see? I mean could you just please explain that one more time?

Sunil Agrawal: As I mentioned earlier, see as of now, we are sitting on month end . So for this month, we are seeing around 1% drop in our realizations. As overall steel mix that we are discussing.

Sabyasachi B.: And there is no specific guidance on that. JIND/lr/  
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Sunil Agrawal: No, no, we are not giving any guidance for the Q2, but this is basically what we have achieved till now.

Amit Murarka: No, no. I understand you don't want to give guidance, but just trying to understand because the pricing that we see at least at our end, showing a decent enough fall even for HRC and for rebar it's a bigger fall. So that 1% number is something that was looking lower in that context.

Vishal Chandak : The projects that we see on the subscription that we all look at they are all generic products. These are all over-the-counter products kind of thing. While at JSP, we have about 60% of it is all value-add. So depending upon the market and the product which fetches us the best EBITDA, we focus on that. So if you typically would want to match it with the pricing, which is available by the pricing indices, it would be very difficult to match that. But rest assured, our endeavour is to ensure that we deliver highest EBITDA. And if it takes to improve our larger product mix accordingly on a sequential basis, we are always agile to do that.

Sabyasachi B. : May I add a point or 2 here. Yes. I think one of the brilliant pieces of ours is that the flexibility and the agility that Vishal is trying to point out. We can switch between products very easily depending on how the market is behaving or how the overall business is behaving. And we can adjust ourselves or adapt ourselves to different product lines very easily. And that's what

remains

our biggest strength, core strength.

Moderator: The next question is from Parthiv Jhonsa, Anand Rathi.

Parthiv Jhonsa: Just to get some clarity on the mines. I believe that you are enhancing the EC at multiple mines. So can you quantify what would be the output for FY '25, as far as the coal is concerned?

Sabyasachi B. : So we are looking at 5 million tons from Gare Palma, and Utkal C is estimated at 4.7 million tons, so total 9.7 million tons.

Parthiv Jhonsa: So this would be the absolute...

Sunil Agrawal: For B1 and B2, we will give a bit for a guidance at a later date when we open the mines.

Parthiv Jhonsa: All right. Also one very quick question on the ASP. I believe, is my understanding correct that you pointed out that in the first quarter, the ASP increased by 1% compared to the previous quarter?

Sunil Agrawal: Yes, yes.

Parthiv Jhonsa: But if I just put it on a very quick calculation on a consol basis, you did about INR13,600 -odd crores with a 2.09 million ton kind of a number, it works out to a bit lower than INR67,000 -odd crores what you did in the fourth quarter.

Vishal Chandak : So Parthiv, listen...

Parthiv Jhonsa: If my understanding, there has been some mismatch out here . JIND/IR/STEEL & POWER

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Sunil Agrawal: Starting with -- see in the previous quarter, we had mentioned that our top line included sales to our RINL. The raw materials we have supplied to RINL was part of our top line. Okay. In this quarter, it was not the case. Hence, what Sunil sir has mentioned is on a like-to-like basis, what is the steel NSR.

Parthiv Jhonsa: Okay. Perfect. That feels a lot of...

Sunil Agrawal: Yes. What I mentioned is on steel NSR currently.

Parthiv Jhonsa: Perfect, perfect. That clears a lot of confusion.

Moderator: The next question is from the line of Rahul Gupta, Morgan Stanley.

Rahul Gupta: So just to understand and clear confusion around how the steel prices are moving vis-à-vis what you are seeing for your peers . Can you just help us understand what share of products would be or what share of volumes would be contract-based volumes, which are more than 3 months? So basically, what is the share of contracts which are more than 3 months?

Vishal Chandak : I think, Rahul, we do not divulge that kind of an information on the calls as to what kind of products are on a long-term basis. What we can tell you is fairly about 60% of our sales are on account of value-add mix and that is on account of both project sales as well as spot sales.

Rahul Gupta: So that's very helpful. Just -- we are just trying to understand where is the delta. Are you implying that prices for value-added products have not moderated as sharply as we are seeing for plain vanilla products?

Vishal Chandak : Absolutely. If you look at our product profile, we manufacture some of the products for which we are the only manufacturers in India, we have import substitution. So there, because of the strong demand, we have not seen as much as moderation as you have seen in the commodity-grade products. So therefore -- and we have also -- you also have to appreciate the fact that our HSM is ramping up. So our sales has going down on a Q-on-Q basis. So that is also helping us

improve our overall NSR.

Rahul Gupta: Got it. That's helpful. If I can squeeze in. Just want to understand separately your subsidiaries numbers have been quite volatile. So how should we read what's happening over there? Is there any update on what's happening in Australia? Or how should we model these numbers going forward?

Vishal Chandak : I think, Rahul, we can connect offline on the subsidiaries because that is not something which we are really very focused on from a story perspective of JSP. The JSP's entire story is not all about the growth at Angul Steel Plant. And that's really what we want to focus. But

if you still

want to have some clarity, we can connect offline.

Operator, we have space for just last question.

Moderator: This will be the last question from Mr. Nirbhay Mahawar, N Square Capital. JIND/IR/STEEL & POWER

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Nirbhay Mahawar : I wanted to have your medium -term outlook for a steel market, how do you see as India turned from net exporter to a net importer now and we have got significant capacity addition in the domestic front. So I am not looking for any guidance, but how do you see this environment over the next 1 to 2 years?

Sabyasachi B.: So I think one of the most promising aspect that has happened, is the budget presentation where big infrastructure boost has been announced with INR11 lakh crores, more than that, almost 3.4% of the GDP. And I think that's one of the -- I mean, it's just a very global outlook that we are trying to give you. And given the flexibility that we have in our product profile, and the infrastructure -oriented products that we have in our basket along with value -added grades. I think we are slated for good growth. And even though the last year performance shows net imports. I think overall, initiatives on various grid developments and capability establishment is also coming in sync with replacing those substitution levels. So I think we are in for a good growth for the overall Indian steel industry.

Nirbhay Mahawar: Sure. So would it be fair to assume that domestic demand only will be the driver and we would be probably largely moving away from the export market as an industry?

Sabyasachi B.: I mean, this is my personal opinion altogether. And since you were asking the question, I would rather say, yes, India is on a very high growth ramp -up with almost close to 8% GDP. So I think that it's fair to say that almost entire steel industry in India will be focused on domestic growth rather than export orientation. But having said that, there are opportunities in export that no one will get rid of. So we remain focused on the flexibility of our business execution.

Moderator: Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Sabyasachi B.: Okay. So this is Sabyasachi. Good evening once again to everybody, all the participants. Thank you for your interest in our business profile and our performance. We sincerely appreciate all the questions that you have tabled in front of us. Unfortunately, we are not in a position to provide any future guidance. But we remain very much focused on improving the performance. One of our core brand values are -- is better than before.

So for us, we consider opportunities as limitless. And setting goals, we do not limit ourselves, but we always have a business plan that we work ourselves to. Having said that, again, we are extremely, extremely focused on agility, versatility and adaptability. So those are one of our major thrust areas in terms of execution of the business. We will again be always at your doorstep for any further clarification, Vishal has already given you a very good invite. Please take a time out to plan a visit to Angul. And you'll be able to see on the ground activities, which will give a much better perspective of the progress.

Thank you once again, and we look forward to another quarter better than before. Thank you very much.

Moderator: Thank you so much, sir. On behalf of IIFL Securities Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. JIND/IR/STEEL & POWER

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Vishal Chandak: Thank you.

Sunil Agrawal: Thank you. JIND/IR/

STEEL & POWER

## Call: Nov 2024

Jindal Steel & Power Limited

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Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON NOVEMBER 6, 2024

This is in furtherance to our letter dated October 30, 2024, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts. In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteelpower.com](http://www.jindalsteelpower.com) .

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop Singh Juneja

Company Secretary

Encl.: as above

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“Jindal Steel & Power Q2 FY25 Earnings Conference Call”

November 06, 2024

MANAGEMENT : MR. PANKAJ MALHAN – CHIEF EXECUTIVE OFFICER  
STEEL BUSINESS , ANGUL – JINDAL STEEL & POWER  
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER –  
JINDAL STEEL & POWER

MR. VISHAL CHANDAK – HEAD OF INVESTOR  
RELATIONS , STRATEGIC FINANCE – JINDAL STEEL &  
POWER

MODERATOR : MR. JASHANDEEP CHADHA – NOMURA

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Moderator : Ladies and gentlemen , good day, and welcome to JINDAL STEEL & POWER Q2FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jashandeep Chadha from Nomura . Thank you, and over to you.

Jashandeep Chadha: Thank you, Yashashri . Good evening , everyone , and thank you for joining in the call. Without much further ado, I will hand over to Mr. Vishal Chandak – the Head IR for JSPL.

Vishal, over to you.

Vishal Chandak: Thank you very much, Jashandeep. Good evening, everyone. On behalf of Jindal Steel and Power, I welcome you all to the Q2 Investors Briefing .

We have with us Mr. Pankaj Malhan – CEO for the Angul plant , Mr. Sunil Agrawal – CFO.

Unfortunately, Mr. Sabyasachi Bandyopadhyay – Whole -Time Director , had to go for an urgent work , so he could not join the call.

So, I will hand over the call to Sunil Agrawal for his opening remarks , thereafter which we will take up the Q&A. Over to you, sir.

Sunil Agrawal: Thank s, Vishal . So, good evening, everyone. I wish you a very Happy Diwali , and hope you have all enjoyed the Festival Season . I welcome you all to the Q2FY25 performance briefing of JSP.

India steel production for the quarter was 36.2 million ton, down 1% quarter -on-quarter basis. However, apparent steel consumption grew 4% sequentially. Steel price remained under pressure due to the continuing surge in imports and declining exports. Export continued to tr end down by 15% on quarter -on-quarter to 1.3%. million tons, while imports saw a sharp increase of 44% sequentially to 3.2 million tons.

India remained net importer of steel for the second quarter in a row, reflecting ballooning import from both F TA countries and China. Net imports for the quarter saw a massive 169% sequential jump. Despite the strong inflow of both F TA countries and China, your company reported a healthy performance reflecting the agility in operation s and diversified product basket while maintaining a strong balance sheet.

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Our production grew by 4% Y -on-Y to 1.97 million tons . However , sales for the quarter witnessed a drop of 8% on a Y -on-Y basis to 1.85 million tons. The decrease is mainly due to the plant down in Raigarh facility, while Angul plant witnessed an up tick of 4% in production on a quarter -on-quarter basis.

Net revenue for the quarter stood at INR 11,248 crore s, down by 18% on quarter -on-quarter largely due to reduction in sales volume and softening of steel prices.

On the cost front, coking coal prices were down by \$35 per ton and iron ore prices down by INR 500 tons, in line with our guidance given in our Q1 briefing. Our SMS costs remained flattish on account of the seasonal impact on techno -economics.

Our adjusted EBITDA on a consol idated basis for the quarter was Rs. 2,124 crore and EBITDA per ton stood at Rs. 11,467 per ton, down by 15% on a sequential basis. Accordingly, PAT declined by 36% on quarter -on-quarter basis to 860 crore. We expect a reduction of around \$20 to \$25 per ton in coking coal prices in Q3 FY25.

We have taken a price hike of 1 ,000 to 2 ,000 across products in Q3 so far. Demand post season, festive season is good , and prices are holding up. We expect H2 to be better than H1 driven by strong seasonal demand and lower input cost.

Our consolidated net debt is Rs. 12,464 crore at the end of Q2 which has increased from Rs. 10,462 crore report

ed in last quarter. Increase is driven by payout related to expansion at our Angul project. Net debt to EBITDA is at 1.21 x, which is still below our red line of 1.5 x and continues to be the best among large steel players in India.

Our CAPEX in quarter stood at Rs. 2,642 crore. With this cumulative CAPEX spent under the current expansion program is around Rs. 20,562 crore. Regarding the expansion project at Angul, the same is progressing well as per the schedule communicated earlier. We are hoping that we will deliver the project in a record time.

With this, I will conclude and handover for Q&A session. Thanks. So, now I will hand over to Vishal.

Vishal Chandak: Thank you, sir. Yashashri, can you please open the lines for the Q&A?

Moderator: Certainly, sir. Ladies and gentlemen, we will now begin the question-and-answer session. We will take our first question from the line of Amit Dixit from ICICI Securities. Please go ahead.

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Amit Dixit: I have two questions. The first one is related to the DRI second plant, which appears to have been delayed to Q4 FY27 from Q3 FY26 if I look at your presentation. So, I just wanted to know the reason for the same and wouldn't it impact your metal capacity and finally the steel capacity?

Pankaj Malhan: Thanks, Amit, for this question. We are working on our strategies to make sure we deliver the volumes as early as possible. So, our entire focus is right now in terms of adding volumes that we think the first scale would come from BF-BOF route. So, that's one area where we are actively pursuing our project strategies, and we are very hopeful of delivering the timelines that we have stated. And definitely we are working on the DRI stream, which would be the next in line.

Amit Dixit: No, sir, my question is, I think if the DRI is delayed, your availability of metallic would get delayed. So, won't it impact our crude steel capacity reaching 15.75 million tons by end of FY '26 because it is delayed to Q4 FY '27, which is a very significant delay from the earlier Q3 FY '26?

Pankaj Malhan: Q4 FY '27.

Vishal Chandak: This is 3Q. Amit, this is actually 3Q FY '26 only. It seems there have been some typo over here, and the numbers have a little moved haywire over here on the DRI. So, DRI is on track for the third quarter of FY '26. I apologize for the goof up over there, but it is 3Q FY '26 only and not 4Q FY '27.

Amit Dixit: So, essentially the timelines are unchanged. That is a good reason.

Vishal Chandak: So, let me reiterate over here. There is absolutely no change in any timeline, and we are on track to deliver what we have promised on the revised timelines. In fact, the blast furnace is scheduled to get commissioned in Q4 itself and we are at the advanced stages of commissioning.

Amit Dixit: The second question pertains to the captive coal mine. If you can highlight the quantity of coal that was supplied in this quarter and what is the ramp up/commissioning schedule of mine?

Pankaj Malhan: Thanks, Amit, again for this question. Our mine's ramp up is as per the plan. We mined close to 1.3 million tons in Q2 from our Utkal C mines, and going forward we are also in the very, very advanced stage of opening up our Utkal B1 mines.

Amit Dixit: So, when can we expect all these mines to be opened and is there anything permit that remains at this point in time?

Pankaj Malhan: We are very hopeful of starting our Utkal B1 in quarter 4 of this financial year.

Moderator: Thank you. We will take our next question from the line of Amit Murarka from Axis Capital. Please go ahead.

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Amit Murarka: Just following up on the question on coal mines, I think it was also kind of expected that the EC will be increased for Gare Palma and Utkal C. Any update on that?

Pankaj Malhan: This is work in progress, but the main focus right now for us is Utkal B1 startup, where we have received all the approvals, and we are in the process of opening up of this mine now.

Vishal Chandak: So, Amit, just to add on to what Pankaj sir has mentioned, we will not be short on coal, so we will not need to buy any coal from the markets. Even if the EC doesn't come as per our scheduled timeline, which we believe will be there, we will not be short on coal. So, we will only be having more surplus coal over there.

Amit Murarka: That's very reassuring. And also on the slurry pipeline, I believe it's due in Q4 FY '25. So, that's also on track, right?

Pankaj Malhan: Yes, Amit, I think this is one of the most exciting projects and with the change of the guard right now in Odisha, there is a lot of excitement about this project, and we are getting full support in terms of expediting the completion of this project. The good part is we have almost completed 80% of the project as of now when we are talking.

Amit Murarka: So, also to understand it right in terms of the cost reduction or margin expansion projects now, I mean, that will be the key project going ahead, right, incrementally speaking?

Pankaj Malhan: Yes, this is one of those projects.



Amit Murarka: And could you just maybe refresh the understanding once, like, how much is the anticipated cost savings from once the slurry pipeline is in place?

Vishal Chandak : So, Amit, if you remember in our previous calls also, we have mentioned that we would not be in a position to give you an item-wise breakdown on what is the cost savings on the slurry pipeline, on HSM and ACPP -II. But again, as we mentioned, our entire CAPEX program is based on the fact that we would generate a very high teen of ROCE. So, I am sure you would be able to back calculate the kind of total project savings out of there.

Moderator: We will take our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: A couple of questions. First, a bookkeeping question. How are the NSRs for this quarter versus last quarter? And how is the spot NSR versus say 2Q average?

Vishal Chandak: Yes, I will just explain. So, our steel NSR for the quarter was 54,603, as against last quarter of 55,840.

Indrajit Agarwal: And what is your spot?

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Vishal Chandak : So, we have raised , increased prices in the range of Rs. 1,000 or Rs. 3,000 across the product basket.

Sunil Agrawal: That we are already in the opening remarks , I have already mentioned that.

Indrajit Agarwal: That's clear. And what kind of iron ore inflation can we see in this quarter, in third quarter, broadly as things stand today ?

Vishal Chandak : So, Indrajit, let me put it this way . When I look at the iron ore prices vis-à-vis steel prices today, iron ore prices are back to August levels, Fe b levels, whereas steel prices are still down by almost Rs. 2,000 from those levels. So, if you look at iron ore prices , they need to go down substantially . If you have to pick up , they have to be in tandem with the steel prices . Otherwise , we see a spot spreads compressing compared to simply putting on the iron ore prices.

Indrajit Agarwal: Lastly, can you just help us understand what is the current HSM run rate at which it is running currently?

Pankaj Malhan: We are running at almost 40% utilization of HSM.

Indrajit Agarwal: And can you help us understand the progress rate by end of fourth quarter ? Can we get to like 80% kind of utilization?

Pankaj Malhan: We are just waiting for the metalics to come and once they are there , the ramp up would be very easy. The good part is we have already seeded the market with our products.

Vishal Chandak : Indrajit, i

t is very easy for us to ramp up the HSM because now it's stabilized completely , but since we are staffed for the metalics , further ramp up would only be possible after our blast furnace is commissioned.

Moderator: Thank you. We will take our next question from the line of Parthiv Jhonsa from Anand Rath . Please go ahead.

Parthiv Jhonsa: My first question is pertaining to debt. Debt has been consistently increasing over the last couple of quarters. So, any guidance on the reduction in that side? Because it is continuously increasing over last few quarters .

Sunil Agrawal : No, I will just , Pankaj. So actually, we are expecting the H2 will be better than H1 , and we are expecting higher EBITDA from our operations. So , certainly , we are looking at our CAPEX plan as well. So, we are restricting ourselves that the net debt will not go up too much. So , we are targeting as we have stipulated 1.5 x, we will be much below than that.

Parthiv Jhonsa: Any number on the reduction, sir?

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Vishal Chandak : Parthiv , just let me add over here. We are right now very close to our peak debt numbers. Given the fact that the commissioning -related payouts have started happening while the production has yet to come in, so obviously the profitability is not there while the cost has got all embedded over here. So , the leverage looks higher compared to our own timeline as well as the gross level and net level debts are also higher. But from here, I think we are only going to see a reduction in both the leverage, absolute terms as well as all the ratios.

Parthiv Jhonsa: And sir, my second question is on coal. Any guidance for the Q3? What kind of numbers can we perceive for coal?

Pankaj Malhan: Normally we don't give any guidance of operating parameters, but we are comfortable in terms of driving home through our own mines.

Parthiv Jhonsa: If I may, can I just do even one more small question? It's pertaining to your Australian subsidiary . It's still consistently facing losses. So , any color on that side of the business?

Sunil Agrawal : So, right now Australian business is taken under care and maintenance. So , we are not burning much cash there.

Vishal Chandak : So, Parthiv, if you look at the overall pool, the difference between the standalone and consol is largely driven out of normally the overseas subsidiaries but also from the JSOL or the Odisha expansion. As the Odisha expansion continues to ramp up, you see a wider gap between standalone and consol.

So, the burnout is not at all at the overseas operations because as we highlighted in the past also, the overseas projects or subsidies are all based on driving their own cash flows and reducing expenditure. There is no movement of cash from the parent to the overseas subsidiaries. Orissa project is in a ramp up phase . So, obviously , you will see some bit of challenge over there, but that's pretty normal with any project which is on an expansion phase. So , I think from next quarter onwards , you would see that declining.

Moderator: Thank you. We will take our next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: We mentioned that we are comfortable about the coal availability for the year, and we don't need to purchase the external coal. I believe we are operating our existing syn gas plant at around 50% capacity. Would we be able to ramp that up to 100% with the now domestic coal availability and will that improve the availability of metallics?

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Pankaj Malhan: So, that's a very good question and we are right now working comfortably with 50% utilization of our coal gasification plant. This gas ramp -up is expected to happen with our coal rolling complex coming online now. So , we are

looking at the capacity utilization of coal gasification to go up to around 70% by the end of this financial year, and we are comfortable ramping it up through our own coal itself.

Kirtan Mehta: That will not help us support the ramp -up at the HSM . HSM ramp -up will be more linked to the start-up of blast furnace, is that the right way to think?

Pankaj Malhan: Correct. So, HSM ramp -up would be more linked to the metallics availability . As of now , the level of metallics that we have in the organization, we have ramped it up. It's not dependent upon coal gasification of the synth gas, it would be more on the availability of the metallics , HSM ramp -up.

Kirtan Mehta: And second question was on the slurry pipeline . I believe you were facing certain ROE related issues , which has resulted in the sort of delay in commissioning of the slurry pipeline . Could you highlight how much ROE is available at this point of time and are those issues behind us now?

Pankaj Malhan: Yes, those issues are all behind us as of now, and there is a good harmony along with the new government, and we are fully confident of delivering this project now.

Kirtan Mehta: In terms of the pipeline status, welding status, would you be able to indicate some sort of the physical progress on the slurry pipeline as well?

Pankaj Malhan: I just indicated that number . Close to 80% of the project has been completed.

Moderator: We will take our next question from the line of Pallav Agarwal from Antique Stock Broking . Please go ahead.

Pallav Agarwal: So just I had a question on our remaining CAPEX . So, I think our total growth CAPEX was about Rs. 31,000 crores, and we have already spent close to Rs. 20,500 crores. So, normally we do have some performance guarantee related payouts that are deferred. So, is it right to understand that the balance, at least 10 -15% of the balance amount, would probably happen over the next couple of years and not immediately?

Sunil Agrawal: Yes, that's right. So , certain retention amount , that will be paid over the next 2 to 3 years ' timeline after commissioning of the full project.

Pallav Agarwal: And what will be the maintenance CAPEX , sir? This is a part of the growth CAPEX .

Vishal C handak : So, Pallav , our maintenance CAPEX is close to about 600 crores on a quarterly basis.

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Pallav Agarwal: So, about 2 ,500 crores is on an annual basis.

Sunil Agrawal: Yes, correct.

Pallav Agarwal: Also on the question related to metallics, so we had an arrangement with RINL . So, could that be a source for metallics or we are not really getting too much metallics from there right now?

Pankaj Malhan: Oh, that's again a wonderful question. We started on a good note with RINL before they had their own set of challenges. What we understand from the current condition is the ir two blast furnaces are down. So , they are running short of metallics themselves. There are good developments over there on that front. Some infusion of money is expected from Government of India. So, we are just waiting for their blast furnaces to be up and running before we start securing some metallics from RINL.

Pallav Agarwal: Lastly, if you would just give your thoughts on a few reports of save guard or anti-dumping duties being imposed. So, is there actually any truth to this or is there more speculation that's happening in the media?

Vishal Chandak : Pallav, anti -dumping, we have been through the industry informing the Ministry about the kind of imports that have come in the Indian space both from FTA as well as non -FTA countries through direct and indirect routes . So, the Ministry has taken cognizance of these imports and in fact, in one of the conclaves, the Steel Minister himself has mentioned that he would look at this matter and respond appropriately. So, we are qu

ite hopeful that anti -dumping duty or increase

in the basic customs duty of any sort should be in the pipeline. But when it will come, how will it come, it's absolutely impossible to make , give any predictions for that.

Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Inves tec. Please go ahead.

Ritesh Shah: So, just correct me if I am wrong . You indicated that the HSM utilization is at 40% right now. We expect it to go to 80% hopefully by the end of the year. You also indicated currently DRI is at 50% utilization. Are those variables correct , sir, to what I heard?

Pankaj Malhan: Sorry, I will just correct the variables. HSM is currently at a utilization rate of close to 40%. As and when the metalics from the new expansion comes in, it would be further ramped up. Right?

Second, you spoke about DRI. We never touched upon DRI ramp up. It was coal gasification plant ramp up, which is at 50% utilization , because this is the amount of gas which is needed right now to keep running our DRI at full capacity. So, as and when there are more consumers within the plant, the coal gasification ramp up will happen on our own coal.

Ritesh Shah: So, you are indicating CGP is at 50% utilization, the coal gasifier?

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Pankaj Malhan: That's what I have said, because this is the amount of requirement of the gas in the plant as of now.

Moderator: We will take our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: My first question is on the two cap tive coal blocks . Utkal B1, we are expecting 4Q commercialization . Is it possible to share? Have we received all the approvals, the mining le dger signed, and it fits on the execution on the ground, which is happening now? And also if you could guide us with respect to Utkal B2 mine?

Pankaj Malhan: For Utkal B1, like I mentioned, we have secured all the approvals and the work on the ground has already started. And we are very confident of starting this mine in quarter 4 of FY '25 . And Utkal B2, we are on the ground in terms of securing the approvals. We are also hopeful it will follow its own natural costs. And we should start this mine in the next financial year .

Vishal Chandak: Just to clarify, when Pankaj sir mentioned on the ground doesn't mean we are in the mine . It means the activities are at full speed.

Sumangal Nevatia: Sorry, I missed the last word , Vishal . What did you say , activities are at ....

Vishal Chandak: The activities are going at full speed, as in we are very close to getting opening the mines, but when he said on the ground doesn't mean that we have opened the mine or we are in the mine.

Sumangal Nevatia: Got it. I have one clarification on the subsidiary EBITDA , which is around 180 -odd crores . Is it possible to share what is coming from international business as a whole, all the few geographies and Odisha subsidiary ?

Sunil Agrawal: One-to-one and I will request IR team. He will get back to you for further details.

Sumangal Nevatia: And just one last clarification. In the first half, is it possible to share what is a mix for thermal coal, how much is capital, how much is linkage and how much is e -auction?

Vishal Chandak: E-Auction , we have completely stopped buying and majority of the coal is now from our own mines. We have a very limited amount of FSA coal which we have to take up, that is on account of our tapering linkage. Other than that, everything is in -house. If you want the numbers, we can discuss it offline.

Moderator: Thank you. We will take our next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

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Satyadeep Jain: First question , I wanted to ask on the power strategy. I

just wanted to ask on the power strategy.

The group signed an agreement with Jindal Renewables for 3 Gigawatt of RE. You also have 1,600 M egawatt of CPP yourself, another 1 ,000 Megawatt coming up. So, how are you looking at the sourcing of power in all the capacities you have?

Vishal Chandak: So, Satyadeep, as the demand for the green steel continues, we have signed an MoU with the Group company as you mentioned to set up for green power in the long term, part of which will come in very soon and part would be thereafter.

Now, how do we look at the rest of the power strategy? I think one of the key points here is that thermal power is here to stay, but steel would be produced more and more from the green power that would be procuring. So, we will have a mix of both renewable as well as non-renewable power. In the intervening period when we have surplus, we would look at opportunities to sell in market.

Satyadeep Jain: Secondly, just on the capital allocation, as you look beyond Angul -II, do we assume that till Angul -II commissions, you would not look at further expansion, or how do we look at growth beyond Angul -II, organic, inorganic, when do we see that, where? Some thoughts on long and flat, is it too early to think about that?

Vishal Chandak: So, Satyadeep, we will definitely not be stopping at Angul -II. We have one of the best balance sheets in the industry. Angul -II is going to throw a lot of cash, once it stabilizes. This would be reutilized and reinvested in further expansion, but what would be the nature of expansion and the product profile, that is something we have not yet finalized.

We will get back to you at an appropriate time when we feel we are ready for the next phase of expansion, but at this point in time, it would suffice that we will not stop here, the cash flows would be strong enough to fuel the next level of growth. So, we will continue to grow.

And Angul, as you mentioned in the past also, has a capacity to house about 27 million tons. So, our vision is to make Angul the largest single site steel plant in the world. And we will work towards that.

Moderator: Thank you. We will take our next question from the line of Raashi Chopra from Citigroup. Please go ahead.

Raashi Chopra: Just clarifying on some bookkeeping questions. You had mentioned the realization this quarter was 54,600 and 55,800 was in the last year or the last quarter?

Sunil Agrawal: Yes, this is, I have mentioned this is steel and a flat product.

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Vishal Chandak: So, this is basically the benchmark numbers, but obviously our numbers would be different from these numbers. So, these were basically the benchmark HR realization numbers.

Raashi Chopra: For 2Q and 1Q?

Vishal Chandak: Right.

Raashi Chopra: So, for yourselves, what has been the change in the realization sequentially? Because if I just divide the revenue by volume, it appears that the realization has moved up sequentially.

Vishal Chandak: You are looking at standalone numbers, right?

Raashi Chopra: Standalone, yes.

Vishal Chandak: On the standalone numbers, if you look at the volumes, you would have divided the consolidated volumes. Yes.

Sunil Agrawal: So, if you divide by standalone, then standalone is coming around 61,695, down by 3% around from the last quarter.

Raashi Chopra: And the cost is, sorry, you were saying?

Sunil Agrawal: So, you have to divide it by last, stand-on sales, volume is 2.03 in the Q1 and in the Q2, the volume is 1.87 million tonnes.

Vishal Chandak: So, I think, Raashi, if you divide these numbers, you will get the numbers.

Vishal Chandak: So, there is a decline in the standalone ASP as well.

Raashi Chopra: So, the decline is 3% on a sequential basis, standalone?

Sunil Agrawal: Yes, you are right.

Raashi Chopra:

And on the cost side, it is flattish on a sequential basis?

Sunil Agrawal: Yes.

Raashi Chopra: So, the decline in the coking coal as well as the iron ore has been offset by other expenses and lower volumes?

Vishal Chandak: Yes.

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Raashi Chopra: And just on this cost side, coking coal should be down by about \$20-\$25 more in the third quarter?

Sunil Agrawal: That's right.

Raashi Chopra: And iron ore?

Sunil Agrawal: Iron ore, right now, they slightly increased by NMDC and OMC in the tune of Rs. 500 to Rs. 1,000 per ton. So, that is there.

Vishal Chandak: Raashi, as I mentioned in one of the answers, while steel prices have been coming off, iron ore prices have recently seen a sharp spike. So, as a result of which, the spot spreads are actually trending down compared to the Q3 or Q2 numbers. So, either the steel prices have to move up to realign the spreads or iron ore prices should come down because this is an artificially inflated iron ore price at this point in time.

Moderator: Thank you. We will take our next question from the line of Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Sir, if I just look at the standalone minus the consolidated EBITDA, there is a 210 crore. Just wanted to understand which subsidiary is contributing that much of money? Because this number is pretty fluctuating on a quarter, every quarter.

Sunil Agrawal: So, basically, this is JSOL. There is 100% subsidy that we have commissioned. EBITDA is coming from that start of the operation.

Vikash Singh: And how should we look at this number going forward?

Sunil Agrawal: So, it will improve once this operation of our JSOL streamlines and as we have said that the utilization will go up, so certainly the volume will go up and the EBITDA will come up from that JSOL project.

Vishal Chandak: Vikash, as soon as we commission our blast furnace, that is where you see a sharp spurt in the profitability of the Angul expansion.

Vikash Singh: My second question pertains to HSM. We basically, you said that it has reached 40% of utilization level and further ramp up is not possible unless the new blast furnace comes in. So, in terms of the benefit from the low-grade semis to the finished steel, that benefit we have received so far. And if you could quantify that once the blast furnace comes, how much more benefit could be arrived from the SSM itself?

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Vishal Chandak: So, we are not selling any semis right now. So, whatever the steel that we have, we are finishing that in the HSM and we are selling the value-added product. So, we are not selling any semis right now.

Vikash Singh: And the operating leverage benefit once that... Yes, sorry, please continue.

Vishal Chandak: Because the benefit of conversion of semis to HSM has already been realized. And now incremental benefit of volume will come through once the blast furnace gets commissioned. So, at this juncture, we hardly have any semis to sell in the market.

Moderator: Thank you. We will take our next question from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.

Ashish Kejriwal: Three quick questions. One, in coal mines, last quarter we said that we are on the verge of expanding the existing EC limit of Utkal C and Gare Palma. Where are we on that?

And second question is, have you said that we are running at a peak capacity utilization for our DRI plant at Angul? If that's the case, what is the overall capacity utilization at Angul - In Q2?

And third is, in terms of sales volume, last quarter also mentioned that we will be selling more than 2 million tons each quarter. And this quarter, though volumes have been down on production because of the shutdown, but sales volume was lower than the produc

tion volume

also. So, are we getting any hit because of the logistic or some slowdown in demand or what could be the thing which can explain that?

Pankaj Malhan: So, there are a number of questions, if I was to take one after another. DRI capacity utilization is almost at the full level in the plant as of now. DRI utilization continues to be at the full level in the company. So, there were some shutdowns which are plant shutdowns. That's the only differentiation that we will have in capacity utilization.

Second, you mentioned about the EC increases about Utkal C and Gare Palma. That's the work in progress. We are working very closely in terms of securing the approvals, and we are very hopeful, very soon we should get those approvals also in place.

The third question, maybe I missed, if you can repeat your third question.

Ashish Kejriwal: My question was at what capacity utilization we are working with in Angul overall 6 million ton and sales volume in second quarter, why it is lower than the production volume also?

Pankaj Malhan: Overall Angul capacity sweating in Quarter 2 being close to 85%.

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Ashish Kejriwal: So, is this the maximum which we can do or we can elevate it without any further addition in our plant?

Pankaj Malhan: We have seen 4% increase in terms of Angul utilization sequential basis, and we are looking into further improving the capacity utilization.

Ashish Kejriwal: And sir, about the sales volume?

Pankaj Malhan: And the sales volume what you mentioned, yes, we are mindful of those volumes. Of course, there were some plant shutdowns in Raigarh, which led to some drop in terms of the production as well as the finish volume. While talk about the steel capacity which is typically the crude steel, the finish good would be slightly lower than that. So, that's what is the numbers getting reflected in the numbers.

Ashish Kejriwal: We don't have much inventory or inventory level has not increased.

Pankaj Malhan: It is more or less stable levels. Very marginal change in terms of sequential basis in terms of inventories.

Ashish Kejriwal: So, is it possible for us to give a sales volume guidance for FY '25?

Pankaj Malhan: I am sorry, I don't think we are in a place where we normally give guidances for the forward, but the company remains committed to increase the capacity utilizations and delivery quality products to the customers.

Moderator: We will take our next question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: I have just one question. Just trying to understand what has driven iron ore price hikes to the level where you say they are unsustainable? Alternatively, what should drive them down assuming global iron ore prices stay where they are? Just trying to understand if there is any structural issue with iron ore prices over here.

Vishal Chandak: So, Rahul, if you look at the iron ore scenario today, the way we perceive it, iron ore is getting more and more classified as an oligopoly, given that between NMDC and OMC, there is a massive supply pool. However, steel continues to remain fairly diversified among several players. So, there is a demand-supply mismatch, which is apparently there.

Secondly, the recent push by China, the stimulus given by China has led to an increase in global steel prices as well as iron ore prices. However, the steel prices have corrected post that, but iron ore has yet to be corrected. So, we believe as steel prices have corrected marginally, iron ore prices should also fall in line.

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Rahul Gupta: Just one bookkeeping question. What was the share of exports during the quarter?

Sunil Agrawal: It was 9%.

Rahul Gupta: And this was 7% last quarter, right?

Vishal Chandak: Yes.

Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Investec. Please go ahead. There is no response from this connection. We have a follow-up question from the line of Parthiv Jhonsa from Anand Rathi. Please go ahead.

Parthiv Jhonsa: Just a very quick question. What can be the tentative coking coal cost saving? Did I hear correct, it is about \$20 to \$25 in Q3?

Sunil Agrawal: That's right. That we have.

Parthiv Jhonsa: And is it possible to give any guidance for FY '25 volumes by any chance?

Sunil Agrawal: No, right now we will not be in position to give our forward-looking statement.

Moderator: We will take our next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Quick one. Sir, would it be possible for you to quantify how much was the external metallic purchase in first half? And is it a strategic decision not to purchase incremental metallics and wait for the furnace to come upstream?

Pankaj Malhan: That's a wonderful question. We keep adjusting our strategies every quarter basis the demand of our products and in the industry. So that's how we devise our strategies on a quarterly basis, and going forward, if there are opportunities existing, we would be open to this also, provided it makes commercial sense.

Ritesh Shah: And just quick two questions. Any update on railways logistics as we look to ramp up the capacities? How are we looking at outbound logistics? And specifically, if there is any update on Paradip Port? That's the first question. And second, any update on ACPP -I and II? And we had plans to dismantle the older 1,350 Megawatt. Where are we on that?

Pankaj Malhan: On railway logistics projects, the project, while we are trying to drive in terms of doubling the rail lines to the Angul station, that's fully on track and by the end of this financial year, we are hopeful of completing that connectivity. We are also working internally in terms of connecting the various new units and facilities to the holding yard. Holding yard expansion is about to get completed now. So, we see that project going as per the schedules that we have guided.

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Second, your question in terms of where are we in terms of ACPP -I and ACPP -II, ACPP -II right now technically is all ready. We are waiting for the approvals to come up. We are very hopeful

of starting ACPP -II sometime in quarter 4 to start itself. And in terms of ACPP -I, which we just spoke about, once we stabilize ACPP -II Unit 1, then we will start looking into the revamping of our ACPP -I turbines also.

Vishal Chandak : So, Ritesh , just to add to it, there are absolutely no plans to dismantle any of the existing facilities just because a new facility has come up. We even have surplus power and as I mentioned earlier, we will be selling surplus power in the market .

Moderator: Thank you. We will take our next question from the line of Pratim Roy from B&K Securities. Please go ahead.

Pratim Roy: Just want to clarify that you have mentioned in the earlier comment that this quarter we are expecting Rs. 1 ,000 to Rs. 2 ,000 price hike . So, if you quantify the number how much extra delta in terms of NSR we can expect in 3Q over 2Q , if you can give some number on that?

Sunil Agrawal: I could not get your question right now. Can you repeat that ?

Pratim Roy: So, my question is that how much NSR improvement we can expect company level for 3Q over 2Q?

Pankaj Malhan: Number one, this is a forward -looking question , and company keep devising its strategy on quarter -on-quarter basis in terms of the product portfolio itself. We keep tweaking the product portfolio to make sure that we are able to maximize our blended NSR given the current scenarios that we are into.

We also kee

p looking into the value addition that we bring in onto the table with respect to each and every product category also. So, that is what we keep tweaking to maximize our blended NSR.

Sunil Agrawal: So, as I have already mentioned, our NSR will go up by 1 ,000 to 2 ,000. That I have already spoken in opening remarks till now. That is till now. And we are seeing further rise in coming due to after Diwali is over. So, we are seeing that the rebound in demand in the steel prices . So, we are expecting further prices will go up from here.

Moderator: Next question is from the line of Pavas from Birla Mutual Fund. Please go ahead.

Pavas: I just wanted to understand, I know it's very difficult to guide for FY '25 numbers. From a broader perspective, is FY '27 will be a kind of a full ramp -up or FY '28 will be a full ramp -up?

Pankaj Malhan: So, we are looking at FY '27 to be the full ramp -up.

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Pavas: Secondly, we are supposed to kind of balance our finish versus crude steel. There is still scope for 1.5 to 2 million ton of kind of finish steel capacity to come up. Have we finalized that?

Vishal Chandak : So, Pavas, you have rightly mentioned, seemingly , there is a gap and as we have mentioned, there is a plate meal which is yet to come up over there. So , part of that gap could be braced over there. And we will look at adding a few other finishing lines as and when we feel it's appropriate to fill in the gap. The idea is to maximize contribution as well as EBITDA . So, we will make sure the semis are brought down to the minimum going forward as well.

Pavas: So, this full ramp up, what does this translate to in terms of finish steel kind of a production?

Vishal Chandak : That would be looking for guidance , Pavas . FY '27 is a full year of full ramp up.

Moderator: Thank you. We will take our next question from the line of Pawan from NMV Securities . Please go ahead.

Pawan: My short question was that what was the share of value added products on the sales volume of 1.85 million done?

Sunil Agrawal: It's almost 50%.

Pawan: 50%.

Moderator: Thank you. We will take our next question from the line of Prateek Singh from DAM Capital . Please go ahead.

Prateek Singh: Just wanted to clarify, when sir said that there is a price hike of Rs. 1, 000 to Rs. 2,000, that is post the quarter end , or are we calling for a higher, this much higher ASP versus the 2Q average?

Sunil Agrawal : We are saying the 2Q average versus Q3, so we are mentioning about the average price from the 2Q to till now, increase in October month .

Prateek Singh: So, if you don't take any further price hikes, the 3Q would largely be Rs. 1,000 to Rs. 2,000 per ton higher than 2Q. That would be the correct understanding.

Sunil Agrawal: Yes.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the Management Team for closing comments. Over to you.

Vishal Chandak: So I would request Pankaj sir to give a closing remark on this.

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Pankaj Malhan: This quarter, your company has delivered strong numbers, despite some headwinds. We are very

confident as a management team of delivering another wonderful quarter in Quarter 3 . And that's what we look forward to this. And we remain thankful to your questions and queries , and we will be in touch offline if needed. We wish I can take your questions. Thank you.

Moderator: Thank you. On behalf of JSPL and Nomura, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.



## Call: Feb 2025

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February 5, 2025

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Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JANUARY 30 , 2025

This is in furtherance to our letter dated January 27, 2025, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts. In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.com](http://www.jindalsteel.com) .

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop Singh June ja

Company Secretary

Encl.: as above

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"Jindal Steel & Power

Q3 FY'25 Earnings Conference Call"

January 30, 2025

MANAGEMENT : MR. SABYASACHI BANDYOPADHYAY – WHOLE TIME  
DIRECTOR – JINDAL STEEL AND POWER

MR. PANKAJ MALHAN – CHIEF EXECUTIVE OFFICER –  
ANGUL FACILITIES – JINDAL STEEL AND POWER

MR. SUNIL KUMAR AGRAWAL – EXECUTIVE VICE  
PRESIDENT –FINANC E AND ACCOUNTS – JINDAL STEEL  
AND POWER

MR. MAYANK GUPTA – CHIEF FINANCIAL OFFICER –  
JINDAL STEEL AND POWER

MR. VISHAL CHANDAK – IR HEAD – JINDAL STEEL  
AND POWER

MODERATOR : MR. AMIT DIXIT – ICICI SECURITIES

Jindal Steel & Power  
January 30, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Jindal Steel & Power Q3 and FY25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Dixit from ICICI Securities. Thank you, and over to you, Mr. Amit.

Amit Dixit: Yes. Thank you, Manav. Good evening, everyone. At the outset, I would like to thank the management for giving us an opportunity to host the call and congratulate them for a good set of numbers in a very challenging quarter. Without much ado, I would hand the call over to Vishal to introduce the management and begin the proceedings. Over to you, Vishal.

Vishal Chandak: Thank you very much, Amit. Good evening, ladies and gentlemen and thank you very much for joining us for the FY25Q3FY25 investor briefing of JSP. I have with us senior members from the management, Mr. Sabyasachi Bandyopadhyay, our Whole Time Director; Mr. Pankaj Malhan, our CEO of Angul facilities; Mr. Sunil Kumar Agrawal, EVP – Finance and Accounts. And I would also like to introduce Mr. Mayank Gupta, our CFO. He has been appointed as CFO today. So ladies and gentlemen, please join me in congratulating Mayank sir.

Just to give you a quick background, Mayank sir has an extensive experience at GE. And over the last several years, he has been working with technology start-ups under the entrepreneurial environment. So we are really very excited to have him on board, and we look forward to his leadership.

And at the same time, I would also like to extend my heartfelt gratitude and thanks to Sunil sir for his continuous guidance and support. He will continue to be working with us in a different capacity but we will surely have his guidance continue going forward. So with this, I will hand over to Mayank sir for his opening remarks.

Mayank Gupta: Hi, good evening, everyone. I'm super excited to join JSP. And I'm still learning. I will do my best today to represent the company. In case I'm not able to answer any questions, we'll take a follow up. And Vishal, our IR Head, will follow it up for queries. So I welcome you all to the FY25Q3FY25 performance briefing of JSP. Global steel prices in the third quarter of FY25 continued to be subdued in the key regions including China, where steel prices dropped below \$500 per tonne.

Imports in India continue to put pressure on domestic prices, which is reflected in declining HRC prices. However, TMT prices on the contrary showed resilience as construction season was under full swing. Turning to the domestic steel demand supply scenario. India steel production for the quarter was 38.4 million tonnes which is up 6% quarter-over-quarter. Consumption grew at slower pace at 4% sequentially to 38.7 million tonnes.

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Exports rebound with a strong growth of 44% quarter-over-quarter to 1.8 million tonnes, while imports saw a drop of 13% quarter-over-quarter to 2.8 million tonnes as import order bookings slowed after government initiated the investigation into steel imports originating out of Vietnam. The government has also started investigations on the merit of imposing safeguard duty on steel imports.

As mentioned in the opening remarks, despite the headwinds that the industry continues to witness, I'm happy to say that your company reported a strong performance, reflecting adaptability in production, in catering to the customers' need for diversified products, while also maintaining cost leadership in the industry.

Industry.

We continue to focus on value-added sales which increased 6% sequentially. JSP continues to focus on improving share of value-added products. In terms of our operating highlights, production for the quarter grew by 3% year-on-year to 1.99 million tonnes. Sales in the quarter also improved 5% Y-o-Y basis to 1.90 million tonnes, led by surge in export.

Net revenue for the quarter stood at INR 11,771 crores, up 5% on a Q-o-Q basis, largely due to uptick in the sales volume. On the cost front, coking coal prices were down \$39 per tonne during the last quarter in line with our guidance given in our last quarter briefing, which is partly offset by higher iron ore prices during the quarter.

As we look ahead for Q4, we expect a reduction of around \$10 per tonne in coking coal prices. Our adjusted EBITDA on a consolidated basis for the third quarter remained flattish at INR 2,133 crores. Adjusted EBITDA per tonne stood at INR 11,209 per tonne which was down by 2% on a sequential basis on higher iron ore costs. Profit after tax increased 6% on a quarter-over-quarter basis to INR 909 crores on the back of forex gain.

Our consolidated net debt at the end of the quarter is INR 13,551 crores. The higher net debt is reflective of our projects, closing to the commissioning stage and related payouts related to the expansion at our Angul facility. Importantly, our net debt to EBITDA is at 1.4x. Our capex in the quarter stood at INR 2,857 crores.

With this, the cumulative capex spent under current expansion program is now INR 23,612 crores. As we enter the final phase of current round of expansion, we are really excited to announce that we're also embarking on the next round of capex, where we will focus on cost efficiency, sustainability, increasing share of value-added products and improving supply chain, which will finally result in unlocking higher shareholders value.

With this, I will conclude and hand over for question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Amit Murarka from Axis Capital. Please go ahead.

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Amit Murarka: Just on volumes, I think first question I wanted to ask is when do we actually see volumes kind of scaling up to cross 2 million tonnes quarterly run rate and go higher, particularly given the commissioning that we are planning on the capacities.

Mayank Gupta: So let me just take it, this is Mayank Gupta. So look, there are two ways to increasing volumes. One, we are increasing our capacity, second, we are enhancing our productivity in our current facilities. And as you know, a large Angul project, as we shared in the opening remarks, we are moving towards commissioning.

And we expect in FY 26, quarter-over-quarter, slowly and slowly volumes will start to increase. And hopefully, we will realize our full potential towards end of FY26.

Amit Murarka: Towards end of FY26?

Mayank Gupta: Yes, end of financial year 2026, yes, and partly early FY27.

Amit Murarka: So you mean to say the new blast furnace that comes up will get fully ramped up by end of FY26, right?

Mayank Gupta: Yes. So look there are multiple facets of our steel plant. We expect the blast furnace to have commissioning done within this quarter. And normally, once commissioning is done, it just takes a few weeks to have hot metal coming out. So then there are integrated parts. And we expect within this financial year and on an overall basis, we expect to move towards a very good utilization of that capacity.

Vishal Chandak: I would also request Pankaj sir who is the CEO of the Angul facilities, to add to this.

Pankaj Malhan: If I've understood your question, your question is when we're going to go past 2 million tonnes per quarter run rate. Look, I'm very happy to share with

with everybody that we are in the last legs of starting the commissioning of our blast furnace in Angul. And we are very hopeful this quarter that commissioning will come up.

And given your question that 2 million tonnes run rate, we are very hopeful that in Q1 FY 26, we should be going past 2 million tonnes run rate.

Amit Murarka: Okay, sure. And also, I just wanted to check, like why was there a drop in realization Q-o-Q in the third quarter? I believe the rebar was up roughly INR 2,000 per tonne on an average basis. So could you just explain that also?

Pankaj Malhan: So that's a wonderful question. If you really look, Angul plant has also started moving into the flat side, we completed our hot strip mill and also our cold-rolling complex. So if you look into the price movement in the previous quarter, flats had seen some kind of dip coming up. While we did recover product portfolio, but flat seeing lot of corrections to the level of 9% to 10%.

That was one of the reasons why there is a slight kink in terms of the blended NSRs, which we're looking at.

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Amit Murarka: What is the split between flat and long now in third quarter?

Pankaj Malhan: So I will just explain . In the third quarter, long is around 59% and flat is 41%. And last quarter, it was 52% and flat was 48%. And NSR if you see on the ASP basis, so it is basically up by 1%.

That is from INR 60,150, now it is INR 60,931 per tonne .

Amit Murarka: And what are the semis, are you clubbing semis into long? There are some semis as well, right?

Pankaj Malhan: So there is some small portion of semis also, but not to a large extent, but the small portion is of the semis as well.

Vishal Chandak: Amit, if you remember, there is always system-generated semis which we cannot avoid and it has always clubbed as part of our long product portfolio.

Amit Murarka: Okay, got it. Sure I will come back in the queue.

Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities.

Please go ahead.

Sumangal Nevatia: My first question is on the capex on Slide 27. Now we are seeing a lot of additions to the tune of almost INR 15,000 crores. That's almost 50% addition to our stated capex of around INR 30,000 crores without any addition of capacity. So I just want to know what are the heads where there is a cost overrun and all these sustaining contingency, we were of the understanding that it's already included in our earlier announcement. So it's slightly coming as a surprise. So if you can just elaborate on this point, please?

Mayank Gupta: Yes. So this is Mayank Gupta. So look, I think –the first answer is, this is a outlook for the next 3 years. The number we have given was for the current ongoing project, which was given a few years ago , on that, around INR 7,388 crores is remaining. And as we are looking for the next 3 years, we want to invest in enhancing the overall capability of the company.

So there are enhancement of projects, as you see. We are planning to invest more in value-added engineering products. And the purpose is even it may not show a direct impact on enhancing capacity, but it will help us drive better EBITDA per tonne . Similarly, integrated supply chain projects help us control logistics, make it smooth and have efficiency in our cost. So those are the two big helps. Rest is sustaining and contingency. There is no surprise. And largely, we are on track of what we have said.

Sumangal Nevatia: Okay. But if you look at Slide #6, there is no addition of any downstream units. So any tangible unit which you can share as to any different product or different downstream rolling units which we are putting, which will kind of help us understand this better?

Mayank Gupta: So as an example, we have our CRM project. So now we are adding a color coated line as well as a galvanizing

line. Additionally, another example of a project is a Q&T facility. All of them adds to building up value-added engineering products, which enhances our NSR.

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Sumangal Nevatia: Okay. And can you give us some capacity what color coating line and galvanizing line we're having?

Pankaj Malhan: This is Pankaj. If I'll add to what Mayank just said. So we are starting with our mill 2 in coal loading complex, which is around 400,000 tonnes. We are in the vicinity of starting in a very, very short term, which could be in couple of hour basis now. Second, what Mayank added is the galvanizing and the color coating line. We are about to start 200,000 tonnes of galvanizing line as of now. And the color coating line would be superseding this, the downstream of it would be close to 200,000 tonnes.

Mayank Gupta : So look, if there are more questions, I would suggest, please, our IR team can help you connect offline.

Sumangal Nevatia: Yes. Just one follow-up. On overall, we do share a quarter-wise timeline. This time, the presentation doesn't include that. So just want to know where are we with respect to slurry pipeline and BOF 2 and blast furnace 2? Are we on track for the fourth quarter commissioning as we had kind of shared earlier?

Vishal Chandak: Pankaj sir, I request you to take this.

Pankaj Malhan: I am sorry, I lost your voice, please.

Sumangal Nevatia: Yes. Can I repeat? Can you hear me?

Pankaj Malhan: Yes, very well.

Sumangal Nevatia: I just wanted to know we've not shared the regular quarter-wise update in the presentation for different projects. So I just wanted to know where are we with respect to slurry pipeline, BOF 2

and blast furnace 2, which was earlier kind of expected to come in fourth quarter, which is this quarter FY25 ?

Pankaj Malhan: I just now mention that we are very happy to share the timelines that we are about to commence the commissioning of our blast furnace. Most of the project continues to be on the timeline, which has been guided before. And that's the reason potentially we thought of holding to the dates that's been promised before.

Sumangal Nevatia: Okay, got it. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: My question again is on the capex. So earlier, you had guided for a mid -teen IRR of the INR 31,000 crores capex. Now that we have another INR 15,000 crores capex here, so would we stick to that mid -teen IRR on a INR 46,000 crores capex total or does that number change?

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Mayank Gupta: Yes. So look, I would like to reiterate. This is over next 3 years. And so the balance carried forward from the Angul INR 31,000 crores is on the existing list of capex is INR 7,388 crores.

Rest, as we have gone through in the details, this is going into efficiency and focusing more on value -added engineering products.

Indrajit Agarwal: No, sir, I understand that. So at INR 31,000 crores and at 15.9 million tonne capacity, we could have arrived at, say, a profitability, the implied profitability or the increase in profitability or EBITDA through this capex. Now that the capacity, overall upstream capacity is not rising, would that INR 15,000 crores additional means that, that EBITDA per tonne will be that much more higher to generate mid -teen IRR?

Mayank Gupta: Yes. So each project, we have shared the capital allocation strategy a year ago to all the stakeholders, and we maintain high teens ROCE for every project evaluation. So all of these projects have gone through that evaluation or will go through an evaluation because this is a futuristic outlook.

And we will make sure there is already a very, very strong capital allocation monitoring within the company. So each of

them will generate enough ROCE as we have committed already to the stakeholders.

Indrajit Agarwal: So when you calculate that ROCE? Is there any kind of spread improvement that you build in, in your assumptions? Or you are taking current spot spreads?

Mayank Gupta: Yes. So as I said, it is in high teens. I would suggest if you need any specific details, please connect off -line with Vishal.

Indrajit Agarwal: Okay. My second question is on realizations. Can you just explain it again, how much was NSR increase Q -o-Q and how do we end up having a decline? I understand the mix part. But on flats and longs each, how much was your NSR movement quarter -over-quarter?

Mayank Gupta: So as I have explained earlier also, our ASR for this quarter is INR 60,931, which is up by 1% over the last sequential quarter basis. Last quarter, it was INR 60,150 per tonne .

Indrajit Agarwal: All right. Thank you. I will take that offline as well.

Moderator: Thank you. We have our next question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: I'm very sorry to harping on this capex question again. Just to understand this better. So this INR 15,000 crores of additional capex that would happen over the next 3 years, how do we look at the IRR of this INR 15,000 crores? I understand it would be for sustenance and cost savings, etc. But what is the internal maths you would have done in terms of benefits, both in revenue side and opex side?

Mayank Gupta : Thank you so much. I thought we have answered this question. I will refer still back to what we just answered. There's no incremental information we want to give. We are targeting high teens

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ROCE for each of these projects. And for a scale of our company, a INR 15,000 crores capex in 3 years is not like a significantly material number. We think at the scale we are operating, all our focus is to drive profitability and ROCE up.

Rahul Gupta: Okay. Thank you so much.

Moderator: Thank you. We have our next question from the line of Parthiv Jhonsa from Anand Rath. Please go ahead.

Parthiv Jhonsa: Congratulations, sir, for the new role. Sir, my question pertains to the debt. I believe this quarter, the debt has actually gone up significantly compared to last quarter. What will be your expected exit run rate for the current year as far as the debt is concerned?

Mayank Gupta : Yes. So look, we have maintained we will be under 1.5x net debt to EBITDA across the cycles. This quarter, as we have shared, we are very, very excited as the commissioning is getting closer.

So we have touched 1.40, but we are very confident to maintain, we will maintain 1.5x net debt to EBITDA across the cycle. So that will be the peak we will go.

And on an absolute number, the net debt actually has gone up from INR 12,464 crores to INR 13,551 crores, which is roughly almost INR 1,100 crores. From a context of capex we are investing is still we think is in the reasonable number, what we have already given out.

Parthiv Jhonsa: Okay. So my second question pertains to the coal mine. So what is the quantum of coal what you have done this quarter? And are we still on track for the Utkal B1, which was in, I think, expected in quarter 4 to come on stream, right? So are we still on track?

Pankaj Malhan: Let me take this question. Utkal B1 continues to be on track. We have secured the approvals to start the mines. And we are in the process of starting the mines, I am very hopeful of delivering the mines by end of this quarter.

Parthiv Jhonsa: And so what would be the quantum of material excavated during the quarter?

Pankaj Malhan: So difficult to say right now, but this mine is roughly around 5.5 million tonnes per annum.

Parthiv Jhonsa: No, I'm asking from Utkal C sir.

Pankaj Malhan: So it would be just a startup. We are expecting close to 100,000

tonnes, not more than this.

Parthiv Jhonsa: Okay. Because I believe somewhere you had mentioned in Q2 that you done about 1.3 million tonnes, if I'm not mistaken.

Vishal Chandak: Parthiv, I'll just quickly will clarify on the coal produced out of our captive coal mines in this quarter. Just give us a second. Yes. So basically, we have the EC of 3.37 million tonnes from this mine and we'll achieve that target in the Q4.

Parthiv Jhonsa: Okay, perfect. Thank you so much, sir.

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Moderator: Thank you. We have our next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: In your opening remarks, you mentioned that the iron ore cost had gone up this quarter. So is it possible to quantify what was the increase? And what is the expectation for 4Q given that NMDC has taken some price cuts, so do we expect some benefits from the fourth quarter?

Sunil Agrawal : So last quarter, there was a total increase of around INR 96 per tonne. And coming for the next quarter, we are expecting that INR 100 to INR 200 per tonne reduction in the iron ore price over the quarter.

Pallav Agarwal: So last quarter, there was an increase of INR 96 per tonne and next quarter or 4Q, we're expecting INR 100 to INR 200 reduction in the cost?

Sunil Agrawal : Yes, you are right.

Pallav Agarwal: Okay. And have steel prices stabilized at broadly third quarter average levels, do we expect some uptick happening or broadly flat realization in the next quarter?

Pankaj Malhan: I think the way the infrastructure spending and government thrust has come back on the track, we are very hopeful of the prices going better than what we have seen, but yes the Chinese import is something that we are very mindful. And you've seen the impact of the Chinese imports coming to the country and the impact that had on the prices. But the way our government has been sounding very positive about the Indian steel market. We are hopeful of prices seeing some upward takeover from here.

Pallav Agarwal: Sure, sir. Thank you.

Moderator: Thank you. We have our next question from the line of Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.

Ashish Kejriwal: Sir, quickly two questions. One on the results. We mentioned that we have seen 1% increase in realization as well as we have a benefit of lower coking coal cost also, whereas iron ore price has increased just by INR 96 or INR 100 per tonne. Then why our EBITDA per tonne is still lower quarter-on-quarter?

Sunil Agrawal : So other than add on price, unfortunately, in our Tensa mines, as our per mining plan our production from the Tensa mines was lesser during the quarter, which has resulted in increase of our costs also.

Ashish Kejriwal: But sir, will that be meaningful? or if you can say what the overall iron ore consumption cost

increase that will include your Tensa mines also in that?

Sunil Agrawal : So basically this will recoup in our Q4. We're starting our production from the Tensa mine s, and we will stabilize the cost.

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Ashish Kejriwal: Sir, that's okay. I was looking at what happened in third quarter?

Vishal Chandak: Ashish, just to add to it, this is as per the mining plan, the production has been lower in this quarter. So in the next quarter, the production will ramp up again and there will not be such issues.

Ashish Kejriwal: Okay. I'll take offline then. Second question is, we have been underutilizing our pellet plant for more than 1.5 years and because of which maybe we are unable to fully utilize our steel plant also at Angul. So I was just trying to get a sense of where we are in that pilot plant utilization stage, as well as what gives us comfort that our blast furnace as well as basic oxygen furnace will be commissioned by

by March '25?

Because before that, we have to do the gas to our blast furnace light up. Because these are the things which one should look at. Otherwise, every time we see a delay in the project, which is not taken appropriate by the investors also. So if you can help us giving that confidence, then it will be the great sir.

Pankaj Malhan: I think it's a very long question. But happy to share with you the utilization rates of the Angul pellet plant is roughly around 90% as of now. So we are operating our pellet plant at 90%. And Angul pellet plant is good enough to feed both existing DRI as well as the blast furnace.

Ashish Kejriwal: Okay. So that means we are operating at maximum capacity? Because what we understood was in the second quarter or maybe November, December, you were operating at 40% utilization. Is that right?

Pankaj Malhan: So this has started going afterwards. There were some technology issues where we have fixed them up. And right now, we are able to self-sustain Angul on that.

Ashish Kejriwal: Okay. And sir, what about blast furnace and basic oxygen furnace?

Pankaj Malhan: So this is what we just mentioned, happy to share that BF 2 commissioning will commence in this quarter itself.

Ashish Kejriwal: Okay. And sir, lastly on second one, when we are saying integrated supply chain project of INR 4,500 crores enhancements of projects, all these things. So in last increase in the capex also from 24 to 31, we have included a part of the supply chain project, which means that railway rakes and other things.

So what exactly we are having in this integrated supply chain? Because we are increasing our capex by INR 16,000 crores, and I'm not sure how much incremental earnings or EBITDA we can generate on the same. So more elaborate answer on this will be really helpful for us.

Mayank Gupta : So look, steel industry is always evolving, and we're always looking for future enhancement, as we said, towards profitability. So with that context, this specific supply chain is for driving even better port logistics, enhancing our capacity in rail logistics as well, so it is increasing of rakes. It is building core capabilities for a better connectivity.

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Ashish Kejriwal: But sir, these things were already there in INR 31,000 crores? So what extra we are doing here that we are unable to get a sense on?

Mayank Gupta : Yes. So there is also a transmission line. That will help us drive towards better.

Vishal Chandak: Sir, if I may, so Ashish, let me add over here. If you remember, in our INR 31,000 crores capex, we did not include the port capex. Only very recently we have started investing in our port project, which is a 51:49 JV with the group company. So that part of the capex is also there. In addition to that, we have increased the number of rakes looking at our long-term vision of 25 million to 27 million tonnes of steel.

In addition, there are several other logistics-related projects like coal pipe conveyor, which was not part of our earlier capex and transmission lines as well. So overall, if you look with the kind of new capex that we are doing, the ROCE would really move up and we would be among the best steel producers globally. That's the vision with which we are working.

Ashish Kejriwal: So just to conclude that, which means that even if we increase our capacity from 12 million to

24 million, 25 million in Angul later on, we don't have to spend much incremental on the supply chain projects?

Vishal Chandak: So Ashish, as Mayank sir mentioned, steel is an industry which is continuously evolving. We don't know what kind of other logistics facilities could be made available to further optimize our supply chain capabilities and reduce our cost. As we foresee, yes, we are trying to work on what is the best available solutions in the market. But if things change rapidly

in future, we might

look at other options. So we would want to keep our options open, and that's what we are working on.

Ashish Kejriwal: Understood. Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Sir, my first question was, is there any delay in the slurry pipeline commissioning? And when can we expect the cost savings in the slurry pipeline to start flowing in for us, a realistic date for that?

Pankaj Malhan: Well, slurry pipeline continues to go strong in terms of the erection activities, and we are very hopeful of delivering the timelines stated earlier.

Rajesh Majumdar: Which is what, mid FY 26 or somewhere around there?

Pankaj Malhan: No, we already promised that quarter 1 of FY 26, we should be able to deliver that.

Rajesh Majumdar: Yes. So my second question was on the market opportunity for steel structures for transmission towers. I mean, what kind of a capacity do we have in place for this? Because as I understand that there is a huge shortage of supply in this particular category, the number of approved suppliers to fulfil this requirement of expansion for Power Grid or any other player is very, very

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less. So are we doing any capex on this front and are we trying to increase the capacity of this particular area?

Sabyasachi B: Thanks for the question. I think from the perspective of transmission line towers, we have quite enough capacity to cater to the market. In our profile mill, the medium light structure, we have a capacity of 0.8 million tonnes per annum. And based on what we see in the market, we have enough to cater to the market at this point of time. Obviously, there are other players in the market, but we are equally poised and if not better.

Mayank Gupta: So just to add, I think this is a very exciting segment, where there's a strong tailwind. We are collaborating with the large customers and some of our key mills including our SP M and our RUBM s. We are trying to allocate a good percentage of its capacity to address this strong segment. Thank you.

Rajesh Majumdar: Thank you.

Moderator: Thank you. We have our next question from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: I just wanted to understand the process for the blast furnace commissioning. So once we have it commissioned, I understand technically, it will take some more time to get stabilized, get the ramp -up. But on the customer or sales side what are the steps do you need to first tie up the sales, the customers need to approve the facility, get it certified, etc. So the reason I'm asking is when can we see it actually contributing to sales volume?

Pankaj Malhan: Wonderful question. The day we start getting hot metal, it's getting added to the customer delivery straight away.

Indrajit Agarwal: So it does not need any kind of certification. All right. Thank you.

Moderator: Thank you. We have our next questions from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: I know many questions have been asked on this capex. I just wanted to drill down further on this. First, on the enhancement of projects. I believe I heard color coated line, galvanizing. Can you quantify how much is the expansion for color coated and galvanizing? And Q&T was anyway a part of when the thin slab cast rolling TSCR was changed Q&T was anyway put in place. I'm not able to understand why is Q&T a new project in this? And what is the color coated and galvanizing expansion you're looking at?

Pankaj Malhan: Okay. Let me mention about Q&T first. When we talk about Q&T, we're adding 250,000 tonnes of value addition in the existing assets. So there are 2 new furnaces, which are getting added, which are at a very high level of commissioning

as of now. So that will enhance the value

addition in the plate portfolio itself, so which means our value addition in the existing plate portfolio will go up by around, I would say, another 10% level.



Second, if I was to mention in terms of color coating and the galvanizing lines, which you asked for, our installed capacities of galvanizing would be 600,000 tonnes and color coating capacity would be around 500,000 tonnes in Angul.

Satyadeep Jain: But in Q&T this was already a part of INR 31,000 crores capex?

Sabyasachi B: Sorry, Pankaj, if I may just add a little bit on to the Q&T side of things. In addition to what is being put in Angul of 250,000 tonnes, we are putting in equal capacity in Raigarh as well. And that will initially be furnace normalized and quenched material and subsequently fully furnace normalized and quenched and tempered facility. So equal amount is going into. And in the end of the whole process, JSP as an organization will have 0.75 million tonnes of total furnace normalizing and Q&T capacity established.

Satyadeep Jain: Okay. So you're saying basically, initially, it was only Angul, now you're adding in Raigarh?

Sabyasachi B: Yes. Initially, we have conceptualized for Angul. There was a plan in place for Raigarh, but keeping at the view of the strong market demand and growth in that segment, both domestic and exports, we have decided to put in Raigarh as well.

Satyadeep Jain: Okay. On the supply chain, one, is it possible to quantify how many rakes are you looking at when you mentioned this figure, how many rakes, what is that you're looking to do at both. In transformation line, I didn't understand this is transmission line from the one at Ispat project to the plant? Where is this transmission line?

Pankaj Malhan: You got it to very right. We are talking about 2 transmissions. One definitely is for iron ore, the slurry pipeline project that we discussed. Second definitely is the pipe conveyor project that we are connecting our mines, coal mines to our works, be it power plant as well as steel works. Second you mentioned about the rakes. The company is looking for a good self-sufficiency in terms of the rake movements within their own control. Our plan is to add close to 67 rakes into our kitty going forward, and keep adding as and when the need comes up, that's what our plan is.

Satyadeep Jain: Okay. So you mentioned, sir, I just wanted to clarify. Is there another slurry pipeline in this enhancement project pipeline?

Pankaj Malhan: That's a coal pipeline I mentioned.

Mayank Gupta : Yes. So look, guys, sorry. Look, we have changed the format of capex this time. And look, we had the lowest capex per tonne in the industry, and we have built it the fastest, we started it in 2022, and we are in 2025, and we are saying we are getting ready for commissioning. So this is the level of capex we are expecting.

Overall, we are within the ranges of what we said. And all this outlook we have given is to ensure that you have a visibility of how the company is thinking, this is an outlook over the next 3 years, each project with a high-teen ROE's And to just reemphasize, all this is being done while

maintaining the lowest leverage in the industry and ensuring it is below 1.5 net debt to EBITDA, which is almost the best balance sheet, at least in the entire peer group.

The last thing I would add in this, this includes an element of having opportunistic capex as well that we see even any other opportunity to optimize our cost or driving value engineering products, we want to avail that opportunity and immediately move towards higher ROC and higher value engineering products. So of course, overall answer, but we want to share with you how the thinking is.

Sabyasachi B: And I would

like to add one more point to that, the transmission line when we're talking about is also the transmission line for connecting to the renewable energy portion for the central grid connectivity in the Raigarh belt.

Moderator: Thank you. We have our next question from the line of Somaiya V from Avendus Spark Please go ahead.

Somaiya V: So my first question is on the blast furnace utilization. So where do we see by end of FY 26, the utilization level on this expanded blast furnace capacity?

Vishal Chandak: Pankaj sir, if you could kindly take this question.

Pankaj Malhan: Sorry, your question is where do we see our blast furnace number 2 capacity utilization in FY 26

correct?

Somaiya V: Yes, yes, by end of FY 26, if you can just give us the ramp -up timeline?

Pankaj Malhan: What I mentioned about the start of the commissioning, we are very hopeful of reaching to the capacity utilization of 70% to 75%.

Somaiya V: By March 26, is that right understanding?

Pankaj Malhan: The exit of the FY 26 would be at a full ramp -up. The utilization what I mentioned is for the entire year and the exit should be at the full rate.

Somaiya V: Okay. Got it, sir. Second, on the C RM complex, the time line remains the same? Is it Q1 FY 26?

Pankaj Malhan: Yes, we are holding on to the time lines as of now. The project is going on a good swing. So like I mentioned, mill 2, which is 400,000 tonnes, we're expecting to start any time.

Somaiya V: Got it, sir. Sir, the HSM utilization, if you could just give that number for Q3? And how do you see that for FY 26?

Pankaj Malhan: First of all, we just mentioned about the market dynamics, how the market dynamics played in quarter 3. The mix between flats to longs, what was shared to you. We did see the markets correcting for NSR of HRC. So we also tweaked our product portfolio between longs and flats.

So the utilization was impacted because of the market dynamics. Of course, it was limited

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because of the steel availability in the plant, too. So going forward, as and when the market looks favorable, HRC utilization would continue to go upwards.

Somaiya V: Okay. Sir, one last question on this capex number that you said this INR 23,000 crores. So is this the accrued number or is it a cash basis that you're referring to when it comes to INR 23,000 crores?

Mayank Gupta : Look, this is a 3 year outlook. So as we get closer to the year, we will again firm it up, but this is kind of a 3 -year outlook.

Somaiya V: Sorry, sir. Sir, my question is on, so far what we have spent, you have mentioned a number. So I just want to understand, is this accrued or is this a cash flow number that you have actually spent this or something is still remaining to be spent as payables or something that still remains?

Mayank Gupta : No, this is on a cash flow basis. The only thing it doesn't include is, let's say, any import GST credit. And that comes separately, but that is we get credit. So this is on a cash flow basis is what we are projecting for next 3 years.

Moderator: We have our next question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Thanks so much for providing additional color on the new capex plans. Just one question. So this new plan will run through until fiscal '28. So when can we expect the next leg of crude capacity expansion? So what's the road map of moving from 16 to, say, 25 or beyond fiscal '27?

Mayank Gupta : Look, that's a great question. We are all very excited, and that's our vision. We are still forming our plans, at the right time we'll come back to you.

Pankaj Malhan: I would say we are all excited about the next level. And I would say the next blast furnace, we are almost finalizing the details and we should be coming back to the market very soon on that.

Vishal Chandak: Operator, can we please take the

last question?

Moderator: The last question will be from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Two quick questions. One is anything that you would like to highlight specifically on raw material integration, both for iron ore and coking coal now and going forward?

Mayank Gupta : Sorry, can you please repeat your question?

Ritesh Shah: Yes. My question is pertaining to iron ore and coking coal, raw material security. Are there any specific variables or strategic road map that you have for both of those to increase raw material sufficiency?

Vishal Chandak: Sorry sir may I request you to take this one.

Sabyasachi B: So currently, in terms of the iron ore segment, we have our own captive mines in Kasia and Tensa. And rest of the requirements we are filling from the mines in Orissa and Chhattisgarh.

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That's primarily our sourcing for the iron ores. And we have linkages, and then we participate in the auctions, open auctions as it happens.

In terms of the coking coal, we have a good reserve in our own mines in Mozambique and other

than that, based on the needs of different varieties, we will get it from the reliable sources that we have been already able to establish our connections with.

Ritesh Shah: Sir, my question was, are we looking to increase the percentage of captive sufficiency for iron ore and coking coal going forward versus what we have right now?

Sabyasachi B: At this point of time, we are under discussion on those things. It's not that it is off the desk. It's just a matter of time and opportunity that we are looking.

Ritesh Shah: Okay. So this is not part of the INR 15,000 crores capex when we say value addition, strategic initiatives. This is something which should be over and above that?

Sabyasachi B: As Mayank clearly suggested, it's an evolving situation. And the way we look at it, basis the need of the country and overall direction of the steel business growth and depending on how we position ourselves, we will take those calls as time comes, and we will keep on updating you.

Ritesh Shah: Sure. That's helpful. And last data question, if it's possible, if you can quantify how much was the metallics purchase on 9-month basis? And given blast furnaces will fire up, what is the incremental cost savings that we are looking at because we will look to substitute this? Any indicative numbers that we can work with?

Sabyasachi B: Sunil, can you take that call please?

Sunil Agrawal: Sir, just if you can repeat the question?

Ritesh Shah: Sunilji the question is over 9 months, how much was the external metallics purchase we had? And given as we are looking for blast furnace commissioning, which is quite soon, what is the incremental cost savings, which will come as you substitute the feed with captive furnaces?

Sunil Agrawal: So let me answer the first question itself is practically zero, like very negligible and all.

Ritesh Shah: We didn't have any metallic purchases in 9 months. Is that what we are saying?

Sunil Agrawal: Yes. .

Ritesh Shah: Okay. Sure. Thank you so much for the answers. All the very best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today and I now hand the conference over to the management for closing comments.

Mayank Gupta : Thank you, everyone for joining today. Look, I'm very excited. Pardon me, as I'm learning in, in case any still follow-up questions, do connect with us and our IR team and with Vishal, we'll be happy to answer. We are very, very excited as we enter the commissioning phase and we're

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trying to be having a long-term strategic view to build a higher ROCE and focus on value-added engineering products and saving and optimizing our costs.

Very happy to have the best balance sheet in the industry.

And on that note, thank you very much and we'll close the call.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining in and you may now disconnect your lines.

Mayank Gupta: Thank you very much. Have a great evening everybody.

## Call: May 2025

Jindal Steel & Power Limited

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Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON MAY 1 , 2025

This is in furtherance to our letter dated April 25, 2025, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts.

In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.com](http://www.jindalsteel.com) .

You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel & Power Limited

Anoop Singh Juneja

Company Secretary

Encl.: as ab ove

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“Jindal Steel & Power

Q4 & FY25 Earnings Conference Call”

May 01, 2025

MANAGEMENT : MR. SABYASACHI BANDYOPADHYAY – WHOLE TIME  
DIRECTOR – JINDAL STEEL & POWER

MR. PANKAJ MALHAN – CHIEF EXECUTIVE OFFICER ,  
ANGUL FACILITIES – JINDAL STEEL & POWER

MR. MAYANK GUPTA – CHIEF FINANCIAL OFFICER –  
JINDAL STEEL & POWER

MR. SUSHIL KUMAR PRADHAN – CHIEF MARKETING  
OFFICER – JINDAL STEEL & POWER  
MR. VISHAL CHANDAK – IR HEAD – JINDAL STEEL &  
POWER

MODERATOR : MR. ASHUTOSH SOMANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY25 Earnings Conference Call of Jindal Steel & Power Limited hosted by JM Financial. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Ashutosh Somani from JM Financial. Thank you, and over to you, sir.

Ashutosh Somani: Thanks, operator, and welcome, everyone, to the call. I'll first thank Jindal Steel & Power for giving JM Financial the opportunity to host today's call. Without much ado, I'll hand over the call to Mr. Vishal Chandak, Head Investor Relations, Jindal Steel & Power, to introduce the management. Over to you, Vishal.

Vishal Chandak: Ashutosh, thank you very much. Thank you very much, operator. Good afternoon, ladies and gentlemen, and thank you very much for joining in for the Q4 FY25 and full year briefing. We have the senior management of JSP today for the briefing. Starting with Mr. Sabyasachi, our Whole Time Director; Mr. Pankaj Malhan, our CEO, Angul business; our CFO, Mr. Mayank Gupta; and Chief Marketing Officer, Mr. Sushil Kumar Pradhan.

So, without much ado, I'll hand over the call to our CFO, sir, for his opening remarks. Over to you, sir.

Mayank Gupta: Good afternoon, ladies and gentlemen. I welcome you all to the Q4 and Full Year FY25 Earnings Briefing of JSP. India crude steel production grew 5% to 152 million tonnes in FY25, and demand grew by 12% also to 152 million tonnes. Chinese steel demand continues to weaken. As a result, exports from China continued at elevated levels, impacting prices globally. China's share of imports in India also remained high during the year. India remained a net import of steel in FY25 for second year in a row with 4.3 million tonnes of net imports.

Several countries, including Korea, Vietnam, U.S., etc. have imposed additional tariffs on Chinese steel imports to provide a level playing field to their domestic steel industry.

Government of India has introduced a 12% safeguard duty for 200 days on select steel imports, aiming to maintain a level playing field amidst rising global inflows. This should help curb some inflows of cheap steel, but the duty is not good enough compared to other geographies.

During the quarter, the domestic HRC and TMT prices saw mixed movements with HRC prices rising marginally on a quarter-on-quarter basis, in anticipation of safeguard duty, which eventually was brought into effect on 21st April. TMT prices, however, corrected marginally after healthy rise during the third quarter.

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Coming to our JSP highlights. JSP reported the highest production and sales in FY25. This was driven by record performance from various mills across both Angul as well as Raigarh plants. The company achieved capacity utilization of 85% during FY25 compared to 83% in the previous financial year, driven by operational improvements.

Let me start with key quarterly numbers. Production grew during Q4FY 25, 6% quarter-on-quarter to 2.11 million tonnes due to higher capacity utilization, which increased from 83% in Q3 FY25 to 88% in Q4 FY25.

Sales volume at 2.13 million tonnes was up 12% quarter-on-quarter, supported by higher production as well as inventory liquidation. Consolidated gross revenue grew 13% quarter-on-quarter to INR15,525 crores, largely driven by volume growth. We had guided for a savings of \$10 per tonne for our Q4 coking coal consumption. Our actual cost for coal has reduced by \$11 per ton. Iron ore has remained flattish sequentially.

During the quarter, there were one-offs of

NR231 crores as well due to items which are not recurring in nature and are one-time as a result of detailed review of our balance sheet for past years. These includes provision taken for old GST input credits, which have not been realized, provision for aged operational advances and inventory cleanups for past several years, carbon credit purchase for Australia operations relating to past periods, balance related to deallocated mines from past as well as old insurance receivable from past not realizable.

Adjusted for the same, along with forex movement, the adjusted EBITDA for the quarter stood at INR2,482 crores. And adjusted EBITDA per tonne stood at INR11,651 per ton, which is marginally higher on a quarter-on-quarter basis. During the year, we also reviewed the value of our overseas assets and have taken an impairment of INR1,229 crores i.e., USD144 million primarily for the Australian assets, which is already under care and maintenance.

With this, we believe that the remaining value of the investment in Australian business is significantly lower than the value of our assets there. Adjusting for this exceptional write-off, our adjusted PAT stood at INR1,099 crores, which was up 16% on a quarter-on-quarter basis. Coming to annual performance. We reported annual production and sales of 8.12 million tonnes and 7.97 million tonnes, respectively, which were up 2% and 4%, respectively. Consolidated gross revenues for the year stood up at INR58,044 crores, largely driven by volume growth and offset by a reduction in blended ASP by 4%. Consolidated adjusted EBITDA, adjusted for both forex and one-time write-offs discussed earlier, stood at INR9,570 crores. This translates to EBITDA per tonne of INR12,008 per ton.

The company implemented several initiatives to bring down the net working capital, by INR3,146 crores during the year and INR2,701 crores during Q4FY25. This has resulted in reduction in net debt to EBITDA sequentially from 1.40 last quarter to 1.26 this quarter despite spending INR2,312 crores on the capex during the quarter.

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Total capex for FY25 was INR10,607 crores. Depreciation remained at INR2,768 crores. Again, as highlighted earlier, adjusting for the one-offs and exceptional expense, net of provision, our adjusted PAT stood at INR4,248 crores.

Update on mining, JSP has received mine opening permission for Utkal B1 mines. The mine has a total reserve of around 148 million tonnes with annual EC of 5.5 million tonnes. The bid premium for this mine was 15.25%. During the quarter, JSP won Saradhapur Jalatap East coal block in the 11th round of e-auction at a revenue sharing of 10%. This is a partially explored block.

Now coming to update on projects. The commissioning activity for the Angul blast furnace 2 have already begun with the lighting of gas stoves. We are on track to deliver the first hot metal from the BF2 in Q1 FY26. Rest of the projects, including BOF2, slurry pipeline and the Shree Bhoomi Power Plant (SBPP) are progressing well as per the scheduled timelines.

Our total capex for the quarter stood at INR2,312 crores. With this, our total capex incurred in the current program, including the sustenance capex stood at INR25,924 crores. The total capex remaining under the current expansion program is INR21,119 crores.

Excluding the JV investments, which is the Paradip port investment on the port project, the balance outstanding capex is INR19,137 crores. During early April, JSP acquired Allied Strips Limited in an all-cash deal of INR217 crores. Allied Strips have a capacity of 0.54 million tonnes HRPO, as well as 0.3 million tonne of CRFH /CRCA. We are in the process of completing the integration modalities. The product profile here will ensure captive consumption of our H R coil from Angul and further value-add products.

Lastly, we are restarting our

annual production and sales volume guidance. For FY26, we believe crude steel production would be in the range of 9 million to 10 million tonnes. The incremental production will be augmented by both the new BF at Angul as well as increased utilization of our existing capacity. We are looking to deliver additional 0.2 million to 0.3 million tonnes from our existing operations at Angul and balance 0.7 million to 1.6 million tonnes from new BF. In terms of sales, we expect to deliver sales volumes in the range of 8.5 million to 9 million tonnes for FY26. Since we are restarting annual volume guidance, we would like to clarify that it has been conservative, and we, as a management team, are committed to exceeding the expectations.

On raw material, consumption cost for coking coal should be lower by \$10 to \$15 per tonne in the first quarter. Iron ore costs are likely to trend domestic steel prices. The domestic HRC and TMT prices are currently 4% to 5% higher compared to Q4 average. However, it's too early to comment about how Q1 will shape up.

In the end, we want to reiterate that we have taken feedback from investor community and improved our presentations to address key questions. We hope the investors and analysts will appreciate our sincere efforts for the same.

With this, I open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: First of all, great work on presentation. I mean quite a few data points illustrated over there. I have a couple of questions. The first one essentially is on the repetitive impairment diminution that we have been taking on Australian subsidiary. Now if I look at the utility of this Australian subsidiary, I mean, over the last 10 years, it has practically done nothing. And it's like salami slicing every time that we take a little bit of diminution, still around INR5,000 odd crores of investment is left. So, I just wanted to understand the future of this. Will we ever get coal from here? It is under care and maintenance. What is the thought process on this subsidiary? Why don't we get out of it, I mean, once and for all, take whatever provision is required?

Mayank Gupta: Amit, thanks for the question. Look, as you rightly said, the Australian mines are under care and maintenance. We have done an annual valuation exercise by independent valuers. And hence, this new impairment has been recommended. The remaining value there is fully supported by underlying asset value, and we are carrying forward a value of approximately USD150 million right now. And for future, we are currently evaluating various options, and we will update the investor community at an appropriate time.

Amit Dixit: Sir, my point is that whenever we took any impairment, it was always fully supported by the assets, but that particular goalpost has been a moving one. So that's why I asked the question.

Mayank Gupta: Yes. Look, I think this is an annual exercise we do. And based on the current profile of the mine, based on an independent valuation study by a Big 4, it is the value which has been determined, and we have accordingly impaired the financials. There is still a value left, and we are carrying we believe, the carried value is lower than maybe the realizable value. And hence, we do not expect any further impairment in the books.

Amit Dixit: Okay. Fair enough, sir. And the second question is essentially on the working capital front. Now very impressive working capital unlocking that we have achieved, particularly in Q4, which normally is the quarter when we achieve this kind of working capital unlocking. Now just wanted to understand broadly the initiatives that we have taken, whether the impact of such initiatives would also be visible in the coming quarter or the year? And also, wh

at is the current finished  
product inventory with us?

Mayank Gupta: So, look, most of these efforts taken are sustainable in nature. We have relooked at our inventory norms and have a refreshed review of all our assets and liabilities, which goes into working capital. Of course, given the nature of the business, as an example, during monsoons, you build up inventory. So those are seasonal adjustments. But on an overall long-term trend basis, this is kind of a permanent improvement into the working capital, number one.

Number two, your question on finished goods. We are currently carrying roughly an inventory of 200 kt of finished goods inventory in our financial books.

Moderator: The next question is from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: Sir, one question on the part of this, which is mentioned in the Note number 5 as well. So, this is related to disposal of unappropriated inventory of shares under that ESOP, 57 odd lakh shares.

So, it is mentioned that you have got the approval from SEBI to dispose those shares by 31st May. So, are we sure that it will be disposed by 31st May or further extension is likely from SEBI?

Vishal Chandak: Kamlesh, this is Vishal here. So, we had applied for an extension, and we have been granted an extension. I would say the trust has to dispose these shares, and these would be as per the SEBI guidelines. We'll do that.

Kamlesh Bagmar: So that would be in this month?

Vishal Chandak: The timeline is still May. It will be done as per the timeline.

Kamlesh Bagmar: Okay. And lastly, like on the , a lot of appreciation for that guidance as well. But if I see the guidance, like if I see in terms of production, your guidance on the higher side, it is 23 odd percent growth in terms of production, while on the sales side, it is not that significant. So, what is the reason for that?

Vishal Chandak: So, I would request our Angul CEO, Mr. Pankaj Malhan, to answer this.

Pankaj Malhan: First of all, thanks for this question. This question, just like Mayank mentioned that we are sounding slightly conservative, and we are confident of delivering more than what we are promising on the table.

Look, company management would be striving to look into the right mix of the product portfolio to deliver the most out of that. So, this is just a guidance, but we are committed to deliver more than this.

Kamlesh Bagmar: No, I was talking more regarding the gap in sales volume and production volumes, not on the guidance part.

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Pankaj Malhan: Look, we are in the process of ramping up. And while the guidance is there, but the thought remains we would be delivering more than this.

Kamlesh Bagmar: Okay. And lastly, how much was the HRC sales volume in this quarter?

Pankaj Malhan: In this quarter, it was over 350,000 tonnes .

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: The first question is on the Utkal B1 coal block. So firstly, congratulations on getting the crucial mine approved. I just want to understand 2 things. One is when do we expect mining to start? And in the past, we've kind of guided that in year 1, we can ramp up very quickly to almost rated capacity. So, I just want to understand what could be the production, say, this year and next year? And I mean, this is one of the mines, which was one of the lowest bid, I think around 15 odd percent, if I remember correctly. So, what would be the delivered price of coal from this mine to our plant?

Pankaj Malhan: Thanks for this question. Yes, we have received all the approvals needed to start B1. Right now, we're in the process of opening this mine, and we are fully confident in H1 this financial year, we'll open up this mine. And we are committed to deliver the

E C limits of this mine in this  
financial year itself.

Sumangal Nevatia: Okay. So, we can expect somewhere around 5 million tonnes production in the second half?

Pankaj Malhan: Yes. Of course, we are committed to deliver that. On cost part, I think this is too operational question for me to answer, but that is where our numbers would look like.

Sumangal Nevatia: Okay. Okay. On the delivered cost, I mean, can you help us understand 15% premium, what is the delivered price of this coal?

Pankaj Malhan: As a management team, we don't give so many guidances on a specific project. So yes, volume basis, we remain committed to whatever we just now mentioned.

Vishal Chandak: I would urge if we can refrain from asking specific pricing and costing related questions. As a philosophy, we do not discuss the specific questions on the cost and price, please.

Sumangal Nevatia: Understood. My second question is with respect to our sales and production guidance. There's a big difference of 1 million tonnes , which was asked earlier also. So, are we expecting , I mean, I understand the conservative mindset, but are we expecting a buildup of inventory because there's a significant difference between the 2 items?

Pankaj Malhan: I agree. Yes, you can see whenever you're starting a new facility, there is always a ramp -up phase that the facility has to go up. And there would be slight yield ramp -up also which happens, which is the quality ramp -up. And based on that, we've been sound ing slightly conservative.

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Otherwise, we are almost there in terms of how the ramp -up goes. We are very confident of delivering more than 9 million tonnes of sales.

Sumangal Nevatia: Understood. And just one last clarification. From this impairment losses, do we get any tax savings, tax credit? And also, there's a INR231 crores loss, which was INR231 crores one-off at the EBITDA level, if one can explain what was that during fourth quarter?

Mayank Gupta: So, Sumangal, thanks for the question. So first one, on the Australia -related impairment. We



have taken provision in FY25, and we are likely to take this in tax benefit in the FY26 for our tax savings. So of course, these are tax deductible kind of an expenses.

On your question on INR231 crores, that the entire amount is booked in fourth quarter only. And again, this entire amount will be tax deductible. Of course, the year-wise will be specific by each expense. But yes, both these expenses, the exception as well as these one-offs are tax deductible.

Sumangal Nevatia: I just wanted to know what is the nature of this INR231 crore s exceptional loss?

Mayank Gupta: Yes. So, as we shared during our opening remarks, Sumangal, there are like 4 - 5 broader heads, I will re-emphasize. They include provision taken for old GST input credits, which are not yet been realized due to vendors' procedure lapses. They include provision for aged operational advances and inventory cleanups for past several years. It also includes a carbon credit purchase we have done for our Australia operations, again, relating to prior periods. They're also relating to some balances lying in our books for deallocated mines from past. And lastly, there are some old insurance receivables, which are not realizable. We carry this as an annual balance sheet review exercise. And as part of that cleanup, we have reviewed these balances. All of them are non-recurring in nature and are one-time in nature.

Moderator: The next question is from the line of Prateek Singh from DAM Capital.

Prateek Singh: Congrats on a decent set of numbers. Just one - my first question is largely on the finished steel post expansion. I think the number earlier used to be 13.75 million ton, now it has gone up to 14.45 million ton. So, what is driving difference here? Is it ASL?

So, I'm not sure if you heard the question. So, I was

referring to Slide #5, where finished steel,

we are saying is going from 7.25 million tonne to 14.45 million ton. This number earlier used to be 13.75 million ton. I'm not sure if I missed anything, but what's driving this difference here?

Vishal Chandak: Prateek, this is Vishal here. So, if you look in the last quarter, from this number, the only thing which has changed is we have formalized the 0.5 million ton, which we had earlier talked about the plate expansion, which we are revising in subsequent times. Okay? So that's the only difference. Previously, we had talked about 0.5 million tonne expansion on the plate mill that we are looking into revising in the coming time. So that's the only difference that we see.

Prateek Singh: Understood...

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Moderator: I'm sorry to interrupt. Mr. Prateek, you're not audible. Can you repeat your questions again?

Prateek Singh: Sure. Am I audible now?

Moderator: Yes, sir. Go ahead.

Prateek Singh: Let me come back in the queue then.

Moderator: We will move on to the next question. It's from the line of Raman KV from Sequent Investments.

Raman KV: Sir, I just have 2 questions mainly related to the industry. Sir, recently, India has imposed 12% import duty for 200 days on Chinese steel export. But at the same time, the Chinese steel export prices have dropped from the second half to now around 12% to 13%. So, what are the chances that the prices, Chinese steel prices might still further drop and that will cross out the 12% import duty impacting the Indian steel players?

Sushil Kumar Pradhan: Thanks a lot for the question. So, you are absolutely right. The Chinese prices have dropped post safeguard duty and now hardly there is any margin left to where if any further drop in Chinese prices will take place, then it will have an impact on the Indian prices. However, we are not seeing any further drop in Chinese prices in near future is expected.

Because the other markets like European market and other markets are moving in the upward direction and which will support the Chinese prices. Although they are not moving in that market, but then overall global market prices are not dropping in that level. So, in that respect, we feel that current price levels will maintain in the coming quarter.

Raman KV: So, my understanding is with respect to the steel prices, there won't be any substantial decrease in FY26, and there will be a good chance of upward movement of prices, right?

Sushil Kumar Pradhan: We are not providing any guidance for the entire year. But at least for the current quarter we are in, we are expecting the prices will remain at the current levels.

Raman KV: Okay, sir. Sir, I actually joined the session a little late, but can you just give me an overview of industry dynamics with respect to what are the current global steel prices? And what are the iron ore cost for the company for the coming quarter? And what is the cost for coking coal prices?

Vishal Chandak: It's Vishal here. For the industry discussion, we can discuss separately offline because we have the entire senior management here, and we would want to take all the strategic questions. As far as specific cost on iron ore and coal is concerned, we don't discuss specific cost. For the industry discussion, we can take it offline.

Moderator: The next question is from the line of Satyadeep Jain from AMBIT Capital.

Satyadeep Jain: The first question, as a follow-up to the first question Amit asked on change in write-downs. If I heard it correctly, in response, you mentioned that there are various options being considered.

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Just wanted to understand what broadly the options you have on the table? Is one of the options also for promoter entity to take on these assets? What options broadly are you thinking of because these asset

s have not been generating much cash for many years?

Mayank Gupta: Yes. So, look at this stage, we would not like to detail out the options. To address your question, they are not being discussed with any promoter entity. So whatever option will be with an independent external party only. So, we are debating this option. We will provide an update at the right time.

Satyadeep Jain: Okay. Fair. The second question on the capex, additional capex you had announced last quarter pertaining to color coated, galvanized plate, some crude plates and all. Maybe can you provide more details of maybe timeline for some of these initiatives because you have the capex outlined, but what is the timeline for some of these additional things that you're looking for?

Mayank Gupta: Yes. So, look, this time, as we have shared 2 years ago in our capital allocation framework, we have provided annual rolling forecast year-wise of our capex as well, which we have done. It's on Slide 37 in our presentation.

As far as specific item, what is the specific milestone, the benefits of each of these products will culminate between FY26, 27 and 28. And all the material projects for us as a management, the biggest focus right now is to get our BF2 and BOF2 out, which we have provided an update in the presentation.

Satyadeep Jain: All the new items that you discussed last quarter, you think there could be some benefit from these in FY26 also?

Vishal Chandak: Vishal here. So, if you look at, Satyadeep, we have started some projects few years ago, which will start delivering benefits from FY26 onwards. And the projects which we have announced recently will start delivering from FY27 and 28. So, between FY26 and FY28, you will see an improvement in the product mix as well with the volumes.

Satyadeep Jain: Okay. Just one quick question, if you can squeeze on coal. You guys acquired another coal mine. Just the earlier 4 Utkal mines and Gare Palma were together 15 million tonnes. And you've acquired more mines. Just wanted to understand the thought process because you're also going green. How much, I thought 15 million was already enough. What is the strategy for acquiring more coal mines?

Pankaj Malhan: Satyadeep, if I was to take this question, while we've been maintaining that we got 3 mines, and we are looking at some 13 million to 15 million tonnes of mining coming out of these 3 mines. The fourth one, which we've just bagged is considering that we are coming up with a new DRI over there, which is almost 2 million tonnes. And correspondingly, we really want to go green, and we really want to be on the coal gasification side. So, we would be expanding our coal gasification side, upstream side, I should say. And that's the reason why we really wanted to

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secure our coal, and that remains the most important ingredient for making SynGas, which is useful in steel making.

Moderator: The next question is from the line of Akshit Gupta from Oaklane Capital.

Akshit Gupta: So, I wanted to ask on gross margins. Like I saw on PPT quarter-on-quarter average selling price increased by 4%. And as you said, coal prices were down by around \$10 per tonne and the iron ore also remained flat. So, I was seeing gross margins decreased by 300 bps. So, any reason why it decreased?

Mayank Gupta: Yes. So, Akshay, first, I think the answer is our quarter-on-quarter volumes increased by 12%, and our EBITDA is increased by 16%, right? So, I would say at the outset, there is an improvement in our operating leverage appearing in the business.

And I think the way you are looking at it, you should look at it with the amounts do include these one-off INR231 crores as we have shared. If you include that, then you will see these numbers.

And you can connect with the IR team offline if there are any specific queries.

Akshit Gupta: Okay. And all

so on coking coal, so we are like mostly backward integrating our thermal coal for the captive usage, but we are not much focusing on the coking coal for the captive use. So, are we planning any inorganic or through auction -based to acquire some mines for the captive consumption?

Pankaj Malhan: Akshit, the management remains very bullish about looking for opportunities which come across the way in terms of looking for some coking coal mines. As we all know, coking coal availability of quality coking coal is very low in India. But let's see if some blocks come up for auctions. We would be keen about them. Thank you .

Moderator: Move on to the next question. It's from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Sorry for the confusion. So, I had a question on what percentage of our product mix will benefit from the safeguard duty. So, a portion of flat products has been going up in the mix. So, can we assume that most of that will benefit from the safeguard duty?

Sushil Kumar Pradhan : Yes. So, the safeguard duty is only on the flat product. So, the flat product prices will remain stable because of the safeguard duty, which was under pressure previously before this quarter.

Pallav Agarwal: Yes. So, our proportion of flats has been increasing. So that should overall be beneficial for our blended NSR?

Sushil Kumar Pradhan: Yes. Yes, you're absolutely right on that sense.

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Pallav Agarwal: Sure, sir. And are we seeing enough demand in the market to absorb the increase in prices because of safeguard duties? I know Q4 is traditionally a strong quarter, but are we seeing enough demand in the first quarter as well to absorb these price hikes?

Sushil Kumar Pradhan : See, if you look at the demand -supply scenario, last year, we were a net importer by 4.3 million tonnes . So, with the safeguard duty, we are expecting the India will not remain the net importer by such a wide margin. So that much of the domestic consumption will grow up. The domestic demand from the domestic producers will go up, and that will absorb any additional capacity or any additional production.

Pallav Agarwal: Sure, sir. Also, you've stopped giving the EBITDA and production volumes for Mozambique, South Africa. So, is it fair to assume that these are no longer contributing materially to the overall EBITDA?

Vishal Chandak: Vishal here. So, if you look at in the overall scheme of things, the overseas subsidiaries like Mozambique, South Africa are not contributing so significantly. So, I think that's why it's not coming on the forefront. But if you need anything, sir, we can discuss it offline.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP.

Kirtan Mehta: First question is about the RINL volumes that we have discussed in the past. Are we still expecting any metal coming from RINL, which we can process at our plant?

Mayank Gupta : Yes. So, we do not expect any volumes with RINL. We have updated. And of course, we are doing our own capacity expansion now.

Kirtan Mehta: Sure. And the second question was about, could you share your revenue and capital acceptances and how they have changed over the last year?

Mayank Gupta: Look, I'll give you the approximate numbers. So, the revenue -related acceptances are in the range of INR3,147 crores and in the capital -related advances are in the range of INR663 crores.

Kirtan Mehta: Would you be also able to share how they changed over the last year?

Mayank Gupta: So, on a quarter -on-quarter basis, the capital acceptances are largely in the same range. There is a movement of about INR40 crores. And the revenue, there's been movement of around INR150 crores or so, but largely in the similar range numbers. And you can connect with the IR team for any specific question.

Kirtan Mehta: Sure, sir. And the last quest

ion was about the \$150 million realizable value that we are seeing with Australian subsidiary. Would you give us broad heads under which this realizable value is accounted?

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Mayank Gupta: Yes. So, they are largely the fixed assets in nature and assessed independently through our independent valuer. It's fixed assets and mining rights.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: A couple of questions. What was the pellet sales for the full year?

Pankaj Malhan: Pellet sales, it's largely internal consumption that we do. It's a very insignificant sales that we go outside and do it.

Indrajit Agarwal: No meaningful sales we do. Thank you. That is helpful. Second, can we expect the exit production run rate? I know you have given a guidance of the full year volume, but can we expect that the exit production run rate for the key upstream capacities, BF, BOF would be in line with the nameplate capacity or ramp-up would still go through in FY27?

Pankaj Malhan: No, it's a wonderful question, Indrajit, while we've given the guidance and we always remain very bullish about what would be the exit rate, the management would always continue to strive to the fullest nameplate capacities. So that's what I can say. Thank you very much for your question.

Indrajit Agarwal: And lastly, there is a different...

Moderator: Mr. Indrajit, I would request you to please come back in the queue for further questions. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Given 2 questions. On the first question, can you give us an update on Utkal C, B2 and Gare Palma IV/6? Are they already commissioned? If not, by when?

Pankaj Malhan: Thanks, Ritesh. A lot of things that you asked. Utkal C, Gare Palma IV /6, they are all commissioned, and we have ramped up those facilities. Whereas I just mentioned a while back, Utkal B1, we have received all the approvals, and we are in the process of opening up that mine. And we are very hopeful, the way your earlier fellow person asked that question, we remain bullish about mining to the capacity in this financial year.

Ritesh Shah: Sir, would it be possible for you to comment on the throughput? Are we hitting ECs what we had earlier indicated? Or there is more juice on cost savings that one can expect going forward?

Pankaj Malhan: Utkal C, we have already hit the EC rate in the last financial year itself. Utkal B1, which we are opening up now. We are very hopeful and confident of this. Gare Palma, we are again very hopeful about this.

Ritesh Shah: Sir, I could not understand Gare Palma. What you said?

Pankaj Malhan: I'm just repeating, Gare Palma, we have already hit the EC run rate, and we are hopeful of repeating it in this financial year also.

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Ritesh Shah: Perfect. And sir, my second question, I think in the presentation, we have indicated with a project ROCE of 18%, 20%. This is pertaining to annual INR7,500 crores to INR10,000 crores of capex. ROCE of 20% looks quite steep. So just wanted to understand what is the underlying denominator and the numerator that we are looking at?

Or if I have to put it the other way around, if one had to build this number around INR47,000 crores of capex mentioned on Slide number 37, again, the ask would be quite steep. So just trying to get a sense on how we arrive at this number of 18% to 20%.

Mayank Gupta: Yes, good question. So, the first point is we are reiterating. This is not the first time we have said. We have been maintaining this for a long period of time. The philosophy we follow is every project we appraise has to meet this threshold of 18% to 20% once the project stabilizes. So, this capex is planned. And as we have shared year-wise, once it's normalized on a

steady-state basis,

we expect it to be 18% to 20%. This is pre-tax ROCE. Denominator, as you rightly said, remains this capex and numerator will be the return out of it pre-tax.

Ritesh Shah: Sure. And just last one, a clarification. Slurry line, I think in the presentation, it says 82% complete. However, I looked at the Q2 presentation, the timeline over there was given Q4FY25.

Is there a slippage over here? That's one.

Likewise, for BOF2, I think the timeline which was indicated was Q4 FY25 in the last Q2 presentation. However, it's a different storyline in the current presentation. So just trying to get comfort, are there any delays because you did indicate for all the projects, except for the 2 that you stated, everything was on schedule. So, can you please reaffirm the timelines over here for, say, slurry pipeline and BOF2?

Pankaj Malhan: Thanks for your question. That's a wonderful question. Slurry pipeline, like we've been always giving our thoughts to that, 82% project over right now when we are talking about, and we are in the final legs of completing this project. While the commissioning of 200 kilometers of pipeline, you can understand, take some time. And that's the guidance that we've given in H2 of FY26, we should be able to fully get on the top of this project and the benefits would start coming in.

Ritesh Shah: And sir, BOF2?

Pankaj Malhan: And BOF2, of course, that project is progressing quite well. We have already started the

commissioning activities of this project, and we are very hopeful of seeing the light of the day in quarter 2 of this financial year.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: So, sir, I think you've already highlighted the fact that we will be having some lag between the production and the sales this year due to the ramp -up of the plant. Combined with this, we have liquidated inventory substantially at the end of March. So, is it suffice to assume that the net

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debt will probably go up significantly this year and then probably fall in FY27? Maybe it will go to the higher end of our kind of 2x net debt to EBITDA before it falls again in FY27? That was the first question.

Mayank Gupta: Thank you for asking. I think this is an important area for us. As you can see from Q3, we were at 1.40 net debt to EBITDA, and we have really worked hard to get it down to 1.26 now. We are fully committed to keep it below 1.5 across all cycles. As you rightly said, yes, we are in the middle or towards the close of our capex cycle with a lot of these projects coming in.

So yes, there will be a bit of a stretch, but we are remaining committed that we will remain under 1.5x. There's no point we will ever touch 2. And hopefully, towards the end of FY26, we will start to see this tapering down and numbers getting even much, much better.

Rajesh Majumdar: Right. That's useful, sir. And secondly, sir, if you could give us a total comprehensive requirement of coal, including the coal gasification that we'll have from, say, FY27? And how much of it will be coming from our own mines on the thermal coal side?

Pankaj Malhan: While this is a wonderful question, you're looking for a year ahead guidance. We can only speak about FY26 as of now. Overall coal requirement is close to 10 million to 11 million tonnes, and we remain committed to deliver everything out of our own mines.

Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: So, 2 questions. First, continuing on the ROCE question discussed earlier. When you say stabilized business ROCEs of 18% to 20%, can you help us understand what kind of steel prices and raw material prices you take into account when you derive these numbers?

Mayank Gupta: Rahul, so look, nobody can forecast future steel and raw material prices.

What the underlying

assumption is ceteris paribus on prices and raw materials.

Rahul Gupta: Sorry, I did not get you. Can you please repeat?

Mayank Gupta: Look, we do not speculate for future steel prices or raw material prices. Assuming they stay as they are, i.e., ceteris paribus, that's the baseline assumption for our ROCE guidance of 18% to 20% for all the incremental projects we are doing.

Rahul Gupta: Okay. My second question is with various projects like slurry pipeline, conveyor belts and coal blocks getting activated sometime during the year, can you help us understand broad range of cost savings that would come over the next couple of years?

Mayank Gupta: Yes. So, look, we will not be able to give specific numbers. We have already given the guidance on production and sales volume. What we can say that these projects are progressing well, and likely benefits start to accrue from second half of this financial year. And all of our focus is to get production up and focus on value-added products as well as keep optimizing our costs.

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Rahul Gupta: No, that's understandable. I'm asking specific from the cost savings view. Slurry pipeline, conveyor belts are already coming sometime during the year, right? And with you using a captive coal through the year, what kind of internal estimates have you done on the cost savings? Any broad range would be fine.

Mayank Gupta: Yes. So, look, we do not give any specific cost or EBITDA guidance. In fact, based on the feedback, we have started giving our production and sales volume guidance, and we would like to stick to that.

Moderator: The next question is from the line of Raashi Chopra from Citi group.

Raashi Chopra: Just one question again on the captive coal. How much thermal coal did you get in FY25? Even though you achieved the EC limit, but the actual amount of captive coal in the year.

Pankaj Malhan: Thanks for your question. Like you wanted a specific number. So, to be very specific on the numbers, we mined close to 7.5 million tonnes of thermal coal in FY25.

Raashi Chopra: All right. And you're expecting that to grow how much in FY26?

Pankaj Malhan: Well, we don't want to give you a forward guidance, but with the B1 coming up, which I just stated, our volumes would be much higher.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead. As there is no response, we will move on to the next question. It's from the line of Somaiah V. from Avendus Spark.

Somaiah V: First question is on the utilization. What would be the current level of utilization? And also, as you have earlier said 40 -60 is the mix in terms of flats and longs. Where do you see this for FY 26?

Mayank Gupta: Yes. So, look, our current utilizations are in the range of 85%, as you have said. And the mix, I'll let my colleague, Sushil Kumar Pradhan Ji answer.

Sushil Kumar Pradhan : So, when we'll have the full commissioning of all the facilities. I think at the exit; we will have almost 70% of flat and 30% of long.

Somaiah V: So, this is when the entire 14 million tonnes , 14.5 million comes into , that's the time frame when you are saying 70 -30?

Pankaj Malhan: If I was to take this question, Somaiah, look, business remains very volatile these days, and management keeps striving to realign the product mixes as per the market needs. So, while you rightly said in FY25 , our numbers were 40 -60 in terms of Flats and Longs . And of course, they are expected to go up. But looking into the market mix, there could be changes to align our strategies with respect to the market needs.

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So that's how the numbers would look like. But yes, on a capacity installation basis, we would be over 70% in terms of flats and 30 % in longs going forward. Thank you.

Somaiah V:

Yes. Helpful, sir. Sir, second question is in terms of pellet. If you could just share the number in terms of pellet production for FY25 ? And what is the expectation for FY26 with the new capacity and then how would we kind of ramp up , just on the pellet numbers for FY25 and FY26?

Pankaj Malhan: Again, a very specific question, but we're giving , since you've asked, we did close to 2.5 million tonnes of pellet production in our Angul pellet plant. And going forward, it's going to only go up. Our exit was much higher than this.

Moderator: The next question is from the line of Nirbhay from N Square Capital.

Nirbhay Mahawar: Sir, last year, India had roughly 10 million tonnes of steel import. Do you see this falling substantially post safeguard duty?

Sushil Kumar Pradhan : Yes. We expect the import to drop. However, for the entire year, providing a guidance will be too tough at this point of time. We are just at the start of the year, but import will fall down.

Nirbhay Mahawar: Sir, also any thoughts on medium -term outlook for coking coal market because coking coal prices have even substantially, and which has been a release. So how do you see , I'm not looking for a guidance, but any possibility of a significant reversal?

Mayank Gupta: So, look, as you said, we can't give a long -term guidance. But for Q1, I think we've already shared, we're expecting coking coal to be lower by \$10 to \$15 per ton.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for closing comments.

Mayank Gupta: FY26 will be exciting times for JSP with several facilities commissioning, including BF, BOF, Shree Bhoomi Power Plant and other related plants, which will catapult Angul to one of the leading single site production sites with a vision to become the largest single site for steel manufacturing globally.

Our investments are not limited to only capacity expansion, but encompass the entire value chain from mining, logistics, manufacturing and sustainability. This resonates with our philosophy of chasing value rather than chasing growth. We thank you for the trust repos ed in the company, and we'll continue to work in the best interest for all stakeholders. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

## Call: Aug 2025

August 21, 2025

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Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON AUGUST  
13, 2025

This is in furtherance to our letter dated August 8 , 2025, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts.  
In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.com](http://www.jindalsteel.com) .  
You are requested to take the above information on record.  
Thanking you.  
Yours faithfully,  
For Jindal Steel Limited  
(Formerly known as Jindal Steel & Power Limited)

Damodar Mittal  
Wholetime Director

Encl.: as above

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“Jindal Steel Limited Q1 FY '26 Earnings Conference  
Call”

August 13, 2025

MANAGEMENT : MR. SABYASACHI BANDYOPADHYAY – WHOLE TIME  
DIRECTOR  
MR. PANKAJ MALHAN – EXECUTIVE DIRECTOR  
MR. SUNIL AGRAWAL – HEAD (FINANCE )  
MR. VISHAL CHANDAK – HEAD (INVESTOR RELATIONS  
& STRATEGIC FINANCE )  
MR. S. K. PRADHAN – EVP (HEAD OF FLAT  
PRODUCTS )

MODERATOR : MR. JASHANDEEP SINGH – NOMURA

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Moderator : Ladies and gentlemen, good day, and welcome to the Jindal Steel Limited Q1 FY '26 Earnings Conference Call hosted by Nomura .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Jashandeep Chaddha from Nomura . Please go ahead .

Jashandeep Singh : Hi. Thank you, Muskan. And good afternoon, everyone. And thanks for joining the 1st Quarter Call for Jindal Steel Limited .

I will quickly hand over to Mr. Vishal Chandak , Head Investor Relations & Strategic Finance, and he will take you forward.

Over to you, Vishal.

Vishal Chandak : Thank you very much, Jashandeep. Good afternoon, good day, ladies, and gentlemen. I welcome you all to the Q1 FY '26 Earnings briefing of Jindal Steel.

I have with me from Senior Management team, Mr. Sabyasachi Bandyopadhyay – Whole -Time Director , Mr. Pankaj Malhan – Executive Director , and Mr. Sunil Agrawal – Head (Finance ) and Mr. S. K. Pradhan – EVP, Head of Flat Products .

Without much ado, I will hand over the floor to Mr. Sunil Agrawal for the opening comments.

Over to you, Sir.

Sunil Agrawal : Thank you, Vishal. So, good afternoon, ladies, and gentlemen. I welcome you to the Q1 Financial Year '26 Earnings briefing of Jindal Steel.

Let me quickly brief you on the global economic scenario :

IMF, in its recent update in July, has revised global growth forecast for Calendar Year '25 to 3% from 2.8% in its April forecast, reflecting improved financial conditions and improving certainty to the tariff regime as compared to previous quarter.

China continues to grow well over the stated target of around 5% , though IMF forecast for the calendar year '25 is 4.8%. This is partly driven by the front ending of exports to U.S. before the tariff s come into force. However, the tariff related to uncertainty continues to linger on . Global inflation is expected to gradually decline from 5.6% in CY '24 to 4.2% in CY '25.

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India 's crude steel production grew 1% quarter -on-quarter to 40.6 million tonnes in Q1 FY '26, while demand contracted 5% quarter -on-quarter to 38.3 million tonnes due to seasonal weakness and early onset of monsoon. Steel exports declined by 4% quarter -on-quarter to 1.6 million tonnes and imports declined 19% quarter -on-quarter to 1.9 million tonnes .

India remained net importer of steel in Q1 FY '26 for fifth consecutive quarter with 0.3 million tonnes of net imports. Chinese steel production continues to outpace its weak domestic demand, resulting in elevated exports impacting price globally. China is currently running on annualized exports of 116 million tonnes, highest ever, which has resulted in several countries taking measures to stem the low-cost imports from China.

Several countries have either imposed or increased safeguard or anti -dumping duties against Chinese steel import to shield their domestic industries from unreasonably low-priced imports. Government of India introduced a provisional 12% safeguard duty on select steel import s, effective April 2 1st, '25. Th e measure helped stem the flow of imports. The provisional duty will be in effect for 200 days.

During the quarter, domestic HRC and TMT prices increased on a sequential basis. HRC prices were partly supported by the 12% safeguard duty on most of the flat steel imports effective April 21st but corrected later due to weak domestic demand. TMT prices opened on a strong note , but drifted down due to the early arrival of monsoon and sufficient inventory in the syste

m.

Now let me start with the key quarterly numbers :

Production during quarter one was marginally down by 1% quarter -on-quarter to 2.09 million tonnes . Sales volume at 1.9 0 million tonnes was down 10% quarter -on-quarter on account of replenishment of inventory after excessive drawdown in Q4 of FY '25, which is a seasonally strong quarter. Consolidated gross revenue fell 8% quarter -on-quarter to Rs. 14,336 crores on account of lower volume s partially offset by increase in the ASP.

During the Q4 earnings call, we guided for saving of around \$10 to \$15 per tonne in our Q1 coking coal consumption. Our actual coking coal cost has reduced by \$11 per tonne , in line with our guidance. Consolidated adjusted EBITDA for the quarter stood at Rs. 2,984 crores and adjusted EBITDA per tonne stood at Rs. 15,680 per tonne , which is up by 35% on quarter -on-quarter basis.



Consolidated PAT for the quarter stood at Rs. 1,496 crores, which is 36% higher than the adjusted PAT on quarter -on-quarter basis. Strong financial performance was driven by higher ASP and lower input costs including reduction in conversion costs.

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Coming to our debt profile, our consolidated net debt as at 30 th June was Rs. 14,400 crores, which has increased by Rs. 2,443 crores on a sequential basis primarily on account of working capital build up.

Accordingly, net debt to EBITDA stood at 1.49x at the end of the quarter. We reiterate our commitment to cap the net debt to EBITDA at 1.5x, underscoring our position as one of the strongest balance sheets in the industry. Our total CAPEX in the quarter stood at Rs. 2,226 crores . Out of our total announced CAPEX of Rs. 47,043 crores, we have spent Rs. 28,150 crores till 30th June '25.

On the mining front , we have won Roida - I iron ore and manganese block in Odisha. Th e block has an EC capacity of 3 million tonnes per annum and estimated reserve of approximately 126 million tonnes . The company has already started extraction of iron ore from this mine. We plan to extract around 1.6 million tonnes in FY '26 from this mine.

I am pleased to share that we have successfully commissioned our first 0.2 million tonnes continuous galvanizing line at Angul. This makes an important milestone in our journey and reinforces our commitment to deliver ing high-quality , value -added steel products to meet the evolving needs of diverse industries.

As informed previously, the commissioning activity of Blast Furnace -2 has already begun with the lighting of 3 gas stoves in Q4 FY '25. We are on track to deliver the first hot metal from Blast Furnace -2 in this month. Rest of the projects including BOF -2, Slurry Pipeline, SBPP are progressing well as per schedule timeline s. We expect the Slurry Pipeline to be commissioned during the current fiscal year.

For Q2 FY '26, we expect the consumption cost for coking coal lower by around \$5 per tonne. The iron ore costs are currently flattish on quarter -on-quarter basis. Domestic steel prices are currently lower by 5% to 7% compared to Q1. While prices are soft currently but the early indicators suggest a possibility of turnaround soon. However, it is a little early to talk about how Q2 shape s up.

With this, I open the floor for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Yes. Hi sir. Good afternoon. Could you explain the reasons for volume decline on a year -on-year basis? And given the earlier guidance of 8.5 million tonnes to 9 million tonnes , with Q1 volume sharply down , is the guidance still remains, or do you look to cut down on the same ?

Vishal Chandak : Saby sir.

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S. Bandyopadhyay: Yes, Vishal . Good afternoon. H

ello, everybody. Thank you for joining. From our standpoint, production was broadly stable quarter -on-quarter basis in the 1st Quarter . Sales volume was certainly impacted by 10%, but that happened because of the early onset of monsoon. Also had an inventory build up, which certainly will get liquidated over the entire course of the year.

As far as guidance towards the production and sales, for the balance of the year and for the full financial year, we remain on course, and we remain committed to those numbers. Thank you.

Rajesh Ravi : Yes. Thank you, sir. What was the utilization in this quarter?

S. Bandyopadhyay: Utilization in terms of?

Rajesh Ravi : Production utilization which you share every quarter.

S. Bandyopadhyay: In this quarter, capacity utilization you are asking for?

Rajesh Ravi : Yes. Correct.

S. Bandyopadhyay: Yes. So, we were roughly about, I would say 92%.

Sunil Agrawal : So, can I take this question?

S. Bandyopadhyay: Yes, Sunil ji.

Sunil Agrawal : Yes. Basically, i n our Raigarh plant our capacity utilization was 95% and Angul we are roughly around 83% - 84%, on an average we can say that we were blended 90%.

Rajesh Ravi : So, in March end you had mentioned capacity utilization of 85% and from there sequentially volumes are down 1%. So, sir how are we saying utilization is close to 90%?

Vishal Chandak : Your audio is not clear. Can you please repeat the question?

Rajesh Ravi : I am saying, in March quarter press release and presentation utilization was mentioned for company at 85%, with production number say that 2.11 million, so 2.09 it should be lower than

85%, because you mentioned closer to 90%.

S. Bandyopadhyay: So, if I look at the capacity at this point of time, basis Angul and Raigarh without the additional capacities that are yet to come in Angul, we are broadly at about 90% of our capacity utilization.

As Sunil ji talked about, Raigarh plant is running at about 95% and Angul at about 85%.

Sunil Agrawal : So, overall, we can say that last quarter it was 88% and current quarter is 87%. 1% production is down from quarter -on-quarter basis.

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Rajesh Ravi : Understood, sir.

Vishal Chandak : Just to clarify. The capacity utilization is down by just 1%, production remains stable, the decline is on sales volume.

Rajesh Ravi : Sure, thank you. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit : Hi. Good afternoon, everyone. And thanks for the opportunity. Congratulations on the good set of numbers. A couple of questions from my side. In the presentation deck, you have mentioned on Slide 32 about the timeline of Blast Furnace -2 Commissioning, which is Q2 FY '26. Is it possible to mention the timeline of BOF -2 as well? When it is expected to be commissioned ? It is undergoing pre -commissioning test but a commissioning timeline would be great.

Pankaj Malhan : Let me take this question, you rightly said we are at a very advanced stage in terms of our Blast Furnace number 2 start up. Sunil mentioned a while back , we completed our stoves dry out, furnace dry out and we are just trying to inch the last leg of the commissioning activities. And I think sometime very soon we will be able to announce BF -2. And BOF -2, if I was to take that, it would be starting almost sometime very close to Blast Furnace -2 also. So, we are at the advanced stage of commissioning at both these units.

Amit Dixit : Yes. So, is it possible to expect that it could also be commissioned by Q2 or max by Q3?

Pankaj Malhan : BF-2 we are expecting in quarter two of FY '26.

Amit Dixit : Great, sir. That is helpful. The second question is, if I look at the P&L, the raw material cost per tonne has gone down by almost Rs. 3 ,500 - Rs. 3 ,600 per tonne. Now while the coking coal is one factor

over there, I just wanted to understand what are the other factors that resulted in such a sharp decline in raw material cost per tonne and some of these factors are sustainable going ahead?

Sunil Agrawal : So, let me take this question. So, if you remember, last time we had a one-off of around Rs. 231 crores in the previous quarter, that has a n impact of around Rs. 1,200 per tonne. After adjusting for captive consumption of Rs 336 per tonne, the net reduction works out to be Rs 2,864 per tonne. In Q4 FY '25, the one -off impact was around Rs 1,200 per tonne. Excluding these, net impact is around Rs. 1,600 per tonne, which has come out of coking coal that we have already announced that we had a saving of around \$11 per tonne during the quarter .

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So, that has resulted in around Rs. 500 per tonne. And second is the PCI also, we have saved around Rs. 200 per tonne, and we have the saving s in scrap and other items that amount to Rs. 900 to 1,000 per tonne. I hope this clarifies.

Amit Dixit : Yes. Sure. It does. I have other question s; I will come back in the queue. Thanks, and all the best.

Vishal Chandak : Amit, this is Vishal here.

Amit Dixit : Yes, Vishal.

Vishal Chandak : I think the gap which everyone is looking at is we are missing out on the point that in the previous quarter we announced a one -off of Rs. 231 crores, which was primarily reflecting in the raw material cost. Adjusting for that , balance is all decline in the raw material cost broadly .

Amit Dixit : Yeah sure. And the bridge that was explained was quite good. Thank you so much for the elaborate answer.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Yes. Hi. Good afternoon, and congrats on the great results. So, just on the Angul commissioning, would you be able to also provide some guidance on volume that we can expect from the BF-2 and BOF -2 this year and next year?

Pankaj Malhan : Amit, that is a wonderful question, and our guidance remains the same, in fact, which Saby also mentioned a while back. We are committed to the guidance that we have given at the start of the year, both in terms of production and dispatches. And we are very hopeful of hitting those numbers.

Amit Murarka : Okay. Sure. Also, I was just seeing the presentation like the sectoral split of volumes. So, like auto seems to be only 3%, whereas flats are 44%. So, I believe flats earlier used to be like 20% - 25% range, which is your plates. So, where does this increase come from then, if not from auto?

Sunil Agrawal : Mr. Pradhan , you can take that question.

S. K. Pradhan : Yes. Good afternoon. Most of the flats are coming from the new commissioning of hot strip mill, which we have done. And auto, the ramp up takes some time. So, we have started supplying to

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a lot of auto manufacturers and all. But major volumes of auto, we are supplying to a lot of value -added segments. So, as you have seen, our value -added sales have gone up to 72% in this quarter compared to the previous quarter. So, a lot of supplies of very high grades of HR coils.

So, that is what has contributed to the increase, other than auto.

Amit Murarka : Sure. And by when do you think the auto volumes could start to be meaningful

S. K. Pradhan : Yes. It will start ramping up as we will move ahead quarter -on-quarter.

Amit Murarka : Okay. Got it. And lastly, on Tensa, did you produce any iron ore from Tensa in the quarter?

Pankaj Malhan : Yes. We produced, a bit of iron coming from Tensa, but yes , Tensa is, towards the end of the mine life, and if I was to just share with you guys, the results what we have seen is minus Tensa almost, for this quarter. The important part is to have our security done, and that 's how we have gone ahead with Roida -

I mine, that would be compensating for the loss in volumes from Tensa, getting into the future quarters. So Tensa did contribute, but a very minimal impact of that in this quarter.

Amit Murarka : Sure. And if I could just squeeze in one last question. You seem to be having an opening inventory of 0.2 million tonnes , so given that steel price has corrected a lot since the last quarter, could there be any NRV impact that could come in on this opening inventory?

Sunil Agrawal : Yes. So certainly, the effect of price reduction may be , but we are maintaining that inventory from the quarter -on-quarter basis, and it will, sequentially, will have the effect. Now the prices are moving upward, so we do not see much effect of that.

S. Bandyopadhyay: Sunil ji, if I may add, impact on an aggregate basis, we do not anticipate any major impact at all. It is going to normalize itself, and we stand with the position of gaining a little bit from the price depressions that happened, and now gaining back, regaining back its ground.

Amit Murarka : Sure. Thanks a lot. And best wishes.

Moderator: Thank you. The next question is from the line of Parthiv Jhonsa from Anand Rathi. Please go ahead.

Parthiv Jhonsa : Yes. Hi. Thanks for the opportunity. My first question pertains to the net debt position. I believe this is the highest threshold level we have reached post 2021, right? And opening remarks sort of inform all of us that 1.5x is the threshold. So, it is fair to assume that this is the peak, and from here on going forward over next two to four quarters, we should see some debt reduction happening? Once the facility comes up on stream.

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Sunil Agrawal : Sure. So, we are seeing it as a peak, because I have spoken that we have built up the inventory in Q1 for around Rs. 2,400 crores , which is getting liquidated in Q2, so that will improve our cash position. And now we are going to start the Blast Furnace , and our BOF -2, that will start contributing, and we do not see this 1.5x breaching anymore. So, we are at the top of our net debt to EBITDA limit that we have set.

Vishal Chandak : Parthiv, this is Vishal here. Let me reiterate over here. We had inventory built up, which led to a working capital pile on. We still have contained the net debt to EBITDA at 1.5x. We have an accelerated payout because the facilities are commissioning, the cash flows are yet to come in. We have still maintained net debt to EBITDA at 1.5x. 1.5x is sacrosanct to us , it is a red line we will not breach. I reiterate, we will not breach. And in coming quarter Q3, the situation will automatically improve. And let me reiterate, in Q2, we have already crossed almost half of Q2, we are still below 1.5x. So, I think, the stress is behind us now. We are looking for some good times ahead. Thank you.

Parthiv Jhonsa : Thanks, Vishal. Very helpful. My next question is pertaining to the value -added side of the business, right? I believe that 72% is one of the highest in the industry. Usually, the industry is around 60% - 65%. Number one, how confident are you to ramp up from here, say 72% going forward? And just a very technical question, like, what do you perceive as a value -added product? Is it after a certain conversion what is termed as a value -added or how do you perceive certain product to be a value -added? What quantifies or qualifies it as a value added?

S. K. Pradhan : Can I take this one, Vishal?

Sunil Agrawal : Yes. Pradhan ji, please go ahead.

S. K. Pradhan : Good afternoon. So, value -added in our case, category -to-category is much different, but then, whatever, it could take a thumb rule or a benchmark that anything above 350 MPa strength is value added in plates. In HR coil, we are most of the high carbon, medium carbon, and different grades. So, it is the grade which defines whether we treat this as a value -add

ed or not value -

added and the jump in realization . These two parameters we consider when we are deciding whether the product will be treated as value -added or not value -added . And it is consistent.

Pankaj Malhan : Can I add to that, Sushil?

S. K. Pradhan : Yes sir.

Pankaj Malhan : So, in plates also, what we do is, typically, we got a heat -treated segment, which is absolutely high-grade plates, which is getting into very specialized sectors like defenses, automobiles, and even high end of construction, one of the examples of which is Chenab Bridge that we did.

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Then, of course, the value addition that we give to the customers in terms of the solutions, which is largely coming from the fabricated structures. Then, from high alloy wire rods and even the large size TMTs, we are the only company making 50 mm TMTs. These all fall under value added offering from the company.

S. K. Pradhan : And the second part of the question was whether the 72% is sustainable considering that the industry is operating somewhere around 60% range. So, in this quarter, or what has changed is since we are ramping up HR coil facility and we are not at the full life level of HR coils, so our focus is entirely on getting the best out of the asset and that is how the very high volume concentration of value -added products we are making in our hot strip mill.

Parthiv Jhonsa : Sure. And sir if I may just squeeze in a very quick one. Just wanted to get the percentage of longs and flats in this quarter .

S. K. Pradhan : 44% is flats and 56% is longs.

Parthiv Jhonsa : Sure. Thank you. I will join the queue. Thank you so much.

S. Bandyopadhyay: And Sushil if I may quickly add on the point s that you are making. That very re -geared and shifted focus even in Raigarh plate mill to produce plates along with the furnace normalized and the upcoming facility of HTC which is about to commission here will certainly help us, all of us to not only retain the value -added percentage but also add up.

Parthiv Jhonsa : Thank you so much. I will just join the queue.

Moderator: Thank you. The next question is from the line of Rahul Kumar from Vaikarya Capital. Please go ahead.

Rahul Kumar : Yes. Hi. Just a question about the industry in general. What has been the trend in the HRC import from China to India? After the BIS norms of the import materials as we say in the month of July and August. How did it fare?

S. K. Pradhan : Vishal, I am taking this question. The Chinese import has practically stopped now and except for some advanced license imports against advanced license. Two factors, one is the Chinese prices improved by roughly around \$50 in the last 1 month, 1.5 months' time , so that has made the price almost unviable for them. Today, in fact, Chinese imports are at a premium to domestic prices . So, that is one. And the QC order and melt and pour strict enforcement of that, that has impacted the imports from China.

Going forward, we have not seen China as a major threat directly. But indirectly, it may have an impact. What you are looking at, India is becoming a net importer for fifth consecutive quarter.

Our exports are very low. So, in the international market we are not able to compete because of

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the Chinese factors. And Chinese exports are at an all-time high. They are roughly exporting 9 to 10 million tonnes every month. So, that is having an impact globally.

Rahul Kumar : Okay. So, let us say, theoretically, hypothetically, if China HRC prices go down, I mean because of these BIS norms the imports will still be very low?

S. K. Pradhan : Yes, it will have an impact. It is having an impact. The low quality or inferior quality imports, which used to be a bit threat to Indian players have started coming down. And the government has taken a very positive st

ep in that direction .

Rahul Kumar : Okay. That is all. Thank you.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : Hi. Thank you. The first question on the project. As you mentioned, BF, BOF, and Slurry

Pipeline. I just want to get an update on some of the other projects like the Q & T line, Color Coated, Galvanized . And, in the railway rakes that we are looking to acquire and prior to that there was a news report earlier, press release by Government , that JSPL has been selected for financial assistance incentive on their 2 million tonne coal gasification plant .

Did not understand, is that a new coal gasification plant? Because it seems like you already have sufficient coal gasification at Angul right now. So, I just wanted an update on the project and this coal gasification before I move to the raw material question.

Pankaj Malhan : Okay. Let me have this question. You started with the cold rolling mill. We have already commissioned 200,000 tonnes of galvanizing line. This is the first from the table of Jindal Steel.

We will continuously be adding a lot of lines getting into this financial year. The next in line we are expecting our color coating line, which should be there by end of quarter three, this financial year. And then, of course, two more lines which we will be adding, our galvanizing line and our color coating line number 2. So, both should be with us in quarter four of FY '26.

Talking about some other projects, ranging from, say, Slurry Pipeline , we have already given an update. We continue to run faster at our steady speed over there. The major bottlenecks are behind us now. And our guidance remains the same, what we have given before, in terms of completion of the project.

Vishal Chandak : Yes. I think Satya, you have a very long list of projects for which you are seeking an update. I would like to take this offline in the interest of long queue behind us, we can talk about this offline.

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Satyadeep Jain : Yes. Sure. So, second question on the raw material cost. Just first on Tensa. It seems like Tensa has some reserves on the boundary. So, I was under the impression initially it can sustain till 2028. What is it now , end of life? And also, the Rs. 1 ,000 per tonne raw material cost saving that came from others. I think you mentioned scrap or some other apart from coking coal. Is that sustainable, the non -coking coal related cost savings that we saw in the quarter?

Sunil Agrawal : Yes. The other cost is sustainable. I have already spoken that this was due to one -off, around Rs. 1,200 per tonne in Q4. And other savings that I have spoken, we think that is sustainable in future.

Satyadeep Jain : Okay. And Tensa?

Sunil Agrawal : The effect of Tensa is there in Q1. So, we have not taken much from Tensa. Only 0.13 million tonnes that we have extracted in Q1. So, that hardly had any impact in Q1. So, we think that whatever cost saving is there, we will sustain that in future as well.

Vishal Chandak : So, Satyadeep if you look at our results and the opening remarks and which Mr. Pankaj Malhan also mentioned the minimal amount of intake from Tensa mine. So, I do not think even if you discard the effect of Tensa mine, the results are broadly purely operational on that front.

Pankaj Malhan : Can I add to that, Vishal? I think we spoke about Tensa. Tensa of course had a minimal impact on our quarter one results. Mostly it is backed by some kind of improved value in used items and operational excellence which has actually led us to cut down on our costs . And going forward into quarter two, of course, we all know this is a seasonal quarter . And of course , there are monsoon challenges with many steel companies. But we are very hopeful of getting back to our sustained position of these operating exc

ellences getting into subsequent quarters also.

Satyadeep Jain : Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Yes. Good afternoon. So, my first question is on thermal coal. Just want to understand what was the mix in Q1 and how are we benefiting from more and more captive coal and how is it going forward in the coming quarters?

Pankaj Malhan : Let me take this question, Utkal C continues to be performing well for us . Quarter one if I was to say , our 90% - 95% of the thermal coal came out of our own mines, we continue to have some FSA. small amount of that with MCL mines. Getting into the subsequent quarters, we have already announced that Utkal B1 is expected to be on track in this quarter itself. So, we should be able to meet our coal requirements from our own mines, getting into this financial year.

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Sumangal Nevatia : Understand. And sir, what would be the delivered cost or at least comparison with linkage coal and e-auction versus captive?

Pankaj Malhan : This is a very specific question, I do not want to take that. But yes, there is a delta of around 3% - 4%, that is what I can say as of now, in terms of using our own coal versus the bought -out coal.

Sumangal Nevatia : Okay. And sir, when do we expect Utkal B2, any timeline s there ?

Pankaj Malhan : We are already there. We are seeing the monsoon season and there are some delays, but we are expecting the coal to be with us at the start of quarter three.

Sumangal Nevatia : Utkal B2, I guess some approvals are pending.

Pankaj Malhan : B1. Sorry, I mentioned about Utkal B1.

Sumangal Nevatia : Okay. So, any update about B2, when do we expect, I think that is the last mine in our portfolio right, where we are awaiting approvals.

Pankaj Malhan : B1, we have set our own priorities as of now. We are working on it one by one. I think B2 is definitely on our cards, but we will let you know.

Sumangal Nevatia : Understood. And just one last question, on commissioning of BOF -3 and DRI -2, where are we on the timelines?

Pankaj Malhan : So, on DRI -2 of course, that is one project which we have already announced our revised timelines which is into FY '27. On BF -3, we remain committed to completing in this financial year, quarter four of FY '26.

Sumangal Nevatia : Understood. All right. That is it from my side. Thanks.

Vishal Chandak : Sumangal , just to add one more point on the coal portfolio. Gare Palma IV/6, Utkal C, Utkal B1, Utkal B2, these are the four mines of which we have spoken about. We have recently won Saradhapur Jalatap coal block as well. So that has a geological reserve of about 3.2 billion tonnes , it is a partially explored block. And over the next couple of years, we are going to fully explore it and then announce what is the extractable reserves from there as well as the annual EC limit. Maybe that is something that you would look forward to in our next round of expansion.

Sumangal Nevatia : Got it.

Moderator: Thank you. The next question is from the line of Pallav Agarwal from Antique Stock Broking .

Please go ahead.

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Pallav Agarwal : Yes. Good afternoon, sir. Sir, I just want to understand the strategy on captive coal, because you mentioned that you are already sourcing 90% to 95% captive. So, what are we going to do with the coal from the additional coal blocks? So, is there some element of commercial sales as well or are those for our captive power plants?

Pankaj Malhan : These are going to be for our captive power plants. We have almost stated that we are starting Unit-1 of our Shree Bhoomi Power Plant, in this quarter itself. So as and when we are going to keep adding our power units, we continue to ramp up our coal lines.

Pallav Agarwal

: Sure, sir. And you also provided the breakup of the coal sourcing. So, is it possible to share a similar sourcing detail for iron ore, how much was from captive and external sources?

Pankaj Malhan : I think we can take it offline. Vishal can give you the numbers. Vishal, you can take it offline.

Vishal Chandak : Sure, sir.

Pallav Agarwal : Sure. And sir, just lastly, I mean just to understand the difference between the consol and standalone EBITDA. So, this would mostly be from Jindal Odisha. I mean the overseas coal mines would not have contributed too much to the EBITDA.

Pankaj Malhan : Sunil ji.

Sunil Agrawal : Yes, I will take it Pankaj ji. So, this is mainly from the Odisha project that we have started, mainly from that.

Pallav Agarwal : Sure, sir. I mean it would help us, because this is ramping up, maybe if we get some separate brief summary of the production and profitability, that will help us in our modeling purpose. So, just a request .

Sunil Agrawal : Certainly, going forward, when we start the production from this new project, we will give separate ly, if required.

Vishal Chandak : See, Pallav you should look at is you know, Jindal Steel India is an entity that you should model in your models as well. Because if you start modeling between Jindal Steel Odisha and Jindal Steel Limited, there would be a lot of confusion between the transfer of material from one plant to another. So, you should avoid that. Just build in a single model. That would help.

Pallav Agarwal : Yes. That would help. But just the financial and the annual report would be for standalone. So, yes, for modeling purposes , I think we would do that. Yes, thank you so much.

Moderator: Thank you. The next question is from the line up Prateek Singh from DAM Capital. Please go ahead.

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Prateek Singh : Hey, hi. Thanks for the opportunity. Just to get a sense on pricing, in the opening remarks I think sir said that prices right now are around 5% to 10% lower, which I assume you would be talking about the trade prices. So, given a very high share of value -added products in our mix, is it a

possibility like we have seen this earlier also that while the trade prices fell quite a bit but our realization did not fall that much in one of the quarters , so I think around two years back. So, is there a possibility that the fall that we might see this quarter would be much less than what we are seeing in the trade markets? Is that something which we can assume ?

S. K. Pradhan : See, the point which you made about our exposure to trade and our exposure to OEMs is absolutely right. And since we have a very high proportion of value -added steel, value added sales, the elasticity of value -added prices on value added is much lesser compared to the non - value added or trade type of steel. So, you are absolutely right. The impact will not be as high as it is on the trade level prices. And that has been a strength of Jindal Steel, and that is what you have referred to kind of few years back , that holds true now actually.

Prateek Singh : Understood. And just a bookkeeping question, or rather I take it offline. Can you give us the split of the acceptances, revenue, and CAPEX ?

Vishal Chandak : I will take it offline.

Prateek Singh : Sure. Thanks.

Moderator: Thank you. The next question is from the line of Kamlesh from Lotus Asset Managers. Please go ahead.

Kamlesh : Yes. Thanks for the opportunity. So, if I see this particular quarter, we had a cash profit of roughly around Rs. 2,100 odd crores. And if I see like this one, we sold shares from the ESOP Trust as well, which I believe would be around Rs. 500 odd crores. So, if we take it together, so Rs. 2,600 crores of money which we had from the operating cash flows plus ESOP. And even if we adjust for the CAPEX which we have done in this quarter, the debt increase is roughly ar

ound Rs. 3,800 odd crores, which looks very significant compared to last quarter. I know that there is an increase in working capital. Even after factoring that working capital increase, it seems very high. So, what are the amounts raising debt ? Because you had provided the bridge but that bridge really does not help, because it is just a change in the debt and the ultimate resultant figure is the change in cash and cash equivalents .

Vishal Chandak : Kamlesh, can you please repeat the question?

Kamlesh : I mean to say that while they are having such a sharp increase in debt quarter -over-quarter of Rs. 3 ,800 crores and given the fact that we had such a strong cash profit generation of Rs. 2 ,100 Jindal Steel Limited  
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crores in this particular quarter and Rs. 500 crores of realization from the sale of ESOP trust shares .

Sunil Agrawal : Yes. Kamlesh , basically , if you see our EBITDA earnings basically moved to working capital which I have already explained that our working capital movement is around Rs. 2,900 crores and we have earned that. And whatever the total net debt has increased , that is mainly going to the CAPEX side, which is Rs. 2,226 crores and balance is around Rs. 700 crores , for which we have made some repayments of loan as well during the quarter and we have paid the interest as well of around Rs. 500 crores. I think that gives you the answer.

Kamlesh : No. Even of factoring that, it would be better helpful if we can provide some bridge in the net debt flow that how much was the operating cash flow and how much was the change in working capital, and just putting that change in cash and cash equivalent , so that anyway we can come out, if you provide net debt for the last quarter and this quarter.

Sunil Agrawal : Sure.

Kamlesh : Yes. And lastly like on the Tensa, so can we assume 3 million tonnes run rate for the FY '26 or how should we project it?

Sunil Agrawal : Pankaj ji, you can take the question.

Pankaj Malhan : Sorry, I missed this question. Can you repeat it, please?

Kamlesh : No, I mean to say .

Vishal Chandak : Tensa, we have mentioned that we extracted about 0.13 million in Q1, it is at the end of life. I do not think you should build in that high number in your model while looking at overall profitability for the year. Secondly , on the breakup that you asked I think we can take it offline.

Kamlesh : Thanks a lot.

Moderator: Thank you. The next question is from the line of Tushar Chaudhari from Prabhudas Lilladher. Please go ahead.

Tushar Chaudhari : Yes. Thanks a lot for the opportunity. Sir, I just wanted to know, you have given good update on projects. So, just wanted to know the update on Pellet Plant -2, 6 million tonnes , when are we planning? And what is the update on the ramping up of the recently commissioned , two-three quarters back, 6 million tonnes . So, the utilization over there ?

Pankaj Malhan : So, let me start with the utilization of our existing Pellet Plant , of course, it is going well. If I was to compare year-on-year basis the production has gone over 50% and more. So, here is the Jindal Steel Limited  
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Pellet requirement, as and when, if I was to share some more updates, which is what is available over here in the updates, we could scale up our DRI production strongly because of our own Pellet Plant ramp up in Angul.

So, that continues to be going well. And as and when BF-2 is going to come up, we are very hopeful of spreading these efforts very right. From a Pellet Plant -2 perspective, this pellet plant would be coming up in FY '27. That is where we stand as of now.

Tushar Chaudhari : Okay. Thanks a lot. And sir, CAPEX for next year will be similar to this year, Rs. 10,000 odd crores?

Vishal Chandak : In our capital allocation framework, we have mentioned already that on an annual basis we will do a CAPEX of Rs. 7,500

crores to Rs. 10,000 crores. But for FY '27, it is too early to give any guidance. We will come back to you during the Q4 results for next year's guidance.

Tushar Chaudhari : Sure. Thanks. Thanks a lot. And best of luck.

Moderator: Thank you. Next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : Yes. Hi sir. Thanks for the opportunity. So, just a couple of questions from my side. One is that we saw a drop in demand in Q1 due to the early onset of monsoon, so we have seen inventory build up. We are already halfway into Q2, are we seeing any signs of the inventory position easing? And , are we seeing an early monsoon withdrawal, plus festive season being preponed this year, adding to demand factors in Q2, which will lead to a drawdown in inventory and increase in sales volume. That was the first question.

S. K. Pradhan : Yes. So, this time, the monsoon has arrived a little early. So, the demand season started tapering down the monsoon, in fact, it started somewhere in the month of June. But then, we are in the month of August now, and we have already started seeing the signs of revival of demand from the construction side.

More importantly, there are some lead segments, which indicates that how the demand is going to unfold, something like yellow goods , something like construction equipment. We are seeing a very , very strong demand coming from these sectors now in this month, which indicates that in the coming quarters the demand will be extremely good, and this impact will completely take a big drag down and we are looking at good demand quarters ahead.

Rajesh Majumdar : Right. So, we can expect some kind of inventory easing in Q2 itself?

S. K. Pradhan : Correct. 100%. Yes.

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Rajesh Majumdar : Okay. Yes. So, my second question was on the new Blast Furnace commissioning, so should we model some kind of losses, let us say, in the first two quarters with the Blast Furnace ramp up before we reach some kind of stabilization level and that somewhere in FY '27. That was my question.

Pankaj Malhan : So, we just spoke about our quarterly numbers, most of you guys said they are wonderful numbers. The company remains committed in terms of operational excellence, and it would be too premature for me or anybody else to speak on this, but we are committed to making sure we sustain our numbers getting into the subsequent quarters also.

Rajesh Majumdar : Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now hand the conference over to the management for the closing comments. Over to you, sir.

Sunil Agrawal : Thank you all of you. As we look ahead, financial year '26 is shaping up to be the defining chapter for Jindal Steel . With the commissioning of major facilities, Blast Furnace, BOF, SBPP and other facilities , Angul is on track to establish itself as one of the world 's top single -site steel production hubs.

But our journey is not just about expanding capacity, it 's about strengthening the entire value chain from mining to logistics to manufacturing to sustainability. This reflects our deeper purpose mainly creating a nation of our dreams . We are grateful for the continued trust and support of our stakeholders, and we remain fully committed to delivering our promises, responsibly, and sustainably. Thank you all for this call.

Moderator: Thank you. On behalf of Nomura, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.



## Call: Nov 2025

November 5 , 2025

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cmist@nse.co.in  
Symbol: JINDALSTEL  
Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON OCTOBER  
29, 2025

This is in furtherance to our letter dated October 24, 2025, w.r.t the Earnings Call intimation for the financial results with the Institutional investors/ analysts.  
In terms of Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earning conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.in](http://www.jindalsteel.in) .

You are requested to take the above information on record.

Thanking you.  
Yours faithfully,  
For Jindal Steel Limited  
(Formerly known as Jindal Steel & Power Limited)

Damodar Mittal  
Wholetime Director

Encl.: as above  
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October 29 , 202 5

MANAGEMENT : MR. GAUTAM MALHOTRA – CHIEF EXECUTIVE  
OFFICER  
MR. SABYASACHI BANDYOPADHYAY – WHOLE TIME  
DIRECTOR  
MR. PANKAJ MALHAN – EXECUTIVE DIRECTOR  
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER  
MR. S.K. PRADHAN – EVP (HEAD OF FLAT PRODUCTS )  
MR. VISHAL CHANDAK – HEAD (INVESTOR RELATIONS  
& STRATEGIC FINANCE )

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Jindal Steel Limited  
October 29 , 202 5

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Moderator: Ladies and gentlemen, good day, and welcome to Jindal Steel Q2 and H1FY26 Earnings

Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Vikash Singh from ICICI Securities Limited. Thank you, and over to you, Sir.

Vikash Singh: Good afternoon, everyone. Welcome, everyone, on the Q2FY26 Jindal Steel concall. Without taking any much time, I'll hand it over to Vishal Chandak, who is the Head IR for the team. Over to you, Vishal.

Vishal Chandak: Thank you very much, Vikash, for hosting us. Ladies and gentlemen, good afternoon, and welcome to the Q2FY26 earnings briefing for Jindal Steel Limited. We have with us senior management of Jindal Steel. We have Mr. Sabyasachi Bandyopadhyay, Whole Time Director; Mr. Pankaj Malhan, Executive Director; Mr. Sunil Agrawal, CFO.

I am also happy to introduce to everyone our new CEO. So please join me in welcoming Mr. Gautam Malhotra, who has been appointed as the CEO of Jindal Steel. Gautam Sir brings in about 2 decades of experience across operations, supply chain, sales, marketing, strategy, finance, M&A. He holds an MBA with honours from Manchester Business School, University of Manchester, U.K., with additional specializations in operations and strategy from Indiana University in U.S., as well as from IIM Ahmedabad.

He earned his BE, Computer Engineering, from University of Pune. It's pertinent to note that he has been associated with the company since May 2024 and has since worked closely with the business in all the areas, including mining, production, HR, logistics, technology, AI adoption and sales.

Over the past 1.5 years, he has played pivotal roles in strengthening the company's commercial value chain along with sales and marketing teams, logistics, IT and HR. He's been particularly focused on sales generation, go-to-market strategy, logistics support and HR development and commercial functions. And lastly, I would also remind that we are also joined by our Head of Flat Products division, Mr. S.K. Pradhan.

With this, I would hand over to Gautam Sir for his opening remarks. Over to you, Sir.

Gautam Malhotra: Thank you, Vishal, for the introduction. Good afternoon, ladies and gentlemen. Wish you all a very happy Diwali. I hope you had a wonderful festive season, and I welcome you all to the Q2FY26 earnings briefing of Jindal Steel.

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Let me start off by talking about the global economy. To quickly brief you on the global economic scenario, the IMF, in its October '25 update, raised the CY25 global growth forecast to 3.2% from 3% in the July report, whilst maintaining CY 26 forecast at the same level at 3.1%. India continues to remain the fastest-growing economy among all large ones with IMF forecasting FY26 growth rate at 6.2%. RBI has raised India's FY26 real GDP growth rate from 6.5% to 6.8% in its recent MPC meeting.

Moving on to steel industry. China's steel output continues to exceed subdued domestic demand. On a YTD basis for the period Jan to September '25, Chinese steel exports have surged 9% to 88 million tonnes, marching to an all-time high run rate of 117 million tonnes annually. The surge in low-priced shipments is pressurizing global prices and has prompted several countries to introduce tariffs and non-tariff measures to curb Chinese imports.

India's crude steel production grew 2% quarter-on-quarter to 41.5 million tonnes in Q2FY26, while demand increased

6% quarter-on-quarter to 40.5 million tonnes. Steel exports increased by 18% quarter-on-quarter to 1.9 million tonnes and imports increased 36% quarter-on-quarter to 2.5 million tonnes.

India remained a net importer of steel in the second quarter of FY26 for the sixth consecutive quarter with 0.6 million tonnes of net imports despite imposition of the safeguard duty. Imports from FTA countries increased from 64% in Q1FY26 to 69% in Q2FY26. Imports from China also jumped 46% quarter-on-quarter in Q2FY26 despite the imposition of the safeguard duty. The DGTR has proposed extending the safeguard duty for 3 years at step-down rates of 12%, 11.5% and 11%. We await the final nod from the Ministry of Finance. Coming to the steel industry in India, Indian steel prices corrected in Q2FY26 owing to seasonal weakness.

Domestic HRC prices stayed weak due to the softening Chinese steel prices, while TMT fell more relative to HRC, which is a seasonal pattern. Steel prices are likely to stabilize post the

festive season as the construction demand returns.

Now let me turn over to the key quarterly numbers :

Production during the second quarter was down 5% quarter -on-quarter to 2 million tonnes . Sales volume at 1.87 million tonnes was down 2% quarter -on-quarter. The performance was impacted due to prolonged monsoon season and planned shutdowns during the quarter. We undertook a planned shutdown of approximately 1 month for the DRI plant at Angul as an example. Consolidated gross revenue fell 6% quarter -on-quarter to INR13,505 crores due to a reduction in sales volume and weaker steel prices. During the Q1FY26 earnings call, we guided savings of about \$5 per tonne in our Q2FY26 coking coal consumption. Our actual coal cost has reduced by \$4 per tonne in Q2FY26 , broadly in line with our guidance.

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The consolidated adjusted EBITDA for the quarter stood at INR1,875 crores and the adjusted EBITDA per tonne stood at INR10,010 per ton. Our EBITDA was also impacted by a planned shutdown. The total cost of the shutdown, which is non -recurring in nature, was around INR174 crores. PAT for the quarter stood at INR635 crores.

Coming to our debt profile. Our consolidated net debt as on 30th September 2025 was at INR14,156 crores, which has decreased by INR244 crores on a sequential basis, primarily on account of efficient working capital management. Accordingly, net debt -to-EBITDA stood at 1.48x at the end of the second quarter.

We reiterate our commitment to cap the net debt -to-EBITDA at 1.5x, underscoring our position as one of the strongest balance sheets in the industry. Our total capex in the quarter stood at INR2,699 crores. Out of our total announced capex of INR47,043 crores, we have spent INR30,849 crores till 30th September 2025.

The second quarter of FY26 was a defining quarter for Jindal Steel. At Angul, we commissioned 2 major plants, the 4.6 million tonne per annum Bha gavati Subhadrika Blast Furnace -II, which more than doubled the hot metal capacity at Angul to 8.85 million tonnes per annum from the earlier 4.25 million tonnes per annum.

And the new 3 million tonne per annum Basic Oxygen Furnace –2, the BOF2, taking crude steel making capacity at Angul from 6 million tonnes to 9 million tonnes per annum. Together, these assets synchronize hot metal and steelmaking capacities and put us firmly on track to reach the stated 12 million tonne per annum goal at Angul within the current financial year. With the current round of expansion, we will achieve 15.6 million tonnes of steel making capacity by the end of this fiscal year.

All other projects are progressing in line with the timelines and remain on track for commissioning as scheduled. Let me talk a bit about the work done around harnessing the power of AI at Jindal Steel. At Jindal Steel, artificial intelligence is

transforming the way we operate,

making our processes safer, faster, smarter and more efficient.

We've deployed IoT sensors on critical equipment to predict failures early, enhance asset reliability and prevent unplanned shutdowns. With computer vision and video analytics, we ensure PPE compliance, detect near miss incidents, analyse coal size and moisture, and also automate billet counting. Our predictive AI models forecast power demand, optimize blast furnace operations and also improve gasifier efficiency, thereby driving higher productivity and lower costs.

For the third quarter FY26 , we expect the coal consumption cost to increase by \$3 to \$5 per tonne sequentially. Iron ore costs are currently flattish quarter -on-quarter. Whilst NMDC has reduced prices, OMC auction prices continue to be higher despite the soft steel prices. Domestic steel prices are currently lower by around 2% to 3% compared to Q2. While prices are soft currently, we expect prices to improve post the festival season. However, it is a little too early to talk about how Q3 really shapes up.

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With this, I open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Amit Murarka from Axis Capital.

Amit Murarka: Congratulations, Gautam, in the new role. Just the first question is on cost. So, in Q2, there seems to be a significant rise in operating expenses as well as the RM cost. If you could just detail out what are the reasons for the same?

Gautam Malhotra: Sure. Thanks for the question. As I mentioned earlier, we had planned shutdowns, DRI, CGP and pellet plants at Angul, and these were for around 25 to 27 days each. And during this period, we had also purchased some external metallics from the market to make up for the deficit somewhat.

Also, it was a prolonged monsoon that also affected the operations a bit and the technoeconomic parameters of the blast furnace operations. Putting these together, that's the reason for the cost. And going ahead, we should be in a much better shape.

Amit Murarka: Would you be able to quantify the impact of the shutdown, both on the metallic purchases as well as opex?

Gautam Malhotra: The overall impact was about INR250 crores.

Amit Murarka: Got it. And just on volumes, so now that the 4.6 million tonne blast furnace is commissioned, what is the volume kind of expectation for FY26, '27?

Pankaj Malhan: We're looking at almost 60% annualized basis volume offtake in H2.

Pankaj Malhan: So, you were asking volume for '26, '27, right?

Vishal Chandak: So, Amit, as far as next year's volume guidance is concerned, we will come back to you in the Q4 earnings call and then probably that would be a good time to talk about next year's numbers.

Amit Murarka: And H2, you're saying 60% of the new blast furnace, the 4.6 million tonnes?

Pankaj Malhan: Yes. So overall, you've received the guidance for the whole financial year. We hold on to that.

Amit Murarka: Right. And just on the liquid steel and iron making capacities, like currently, you are at 12.6 million tonne liquid steel, but 15 million tonne iron making. So, what is a more kind of, I mean, a better capacity number to kind of consider in the current context?

Gautam Malhotra: If I understand your question correctly, I think you should be looking at liquid steel at the moment.

Amit Murarka: Right. I mean, you are short on liquid steel versus iron making. So, 12.6 million tonnes is what we should look at in terms of your current capacity there?

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Gautam Malhotra: For the current period, yes.

Vishal Chandak: So, Amit, when you look at it, both the blast furnace and SMS are on a ramp-up stage. So that's how you should look at it. So eventually, t

hese will match. And once we have the second SMS also, then we'll have a full capacity with it.

Moderator: The next question is from the line of Parthiv Jhonsa from Anand Rathi.

Parthiv Jhonsa: So, my first question is just continuing to the previous participant, wherein you just said that you are holding into your FY26 guidance. That basically works out to an average of about 2.5 million tonne kind of a number per quarter in sales offtake. If I read it correctly, I think over the last 2 or 3 quarters, you have, it's a bit difficult that you're not able to cross that 2 million tonne mark. How confident are you to cross that 2 million tonne mark per quarter in Q3 and Q4? I understand that Q4 is a good quarter but just wanted to understand your take on it.

Gautam Malhotra: You've picked up the thing correctly, Q4 is the positive quarter, plus we're ramping up new capacity. So that's also adding in. So that's why we're holding on to the number.

Parthiv Jhonsa: But just wanted to get your confidence, because last 2 quarters, we have not been able to do it when a couple of our peers as well as if you see a domestic, the numbers are decent enough, right? The offtake numbers have been picking up over 8%. So just wanted to get your understanding on that.

Gautam Malhotra: No, we're fairly confident because the capacities came on very recently only.

Parthiv Jhonsa: All right, Sir. Sir, my second question is pertaining to the mining activity, whereas I believe in last quarter, Utkal B1, the ramp-up was around Q2. This time around, it's been moved to H2.

Just wanted to also understand the iron ore mine, what you had picked up quite recently about a quarter back. Just wanted to get the timeline for that and the volumes from each of these basically, if possible.

Gautam Malhotra: So Utkal B1, we are now in the phase of commissioning the mine and we told you H2. So most probably by the end of this quarter, we should have output from that mine.

Parthiv Jhonsa: And what would be the volume from that, Sir, and also from the iron ore mine?

Gautam Malhotra: Let us enter the mine. I think that's something we can take once we've entered the mine and we'll be able to give you a better picture then.

Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: Just wanted to check on the capacity, iron making capacity, which is still in works, the DRI and BOF 3, any maybe concrete timelines you're looking at for those in the second half?

Gautam Malhotra: I think we 've given you the guidance on those capacities. The projects online, we 're on track on those timelines . So, it should get commissioned in this half year, in Q4 of this year.

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Satyadeep Jain: Okay. And in the presentation, when you say compared to 18%, 20% ROCE that you 're looking at for projects, it 's mentioned 9%. Just wanted to understand what that is, is that for some new projects you 've commissioned, or what?

Gautam Malhotra: I think you are looking at 2 different things. What that implies is that any new projects that we are looking at setting up over the recent past, the threshold is 18% to 20% ROCE from those projects. What you 're looking at the other number is what we 're working on currently as an enterprise.

Satyadeep Jain: This is the, you're talking about the current ROCE for the business, the entire capacity right now?

Gautam Malhotra: Yes, exactly.

Satyadeep Jain: Okay. Just one last question. Just on the entire industry, I just want to understand, in your view, what is going on? Obviously, there has been extended monsoon. You had your own capacity under maintenance.

There is some new capacity restart. But generally, very subdued profitability for the entire long sector right now. Is it purely demand? What could be causing it? And are you just counting on demand rev

ival in the second half to improve profitability for t he segment? Just wanted to understand, in your view, what 's happening ?

Gautam Malhotra: You picked up a lot of things in your question itself, and I do apologize if I did interrupt you. But I think you picked up a lot of things in your question itself. It was a prolonged monsoon.

Typically, if you look at our history, we would spread out our shutdowns probably over 2 quarters. We brought it into the monsoon period.

Plus, we knew our new capacities were coming online. So , we were actually getting ready for these ramp -up phases. So now we 're all set to take off from here. And obviously, we do expect that now the monsoons are over, the construction activity will pick up. So , the offtake should get better as well. I hope that answers your question.

Satyadeep Jain: Yes, it does.

Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Part of my questions have been answered. I just wanted to have a more detailed understanding on the incremental cost savings given that the pricing in Q3 is again down on a lower base of Q2, and even coking coal prices also you mentioned have inched up. And even iron ore, there are no savings we are looking at. So, what are the cost saving numbers you 're looking at, which could drive up the margins in H2?

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Gautam Malhotra: Yes. The prolonged monsoon period hopefully is over, so that should drive the demand side of it. Coming to specific cost saving numbers, I think that 's something we would not want to get on the call right now. But we do expect that at least 2% to 3% of savings would come over Q2 right now, immediately.

Rajesh Ravi: Sorry, 2% to 3% of what?

Gautam Malhotra: Overall cost structure.

Rajesh Ravi: Okay. And any thought on pricing? Is it all to do with domestic demand picks up? What are the factors you 're looking at before these prices can again , there were expectations that with the safeguard duty, prices will stabilize or look up, but we are looking, both long prices have taken a deep dive and even flats are also down. And even in this quarter, the situation so far has been not at all conducive. So how do you look at the pricing trend?

Gautam Malhotra: Sushil, do you want to comment on this?

S.K. Pradhan: Yes. We are expecting the demand to pick up from here on, from November, December onwards, because the monsoon itself was very long. And the good part is that all the festivals were

bunched together in the month of October. So now we have 5 months of clean demand period, which is seasonally very strong period. So, a lot of factors.

The strong government or private capex which is coming in post GST cut. There is a good demand revival in automobile, household appliances, real estate, all those sectors, which are further supported by GST reduction. So, we are expecting the prices to rebound from here.

Moderator: The next question is from the line of Pallav Agarwal from Antique Stock Broking .

Pallav Agarwal: Sir just wanted a clarification on the debt number. So, I think you mentioned that capex acceptances are not in the debt. So, are there any revenue acceptances that we have?

Gautam Malhotra: Sunil ji, can you take this, please?

Sunil Agrawal: So basically, if we split it, so right now, we have the revenue acceptance around INR4,982 crores, and capital acceptance, we have INR431 crores.

Pallav Agarwal: And this revenue acceptance , yes Sir.

Sunil Agrawal: Yes. Revenue acceptance is INR4,982 crores.

Pallav Agarwal: And this is already included in our net debt figure of INR14,156 crores .

Sunil Agrawal: No, this is not included in the net debt figure.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

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Sumangal Nevatia: Fi

rst question is on the project update. So, if you could just share, one is on the slurry pipeline, there 's been continuous delay. So, what exactly is the key bottleneck we are facing? And what 's the latest expectation? And on captive coal, if you can share what is the H1 production of captive coal?

And how much are we purchasing from outside? And lastly, on Utkal B2, just wanted to get the latest expectation as far as approvals are concerned. And also, with Utkal C and the earlier coal block, are we looking at extension of the mining capacity?

Pankaj Malhan : You've asked so many questions. Maybe I may miss some of them. You started with slurry pipeline. Yes, slurry pipeline, 90% we have completed, and we remain on track to complete that project as per the guidance. Then your second question, if I picked it right, was captive coal production.

Our guidance of H1 , basis our captive mines was intact, and we continue to hold on to our guidance into H2. Third question potentially which you asked was about Utkal B 1. As Gautam just now mentioned that we have entered into Utkal B1 and our production would be definitely coming up in quarter 4 onwards. So, we remain on track to mine in quarter 4 itself.

Sumangal Nevatia: Sir, just if you can share what is the production of captive coal blocks in H1 in terms of million tonnes and versus what is the external purchase?

Pankaj Malhan : Our external purchases were minimal. Minimum when I say, it would be just legally to nonmaterial levels, which was 3% to 4% level, and rest all was from our own captive mines.

Sumangal Nevatia: Understood. And Sir, my second question to Mr. Malhotra. I just want to understand, I mean, management churn has been quite high at the top level here. So how are we looking to address it? And what are your key focus areas as you take up this role for the near to medium term?

Gautam Malhotra: I'll take the second part of the question first. If you 're talking about the long -term goals of the company, I think we need a separate session. We 've charted out our journey. So that 's something which probably would take too much time on the call. And your first question was management churn.

See, when I walk around the company, I see a lot of people who 've been here for more than 2 decades. I see a lot of people who 've been here for more than a decade. So, I see a lot of stickiness. And if I look at the overall retention rates, they 're fairly high. And that drives a lot of confidence in me to be able to drive the agenda that we 've set for ourselves.

And you see a very rock-solid core management team coming together to drive the goals of the company forward. I think that should give you enough confidence in our journey going forward. And by the way, I tend to stick around.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

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Indrajit Agarwal: Just one clarification. The INR250 crore s one-off impact that you mentioned, would the entire

thing reverse in 3Q?

Gautam Malhotra: I think you mean the reverse means it won't incur, yes, it won't incur, yes, please, if that's the question.

Indrajit Agarwal: All right. So that should be automatically somewhere close to INR1,000 delta, right, in 3Q?

Gautam Malhotra: Yes, you've got that right.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V.: A few questions. So first one is on the realization in the quarter, Q2. If I look at per tonne realization, it's almost flat, just a INR500 per tonne Q-o-Q decline. But industry rebar prices, which have seen a sharp decline. So, I mean, anything in terms of exports or value-added products? So, what is helping us to be more or less flattish Q-o-Q?

Gautam Malhotra: Sushil, do you want to take this? I'll give it a heads up. Yes, we are highly focused on value-added sale

s, and our exports have also gone up. And within exports also, we've been focusing on value-added sales.

So, Sushil, do you want to dive a bit deeper into the question?

S.K. Pradhan: See, there are a couple of things which we have done, which make sure that despite an industry drop in NSR, significant drop in NSR, we have a very less drop. One is that our value-added component is very high. If you look at our investor presentation as well, the value-added component in this quarter is 73% of our total sales, which is the highest ever, right. We are continuously ramping up our value-added sales. That is helping us.

Thirdly, we also have ramped up our downstream business, which in a way is a value-added business to us. So that also helped us in improving the NSR mix, right? So apart from that, the export also has helped us on the flat product side. So, our ramp-up in flat product side is much more. The composition has changed, long to flat. So that also has helped us.

Somaiah V.: The long versus flat mix, what would be this quarter versus previous quarter?

S.K. Pradhan: Last quarter, the long component was 56% of sales. This quarter, it is 51%. So flat, we have ramped up from 44% to 49%, because we have tweaked the product mix accordingly based on the market because long side, there was a much more weakness than flat. So, we have improved the flat side. And we continue to work on the product mix side to work on the realizations.

Somaiah V.: Got it, Sir. Sir, also in terms of iron ore and pellet, our captive iron ore production last quarter and also pellet production, if you could just help us on that?

S.K. Pradhan: Pankaj Sir, if you want.

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Pankaj Malhan: You're looking at the exact numbers, what we did in last quarter in terms of our iron ore mines, right?

Somaiah V.: Yes. Iron ore and pellet.

Pankaj Malhan: So, our overall pellet utilization, if I was to say, our overall pellet utilization was in excess of 75%. And our in-house mines, our capacity utilizations were close to 2 million tonnes. That's what we mined out of our ore mines.

Somaiah V.: When you say the 75% utilization, this was on 15 million tonne capacity?

Pankaj Malhan: Yes.

Vishal Chandak: Somaiah, let me give you a quick perspective. Our Q1 total share of captive mines in the total consumption of iron ore was about 29%. We have ramped it up to 45% in Q2 from our own captive mines, if that's what you are looking at, right?

Somaiah V.: Yes, yes.

Vishal Chandak: And the increase is largely on account of better production from Kasia as well as incremental production from Roida -I mines.

Somaiah V.: Got it, Sir. One last thing, on international assets, if you can just give us what was the profitability last quarter?

Gautam Malhotra: Sunil ji, you want to comment on this.

Sunil Agrawal: Yes. So, from the international business, as you know, we have very minimum operations there. So, our largest mine there, WCL, is already taken in care and maintenance. So, we are operating in Mozambique and a little bit in South Africa. So overall, there is not much contribution from the overseas mines.

Moderator: The next question is from the line of Raman KV from Sequent Investments.

Raman KV: I just want to understand what's our current capacity with respect to the steel production. And how much are we planning to add by the end of this year?

Vishal Chandak: So, you're talking about steelmaking capacity, right?

Raman KV: Yes Sir.

Vishal Chandak: Our current capacity is 12.6 million tonnes. And by the end of the year, we plan to add another

SMS of 3 million tonnes , which will take us to 15.6 million tonnes .

Raman KV: And Sir, from my understanding, we are not able to cross the 2 million tonnes per quarter mark. So, with the new capacity coming online, will there be increase in the production utili

zation of  
the existing capacity?

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Gautam Malhotra: I think you 've got 2 questions over there. One, yes, we are working on increasing the utilization of our current capacities, and that 's work in progress. And obviously, the output will go up as the new capacities come online.

Raman KV: And Sir, the incremental capex for this additional 3 million capacity, which will come in the second half, what will it be? And how much will it be via debt and internal accrual?

Gautam Malhotra: If you look at the historical thing, and you would have picked up in the deck that we 're funding a lot of our capex from internal accruals only, actually a large portion of it, if not all. And the first part of your question was, we 've given you the guidance on the overall capex . And in my opening remarks also, I gave you the capex number. What we spent so far is INR30,849-odd crores out of INR47,043 crores of the remaining capex that we have.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So, while you mentioned that the captive iron ore production was 2 million tonnes , how much was Tensa production out of that?

Gautam Malhotra: Tensa was minimal in this quarter. What you have to understand is that Tensa as a mine is at its end of life. And we 're working on now extracting some more material out of it, but that 's only on the boundary wall. It 's an end -of-life mine. I think that 's the way we should look at Tensa.

Amit Murarka: Sure. So, ballpark 0.1 million tonne or lower should be a number to think of on a quarterly basis?

Gautam Malhotra: Top of my head, yes, that would be something close to that. If you want any specifics, Vishal is always available, I think, offline.

Amit Murarka: Sure, sure. That 's fine. Also, like on the mix per se, so while you did 49% flats in the quarter, now that there will be higher volumes available from the new blast furnace from Q3, Q4 onwards. So, is it fair to assume that you will be doing like 55%, 60% flats maybe in H2 with the higher volumes incrementally being all flats maybe?

Gautam Malhotra: I think you 've hit the nail on the head. Flats will go up, yes. I think that 's something we 've held throughout the journey as well.

Amit Murarka: Sure. Also, like this increase in flats would be going to which segments, because I see that the auto has actually been flat for you Q -o-Q, even though flat share has gone up?

Gautam Malhotra: What you have to understand is auto has got very long cycles of approval and even plant approvals as well as product approvals. So auto as a segment will take a little bit of time as we get on. By the way, we are getting into yellow goods in a bigger way. Auto is also coming up. But you have to give time to auto. It's a longer cycle, that 's all.

Amit Murarka: So, it will go into construction and engineering and those segments, is it? I mean, in the meanwhile.

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Gautam Malhotra: Yes. In the shorter term, that 's how you would look at it. If you want to draw a longer curve, yes, you will see the auto cycle coming up as well.

Moderator: The next question is from the line of Parthiv Jhonsa from Anand Rathi.

Parthiv Jhonsa: Sir, I think I lost you in between on the capex . What 's your second half capex , if you had just declared it out? Just wanted to get that number?

Gautam Malhotra: Sunil ji, do you want to come back on this?

Sunil Agrawal: Can you repeat your question?

Parthiv Jhonsa: Sir, what is the second half capex ?

Sunil Agrawal: H1 number is INR4,925 crores. H2, we are planning , as we have already given the guidance of INR7,000 crores to INR9,000 crores. So similar numbers, we are expecting that we 'll incur in the H2.

Parthiv Jhonsa: Okay, Sir. Sir, my second question was pertaining to the Australian su



bsidiary, right, where I

think Sir said that there are no meaningful numbers which are happening there. You are carrying a substantial loss on the books. Just want to understand your understanding that you are treating it as a going concern.

I just want to understand that INR10,700 crores kind of a cumulative loss on that book, how are you going to treat it going forward? Is this subsidiary going to yield some returns? Because if you see, the losses have kept on mounting. I think in the first half, you have done almost INR600 crores, INR700 crores of loss, if I'm not mistaken. So, I just want to get your understanding on that?

Sunil Agrawal: So let me explain. In last year, we have already impaired this asset. So right now, we are having assets value of around \$187 million, so which is represented by true value, that we have got assessment done by independent valuer. So, the value that we are carrying in the books is representative of true value as valued by independent valuer. That I can say. So, whatever you are seeing is already impaired in our books.

Parthiv Jhonsa: No. So, \$187 million of asset you are carrying on the books, but that's against the accumulated loss of over 1.1 billion, 1.2 billion. So, are you confident of this subsidiary picking up volume going forward or business going forward? What exactly is your understanding there?

Sunil Agrawal: So basically, as I have already spoken, whatever value that we are representing, that is land value there, that we have already there. So that land value represents the value of \$187 million that I have spoken. So, all our loss that we have incurred there has already been written off in the books.

Pankaj Malhan: Parthiv, if you look at it the other way around, we invested, there is a loss. We have impaired those assets.

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Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Sir, I wanted to ask, we have achieved 73% odd value -added share, which is almost all -time high. And now that even flat mix will improve here on with the new facilities. How are we looking at the margin profile for the 2 segments? And primarily, I want to understand that when you say value -added product, are they only based on the application basis or from a margin perspective, the value -added products carry a higher margin profile?

Gautam Malhotra: Sushil, do you want to dive into this?

S.K. Pradhan: Can you repeat the question, please? My line got disturbed.

Rajesh Ravi: Yes, I'll repeat the question. I wanted to understand when you say value -added product, how do you define them from a margin? Do they also carry a margin perspective or it's more about the application or industry where they apply to given that we are now 73% value -added product share and now even our flat share is expected to go up from 40%, 45%?

S.K. Pradhan: Right. So, we define it both ways. One is on the application side, which are the critical applications like high strength steel or low alloy high strength steel, that type of steel, or then segment specific as well like defence or, let's say, windmill applications and those types of applications, both way.

But then the important thing is that as the criticality of the application decreases or the criticality of the steel increases, so the value increases. So, we check it in both terms, in terms of how it gives us the contribution per hour or the value per hour and also in terms of the application.

So, we have some defined parameters based on this. We decide what is value -added steel. And that's consistent. So, when we say 58% to 72%, 73% journey, it's based on those.

Rajesh Ravi: How would that be driving your margin profile? This is what I wanted to understand.

S.K. Pradhan: That would need a much more detailed dive. So, if you can get that separately, because that will need

a lot of explanation, right?

Rajesh Ravi: No, that's okay. We'll certainly discuss this separately. Yeah, my just thought was if the prices are soft and if the margins of the value -added product and the flat mix is improving, can we expect most of the impact of the soft prices countered by that?

S.K. Pradhan: Certainly.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities Limited.

Vikash Singh: Sir, I have just 2 questions. Firstly, you mentioned the AI. So just wanted to understand what kind of the cost savings we have actually incurred or expected to incur through that AI thing, which you have talked about?

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Gautam Malhotra: I think it's too early to talk about the cost savings coming from AI. We actually are doing a lot of stuff on it, a lot of interesting stuff. We're working on efficiency, as I said. We're working on productivity. We're working on safety across our shop floors.

That's a very important parameter for us. Apart from that, we're also introducing Gen AI tools for all our senior and mid-level executives to be able to capitalize where all the information is available at the tap of a button. So, I think all those factors over a period of time will reflect, but it's, I think, too early in the journey to start putting a dollar value to it.

Vikash Singh: Noted. And Sir, second question regarding our presentation. So, if I look at the Slide Number 4, there is still a mismatch between liquid steel versus finished steel. So just wanted to understand your view that by what time do you think that this mismatch would get nullified basically?

Gautam Malhotra: Which mismatch, are you talking about 12.6 and 13.25.

Vikash Singh: 12.6 versus 13.25. So, we would still be making less finished steel, right? Because the similar kind of bottlenecks we have experienced in the last 3 years and had not been able to achieve even 8 million tonnes of steel despite talking about 10 million, 10.5 million tonnes of steel capacity?

Gautam Malhotra: See, if you apply the yield factor on it, the numbers would be close to this. Plus, we have other things also, other sales also that we can do.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: So, on acceptances, I see that the number was, I think, close to INR3,000 crores in March. And right now, the number that you gave is almost INR5,000 crores. So, it's gone up by almost INR2,000 crores. So, what would be the reason for higher acceptances given that coking coal has actually gone down and your production volumes have also been flattish actually during this period?

Sunil Agrawal: So, Amit, this is basically, so since we have started new facility, so for the working capital requirement there, for procuring the coking coal, all these LCs have been used for that purpose.

So, this is for the new facility that we have started, majorly.

Amit Murarka: But generally, like what is the policy that you would follow for acceptances generally, like how does it work? If you could just explain that a bit?

Sunil Agrawal: So basically, this is for imported coal that we procure from international market. You know coking coal is basically imported from outside, internationally. So, we have to open the LC at the right time and cycle time is much more, around 45 to 60 days. So, for all these reasons, this quantum increase d.

Amit Murarka: Yes. What I meant to ask is, is there like a number of days kind of a thing which you have in mind when you kind of do this acceptances arrangement?

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Sunil Agrawal: 45 to 60 days cycle time is there for procurement of coking coal.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to management for closing comments. Thank you, and over to you.

Gautam Malhotra: Thank you, everyone, for your questions. FY26 is a landmark year for Jindal Steel. This quarter, we achieved 2 major milestones with the commissioning of the second blast furnace as well as the BOF 2 at Angul, significant steps that strengthen our growth journey and reinforce Angul's position as a world-class steelmaking hub. The rest of the facilities are on track for commissioning as per schedule.

As we move ahead, our focus remains on operational excellence, value creation and sustainability, along with Industry 4.0 and AI, ensuring that our growth is both responsible and resilient. We appreciate the confidence our stakeholders have in us and look forward to building on this momentum to deliver consistent value-driven growth ahead. Thank you.

Moderator: Thank you, Sir. On behalf of Jindal Steel, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2026

February 5, 2026

BSE Limited  
Corporate Relationship Department,  
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Rotunda Building, P J Towers,  
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Bandra -Kurla Complex, Bandra (E),  
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cmist@nse.co.in  
Symbol: JINDALSTEL  
Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JANUARY  
31, 2026

This is in furtherance to our letter dated January 28, 2026, w.r.t the Earnings Call intimation for the financial results with the Institutional investors/ analysts.  
In terms of Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.in](http://www.jindalsteel.in).

You are requested to take the above information on record.

Thanking you.  
Yours faithfully,  
For Jindal Steel Limited  
(Formerly known as Jindal Steel & Power Limited)

Damodar Mittal  
Wholetime Director

Encl.: as above

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“Jindal Steel Limited Q3 FY26 Earnings Conference  
Call”

‘January 31, 2026’

MANAGEMENT : MR. GAUTAM MALHOTRA – CHIEF EXECUTIVE  
OFFICER  
MR. SABYASACHI BANDYOPADHYAY – WHOLE -TIME  
DIRECTOR  
MR. PANKAJ MALHAN – EXECUTIVE DIRECTOR  
(ANGUL )  
MR. DAMODAR MITTAL – WHOLE -TIME DIRECTOR  
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER  
MR. SUSHIL PRADHAN – EVP (HEAD OF FLAT  
PRODUCTS )

MR. VISHAL CHANDAK – HEAD (INVESTOR RELATIONS  
AND STRATEGIC FINANCE )  
MODERATOR : MR. PRATEEK SINGH – IIFL CAPITAL SERVICE  
LIMITED

Jindal Steel Limited  
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Moderator : Ladies and gentlemen, good day and welcome to the Jindal Steel Limited Q3FY26 Earnings Conference Call hosted by IIFL Capital Service Limited .

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Prateek Singh from IIFL Capital. Thank you and over to you, sir.

Prateek Singh : Thank you . Good afternoon everyone and welcome to the Q3 FY26 Earnings Call of Jindal Steel Limited.

Without further ado, I will now hand over the call to Mr. Vishal Chandak – Head , Investor Relations and Strategic Finance, to introduce the Management attendees and take it forward.

Over to you, Vishal.

Vishal Chandak : Hi, Prateek. Thank you very much. Thank you very much, ladies and gentlemen, and I appreciate you coming over the weekend. I once again welcome you to the Q3 FY26 Earnings Briefing of Jindal Steel.

We have with us senior management of the Company , Mr. Gautam Malhotra – CEO ; Mr. Sabyasachi Bandopadhyay - Whole -Time Director ; Mr. Pankaj Malhan - Executive Director, Angul ; Mr. Sunil Agarwal - CFO, Mr. Damodar Mittal - Whole -Time Director and Mr. Sushil Pradhan - Head, Flat Products.

I request all the participants to ask questions which are strategic in nature and for any factual related queries, we are always there to help you out.

Without much ado, I will hand over the floor to our CEO, Mr. Gautam Malhotra . Over to you, Gautam sir.

Gautam Malhotra : Thank you, Vishal. Good afternoon, ladies and gentlemen. Welcome to Jindal Steel's Third Quarter FY26 Earnings Briefing. I appreciate it is a Saturday afternoon, so sincere thank you for finding the time to join us.

From a macro perspective, let me start by touching upon the supply-demand imbalance in the Chinese steel industry, which clearly has an impact on global markets, including India. The downturn in Chinese steel demand continues to outpace the decline in domestic steel production, resulting in record exports of 11.9 million tons in calendar year 2025. This level of

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low-price exports has prompted several countries to impose tariff and non-tariff barriers to curb the impact of Chinese steel imports on the local markets.

Focusing on India's performance during the quarter :

Crude steel production rose 2% quarter-on-quarter to 42.5 million tons in Q3 FY26, whilst demand increased only by 0.5% quarter-on-quarter to 40.7 million tons. Trade dynamics improved materially, exports increased 30% to 2.5 million tons and imports reduced by 36% to 1.6 million tons sequentially. Consequently, India turned a net steel exporter again in Q3 FY26 for the first time after 6 quarters, with net exports of 0.8 million tons. On trade measures, following the DGTR's recommendation, the Ministry of Finance has notified a definitive safeguard duty on select steel imports for a period of 3 years on ad valorem basis, with step-down rates of 12% in year 1, 11.5% in year 2 and 11% in year 3, ending on 20th April 2028. During the quarter, domestic steel prices in India corrected on the back of weak demand. HRC prices remained under pressure due to weak Chinese steel prices, whilst TMT prices reflected subdued construction activities. However, prices have recovered since mid-December 2025 after prolonged correction and we further expect support in Q4 with improving overall demand dynamics.

Coming to Jindal Steel business update :

On projects, we operationalised SBPP Module 1 of 525 MW during the third quarter of FY26. We are happy to report that we have also sync

ronised SBPP Module 2 of 525 MW again with

a grid in January '26. With this, we have achieved yet another major milestone of turning around 1,050 MW power plant that we have acquired under the IB C. We are also pleased to report that

we have commissioned CCL1 with a capacity of 0.2 million tons per annum in January '26. This broadens our product portfolio and supports further margin enhancement going forward. We have opened the Utkal B1 mine and overburden removal is currently underway. The 3 million tons per annum basic oxygen furnace 3 at Angul remains on track for commissioning by Q4FY26. And upon commissioning, we will reach 15.6 million tons of steelmaking capacity. All other projects are progressing as planned and remain on track for commissioning within the scheduled timelines.

Coming to the financial results :

Total production in Q3 FY26 increased 25% quarter -on-quarter to 2.51 million tons. This was supported by two factors. Firstly, the ramp -up of the BF2 and BOF2 facilities at Angul. Secondly, our newly commissioned Bhagavati Subhadrika Blast Furnace -II achieved capacity utilization of 48% in Q3 FY26 with an exit run rate of 58% utilization. Sales volume rose 22% quarter -on-quarter to 2.28 million tons driven by higher production. Consolidated Q3 FY26 gross revenue increased 12% quarter -on-quarter to INR 15,172 crores driven by higher sales volume , but partly offset by weaker steel prices. Consolidated adjusted EBITDA for the quarter was Rs. 1,593 crores translating to a margin of 10.5% and EBITDA per ton of Rs. 6,981. However, this

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includes the one -time BF2 start -up cost of INR 350 crores and if we take this non -recurring expense out, the underlying business EBITDA for the quarter is higher by Rs. 1,535 per ton , taking the EBITDA per ton to Rs. 8,516 for the quarter.

Consolidated PAT for the quarter post the one -time start -up cost was INR 189 crores. Our blended steel NSR was down by about Rs. 3,000 per ton on a sequential basis as the incremental volumes were skewed toward HRC which carried the lowest realizations and margins in our product basket. Within HRC, our sales emphasis was on high -throughput, productivity -driven segments and sizes rather than lower -volume value -added trades. The shift in product mix further compressed the ASP. In addition, our by -product revenues did not grow in line with our steel revenue as the coke oven plant was commissioned towards the mid of Q3 FY26. Further, the lower by -product sales and other operating income also contributed to the drop in ASP on a quarter -on-quarter basis due to the increased captive consumption. On the cost front, during the Q2 Earnings Call , we guided for an increase of \$ 3-\$5 per ton in coking coal for Q3. Our actual coal consumption cost during the quarter increased by \$ 2 per ton. During the quarter, BF2 ramp -up was executed using higher -cost bought -out coke at a higher coke rate resulting in higher operating costs.

With the commissioning of an additional coke oven battery in November '25, coke costs are expected to normalize and the BF2 coke rate has already begun to stabilize. Supported by improving steel realizations, we expect a meaningful improvement in performance in Q4 compared to Q3. On the CAPEX front, we invested Rs. 2,076 crores during the quarter. With this, a cumulative CAPEX under the current expansion program up to 31st December 2025 is Rs. 32,925 crores as against a total announced CAPEX of Rs. 47,043 crores. We are investing in our long -term growth, creating assets that will support India's infrastructure build -out. Our investments are not limited to adding new capacity , but also include strengthening our existing portfolio of assets. This will ensure best -in-class capacity utilization, improved asset reliability and higher profitability in times to come. This financial year marks

an inflection point in our transformational journey to build world -class assets.

Coming to the debt profile :

Consolidated net debt as on 31st December 2025 was Rs. 15,443 crores up Rs. 1,287 crores sequentially. Accordingly, net debt to EBITDA was at 1.72 x times at the end of Q3 FY26. This is primarily a reflection of lower EBITDA and our CAPEX commitments on the commissioning of several facilities. We are excited about the ramping up of production and the incremental revenues and cash flows are expected to lower our net debt to EBITDA to sub -1.5x levels. At Jindal Steel, AI and digitalization are core to our operations, driving productivity, efficiency and resilience at scale. We are executing a multi -year enterprise -wide AI transformation focused on throughput improvement, cost efficiency, faster decision -making and margin expansion .

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Moving beyond pilots to scale deployments now :

AI-led enterprise intelligence is embedded across sales, dispatch, logistics and CXO decision support, delivering real -time visibility and actionable insights. Sustainability is at the core of what we do each day at Jindal Steel. With that in mind, I am pleased to share that in our first

year of ESG assessment and disclosure, Jindal Steel has been included in the S&P Global Sustainability Yearbook 2026. Out of nearly 8,500 companies assessed, we are among a select group recognized for this prestigious inclusion, an endorsement of our disciplined ESG execution, which remains central to our strategy.

We have also been awarded an India -Sweden Industry Transition Partnership Feasibility Project to evaluate a CO<sub>2</sub> -neutral steel production facility, reinforcing expertise in decarbonization and commitment to sustainable growth. These sustainability acknowledgements and digitalization efforts are the culmination of all the dedicated work being done by the Jindal Steel team across India, and this is something that we are very proud of and keen to build on going forward. For Q4FY26, we expect coal consumption costs to rise by \$18-\$20 per ton sequentially. Iron ore costs increased further in Jan. Domestic steel prices are currently higher by about Rs. 3,000 -Rs. 3,500 per ton as compared to December '25. And we expect prices to remain supported in Q4FY26 on the back of strong demand and strong tailwinds.

With that, I will open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vikash Singh from ICICI Securities. Please go ahead.

Vikash Singh : Good afternoon, sir, and thank you for the opportunity. Sir, my first question is towards the realization impact, which you are talking about only Rs. 3,000. But if we just calculate on the average side, the drop is much higher, almost Rs. 5,500 -Rs. 6,000. So, how much is because of the product deterioration and what else we are missing in here?

Gautam Malhotra : So, as I mentioned in my opening statement, we did ramp up our capacities with low margin products, and it was mainly skewed towards HRC. And as we are actually ramping up, when we were on a lower output on a hot strip mill, we were actually producing low productivity, thinner grades, and with very high value add, and the margins were higher at that time. As we are ramping up, actually, thickness levels are increasing, our productivity is increasing. So, the realization per ton over there is lower, although we are producing much more. Also, roughly about Rs. 3,000 is on account of NSR. The by-product sales were lower. We have actually increased the captive consumption of most of our by-products as our steel production is increasing, and the balance is coming from that. As our capacities ramp up, we do expect that all our by-products will be consumed completely internally. Thank you.

Vikash Singh

: So, effectively, on an average, our blended realization would increase lower than what the market is because of the byproduct credit would not be available. Is that assumption correct?

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Gautam Malhotra : Yes, but our cost will also come down. And overall, if you see, as our capacities ramp up, our EBITDA is actually accretive in that nature. We will actually keep on adding to EBITDA.

Vikash Singh : Noted, sir. Sir, my second question pertains to our cost savings exercises, like slurry pipeline, coal mines coming, versus the product wise deterioration. Would those cost savings, as per your internal estimates are good enough to cover for the product -mix deterioration, or would we see for the next one and a half year, our overall product mix would continue to deteriorate from current point of view?

Gautam Malhotra : See, I think using the word deterioration would not be correct over here. That is a strong word. You understand Quarter 3 was a tough quarter for the entire industry. And if you look at the overall realization, HRC was the most affected out of all the products. So, overall, as we move up and realizations have also started increasing, NSRs have also increased. So, there is no deterioration in the product mix. Rather, our portfolio, as we have maintained over a period of time, is getting more balanced towards 50% flats and 50% longs. I think that is a great diversification and provides a lot of strength to the Company in times to go forward.

Vikash Singh : So, just to answer my question, would that the cost savings be able to cover for this change in product mix?

Gautam Malhotra : Yes, definitely. You will see that in the time to come as our results come out.

Vikash Singh : So, deterioration, basically, we were a little bit baffled because some of the peer groups having higher weightage on the flat side had less decline in their average realizations. So, we are still a little bit unsure about how our product mix has changed.

Gautam Malhotra : I will explain to you again, two things. Our portfolio has a larger portion of longs, especially TMT, and that was actually hit more in terms of the realization drop from the previous quarters.

Secondly, as I explained, when we were on a lower production on our HRC, we were actually making more value -add products because we had limited steel. Now, as we are moving towards higher output on HRC, we are actually producing lesser of those grades. We are actually producing more of the thicker sections to get the higher productivity and thereby more EBITDA.

So, that is why you see the difference between our peers and us, if that explains it.

Vikash Singh : Noted, sir. Thank you. That is all from my side.

Moderator : Thank you. The next question is from the line of Parthiv from Anand Rat hi. Please go ahead.

Parthiv : Hi. Good afternoon. Thanks for the opportunity. Just quickly continuing the previous question forward, one of your peers, who have already declared the result, their share of exports has actually increased at a time when people who were actually front-loading, especially to a lot of these geographies where there will be a lot of restrictions due to CBAM, especially in EU. However, your share of exports has gone down to, I think, 6%. That is number one. And also, Jindal Steel Limited  
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just quickly to check, if you are making thicker HRC and lower value-added product, wouldn't it make more sense to shift it back towards higher value-added product to get that benefit of something over and above your regular blended realizations? Because this is actually impacting your ASP to a great extent.

Gautam Malhotra : So, I will answer the first part of the question. You mentioned about exports. As you look at the markets in the last quarter, the exports realization were actually lower than the

domestic market, even further down. And we actually managed to penetrate the Indian market with our expanded production and make space for ourselves in a market which was not expanding itself. That actually shows great strength in the Jindal Steel brand and our capability to penetrate these markets in tough times as well. What I was talking about was the ramp-up phase. I do agree with you. And your point is a very valid one. As we ramp up towards full capacities, first target will be capacity utilization. And once we reach very high numbers of utilization is when we start screwing the portfolio back again towards value-added profiles more and more. So, I hope that answers both parts of your question.

Parthiv : Sure. But just quickly, because you said you actually expanded your market share eventually, right? Because you were able to capture higher share in the domestic market, but was this at a cost of compromise in your margin?

Gautam Malhotra : No, actually, compared to exports, our margins in domestic were higher.

Parthiv : No, not compared to exports, sir. Purely on the domestic front, even if you see HRC was down about Rs. 2,500-2,800, your logs were down about Rs. 700-800 bucks.

Gautam Malhotra : We select competitive prices in the market. We didn't take any large discounting to get into the market, to get market share if that is your question.

Parthiv : That actually answers. Sir, my second question was on debt level. If you see one of your slides, slide 20, your debts in Q3 are at multi-year high, even higher than FY22 levels. And even if you see your leverage is quite high at 1.72x, where we appreciate you giving out a guidance of 1.5x threshold, just wanted to get your understanding with your capacity still ramping up, your newer capacity also coming up in Q4, which will also have some kind of startup cost associated somewhere or the other. What is your exit run rate of leverage or net debt expected in the current financial year?

Gautam Malhotra : So, I think, firstly, we should appreciate this is a very good leverage level overall. Even looking at the industry, it is a very healthy leverage level. If you look at our debt-to-equity ratios also, they also remain very healthy. Yes, we are at a point where we are coming out of a very tough market cycle, which is for the industry. And at the same time, we actually are at the culmination of our project phase in these two quarters, Quarter 3 and Quarter 4. Now, these factors combined have pushed it up to 1.72x net debt to EBITDA, which you are looking at. But overall, as I said, Jindal Steel Limited  
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as we stabilize, ramp up over the next 2-3 quarters, you will see it coming back in line to what we have always guided, 1.5x times through the cycle. And we remain committed to that.

Parthiv : So, any number on the exit run rate for debt?

Gautam Malhotra : No, I think I have given you the overall picture as it is panning out.

Parthiv : Sure. And just, again, just circling back to my very first question, because I think your flat to long is right now 50-50. Whereas it was supposed to, flats was expected to be much better off at 60%-65% going forward. So, is that timeline or is that runway still intact to take your flats to about 60%-65%? Or what is your understanding on that?

Sushil Pradhan : Yes. So, good afternoon. I am Sushil Pradhan. I am Head of Flat Products in Jindal Steel. See, in Q3, our flat to long ratio was almost equal, 50-50. And that is because we saw a major decline in flat product rather than long product. So, we maintained our product ratio, shifted more towards long in the quarter. But going forward, we expect a gradual shift towards flat and as demand from flat product and prices for flat product is rising and demand from automotive appliances and all these segments is gradually moving up. So, accordingly, this mix is expected

to

go up in flat. I think in Q4, we see a shift towards 55-45, more towards flat, flat 55%, long

45%.

Gautam Malhotra : Hi, this is Gautam. I just wanted to add, please understand and we are at a very big inflection point in our journey in Jindal Steel. There is a large capacity coming in. There is huge ramp-ups happening. And whilst we are going through the cycle, we have actually maintained a very healthy balance sheet picture overall. So, this is a very interesting year for us. We are at an inflection point. It is actually leading up to some very exciting times coming ahead as these capacities start throwing out EBITDA and cash flow.

Parthiv : Perfect. That is actually quite helpful. Thank you so much, sir.

Moderator : Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Yes. Hi. Good afternoon. Thanks for the opportunity. So, on the power capacity expansion, just wanted to understand, like, now that you will be excess, I believe, power capacity, would you be kind of looking to ramp up those capacities and maybe sell more merchant power or it will be purely used for steel operations?

Gautam Malhotra : At the moment, as I mentioned, our first unit is under stabilization and the second unit has just been commissioned and we are going to be stabilizing it over the next 2-3 months. Whilst that happens, our capacities will continue to ramp up. We have another 3 million tons coming up and associated downstream coming up. So, in the near-term future, we will be actually, as we ramp  
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up all sides of the capacity and the whole facility, we will be consuming a large portion of it internally at the moment.

Amit Murarka : And just a question on your mix. So, while, as you mentioned, that in the initial phase, possibly the mix could be a bit weak, but by when do you think, like, in terms of maybe quarters or year, kind of be able to get into a more value-added mix portfolio on the expanded capacity also?

Gautam Malhotra : See, I want to actually come away from these words of deterioration and we ask, when I do say that we shifted a higher productivity order book, our value-added profile still remains at 66% and that is very high. What we are comparing that to is 71% in Q2. So, that is where we are coming from. That is a very high value-added percentage in our product portfolio. So, I don't think it is weak from any perspective. It is just that we are in a ramp-up phase. We are making a market entry into a product and we are capitalizing on all opportunities that come our way.

Amit Murarka : No, by weak, I think you mentioned that you had almost like a Rs. 1,000 additional hit to realization because of the shift in the mix. So, I was referring more to that. So, when can you get the Rs. 1,000 back in that sense?

Gautam Malhotra : So, as we speak, the markets have already rebounded and I did mention, I think in the opening statement itself that today we are working at about Rs. 3,000 -Rs. 3,500 higher than where we were towards the end of the last quarter. As we move ahead, you will see our value-added profile start inching back towards 70%. So, I am not reading too much into this Rs. 1,000 differential and that differential is more as a comparison from Q2 to Q3 in our books versus what is happening in the peers books. I am more interested in how we coming out of the situation as we move forward. The more interesting bit will be ramping up our capacities, increasing the utilization, getting the EBITDA in and the higher cash flows.

Amit Murarka : Sure, Gautam. Thanks a lot. And this is the last question. So, you say that in this quarter you consumed your by-products internally, which was also an additional hit to realization, so what were those by-products, if you could explain that a bit? Like, is it pellets or what would

those

by-products be ?

Gautam Malhotra : You have got it. It is pretty much that. But please also understand that you are seeing at the ASP level the hit, but at EBITDA level the hits are not anything material or not significant.

Amit Murarka : Got it. Thanks a lot.

Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : Yes. Good afternoon and thank you for the chance. I have two set of questions. First on the expansion plans. Now, we shared that our next BOF is on track for fourth quarter. So, I want to understand when is the associated metallic capacity coming and what is the plan to use this BOF  
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in FY27, given the lack of metallics? And in general, just the strategy of commissioning this ahead of metallic capacity?

Gautam Malhotra : So, we are talking about the current capex cycle. You are right. BOF will be commissioned in this quarter. Anything going forward, we will be guiding in the next quarter on how we are panning out on that. At the moment, we are very focused on commissioning all the current



projects and realizing revenue, EBITDA and cash flow from this .

Sumangal Nevatia : Yes. So, I just want to understand what is the plan to use this BOF in FY27 in absence of metallic capacity?

Gautam Malhotra : We will be able to use about 60 %-66% of this capacity in FY27 as well.

Sumangal Nevatia : So, the associated DR I or BF, I think it is DRI, so when is that being planned to commission?

Gautam Malhotra : I think we have spoken in one of the earlier calls that we are targeting FY27 end for that and we are sticking to that.

Sumangal Nevatia : So, even without that, we are looking at 60% utilization for this BOF?

Gautam Malhotra : Yes. FY27.

Sumangal Nevatia : And sir, with respect to slurry pipeline, just want to understand what are the reasons for the delay? We still see only 94% complete. And what sort of contribution will this have in FY27 in terms of actual slurry transfer and cost saving?

Gautam Malhotra : So, see, one thing we have to understand, slurry pipeline is never an easy project and it has a lot of regulatory and other hurdles that you have to go over and basically ground level hurdles as well. We have maintained the guidance for the end of this financial year for the slurry pipeline and we are on track for that. As far as the savings, etc., I think we are very fairly comfortable to say that we will be able to go towards Rs. 750-Rs. 850 a ton on that.

Sumangal Nevatia : Sir, my next question is on the sales volume guidance. We just 2 months left for the year. So, where are we with respect to our 8.5-9 million tons guidance for sales volume this year? Can you give some more further color on this?

Gautam Malhotra : We are actually on track to get the guidance that we have already given you.

Sumangal Nevatia : And just one last question on the margins. So, given that we have seen in 3 quarters, a deterioration of almost 16,000 to 7,000. Just want to understand, this ramp up and startup cost, has this been going as per plan? Was this anticipated or there has been some negative surprises? Because it is quite difficult to appreciate Rs. 350 crores of startup cost. We have not seen that in other companies and looks like, just want to get some more grip and understanding on this?

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Gautam Malhotra : So, there are two things. I don't like going on what peers are doing. Everybody is good in their area. But there are two points over here. We have been fairly open and transparent about how we are going about our business. And we have maintained that over a period of time and we intend to continue doing that. Coming to the second part of your question. Yes, a large part of it when you are ramping up a facility, especially

by a blast furnace, it is not immediate that you get

down to your capacity utilization numbers or your coke rate. It takes a little bit of time. And that was anticipated. Nevertheless, I don't think we are in a position to say that we didn't receive any surprises. Yes, there were surprises along the way. But I think I must say kudos to our team, which has been able to counter those surprises and ensure that as we sit today, we are at a very high capacity utilization number with industry standard coke rate and operational parameters. So, I think they have done a brilliant job of coming on track on a furnace of this size in 2 to 2.5 months.

Sumangal Nevatia : And if I may just ask one question, just to understand what is the base level of profitability for us to kind of have a better forecasting capability, what is the contribution of these byproduct sales, say in FY25 or say H1FY26 so that we just get to some base level of profitability from where we can kind of forecast future earnings?

Gautam Malhotra : I think there are a lot of things in your question. It has got a lot of years spanning it. And there is some forecasting as well. So, in the interest of time, I think I am asking Vishal to take it offline.

If you can connect with him and he can help you with that.

Sumangal Nevatia : Sure. I will connect with Vishal. Thank you and all the best.

Gautam Malhotra : Thanks a lot.

Moderator : Thank you. The next question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.

Jashandeep Singh Chadha : Hello. I hope I am audible and thank you for the opportunity. Most of my interesting questions have been taken by my peers. So, I will start with how much, so I see that you have a commissioned coal mine as well. There is one iron ore mine also has been commissioned. With that and global coal prices going up, what sort of impact do you think will hit the Company in fourth quarter, if we can start with this?

Gautam Malhotra : Sorry, I didn't understand. Can you please repeat the question?

Jashandeep Singh Chadha : Yes, sir. So, I just wanted to understand the input cost escalation that we might see in fourth quarter for Jindal Steel?

Gautam Malhotra : I don't think we are expecting any input cost escalation in the fourth quarter. There is only one thing which I think I have given in the opening statement is on the coking coal prices. But if you

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see the market has more than commensurate increase, so I think there is no material input cost escalation that we are going to see apart from that.

Jashandeep Singh Chadha : So, largely what I can understand is you are expecting a flattish input cost. Is my understanding right, sir?

Gautam Malhotra : Apart from co king coal, yes, nothing there.

Jashandeep Singh Chadha : Nice. Second question is largely from FY27. I understand you have given guidance for FY26 and you are on track on maintaining that guidance. I also understand companies are at inflection point and the ramping up capacity is not that easy. From that perspective, how do you see FY27 panning out in terms of production and volume? If you can give some sense on that, that would be great?

Gautam Malhotra : I think, I will pick on one thing you said at the beginning of your question. We are at an inflection point. Yes, I did say that. And please understand we are maintaining a guideline, a guidance given in a year where we are commissioning capacities, ramping them up and sustaining our guidance. So, I think I must, even on this platform, congratulate our team for being able to do that, at least be on track for that towards the end of the year. In terms of FY27, I think we will be coming out very soon. We are in the process of finalizing our business plans for the year. And as soon as we do that, I think at the end of the next quarter, we will be coming back to you and

giving you guidance for that.

Jashandeep Singh Chadha : Understood. Just one last question. Compared to when you initially announced this first phase of expansion sometime in FY22, early FY23. And now, since you are at the end of most of the Phase 1 expansion, how much of the CAPEX that you earlier envisioned and now, which you have realized, how much has been the CAPEX cost increased because of the various surprises that you faced, various challenges and delays? So, what sort of CAPEX increase would have been there?

Gautam Malhotra : I think there have been no material project cost overruns. I think over the years, there have been a lot of projects that have been added into the scope rather than any major cost overruns. I think if you go back in time, 2-3 quarters back, we did talk a lot about it and I think it should be available. Otherwise, you can connect offline with Vishal if you need further help.

Jashandeep Singh Chadha : Sure, definitely. I will connect with Vishal and thank you so much. I will join back the queue for my further questions.

Moderator : Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta : Yes. Hi. Thank you for taking my questions. I have two questions. One, sorry for getting back on the steel prices question. You said that the steel prices are up by around Rs. 3,000 -Rs. 3,500

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versus quarter end. And given trajectory for realization has been worse than how steel prices fared in third quarter, is it fair to say that if steel prices remain where they are, you would see a much better trend in realization versus this Rs. 3,000 -Rs. 3,500?

Sushil Pradhan : Can you kindly repeat your question, please?

Rahul Gupta : Sir, what I am asking is that steel prices, as you said have increased by Rs. 3,000 -Rs. 3,500 versus quarter end. But in the third quarter, your realization trends were weaker than how steel prices fared. So, is it fair to say now that your blast furnace ramp up and HSM capability will ramp up, your realization trends will be much better than the steel prices trend of Rs. 3,000 -Rs. 3,500?

Gautam Malhotra : Yes, you are right. And they will be in line with the industry. And I think if you are referring to that incremental thing, which you have been referring to, that won't be there. We have realized more than that and will be in line with industry trends as we move forward.

Rahul Gupta : Got it. My second question is more medium term and strategic. Now that you are ramping up flat capacity, over the past couple of years, you have strategically moved away from export market and focused on the domestic market. And now that EU prices are supposed to move up on back of CBAM, is it fair to say that you would be actively looking at the European market from here over the next 2-3 years?

Sushil Pradhan : As you have seen in the past, we are predominantly producing material for the domestic industry with a very strategic focus in the external market. And you are right, our major market has been European market for plates. Now with HSM coming in, also the prime focus will be on European market, but that will be around 5 %-10% range only.

Rahul Gupta : Got it. Thank you so much. Wish you all the best.

Sushil Pradhan : Thank you.

Moderator : Thank you. The next question is from the line of Tushar Chaudhari from Prabhudas Liladher Private Limited. Please go ahead.

Tushar Chaudhari : Good afternoon, sir. And thanks a lot for the chance. Sir, I have missed a few numbers from your initial opening remarks. Rs. 350 crores you said for one -time blast furnace startup cost. And there was Rs. 189 crores, that was regarding?

Gautam Malhotra : PAT is Rs. 189 crores for the quarter.

Tushar Chaudhari : Okay. For the flat products now we have with all the new setup, we have all the approvals from OEMs like

for autos and consumer durables for next few years, from next few quarters, we will start improving our product mix ?

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Sushil Pradhan : Yes. We already commenced supplies to auto and engineering industry and we have necessary approval from this industry. But then since our flat product capacity is more plates and HR, so it will be more into commercial vehicle segment, earth moving segment and yellow good segment, more of it will go into that. And we have all the necessary approvals from all these segments. And we already started supplying to the segments.

Tushar Chaudhari : And now, by next quarter, we will be finishing BOF 3 also. When we will be in a position to announce next phase of CAPEX ? Basically, our long -term plan is to take Angul towards 25 million tonnes . So, any color on that?

Gautam Malhotra : So, we are very focused on increasing our utilization on these assets, increasing our EBITDA margins and increasing our cash flow, reducing our debt to our previous guidance s given for the cycle. And at the moment, that is our focus. And we remain committed to that. As and when we make any expansion plans in times to come, we will definitely make sure that we keep you updated.

Tushar Chaudhari : Thanks a lot. And best of luck, sir.

Moderator : Thank you. The next question is from the line of Pallav Aggarwal from Anti que Stock Broking. Please go ahead.

Pallav Aggarwal : Yes. Good afternoon, sir. So, I had a question on coking coal prices. So, we have seen the spot prices going up to \$250 levels. So, do you think it is more of a seasonal uptake? And probably we should see a correction because if they sustain at this level, then it would have a push -up in cost in the first quarter of FY27. And that would probably offset most of the increase in steel prices. So, just wanted your thoughts on that?

Gautam Malhotra : See, these are transient in nature and seasonal impacts that you see here and there , not any mid -term or long -term impacts that you are talking about, those one-off sharp corrections or upt akes.

Apart from that, I think on a lot of things, we also have a long -term arrangement as well and we benefit from those as well.

Pallav Aggarwal : Sir, how much would part of our coking coal be coming from Mozambique and South Africa mines? Any proportion from there?

Gautam Malhotra : About 15 %-20%.

Pallav Aggarwal : Sure. Also you mentioned that cost probably in fourth quarter, apart from coking coal, should be flat or similar. But any benefits from the captive power or Utkal mine opening up so that can come in?

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Gautam Malhotra : See, the mines have just been opened up and we are already coming to the near , middle of the quarter. To realize any meaningful gains in this quarter, I would refrain from. But yes, in time to come, we will definitely see benefits.

Pallav Aggarwal : Sure. Thank you so much.

Moderator : Thank you. The next question is from the line of Ashish Kejriwal from Nu vama Wealth Management. Please go ahead.

Ashish Kejriwal : Yes. Hi. Thank you for the opportunity. First of all, many congratulations for successfully ramping up faster than expected your blast furnace as well as BOF capacity. That is commendable. Sir, my question is on the cost part as well as realization. If you look at, you have clearly mentioned about Rs. 350 crore s of startup cost, which could be regarded as one off. But if you can just be more detailed into that or what could be that, whether it is one you have said higher coke consumption as well as the coke ratio and what else is there? And what do you think that this number could be there in fourth quarter or have we stabilized by December in this? That is my first question ?

Gautam Malhotra : The largest portion of that number is on account of coke, because it is bought out coke at a higher

cost. It is a little bit inferior quality to what we produce in -house. And obviously, when you start a furnace, it is too much technical detail and you can, I think, connect offline with Vishal. But it

is a standard process of starting up a furnace and stabilizing it. I do acknowledge your remark for commending our team for the faster ramp up than expected. Yes, I do acknowledge that. Thank you for commending the team. And to answer the last part of the question, yes, we have stabilized and we are at normal industry standard productivity, KPIs and especially profit.

Ashish Kejriwal : Sir that means that Q3, when we are talking about roughly Rs. 7,000 per ton EBITDA, I think we can begin with Rs. 8,500 per ton EBITDA because this is largely over. Is that assumption right?

Vishal Chandak : So, Ashish, Vishal here. We actually refrain from giving guidances on EBITDA on a sequential basis. But I understand where you are coming from. If you look at, as sir mentioned, about Rs. 350 crores is the one-off, which will obviously not recur. And steel prices have moved up and so has also the cost. By and large, our understanding is that Q4 should be a much stronger quarter both in terms of volumes as well as in terms of profitability.

Ashish Kejriwal : Vishal, we are not asking about Q4 guidance. I am just asking the base case that when we are saying it is one-off, that means we can say, Rs. 8,500 could be the EBITDA for this?

Gautam Malhotra : So, math is correct. I think Vishal gave you a good answer, but your math is correct.

Ashish Kejriwal : That is okay. Second thing is when we are talking about realization improvement, Rs. 3,000-Rs. 3,500 higher, are we taking into consideration the improved product mix also? When I am saying

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improved product mix, that maybe in third quarter because of the initial stage, we have given some of base grade HRC. But now with this improvement, ideally, our overall realization for fourth quarter should be higher than that of the industry because third quarter was much lower than the industry standard?

Gautam Malhotra : The numbers that I mentioned for the increased realization are as a scenario right now. I think we are only at the beginning of the quarter. I did mention in one of my earlier answers that you will see us at industry levels in this quarter. And as we keep ramping up and improving our capabilities, we will see us beating those numbers again as in the past.

Ashish Kejriwal : And lastly, is it possible to share non-steel sales revenue in this quarter versus last quarter? Because I understand as you rightly pointed out that lower by-product sales does not affect our EBITDA. But at least on the topline, if you get a sense of how much was the non-steel sales revenue in this quarter versus last quarter, that will be very helpful. Thank you.

Gautam Malhotra : So, I think Vishal can help you offline with that. If that helps, you can connect with him.

Ashish Kejriwal : Sure, we will do that. Thank you so much and all the best.

Gautam Malhotra : Thanks a lot.

Moderator : Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar : Hi, sir. So, just first again on the one-off cost. Just a suggestion here that when we give our adjusted EBITDA in the presentation, can we include the numbers because every quarter we have a different adjusted EBITDA and on the call also, we have a different one-off expenses every quarter in the EBITDA. So, it becomes very confusing to understand what is the actual EBITDA per ton? Sir, secondly, in terms of our downstream, what all capacities are left to commission over the next 2 years?

Vishal Chandak : Siddharth, this is Vishal here. Coming to the second question, over the next 2 years, the downstream capacities are largely commissioned except

for CCL2 and CGL2. Thereafter, we

have pellet plant 2 and DRI2 as the key capacities. If there are any more lines that we plan, we will come back to you. Out of the two Q&T furnaces, we have already commissioned one of them.

Gautam Malhotra : But I think he was asking 2 years. It is not 2 years. All these capacities are being commissioned as we speak. They are in the final stages of commissioning. It is not 2 years. It is only DRI2 and pellet plant 2 which I mentioned earlier in one of my questions, is slated for FY27 end.

Moderator : Thank you. The next question is from the line of Kamlesh Bagmar from Lotus Asset Management. Please go ahead.

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Kamlesh Bagmar : Yes. Thanks for the opportunity. Sir, I just wanted to get a sense on the product mix going forward. Because over the last, like say, prior to this commissioning, we had the benefit of having a Rail mill, then your MLSM mill. Those all benefits were there, RUBM. So, going forward, don't you think that our earning would grow primarily because of the volumes and with a lower margins. So, what is your sense on that? Because it is like, say, during the call, the questions have been asked that our margins, which was Rs. 15,000 in Q1 has fallen down to Rs. 8,500 odd, adjusted basis. So, but going forward, like say, now we would be having the benefit of the

volumes, but our margins would be lesser as compared to the historical levels. Because if you see in your, like say, HRC, many of the capacities are coming up, be it Tata Steel or like say, AMNS is coming with a big capacity. So, do you think that now going forward, the play would be on the higher absolute EBITDA rather than much richer margins as compared to the historical levels?

Gautam Malhotra : First part of your question, we actually don't move away from a rail or MLSP or structure capability.

Kamlesh Bagmar : I am not saying that you have moved away. I am saying that the share of those products or the volumes have now come down significantly because of these, like say, flat-based capacities coming in. Because even if I see quarter-on-quarter, your product mix has, like say, 49% flat, has gone up to 50%. And the HRC mill was commissioned a year ago. So, now we are saying that we have sold, let us say, HR. So, it really doesn't digest with the margins or the realization fall which we are talking in this quarter?

Gautam Malhotra : So, I will complete my answer. So, it is not that we have gone away from those. They remain the core part of our portfolio. And as we speak, we actually keep working on ways to increase those facilities output as well. Apart from that, the second part of your question is, yes, will these other products increase in our portfolio and our product mix? Yes, they will. But along with that, I think Vishal did mention that we have also added heat treatment furnaces. So, those will add capability to our flat portfolio for higher realizations, higher value add. Apart from that, as I did mention in one of my earlier questions on the opening statement, that we have just penetrated the market on a higher volume in this quarter. As we move ahead, our value add percentages and value add products will keep growing and the realizations will be back on track. So, I don't see anything in the mid to long term future that is of any concern at the moment.

Moderator : Thank you. The next question is from the line of Raashi from Citi. Please go ahead.

Raashi : Thank you. First question is on your cost. Sir, you indicated that there was startup cost and coking coal costs were also higher. So, optically, it does appear on a sequential basis that the costs are lower. So, one of course is the volume benefit. And I would imagine lesser value addition. Is there anything else to read into?

Gautam Malhotra : I think you have broadly covered it. You have got it pre

tty much on the wall.

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Raashi : So, going forward, we basically expect a reversal of the startup cost. And then we expect higher coking coal prices simplistically?

Gautam Malhotra : Yes. But please also understand that our coke output is increasing because we have commissioned the batteries. And as I did mention that our coke is better quality than what we end up buying from the market. So, we get some offset gains from that side. And obviously, high utilizations will also give us some gains in our cost portfolio. So, those gains will also be there.

Raashi : Got it. Secondly, when you indicated that spot realizations are about Rs. 3,000-Rs. 3,500 higher than the December quarter. So, you are talking about what you are kind of billing at this point in time, right on a blended basis, given products mix everything put together?

Gautam Malhotra : Yes. This is the difference in the realization between where the last part of Q3 was and where we are today.

Raashi : Got it. And for the full year, the CAPEX that you had given, you are still holding on to that? No change in CAPEX targets for 2026, 2027, 2028?

Gautam Malhotra : No, nothing. No change.

Raashi : Got it. And one last question for me. How did the inventory move sequentially?

Gautam Malhotra : How does what? Sorry?

Raashi : How did the inventory move sequentially?

Gautam Malhotra : Marginally increased during the quarter. But as we speak, it has been unbound as well. There is nothing material in there.

Raashi : Thank you.

Gautam Malhotra : Thank you.

Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Hi, sir. A couple of questions. First is a clarification. When we give guidance of sales volumes, should we presume that it is excluding any metallics purchase, be it for this fiscal or next fiscal?

Gautam Malhotra : Yes, there is no metallics purchase.

Ritesh Shah : And would it be possible for you to provide a timeline for the next SMS?

Gautam Malhotra : We have given a guidance already that it is one of the best quarters and we are well on track for that.

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Ritesh Shah : Second is, can you indicate coking coal on a consumption cost basis? How much will the increase be from Q3 to Q4? I am sorry , if I missed that.

Gautam Malhotra : About \$18 -\$20 per ton.

Ritesh Shah : That is helpful. Just a few more questions. Sir, how do we plan on the evacuation specifically, also, if you could highlight how critical is the Paradip port over here, given Angul in east? I am not very sure. You did indicate that we have the approvals to supply for HRC, given the scope of our capacity is very large. How do we plan to sell and evacuate? Some color over here would be quite useful ?

Gautam Malhotra : Are you talking about evacuation from our plants?

Ritesh Shah : From Angul , post expansion .

Gautam Malhotra : I think whatever we are producing, we have been able to evacuate . We have the infrastructure and the capability for that.

Ritesh Shah : So, this includes any incremental rail lines, or is it all ready , there is no problem at all on evacuation?

Gautam Malhotra : No problem.

Ritesh Shah : And how critical is the Paradip port? Because in earlier calls, we have emphasized about it. How does that fit in overall scale of things?

Gautam Malhotra : See, I think if you are coming from this expansion phase that we are talking about, and you were talking about Angul, Paradip port does not impact anything for Angul capacity expansion, ramp - up, etc. Paradip port is a very strategic thing and it is a longer term play. And it is a benefit that we will be able to derive for our import and export in times to come. But if you are coming back to the specific Angul ramp -up, there is no effect of Paradip and nor

did we envisage anything like that.

Ritesh Shah : Perfect. Just to follow up clarification questions. Sir, how should we look at Jindal Panther expansion? I think this is the one with the cement entity. I am not sure whether it is linked with the listed Jindal Steel entity. That is one clarification. And second, I presume there would be some transfer of slag from the listed entity to this very entity. If you could highlight some color on how the transfer pricing mechanism is ?

Sunil Agrawal : So, this is Sunil Agrawal from Jindal Steel . So, basically, Jindal Panther has nothing linked with the Jindal Steel. It is a separate company, and we are independent of Jindal Panther .

Ritesh Shah : And on slag?

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Sunil Agrawal : Slag, we will be giving at the transfer pricing as per the standard norms , if we supply to them on long term basis.

Ritesh Shah : And just last one. Sir, would you just clarify that the Thyssen bid with Jindal International has basically the listed entity is completely ring -fenced from it?

Sunil Agrawal : Yes, you are right.

Ritesh Shah : Thank you so much for the answers.

Sunil Agrawal : Thank you.

Moderator : Thank you. The next question is from the line of Rajesh Majumdar from 361 Capital. Please go ahead.

Rajesh Majumdar : Yes, good afternoon, sir and thanks for the opportunity. So, I had only one question, actually two, but related. Out of our total capacity of 15 million tons, what is the proportion that will go to the auto industry? That was the first question ?

Sushil Pradhan : It will be around 3%.

Rajesh Majumdar : Only 3%?

Sushil Pradhan : Yes, because we are literally flat hot rolled. So, we don't have CRCA or related products which mostly go into auto. So, it will be somewhere around 3%.

Rajesh Majumdar : So, the second question is actually less relevant, but I will still ask it in the sense that we have seen a lot of headwinds for the auto manufacturers and Maruti also in the call actually listed the increase in the steel prices. So, there is a chance of a rollback there. So, do you think that the auto HRC prices will come off a little bit from the negotiated levels? Yes, that is it.

Sushil Pradhan : No, I won't be able to comment on that.

Rajesh Majumdar : Yeah. Thank you.

Moderator : Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.

Gautam Malhotra : Thank you. Q3 FY26 was a challenging quarter. Despite the sharp decline in steel prices and muted demand, we delivered record production and sales volumes. We also commissioned several key projects, most notably synchronizing the 1050 megawatt SB PP with the grid. The ramp up of our newly commissioned BF2 and BOF2 facilities is in full swing and is progressively strengthening our operating profile. We expect the fourth quarter FY26 to be a stronger quarter, supported by a higher opening volume, improved pricing and better underlying

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steel demand. Industry 4.0 and AI remain central to our transformation agenda, enhancing reliability, productivity and real-time operational control across the value chain. Our key projects are progressing as planned and remain on track for commissioning as per schedule. Going forward, we will continue to prioritize safe and stable operations, disciplined value creation and sustainability to deliver value-accretive growth. I once again thank you for your time on this Saturday afternoon. Have a good day and have a good weekend. Thank you.

Moderator : Thank you. On behalf of Jindal Steel Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

## **Call: May 2026**

*(no extractable text — likely a scanned image PDF)*



## Call: Jul 2026

July 31 , 2026

BSE Limited  
Corporate Relationship Department,  
1st Floor, New Trading Ring,  
Rotunda Building, P J Towers,  
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Scrip Code: 532286 National Stock Exchange of India Limited  
Exchange Plaza, 5th Floor,  
Plot No. C/1, G Block  
Bandra -Kurla Complex, Bandra (E),  
Mumbai -400051  
cm1ist@nse.co.in  
Symbol: JINDALSTEL

Dear Sir / Madam,

SUBJECT: TRANSCRIPT OF EARNINGS CONFERENCE CALL HELD ON JULY 25 ,  
2026

This is in furtherance to our letter dated July 21, 2026, w.r.t the Earnings Conference Call intimation for the financial results with the Institutional investors/ analysts. In terms of Regulation 30 read with Schedule III of the S EBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the earnings conference call is enclosed herewith and has also been uploaded on the website of the Company at [www.jindalsteel.in](http://www.jindalsteel.in) . You are requested to take the above information on record.

Thanking you.

Yours faithfully,

For Jindal Steel Limited  
(formerly known as Jindal Steel & Power Limited)

Damodar Mittal  
Whole -time Director

Encl.: as above  
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“Jindal Steel Limited  
Q1FY27 Earnings Conference Call”  
July 25, 202 6

MANAGEMENT : MR. VIDYA RATAN SHARMA – MANAGING DIRECTOR –  
JINDAL STEEL LIMITED  
MR. RAJIV KUMAR – CHIEF OPERATING OFFICER –  
JINDAL STEEL LIMITED  
MR. SANDEEP MODI – CHIEF FINANCIAL OFFICER –  
JINDAL STEEL LIMITED  
MR. DAMODAR MITTAL – WHOLE -TIME DIRECTOR –  
JINDAL STEEL LIMITED  
MR. DEBOJYOTI ROY – WHOLE -TIME DIRECTOR –  
JINDAL STEEL LIMITED  
MR. BIJU NAIR – EXECUTIVE DIRECTOR , ANGUL –  
JINDAL STEEL LIMITED  
MR. SUNIL AGARWAL – EXECUTIVE VICE PRESIDENT ,  
FINANCE – JINDAL STEEL LIMITED  
MS. ROOPALI MEHRA – HEAD SALES AND MARKETING  
– JINDAL STEEL LIMITED  
MR. VISHAL CHANDAK – HEAD INVESTOR RELATIONS  
– JINDAL STEEL LIMITED

MODERATOR : MR. PARTHIV JHONSA – ANAND RATHI SHARES AND

## STOCK BROKERS LIMITED

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July 25, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Jindal Steel Limited Q1FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Parthiv Jhonsa , Vice President from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, sir.

Parthiv Jhonsa : Thank you, Steve. Good afternoon, everyone, and thank you for joining us today. We at Anand Rathi are pleased to host Q1FY27 Earnings Conference Call of Jindal Steel Limited. I will now hand over the call to Mr. Vishal Chandak, Head Investor Relations, to introduce the senior management and initiate the proceedings of the call, which would then be followed by question - and-answer session. Thank you, and over to you, sir.

Vishal Chandak: Thank you very much, Parthiv. Ladies and gentlemen, a very good afternoon. Thank you very much for joining us on a Saturday afternoon to discuss the financial results of Jindal Steel for the first quarter of FY27. Joining us on today's call are members of our senior management team :

Mr. Damodar Mittal, Whole -Time Director; Mr. Debojyoti Roy, Whole -Time Director ; Mr. Biju Nair, Executive Director, Angul; Mr. Sunil Agarwal, Executive Vice President, Finance; Ms . Roopali Mehra , Head of Sales and Marketing.

Before we begin, it gives me immense pleasure to introduce three distinguished members who have recently joined the company's leadership team. Firstly, I am delighted to introduce our Managing Director, Mr. V.R. Sharma. Though he needs no introduction, let me begin by saying Mr. V.R. Sharma is a distinguished industry leader with over four decades of international leadership experience across the steel, power, metals, and cement sectors.

A mechanical engineer with an MBA from the College of Applied Science UK, he has held several leadership positions across the industry. Mr. Sharma previously served us as the Managing Director of Jindal Steel Limited from 2019 to 2022 and before that as th e Deputy Managing Director and Chief Executive Officer of the company from 2010 to 2014. He has worked with several steel companies in India and abroad during his long tenure of more than four decades.

I am also delighted to introduce Mr. Rajiv Kumar, Chief Operating Officer. Mr. Kumar is a highly accomplished steel industry leader with over 35 years of experience spanning operations, manufacturing, project execution, and business leadership. A Metallurgical Engineer from BIT Sindri, he brings deep expertise in integrated steel operations, product development, operational excellence, and the successful execution and scaling of large manufacturing facilities. Mr. Kumar served as CEO of the Aluminium business of Vedanta prior to joining Jindal Steel. He has also had a distinguished career at Tata Steel in various leadership roles.

Lastly, I am equally pleased to introduce Mr. Sandeep Modi, our Chief Financial Officer. Mr. Modi is an accomplished finance leader with over two decades of experience across the metals, mining, and power sectors. A Chartered Accountant and a Master of Commerce , he possesses

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extensive expertise in corporate finance, business strategy, treasury, taxation, commercial operations, capital markets, investor relations, and M&A, among other critical areas.

He is an All-India Rank holder in his Chartered Accountancy examination and has received numerous recognitions for excellence in finance leadership. He was previously the Chief Financial Officer at Hindustan Zinc and has spent mo

re than 20 years with the Vedanta Group before joining Jindal Steel.

I request you all to please join me in welcoming Mr. V.R. Sharma, Mr. Rajiv Kumar, and Mr. Sandeep Modi. With that, I will now hand over the floor to Mr. Sharma for his opening remarks. Over to you, sir.

Vidya Ratan Sharma: Good afternoon, ladies and gentlemen, and thank you, Vishal, for the introduction. My name is V.R. Sharma, full name is Vidya Ratan Sharma. I have more than four decades of experience in steel and metal industry. It is a privilege to lead Jindal Steel once again. I was the Mana ging Director in the year 2019 to 2022. You have seen that it was a great comeback by Jindal Steel

under the leadership of Naveen Jindal ji during that tenure.

So, I am again delighted, yes, to be part of this company and part of wonderful team what we have today. When I look around the teams at Angul and Raigarh, it reinforces my belief that we are building not just world -class assets in terms of plant and equipment, but also a world -class organization driven by exceptional and outstanding professionals what the company has chosen from different fields and different companies.

I welcome you all to Jindal Steel's Q1FY27 earning briefing and thank you all for taking out time on weekly off, that is Saturday, to attend this particular meet. Let me begin with a brief overview of the global macroeconomics landscape. As you all know the world has been passing through a very critical geopolitical situation.

For the last four years, we are seeing that Ukraine and Russia war is going on, which has shattered the economy, which has shattered not only the economy in Europe but everywhere in the world. Now for the last one year, the ripples and then a big fight in between America, Israel together with Israel and Iran. So, this has also created lot of problems for the whole world. The economy has dwindled, the fuel prices have gone up, the steel consumption, per se, at the moment is stable with a slight downward trend.

But you know there is always a light after the end of tunnel. So, we are seeing that in times to come, there will be a solution to both the problems - to both the wars being fought in Europe and in the Middle East. So, the moment these two wars stop, we are looking at a great opportunity for the steel industry to come back and supply steel worldwide. So, I would say that this presents a good future ahead.

In India, the RBI projects GDP to grow at a rate of about 6.6% in FY27. Despite near-term uncertainties, India continues to remain the fastest -growing economy in the world, supported by strong domestic demand, sustained capital expenditure, and stable macroeconomic environment.

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Domestically, the steel industry witnessed seasonal softness. This always happens especially in the monsoon season during this quarter. India's crude steel production declined by 6% on quarter -on-quarter basis to 42 million tons, while finished steel consumption declined by 7% to about 41.5 million tons.

Globally, China has announced a significant policy reset focused on capacity swap reforms to strengthen supply discipline. We believe this is a positive development and could accelerate much -needed supply -side reforms in the Chinese steel industry. Because today we are seeing that in China, the capacity reduction is about 50 to 60 million tons, whereas the demand has gone down by 100 million tons.

So, this has created a little surplus in the international market, but I am sure the moment these two geopolitical situations are settled, then everybody will find its place in the international market and the domestic market. Because steel does not go outside only in the form of steel, it also goes outside in the form of machinery, plant, equipment, vessels, pressure vessels, and many more semi -finished and finished equipment.

So, China has

as been doing export of lot of plant and machinery. I am sure once the world settles down in terms of moving towards peace and a peaceful solution of these two wars, China will again come back to supply more and more equipment, plant, machinery, and there will be a good room available to the Indian industry to export steel to these nations and also to the adjoining countries.

In the domestic market today, we are seeing that HRC prices are increased sequentially and remained firm throughout the quarter, while TMT, that is the rebar prices for the construction steel, they opened on a strong note, but after that the demand came down and during this particular monsoon season, yes, it always happens that the construction activities, they are slowed down.

So, but we are very much confident that in times to come, say from end of August onwards when the monsoon is receding, the country will come back again with construction boom supported by Government of India and especially the Indian bankers in terms of extending loans and funds for the capital infrastructure as well as for the construction industry.

So, we feel a very good future is in the offing. As far as Jindal Steel Limited's overall plan are concerned, I would like to highlight that today we have a strongest team available. And this strongest team consists of Mr. Rajiv Kumar, he is a veteran in steel industry, he has an experience of more than 35 years, he worked in Tata Steel and also, he has worked in Vedanta as a CEO. Then we have Mr. Sandeep Modi. He came from Vedanta and is a Chartered Accountant with a master's degree in commerce. He has joined us as the CFO, bringing with him a very good experience to lead the finance team and manage the financial function.

Then we have a very good team available . We have recently hired a CHRO, Mr. Sukhjot S Pasricha. He has come from Indigo, prior to that he has also worked in many other companies like Airtel , etc. So that team is in place. We have Ms . Roopali Mehra as Head of Sales &

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Marketing, she is with the company for more than 20 years, and she will be taking care of the complete sales and marketing.

So, in nutshell, I would say that the team is already in place. We have two very Senior Directors available in the plant. One is Mr. Debojyoti, he is heading the Raigarh plant, who hails again about 30 years of experience, and he also come from Tata Steel. The other gentleman is Mr. Biju Nair, who was with ArcelorMittal and he also has more than 30 years of experience, so he is heading the Angul plant.

Similarly, the people at the other segments and domain, they are all highly experienced talented people. So, I am sure that the team will deliver much better results in times to come. I am lucky to have such kind of team, and I am lucky to lead such kind of team from the front and finally we are committed to bring the company to a different scale in times to come.

Our first and foremost focus is that we should reach to the 100% capacity utilization. This is the first point. The second point is we want to reduce our cost because once you increase capacities with the economy of scale, we reduce cost also.

Then we have very strong team as I told you led by Mr. Rajiv Kumar ji and he is heading the complete operations. So, his specialty is how to control the costs with the best opportunity available today. So, I think we'll be in a position to control the cost also, which will add to the EBITDA.

Then the next is we have already discussed with our bankers, we have negotiated very good rate of interest, a very good deal, the lowest one, and the financial cost, borrowing cost will also come down in times to come. And this what Mr. Sandeep Modi is on it and he is doing it.

Then as far as the inventory is concerned, we are well within the limit. We have less than 10 or 11 days of total production as an in

ventory, so which is I would say very lean and best in the

industry available today. Then the product mix what we have, that is one of the best in the world I would say because we are the only company who makes long products, flat products, and the specialty flat products like plates and the quenched and tempered plates.

So today, we make plates say about 2 million ton in a year. We are going to increase it to about 2.5 million ton. Plate is a very basic requirement for any capital goods industry. Then we have a state of the art hot strip mill , which we commissioned in FY24, and this mill can produce about 5, 5.5 million ton of hot rolled coils in a year. And that too value -added grade of coils.

We are not in the race of putting more and more hot strip mills or more and more commodity mills. We are here to utilize our mill to the best of its technical expertise and the technical capabilities and produce more and more value -engineered products than a commodity product.

Then after that, we are the only company today in the private sector who produces rails and fortunately today out of the 22 metro rails in the country, at least 18 to 19 metro rails, they are already buying rails from us. These are called head hardened rails. So, nobody else supplies

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these rails to the country. In a way, without much ado , I would say that we are a 100% supplier to the Indian metro rail services in the country, head -hardened rails, which is a specialty of ours. Then we produce round billets, which not many people produce in the world and these round billets are specially used for rail wheels basically, the forging of the rail wheels. Government of India is putting a full effort so that we become self -reliant, Atmanirbhar in rail wheels, the railway wheels.

So, we produce round billets which only one more company produces in the country, and this is a great business in terms of consumption and also for seamless pipes and tubes. So, this is another product which is a wonderful product. Then over and above, we have the products like sheet piles which nobody does in the country today and we are the only people those who are doing it. And then some of the specialty angle irons, heavy section angle irons which we do.

So, the purpose is that wherever we have the technical superiority and the product mix superiority, so those products are to be manufactured on top priority so that this can add value to our system, which can add value to the bottom line, and this can also be treated as value

engineered product.

Thanks to Government of India, they have given a full focus and thrust on the defence industry. So, what we are doing, we are producing today the specialty plates which are tailored made for the defence industry especially for the submarines, for the warships, for the oxygen storage, for the nitrogen storage, for the hydrogen storage. So, these are the specialty steel products. So, our aim is to keep on adding more specialty steel products, not only through this normal plate mill, but there is a next process called that is heat-treated plates, that quench and tempered plates. So, these plates used to be imported in India. Now Government of India has given an instruction, and I would say it has banned these kind of products coming into the country. So, we are thankful to the Government of India.

As far as some imports are concerned, yes, there is a concern in the flat products which I say as a commodity. So, because hot rolled coil is a commodity today. So, the hot rolled coil since it is a commodity, yes, many players in the country, they import hot rolled coils especially through the advance licenses. So, when they bring against the advance license, they export also. So basically, it doesn't affect the overall scenario in the demand and supply. But yes, it is better if they can also utilize the Indian products

, the Indian hot rolled coils not only as a specialty hot rolled coil, but as a commodity coils. But whenever the prices or the imports are reflected, they are reflected as a commodity hot rolled coils. Whereas we are, we are fully insulated from such kind of products because we are in the value-engineered and value-added products. So, in a nutshell, I say that the company's future is excellent and the team is excellent in place. There had been some ripples in past, but today with the grace of God and with the decision taken by the Board of Directors, so we have brought the gems in the organization.

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And I am sure the company will flourish and we will see that the results are coming and our journey to reach to 100% capacity utilization with minimizing the cost level etc. everything, we will be in a position to be again a very vibrant company, though we are vibrant today also, but it will be much more vibrant in times to come.

So now I stop my speech. Thank you very much for listening to me very patiently. In case of any question, me, my team and other colleagues, they'll be happy to answer your queries. Thank you very much.

Now I'll request my colleague Mr. Modi, he will address the meet and thank you very much. Mr. Modi, over to you.

Sandeep Modi : Thank you very much, Sharma ji. Good afternoon, everyone. I am delighted to join Jindal Steel at such an exciting phase of its journey. Over the past few weeks, I have had the opportunity to interact with our teams across the plant location.

What stands out is the exceptional quality of our people, the speed of decision-making, strong capital cost discipline, deep adoption of the theory of constraints, and the growing use of AI and digital tools to improve operational and financial performance.

Jindal Steel today has one of the strongest integrated business models in the Indian steel industry, supported by world-class assets, captive raw material resources, disciplined capital allocation, and a clearly defined long-term growth strategy.

The successful commissioning of our expansion projects has further strengthened this platform and positioned us well for sustainability and profitable growth. As I assume this responsibility, my priorities will remain - maintaining capital discipline, improving return on capital employed, strengthening cash generation, preserving one of the strongest balance sheets in the sector, and creating sustainable long-term value for all shareholders.

With that, let me provide you with a brief update on our financial performance for Q1FY27.

Consolidated revenue sequentially was around 8% down. It was largely due to the sales volume resulting from the plant maintenance shutdown as Mr. Sharma had said. This was partly offset by around INR 7,500 per ton improvement in our average ASP, that's the average realization, supported by stronger steel prices and a richer product mix.

The share of value-added product has increased from 61% in Q4FY26 to 66% in Q1FY27. As our newly commissioned downstream facilities continue to ramp up, we expect the share of value-added products to increase further, enhancing both profitability and resilience across commodity price cycles.

Despite a 15% sequential decline in the sales volume, EBITDA remains resilient, reflecting the strength of our product mix, higher realization, and disciplined cost management. Consolidated adjusted EBITDA stood at INR 2,667 crores. Consolidated adjusted EBITDA per ton increased by INR 1,843 per ton, taking it to INR 11,937 per ton.

This improvement was driven by increase in ASP, partly offset by a \$23 per ton increase in coking coal consumption cost, which is in line with our guidance of \$20 to \$25 per ton of coal, and the lower fixed cost absorption due to lower volumes sequentially. Finance cost charged to

related to

the P&L increased to INR 548 crores, primarily due to the capitalization of the major expansion assets during Q4FY26.

Consequently, interest costs relating to these assets are now being recognized through the P&L account for the first full quarter. These assets include the 1,050 MW Captive Power Plant, BOF – III, CRM, and other associated facilities. Similarly, depreciation expenses increased during the quarter following capitalization of these newly commissioned assets.

Consolidated profit after tax for the quarter stood at INR 844 crores. Our balance sheet remains one of our key strengths. Net debt stood at INR 15,927 crores, translating into a net debt to EBITDA ratio of 1.71x. With the ongoing ramp -up of new facilities and continued focus on the cash generation, we remain confident of achieving the ratio below our stated threshold of 1.5x during Q2FY27 and continue to have through the commodity cycle, reinforcing our position as one of the strongest balance sheets in the industry.

Our capital allocation continues to remain disciplined. Against our FY27 capex plan of approximately INR 8,500 crores. We invested roughly INR 2,000 crores during Q1.

Cumulative spending under our expansion program now stands at INR 37,457 crores out of the announced capex of INR 47,043 crores.

Overall, I would say as we enter the second quarter, our financial priorities remain unchanged, driving profitable growth, maximizing returns for our expanded asset base, maintaining disciplined capital allocation, generating stronger free cash flow, and preserving our balance sheet strength.

We remain confident that these priorities will support sustainable value creation for our shareholders over the long term. With that, I will now open the floor for questions.

Moderator: Thank you, sir. We will now begin the question -and-answer session. The first question comes from the line of Amit Dixit with Goldman Sachs. Please go ahead.

Amit Dixit: Yes, hi. Good afternoon, everyone, and thanks for the opportunity. First and foremost, I would like to welcome the entire leadership team, and it's great to have Mr. Sharma at the helm again, and Mr. Modi and of course Mr. Rajiv Kumar. My question to Mr. Sharma would be, sir, last time when you were there, we actually went through debt reduction, the deleveraging happened during that time, so also the ramp -up in the blast furnace, the first blast furnace at Angul. Now when you are there the second time, what would be your key focus areas, let us say three to four focus areas that you might have thought of? If you can quantify them as well, you know, that would be great. And also, any thoughts around further expansion at Angul in terms of crude steel capacity? That is my first question.

Vidya Ratan Sharma: Thank you very much. Thanks for remembering the previous dialogues a long back and yes, this is a reminder to me what is to be done. So, you have asked the question, so I am replying to you one by one. The first of all, our now the main focus is on capacity utilization. Like for example, we have 15.6 million ton of capacity already installed as the crude steel making capacity. So how to reach 15.6 million tons, this is one. Now 15.6 million tons, our team is not going to convert these 15.6 million tons into a commodity. Commodity means just making rebars or making hot rolled coils, we are not interested in that. We want to do something new, something different.

Of course, rebars has to be produced as rebars except for some corrosion resistance steel or something like that. But as far as the hot rolled coils are concerned, we are not pushing our mill to produce a product which is non -value -added grade product. We want to fetch the best from the best market, and we want to sell this hot rolled coil not as a commodity but as a product. So that is our

next focus.

My colleague Mr. Rajiv Kumar had been in Tata Steel, and he has developed more than 500 different grades in Tata Steel which are truly value -added grade steel. So now the agenda is how to utilize his skill and how to make all those grades which are available in the world, and they

are treated not as a commodity but treated as a value -added product or value -engineered products.

So, the total capacity today as I told you 15.6 , is installed crude steel capacity. But there are some gaps because we are not going to make 15.6 million tons in the current financial year. We are going to end up somewhere about 11 million tons or 11.5 million ton s. So where is that gap of 3.5 million ton s, you will ask the question maybe today or maybe next year.

So, I am replying to you right now. So, what we are aiming for that we will be because we are short of metallic today, so we will be bringing metallics in the form of HBI, DRI, and also in the form of scrap. So, then we will utilize our assets fully so that we can reach the level of 15.6 million tons as we have the crude steel making capacity.

So now from our own internal resources, means internal blast furnace and electric arc furnace and existing DRI, we can reach maybe 11.5 million ton s and with the readjustment of the blast furnaces as far as the capacity is concerned, then we may even reach 12.5 million tons.

And now the three focus areas , one, make only value -added products , two, how to reach 15.6 million ton s with a step in between with a ladder and that step is 11.5, then 12.5 million ton s, and maybe 13 million ton s. And that would be done from the existing resources available, existing blast furnaces, electric arc furnaces , and DRI, so that we can increase production there. Then the next question you have asked me that what is the next future, what are the expansion plans or something like that. So, as I told you, we have a strict formula , last time also if you remember I used to speak E and I, Earn and Invest. So, the management has decided that we will be working only on earn and invest.

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We are not going to burden our balance sheet with the borrowings. We do not want to take loans; we do not want to borrow the funds to expand in the commodity area. We will expand, we will do all those expansions which are required in the value -added products, value -added steel, value -engineered products.

For that if any investment has to be done, we will do. But we don't want to be a part of glut. We want to be a part of specialty products where people come to us, buy goods, they are happy, we are also happy. So, our focus is , what we have , myself, my team, everybody is aligned on that, that we want to grow not at the rate of tons, but at the spending rate of about INR 7,000 crores to INR 8,000 crores or maybe INR 10,000 crores per year.

So how many tons will be that I cannot tell you today because if it is value -added product, maybe tons are less. So, our aim is spend management. So, we have a budget to spend whatever the earnings we have. We are sure, we'll be having much more earning than this. So, part of that earning we will be spending on the capex. And wherever we feel that we are tight, we will not spend on capex.

So, we are not in a race of 30 million, 40 million, 50 million, and every morning we get up and we declare a project, we are not in that. We want to we want to utilize the hard -earned money in the best way, and my colleague Mr. Modi will definitely keep a check on this so that we don't spend extra anywhere, extravaganza is not done.

So, these are the long -term plan for all of us and this is what we have taken an oath that or you can say, this is the commitment that we do not want to add commodity capacities, we want to be only and only and only value -engineered products and for that we are going to spend about

t INR

8,000 crores to INR 10,000 crores year -on-year basis. Hope I answered you. Thank you.

Amit Dixit : Thank you, sir. Very elaborate answer. The second and the last question I have is on the current blast furnace utilization and when we can ramp it up fully and the status of slurry pipeline. That's all from my side, sir.

Vidya Ratan Sharma: Yes, please. So, we have two blast furnaces in Angul and we have two blast furnaces in Raigarh. And we have 10 DRI plants in Raigarh, and we have one DRI plant in Angul. And apart from that, we have electric arc furnace in Angul, and we have three electric arc furnaces in Raigarh. So, this is the overall setup.

Now your question is the new blast furnace. This is a state of the art new blast furnace which we have imported, and a similar blast furnace was commissioned just about 10 months ahead of us by Tata Steel. Though Tata Steel took about five years to complete that blast furnace, thanks to our team, the project team, and thanks to the overall guidelines given by Naveen ji, our chairman , and we could reach to the commissioning time in say 28 to 30 months' time. So, this is a great achievement.

And this particular blast furnace can produce up to 13,000 tons per day hot metal. So, we have already reached to 11,000 tons per day. Our plan is that after this monsoon season, we'll be in a

position to ramp it up to 12,000 tons per day and by end of December, we'll make it 13,000 tons per day, which will be 100% capacity utilization.

Now you may ask question that why 10,000, 11,000, and 12,000 and why monsoon season and then 13,000? Because during monsoon season, there are certain challenges, like for example, about a week back, there was a very heavy rain, and this rain was more than 100 millimetres in one or two hours' time. So, this has disrupted the complete water management and also this has made the failure of the electrical grid and electrical system.

So, these kinds of hiccups they do come when we are passing through a very rough weather. It is like flying in a rough weather. So, I think by August end, the monsoon will recede and from September we'll start ramping up.

Our team led by Mr. Rajiv Kumar and by Mr. Biju Nair and our ED project, Mr. Damodar Mittal, they are the expert of steel making, iron making and everything. So, they are committed to bring it to a level of about 12,000 tons in the month of September and by 13,000 tons by December. The blast furnace number one is doing again extremely well. The capacity is 10,000 tons per day, but we are doing about 11,000 tons per day from that plant also.

So put together 13,000 tons per day from the blast furnace number two and 11,000 tons per day from blast furnace number one, total will be 24,000 tons per day. So, team is all on it and we are sure that 24,000 tons of hot metal we'll be doing every day from these two blast furnaces in Angul.

Already 4,200 tons from one furnace and another 2,600 tons from the other furnace in Raigarh, that is 6,800 tons, that is being done under the leadership of Mr. Debojyoti, who is the Head of our Raigarh plant. And that is at 100% capacity utilization.

So, if you see put together, the Raigarh at 3.6 million tons is stable and when we have 24,000 tons hot metal and this will give us 24,000 tons of steel also because whatever the yield loss is there that will be substituting by scrap. So maybe 24,000, 25,000 tons per day steel we'll be making, and this is going to be supported from our DRI plant which is at 5,000 tons per day and another electric arc furnace.

So put together our aim is to reach to a level of about 27,000 tons steel making after the monsoon and then finally, we'll reach one day to 30,000 tons steel making and this is where we will be seeing that we are crossing the capacities.

So put together, so 3.6 million tons from Raigarh and our aim is 9 mill

ion tons from Angul

before we add the scrap, the HBI or DRI. So, this is what our overall plan is. Hope I answered your question.

Amit Dixit : Yes, sir. Just slurry pipeline status? That was the last one.

Vidya Ratan Sharma: Yes, slurry pipeline, I'm pleased to inform you that it is all set end-to-end, the slurry pipeline is laid. Now trials are going on. There are some special trials we call it as a pigging. Pigging means

a real pig made of metal, it is passed through and then we'll call our collaborators and the technical equipment suppliers, they are from Germany, and then we will take a trial, first by water and then by slurry. So end-to-end everything is in line.

Hopefully, you will hear this news very soon, maybe in first half of August. So, we'll commission it. And once it is done, it is 18-million-ton plant and 18-million-ton capacity. This 18-million-ton capacity means this will reduce the overall burden on the logistics. So once this is done, then the load on transportation, local transportation will be reduced substantially.

So now today we are aiming maybe in the first half of August, but if the rainy season goes on and there is some problem, then this may delay also, but that is not in our hands. These are uncontrollable factors in life.

So, but end-to-end line is laid, end-to-end pump house, receiving station is made, end-to-end communication is in place, and the equipment, the pumps, trial etc. are already done. So maybe if too much of rains, then maybe end of August. So, in nutshell, this quarter, which is going on, the quarter of July, August, September, hopefully with the grace of God, we will give a good news to the nation. This is the longest pipeline perhaps in the country with the largest capacity. 18 million ton is the capacity with 60% of Fe and 35% -40% of water. But if we can manage with less water, say about 30% -32%, then this can even go to 20 million. So, it depends upon the water and the iron ore ratio because it depends upon the iron ore specific gravity, density, and



how iron ore behaves in a particular pipeline because we are going to buy iron ore from the outside parties also. So, thank you very much. Hope I answered your question .

Amit Dixit : Thanks a lot, sir, and all the best.

Vidya Ratan Sharma: Thank you.

Moderator : The next question comes from the line of Alok Deora with Motilal Oswal. Please go ahead.

Alok Deora : Hi, good afternoon and a warm welcome to the new management and the best wishes ahead. So, sir just had a couple of questions. First is on the NSR movement. So, if you can just indicate what's the pricing like now versus the 4Q average and versus the 1Q average and where do we see the prices moving for the second quarter, if you can just indicate on that because we have seen a sharp correction in the long prices? So just your thoughts on that, please?

Vidya Ratan Sharma: My colleague Roopali Mehra will answer you and in case anything else required, I'll come back.

No problem. I'm here with you. Roopali, over to you, please.

Roopali Mehra: Thank you. Hi, thanks for your question. So, as we all know, steel works in a manner which is kind of seasonal. So currently if you look at the flat prices for HRC, we've only looked at INR 800 per ton lower, pricing vis -a-vis Q1FY 27. And if you look at TMT, we're looking at almost INR 8,000 on the index. But as I said earlier, this is a seasonal weakness which should recover post monsoon.

Alok Deora: Sure. Thanks for that.

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Vidya Ratan Sharma: Is it okay? Anything else in this regard?

Alok Deora: Yes, just wanted your thoughts whether we could see further correction or this should kind of settle because it's been a pretty sharp correction in the long steel. That was the question actually?

Vidya Ratan Sharma: Yes, actually thi

s season it happens. But we fortunately we are insulated to a great extent. Why?

Because when the TMT prices go down, we start increasing production in the other areas. So , we have multiple segments, we produce 9 different products. So, if 1 product is little weak, then definitely we can find a place for that material to be sold through the other channels.

But yes, you're right, the monsoon season, it is very less construction. But this also bring lot of opportunities in future , if there are , though I should not be happy on it, there is a situation because one cannot say on these, but there are opportunities like if you have lot of floods, then more construction is likely to come in future.

If there are no floods but still there is a waterlogging, then the government, they spend lot of money so that next year there should not be any waterlogging. So that means more steel, more cement is going to be consumed in times to come. So, this is recoverable. We can recover it.

Alok Deora: Got it. And also on the coal cost, if you can just indicate the coal cost for 1Q and what is the coal cost assumption or guidance for the second quarter?

Vidya Ratan Sharma: So, I'll tell you. The coal is basically; there are two different things. I think you are you are discussing coking coal or you are discussing...

Alok Deora: Right, right. Coking coal.

Vidya Ratan Sharma: So coking coal is again basis demand and supply. Today we are seeing that maybe \$15 will be the total increase, about INR 1,500 in coking coal. But it also depends upon the Chinese factor.

What is China factor? If the Chinese consumption or Chinese steel production go down, then immediately the coal prices also come down.

But yes, you're right, there is a pressure in India because most of the steel mills in India, they are through the blast furnace route steel making, so they are buying lot of coal. And nowadays, more than coal, people are importing coke. If you see the data in last 3 to 4 months' time, the Indian steel mills, they have im ported lot of coke from Indonesia and from some other different countries.

But yes, \$15 you can factor it, but we will see that how we can minimize the cost in terms of blending it properly. Because now the coal is available, it is also available in different forms, so different blends are also available. So, the blast furnaces are very, capable and flexible in using different coal. We'll try to blend it so that we are totally, we are not outpriced in the market. So, this is what we feel.

Alok Deora: Sure. Just last question, sir. So, volume , based on what we have done in the first quarter, the full - year guidance remains the same of 10.5 to 11 million ton of sales volume in FY27?

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Vidya Ratan Sharma: Yes, yes, you're right. We will maintain the run rate, rather we will increase the run rate because we had taken a shutdown in the quarter 1. Why have we taken the shutdown? Because the shutdown basically it is not in our hands, we see that how many heats we have taken out from a particular vessel, like BOF vessel.

So, the BOF vessel gives a heat life of about 9,000 heats to 10,000 heats. So, whenever it is more than 9,000 heats, we have to stop it to avoid any puncture in the vessel, otherwise that will be a disaster so that there is no safety bypassed. So, we found that in this last quarter, we had to take a shutdown because we produce more number of heats in less number of time.

So that means because it depends upon the number of heats, each heat is 250 tons. So, you can say about 2.5 million, 2.2 million, if you produce, then we have to change the refractory. So, the refractory timing came in this particular first quarter, so we cannot wait for the second quarter, so we had to do it.

And this is how we are going to do in future. So, In Angul if we are discussing, we have four melt pots, I would say in si

mple language. One is Electric Arc Furnace, then there was a BOF 1, which is existing since 2011-'12, and then we had two more pots, these are called BOF 2 and BOF 3, basic oxygen furnace 2 and basic oxygen furnace 3. These two are very new. We commissioned one in Sep'25 and the other in Mar'26.

And these two pots are pretty new. So there 10,000 heats or 9,000 heats will take more time. Till that time, we don't have to take any shutdown. So, I'm sure we'll be in a position to recover whatever 300,000 tons of hot metal loss we have done in the quarter 1, that we will recover in the subsequent quarters.

Alok Deora: Got it, got it. Yes, that's all from my side, sir. Thank you and all the best.

Vidya Ratan Sharma: Thank you so much. Any other question left? I don't want that some of the colleagues say that I have not answered. We can sit for another 5 minutes no problem. But if there is any question, you please ask.

Moderator: Yes, sir. The next question comes from the line of Amit Murarka with Axis Capital. Please go ahead.

Amit Murarka: Yes, hi. Good afternoon and welcome back, Mr. Sharma. So just the first question on NSR movement in Q1. Like how much was the movement in flats and longs and was there sale of metallics that you did in Q1?

Vidya Ratan Sharma: Sale of metallics we have not done in the Q1. So whatever metallics sometimes we produce also, that is for in-house. So, it is consumed. Another point what we always see that a ratio in between price and cost. The steel prices, they go up, go down, and within a gap of 4 to 6 weeks' time we find that if the prices have gone up, the input price also increases.

So that band is only for 4 to 6 weeks' time. So, losing or gaining. Sometimes we say that the prices are going up whereas the input prices are not going up, so that band is also for about 4 to

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6 weeks. And sometimes we feel the prices are going down, but the input cost, that has not gone down. That particular window is also for 4 to 6 weeks' time.

So, this is a normal behaviour of steel business. But yes, you're right, INR 1,000 to INR 4,000 was the reduction in different products, but not in the products like rail, rounds, specialty angle channels, beams, structures, heavy-duty structures, the prefabricated structures, and the specialty plates, the value-added plates, quench and temper d, it was not there.

So, I would say by and large, yes, we took a hit in in terms of TMT and whereas we could maintain and retain the prices in the other segments. So, the price change if you see the per metric ton, that was that was ranging even INR 5,000 a ton.

Sandeep Modi: Sandeep here, just to conclude the NSR movement in case of the flat was around INR 7,000 per ton and in case of long around INR 4,500 per ton. I think that's what your question on the quarter - on-quarter basis was.

Amit Murarka: Longs was up, you mean INR 4,500 per ton?

Sandeep Modi: Yes, yes, all are up. All are up.

Amit Murarka: Okay.

Moderator: Thank you, sir. Mr. Amit, I would request you to please come back in the queue for further questions. The next question comes from the line of Jashandeep Singh Chadha with Nomura. Please go ahead.

Jashandeep Singh Chadha: Hello. Thank you for the opportunity. I hope I am audible. And first of all, I say welcome to the team and welcome back, Sharma ji. So, my first question is, largely directed to Mittal sir and also Sharma ji. So, given that the industry typically benefits from stable leadership and long-term management tenures, these, you know, relatively frequent changes in the senior management team stands out from Jindal, right?

So, should investors be concerned about the impact of these transitions on strategic continuity and long-term value creation? And how do you ensure that execution against your long-term objectives remains unaffected? So, this is my first question.

Vidya Ratan Sharma: Sorry, sorry, I missed your basic question. Can I request you to kindly repeat?

Jashandeep Singh Chadha: Yes, sir. So largely, you know, the industry normally benefits and industry is known for long tenure, you know, stable management, but there have been, you know, frequent changes at the top level at Jindal. So, should the investors be worried about the impact of these transitions on strategic continuity and, you know, long-term value creation? And how are you ensuring that all the long-term objectives are, you know, remains unaffected despite these changes that are happening, sir?

Vidya Ratan Sharma: Yes, thank you very much. You see, as far as the movement of senior persons, yes, it is always an area of concern. And we must see that why the people, they take a change or move. Many a

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times, it is their personal decision, by an individual. But we have 30,000 people working in the organization, I would say. And the top level we call CG1 or CG0, so if you see that there are only 20 people.

We have very strong upper middle, and I would say senior management team up to vice president level. So, we don't find any movement there, that which is normal attrition is always acceptable as per the industry standard, there is not a problem, and some people they do retire also.

So, but at the senior positions, yes, they are very vital resource and they drive the business, they come to the organization to take the decisions. For that, we have an advisory board also and we always put some tasks to advisory board to advise us at that time when there is a need and advisory board also guide us time to time.

But I agree with you that if the movement is frequent or more, that is a question of concern, and we are addressing it and this is the reason today you are seeing the board has brought at least eight new faces. And out of these eight faces, I would say two are the old faces, me and Roopali, and six are the new persons those who have come at a very senior level right from CFO to CHRO to our vice president HR. So, they have come.

Then we have our COO for the entire operations, he has come from Tata Steel, Mr. Rajiv. And we have Mr. Biju Nair from ArcelorMittal in Europe; he came from there. Then we have a very senior person, Mr. Debojyoti Roy, he has also come, he is a big strategist as well as the plant manager, so he is heading the Raigarh.

Then we have also brought some people from in-house from our other group companies, like we have brought people from Oman, we have brought people from Czech Republic, and they are at a level where they head their domain. And we are confident that we are a stable organization since at least 1,800 to 2,000 people are there in the upper middle level team. And these people is a very strong force, strong team.

They do it, they are the doers. So, they are very much stable and I am sure my colleagues and myself, we will put full effort so that we can make the company of our dreams, so that people, they stay here for longer time and yes, unless if there is some personal issues of someone, that I cannot comment.

But aim is to give the stability and this you will see that the team is stable and more than that, 1,800 people those who are in the upper middle management level, say from manager to GM or assistant vice president or vice president, they are pretty stable and they are the force which drives the organization. Hope I answered you.

Moderator: Thank you, sir. Our next question comes from the line of Sumangal Nevatia with Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes, good afternoon and best wishes to the new management team. So, my first question is on the cost. If you see quarter-on-quarter, there is a very sharp increase in cost, almost INR 5,500. If you could break up into top three, four areas of increase.

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And for the next quarter, we heard about coking coal, but overall, how should we see cost shaping up in the next one or two quarters as a lot of startup-related cost will start receding? And

then also if you can give the update on the coal mix today, when is Utkal B2 expected, and when do we expect to commission the DRI second plant? Yeah, thanks.

Vidya Ratan Sharma: My colleague Mr. Modi will speak to you.

Sandeep Modi: Hi. So, if you see from the cost perspective, I would like to give full breakup so that you understand it better.

There was iron bearing cost increase around say INR 500 per ton. We had a Middle East conflict impact of around \$12 to \$13. Coking coal cost increase as I said around \$23 per ton. And there was an operating leverage on account of the plant maintenance shutdown which has the lesser production on a quarter-on-quarter basis, that is roughly around INR 2,000 per ton. So that put together has translated into the overall quarter-on-quarter cost increase. I hope I am able to give you the exact what feels so.

Sumangal Nevatia: Yes, yes. Thanks, Sandeep. Just wanted to know how we see these cost items shaping up in the next one or two quarters.

Sandeep Modi: So as Mr. Sharma has already said that for the coking coal cost point of view, while there will be a \$12 to \$15 cost increase is expected, however, given the scale of economies and the better production which we will get into the Q2, given that last year Q2 there was a shutdown which now has been there because of the refractory life in the Q1. So, with that production increase, the operating leverage, which was around INR 2,000 per ton in the Q1, that should not be there. And of course, Middle East conflict impact, I think that's still going on, so we need to be watchful about it. Put together all these things, we should be able to have a better cost structure in the Q2 given the scale of economies and a better production and no plant shutdown.

Moderator: Thank you, sir. Our next question comes from the line of Rahul Gupta with Morgan Stanley. Please go ahead.

Rahul Gupta: Hi, thanks for taking my question. So let me just continue on the previous question. What kind of cost savings can we expect from the management over the next couple of years with all the initiatives that may play out, whether it is coal mines commissioning, DRI Plant, slurry pipeline, conveyor belt? And also, you talked about in your opening remarks that you are having renewed relationship with financial institutions, so what kind of interest cost savings can we expect from here on? Thank you.

Sandeep Modi: So, one of the key cost saving will come from the slurry pipeline, which I think we have already told in the market about INR 700 per ton benefit that as Mr. Sharma has said is coming from the Q2, that you should see a saving. Secondly, I'm talking more about compared to this quarter. Second, as I said earlier in the earlier question about the operating leverage, that will also help us to reduce the cost.

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We already have this time a coal mix of our own captive mines of around 50% and that will also go up with the Utkal B1 getting ramped up and Utkal B2 coming in, that will also help us to reduce the cost. We also have good news to share about the startup of the first loading at the Jindal port, which also has started and that will also give us savings.

I will not be able to quantify at this point of time, but already two vessels have been unloaded, and one vessel has already going loading as we speak currently, that will also help us. So put together all these things, I think we're in a really right shape to get the better cost structure and even in the case of iron ore, we are going more and more backward integration.

So last quarter we were around 16%, with this currently

we are around 28% in this quarter and the full year basis we should be around 40% on an exit basis. So that will give us also strategic benefit in terms of the cost structure.

Rahul Gupta: No, I understand that that's what we are trying to understand, what kind of quantified benefits that may come up maybe by year-end or over the next two years. I am not talking about next quarter. What could be the benefit that may come over the next two years is what we are trying to understand.

Vishal Chandak: I think this is Vishal here. If you look at our, you know, while we cannot give you the individual project-by-project cost savings right now for two reasons, one, obviously, the savings will grow through the quarters and at the full ramp-up state, they would be at a different level. Secondly, if you look at our capital allocation framework where we have clearly mentioned that we would deliver about 18% to 20% ROCE and you add the nominal depreciation back, you get the guided or our desired EBITDA from these projects. From that, you can obviously back calculate what is the kind of run rate that we are expecting from these projects.

Vidya Ratan Sharma: We extended the time for our friends because we are meeting after a long time, so 15 minutes we requested to the organizer to increase. So that if the questions are repeating, then I will request please don't repeat. And if there is a new question, you are welcome to ask. And in case the time

is short, then you can also write to Mr. Vishal, and he can reply on behalf of the management.

So now any other question is there, then we can talk.

Moderator: Yes, sir. Our next question comes from the line of Ritesh Shah with Investec. Please go ahead.

Ritesh Shah: Yes, hi, sir. Thanks for the opportunity. Sharma ji, glad you are back. Thank you so much. So just two questions. I think I'll just take the Rahul's question; I'll just follow it up. We heard Vishal's answer, but Sharma ji, if you could put some number on the cost savings knowing you, you would have some number in mind say over next 2 years, 3 years.

If not possible to bifurcate between iron ore, coal, port assets, slurry, pipe conveyor, any headline comments with some quantification will definitely help. That's one. And secondly, at the Jindal level, there has been a lot of announcements, MoUs with different states including thermal, nuclear, steel making. How should we look at that in conjunction with the capital allocation framework that we already laid out? Thank you.

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Vidya Ratan Sharma: Very good. So, thank you for remembering me. Yes, I'm also glad to interact with you once again. So, two questions. One is cost. There are two costs: one is cost per ton, the other is the cost impact in terms of incoming material or input cost. So, we have today three specialists sitting in this meeting, Mr. Rajiv and Mr. Biju Nair and Mr. Deb ojyoti.

They are not only fast bowlers, but they are also the all-rounders. So, their main specialty is how to keep cost under control. So, we cannot control the input cost like my colleague Sandeep told that today there is a war situation, tomorrow where the crude oil will reach, where the coal prices will reach, we are unable to address that because that is out of our hands or uncontrollable factors.

Iron ore is also uncontrollable for us because NMDC and OMC predominantly decide the prices. So that is also uncontrollable. What is controllable? The controllable is electricity cost, electricity consumption, oil consumption, coal consumption, coke consumption in the blast furnace, oxygen consumption, then how to avoid wastages, how to increase yield.

Today the yield is 98%, how can we bring it to 98.5% because even 0.5% plays a very vital role. And for this, all these three specialists what we have today, perhaps they are the best team available today in the country

who can work on this particular cost reduction campaign. They have already taken it up.

I think there is a chance of, roughly figures, I am not committing something, but roughly because I have to talk to my colleagues also, at least INR 1,000 per ton reduction is possible in terms of cost. And this what we'll strive for.

But as far as the input costs are concerned like oil, coal, coking coal, the energy in any form, that will be difficult to comment because these are uncontrollable factors. Your next question was on MoUs. Yes, as you know, we entered in a MoU as a management with the Government of Jharkhand.

We are existing in Jharkhand since 2006 and there is a plant called Patratu. So, 2006 we took over it from Birla Group and that was a rolling mill. So, we scrapped those rolling mills, and we put two state of the art new rolling mills, which we commissioned in 2010. And these two mills are still existing.

One of the mills is for wire rod and the other mill is for the rebars and rounds also. So, we can make rebars, we can make rounds. So nowadays, for example, rebar is not a preferred product, so we are making rounds. So, rounds give us another value addition of INR 5,000 to INR 6,000. Then there we have land of about more than 300 acres, and we can immediately put up a plant of 3 million ton.

So, what we told to government through the MoU that if you make the environment which is truly suitable or which is truly supportive to the investments, then we have to add just a steel making behind our mills. It is not a full project; it is I would say it is half project. What is half project? We already have two mills which can produce about 2 million tons easily, maybe more than 2.2 million tons.

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So, what we'll do, we'll put a blast furnace of 2.5, 2.7 million tons capacity and we will feed these two mills from our own blast furnace. So, this is what we discussed with Government of Jharkhand. But for that, there is a condition. What condition or request we have made to them,

that you please allocate us the iron ore.

You support us getting iron ore from Jeraldaburu area, which is a rich iron ore block available there. Actually, we had been working in 2010, '11, '12 up to 2014 to start the Jeraldaburu mines, but due to Environment Ministry, this was not allowed.

So, we are now requesting to government that if you can support us getting the mines, then either through auction or allocation, whatever way, but then we can definitely do this project. And what we have to do? We already have the finishing area. So, we have to put the backward area and there it is easy to put the backward area.

We have the space available, land available, water available, electricity available, everything is available. If the government allows us to mine or we get the iron ore from government, then we can immediately put up this plant. So, this is what our condition is. But it is an MoU only; we have not committed any investment till these requirements are met out.

The moment these requirements are met out, then we will come to a thorough calculation, we'll discuss with our board, and we will see that how we can put up this plant and from where the funding will be done. But we'll be maintaining our mantra of E and I, earn and invest. We will not deviate from that. We don't want to burden our balance sheet. So, hope I answered you.

Ritesh Shah: Sure, sir. Thank you so much. All the very best. Thank you.

Vidya Ratan Sharma: Any other colleague wants to ask anything? We have another 5 to 6 minutes. And if somebody is not given chance or doesn't speak something because of any reason, then kindly send a mail to Vishal, we will be happy to reply.

And if anyone of you wants to speak to me, again speak to Vishal, he can arrange a WhatsApp call or a telephone call with me if any clarification is required. We need yo

ur support, we need

your full blessings on this company, and we want to create a company of value engineering company I would say, to create wealth for the investors and to create wealth for the nation.

Moderator: The next question comes from the line of Rajesh Ravi with HDFC Securities. Please go ahead.

Rajesh Ravi: Hi, sir. Good afternoon to the team. And so, my question pertains to you have already covered most of the questions regarding to your cost saving programs. Just a short -term Q2 when we are talking about INR 8,000 correction in the longs prices and flats are also down INR 1,000.

If the prices were to remain steady at current levels and given that the cost reductions and better operations since most of the maintenance shutdown now over, can we say that our cost reductions in Q2 versus Q1 will largely cover up for the loss in realization and margins would largely be flattish at around INR 12,000 as seen in Q1?

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Vidya Ratan Sharma: I think we are going to make a perfect balance in between two. And as I told you, whenever the prices are going down, slowly gradually in 4 to 6 weeks of time lag, we get the input cost also down. So, this is what is going to happen, but there is an exception in the month of monsoon like mid of July or up to August end. I think after August, this problem will not happen.

But I am sure we will not be losing anything in terms of costing, and we will be gaining basically.

As I told you, our aim is Mr. Rajiv and his team, they have already taken aim to reduce costs by INR 1,000 per ton, and we will be in a position to reduce it. So ultimately, we'll be the ultimate gainer in terms of costs.

Rajesh Ravi : And just continuing on this cost, when you talk about INR 700 per ton savings from the slurry pipeline movement of the iron ore, just if you start operating at full 20-million -ton utilization, on absolute basis, how much cost saving would that translate into?

Vidya Ratan Sharma: This will be on a full year basis you are talking?

Rajesh Ravi: Yes, yes, on a full year basis.

Vidya Ratan Sharma: Yes, 1.5 million ton s slurry we will transport per month. So, say about 18 million a year, for example. So , we now have the capacity to consume this 1.5 million, but as I told you that the reflection of this will come from September onwards.

Rajesh Ravi : No, that's understood.

Vishal Chandak: Ravi, just to quickly add, this 18 million ton s has been designed not to meet the current round of expansion, but also to meet our future round of expansion . So, we will not be consuming this entirely in the current year.

Rajesh Ravi: Okay. So, for next year, what sort of utilization are you looking at, assuming it will be fully stabilized?

Vidya Ratan Sharma: A very simple math I'll tell you so that you understand this point very clearly. So, we have one pellet plant today with capacity is 6 million ton s, this can produce. We are adding another pellet plant of 6 million ton s, so total will be 12 million ton s. So, this 12 million ton s pellet plant means we can consume about 12.2 million, 12.3 million ton s of iron ore fines through this slurry pipeline.

Then after that, we are going to enhance our capacity of the sinter plant and there'll be another sinter plant coming in. And this sinter plant will be 5 million ton s. So, another 5 million ton s will be consumed. So put together, so 12 million plus 5 million, 17 million ton s. So, these 17 million tons or 18 million ton s, this is the math. So, hope I have answered you.

Rajesh Ravi: Thank you, sir.

Moderator: Thank you, sir. Our next question comes from the line of Pathanjali Srinivasan with Sundaram Mutual Fund . Please go ahead.

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Pathanjali Srinivasan: Hello, sir. Congrats on joining back. I have some questions. Firstly, our share of value -added

products and flats has been going up very consistently. The only disconnect is how come our unit profitability is not showing that?

Vidya Ratan Sharma: Repeat, please. I think it was not audible.

Pathanjali Srinivasan: Yes, sir. Am I audible now?

Vidya Ratan Sharma: Yes, better.

Pathanjali Srinivasan: Yes, sir. So, our share of value -added products and our share of flats in our overall sales have been increasing consistently. But when I look at our EBITDA per ton, that is not reflecting that.

So, could you explain what could be the one or two reasons for this?

Vidya Ratan Sharma: Yes, I'll tell you. The share of value -added products, actually I think you don't have access to our product -wise EBITDA. So that is different basically, that is because you get the overall EBITDA. But product -wise like quench and tempered, plates, heavy -duty plates what is the EBITDA, that is not published basically, it is our internal document.

And like head -hardened rails what is the EBITDA, so that is also not revealed. So, because it comes in the overall computation that how much is the total EBITDA. So somewhere we earn as high as INR 25,000 of EBITDA, somewhere we earn only INR 7,000 of EBITDA. But the aim is today that 50% of the products are high EBITDA products with high NSR, high EBITDA, and the other 50 % product s are the low EBITDA products.

So now we want to switch over from the other 50% with time. So, the 50% of low EBITDA products , out of that 30%, means say 50% if it is 4 million or 5 million, then out of that 30% of that, say about 1.5 million, 2 million will be again high EBITDA products. These are called the value -engineered, value -added products.

So, this is what we are aiming, and team is working on this under our operation head - Mr. Rajiv ji, he is on it and his main aim is how to develop all those grades which are available in the world from our mill s with the capacity of 6 million ton s.

So, our aim is not to produce 6 million ton s commodity, our aim is to produce at least 4 million tons out of 6 million tons as the true value -added steel where we get much more value than what we incur to produce that product. So, this is what our aim is. Any other questions , please?

Vidya Ratan Sharma: Thank you very much. Thank you. Thank you so much. So, we have few minutes only now.

Moderator : Yes, sir. That was the last question, sir.

Vishal Chandak: That was the last question. Okay. Thank you. So, I would request Sharma sir to give his closing remarks. Over to you, sir.

Vidya Ratan Sharma: So, thank you, friends, ladies and gentlemen. Thank you for listening to us very patiently. And I am interacting with you after a long time of four years and it was a pleasure to speak to you, to

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interact with you. We'll be meeting more frequently, not only at investors' meetings after the quarter. So, you are welcome to visit our plants, you are welcome to discuss with us, you are welcome to see what we are doing, you are welcome to visit our websites.

So, I request you please be part of this company as a partner, as an investment partner, and let us create an environment of positivity everywhere. This is my request, humble request to all of you. And keep us guiding as your questions, they always give us a strength basically and sometimes we feel that something we are no t touching from our management side or on our operations, you can ask the questions, you all are the financial specialists, you know the numbers well, you can compute well, you can calculate well, you can understand well.

So, when you convert your thoughts into numbers and numbers into actions, then this gives us a big support, and this gives us a big strength to revisit our own work and correct ourselves if we are getting wrong somewhere. So, keep on guiding us like this and keep on asking any kind of

question where you f

eel that we need to be changed or we need to make some amendment or alteration.

Please ask these questions always, not only at the investors' meeting , you can always write also.

Write to Vishal and this will come to our complete committee, our board, our senior people who are sitting in this particular meeting so that we'll take the corrective measures immediately.

So, we take your feedback as very healthy feedback, and this is how we can create value for the shareholders and we can create value for the company and for the country. So once again, my sincere thanks to all of you and Namaskar. Thank you.

Moderator : Thank you, sir. On behalf of Jindal Steel Limited and Anand Rathi Shares and Stock Brokers Limited, that conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.